

CMS Info Systems (CMSINFO)

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Call: Aug 2022

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CMSINFO/2208/001 August 02, 2022

Sub: Earnings Call Transcript

Dear Sir/Madam,

Pursuant to Regulation 46(2)(a) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed transcript of audio recording of post result conference call held at 4.00 p.m. (IST) on (Thursday), July 28, 2022 on Unaudited Financial Results (Standalone and Consolidated) of the Company for the quarter ended June 30, 2022.

The transcript is also available on the website of the Company at www.cms.com

You are requested to kindly take the same on your record.

Thanking You,

Yours faithfully,

For CMS Info Systems Limited

CS Praveen Soni
Company Secretary & Compliance Officer
(Membership No. FCS 6495)

Encl: a/a
To
BSE Limited
Listing Department,
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“CMS Info Systems Limited Q1 FY23 Earnings
Conference Call”

July 28, 2022

MANAGEMENT : MR. RAJIV KAUL – EXECUTIVE VICE CHAIRMAN ,
WHOLE TIME DIRECTOR AND CEO
MR. PANKAJ KHANDELWAL – PRESIDENT AND CFO
MR. ANUSH RAGHAVAN – PRESIDENT , CASH
MANAGEMENT
MR. MANJUNATH RAO – PRESIDENT , MANAGED
SERVICES
MODERATOR : MR. DHIRAL SHAH – PHILLIPCAPITAL (INDIA)
LIMITED

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Moderator: Ladies and Gentlemen, Good Day and welcome to the Q1 FY23 Earnings Conference Call of CMS Info System Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' and then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Dhiral Shah from PhillipCapital. Thank you and over to you, Sir.
Dhiral Shah : Thank you Jacob. Good afternoon, all. Thank you for joining us on the Q1 FY23 post Earning Conference Call of CMS Info System Limited. First of all, heartily congratulation to the management for the great set of Q1 numbers.

We sincerely thank the management to allow us to host the call. In the panel today, we have Mr. Rajiv Kaul – Executive Vice Chairman, Whole Time Director and CEO of the company, Mr. Pankaj Khandelwal – President and CFO of the company, Mr. Anush Raghavan – President of Cash Management and Mr. Manjunath Rao – President of Managed Services. I now invite Mr. Rajiv Kaul to begin the proceeding of the call. Thank you and over to you, Sir.

Rajiv Kaul : Thank you Dhiral. Good evening, everybody. I hope you can hear me clearly. Thanks for attending our Q1 Call. Before I dive into our performance, I want to share a couple of high level sectoral micro trends which are quite positive towards cash usage. Usually, Q1 is a softer quarter after a strong Q4 in the financial year as we notice. This year Q1 over Q4 on a quarter-on-quarter basis the cash-in-circulation has grown at 2.5% and even when we look at the data on the monthly cash withdrawals and the ATM channel that grown at a 6% quarter-on-quarter levels. So, I think that is very good healthy, macro level data I thought I will leave for you to digest and now let me just dive into the company.

I am very happy to say that we have been able to continue our momentum over the past year and despite a fairly inflationary environment we have still had our best and strongest quarter till date on all metrics of revenue, EBITDA and PAT. On a year-on-year basis, our revenue has grown by 23% to INR 453 crores. Specifically, our annuity revenue stream which is something which you should pay attention to and track us on has grown at a 38% year-on-year level and our PAT has grown at 47% which is a reflection of both the volume increase of our business and activities we do, the operating leverage in the business. [Line dropped] Sorry for the disconnection of the line I will just repeat the last line hopefully where I got disconnected I wanted to explain that the result is I want to commend our team for very strong execution, focus on very high quality service to our clients and our operating performance has been robust across all our business lines and product units, so it is an all-round good quality performance from across the team.

The one thing I want to sort of highlight here specifically here is our youngest and let us say the smallest business which is our remote monitoring business which we started in COVID is doing very well. You will remember that we have talked about an order book of 25,000 ATM sites we have gone live on 15,000 of that. So, we have executed 60% of the contracts already. This is a
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tough one because the supply chain issues of components here is quite a tough challenge to circumvent, but more importantly we have been able to do in a very quick time take a solution capability beyond ATM and we have already had very good proof points in the BFSI sector and started winning orders for bank branches, bank vaults and even Gold loan vaults and we have got some very good client names and references where we have started executing wor

k. I am

going to now request our CFO Pankaj to take us through the high-level financial highlights.

Pankaj Khandelwal : Thank you Rajiv and good evening, everyone. I will take you through the financial performance for the quarter. Revenue from the operation stood at INR 453 crores which grew by 23% on year-on-year basis. The net profit was INR 69 crore which grew by 47% on year-on-year basis. PAT margin has expanded to 15.2% by 250 basis points between Q1 FY22 and Q1 FY23. Our strong performance is on account of increase in volume of the cash activities and increased mix of the tax services.

Talking about the segmental results our both major business segment recorded very strong growth. Cash Management business recorded year-on-year revenue growth of 29% to INR 313 crores and EBIT growth of 44% to INR 77 crore. Managed Services business recorded year-on-year revenue growth of 16% to INR 146 crore and EBIT growth of 53% to INR 30 crores. In our managed services business if we remove the production components the services grew year-on-year by 71%. With this, I now hand over the call to Mr. Anush Raghavan – President of Cash Management for more insight into cash management business performance.

Anush Raghavan : Thank you Pankaj and Good evening to everybody on this call. First of all, I am pleased to share that all our three business lines across the cash verticals namely the ATM cash management, Retail cash management and the Currency in transit businesses have all demonstrated very strong growth. Overall, from a macro perspective we continue to see very strong trends across cash usage in India. Across the India ATM network we have seen a 6% increase over the last quarter in terms of the total currency dispensed. The total currency which was handled by the CMS team grew by 38% year-on-year and has been the highest ever in the history of the company. We continue to invest to expand our reach and presence and as on date we cover more than 16,000 pin codes across India.

On today's call let me also take the opportunity to share some more details to you in terms of what we are doing on the retail business. We have seen strong traction and sectors which were hitherto affected with the COVID headwinds namely organized retail, travel, hospitality and entertainment have seen some very interesting trends in terms of bounce back post COVID. Here our cash volumes are up by 22% on the year-on-year basis. Further on the back of this recovery and given the broader opportunity in the retail landscape we have been investing to create an end-to-end offering which brings together many different parts of the CMS solution set from our product automation to remote monitoring and cash management.

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To the retail segment we offer an automation-based solution which takes care of the reconciliation, cash management and treasury processes. We are seeing very good traction over the last few months and today built up an order book from customers across fuel outlets, large, organized retail players, NBFCs and airlines. Going forward we will keep you updated as this business develops. I would now request my colleague Manjunath to share with you and update you on the managed services business.

Manjunath Rao: Thank you Anush. Good evening, everybody. On the Managed Services business I am very pleased to inform you that we have successfully completed execution of our SBI BLA order book ahead of time and are seeing very healthy transaction trends on the same. Our BLA estate has crossed now 5,500 units as of June 22. Our Remote Monitoring SaaS business is growing rapidly with 15,000 ATMs sites live and we have further expanded our Remote Monitoring SaaS solution capability to new areas like branches, vaults and have won contracts with leading private banks and gold loan companies covering close to 1,000 branches. For our Managed Services business and SaaS

business we have set up a new state-of-the-art Tech center that is CERT-IN certified and has three times the capacity of the old center. I am also happy to announce that we have received ISO 9001:2015 quality certification for application and software development for banks and financial institutions. With this, I will hand over to Rajiv to do his closing comments.

Rajiv Kaul: I think I do not have really much to say. I think our focus remains on executing strongly and continuing the momentum. Before listing and during our earlier calls we have sort of given a guidance saying that our company revenue in FY21 was roughly INR 1,300 crores. Our goal remains to double that to roughly INR 2,500 to 2,700 crores by FY25. We are on track to hit those numbers. We started FY22 well. FY23 has also started off well and with the good wishes and luck hopefully we will get to that number soon.

In addition, I think this is an important year. It is in early stage right now, but still in disclosure I just want to share that as part of our efforts to look for newer revenue streams to grow in the country and this is really keeping an eye on FY25 to FY30 we are also kick-starting and incubating efforts beyond our businesses of Cash management and Managed Services. These are mostly going to be efforts initially which will be done group-up within the firm and as we learn and see what sticks and what works we will then look at how we can scale these businesses. Very early days, but that is an area where we already have shared that we will start investing our

management time, effort and resources and FY23 when maybe by the time we have an analyst meeting we will be able to give you a little better update on how these efforts are going to look like. Thank you so much and we are happy to take any questions now.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Aasim Bharde from DAM Capital Advisors Limited. Please go ahead.

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Aasim Bharde: I had a couple of questions so first one on the cash management business can you break out that how much of the growth is through new touch points and how much would be just your compliance driven pricing led growth?

Rajiv Kaul: The number is I do not think it is relevant to track on a quarterly basis. I think it is better or more useful to see on a year-on-year basis because it will move up and down. I think we would have given last year when we did the number, we talked about an equal split between volume which is business points and pricing impact it is almost the equal split in our numbers at the revenue line and I think in the profit line also I think between operation leverage I think we had explained that in the last call. Right now, I think Q1 basis would not be the right way to sort of track that number. We will wait for at least 6 months, 9 months to give you a sense of the breakup.

Participant: But for FY23 as a whole basically we can still assume that 50% of the expected growth should come from unit additions if I got you, correct?

Rajiv Kaul: We remember on compliance what we have indicated. We have said a couple of things before which is we expect compliances to finish by FY24 at the end of FY22 we were roughly 35% of our points were compliant in terms of earnings compliance revenues that should hopefully get to 60% - 65% by FY23 and 100% by FY24. We have indicated towards 18% growth rate CAGR over these years in our business and I think we are on track for that right now. And I would, for the sake of your question, I would think it is wise to maybe take a 50-50 split between volume and compliance or other pricing initiatives. It is just not compliances, there is inflation price and what not. So, pricing and volume I think if you take a 50-50 sort of a mix.

Aasim Bharde: Secondly just rather clarification I think in your openin

g remarks you mentioned about annuity

revenue has grown 38% YoY while Pankaj mentioned that excluding products MS revenue grew 71% so the annuity portion that you talked about that does not include BLA and remote monitoring?

Rajiv Kaul: So, annuity for me I was talking at a company level which is both Cash Management and Managed Services and all of our businesses and I think Pankaj more specifically explained to you in the MS [Managed Services] BU segment if you have to think of it.

Aasim Bharde: And what would be the pipeline in hand currently on both BLA and Remote Monitoring?

Rajiv Kaul: So, Remote Monitoring I talked about the fact that we had an order book of 25,000 sites out of which 15,000 is executed. We have also got incrementally an order book of another 1,000 sites which is not ATMs, but that is on the bank branches and vaults that is where we are. In BLA we have executed almost 95% of the order book that is already up and running.

Aasim Bharde: And I mean in terms of the number could you be able to share that what kind of visibility do you have in terms of adding maybe over the next 24 months from now?

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Rajiv Kaul: If you, Aasim, just go back to what we have said before we listed or around that time we had an order book of roughly INR 2,000 crore end of March quarter again I do not want to make this a quarterly habit because we are not L&T, but end of March quarter we were or full year FY22 we had an order book of INR 2,200. That order book is growing healthily that is your question number one. Second question you asked me sorry if you can repeat.

Aasim Bharde: Basically, I just wanted to get a sense that like one thing on the BLA side, for example, one thing would be basically ATM orders in hand and secondly the kind of visibility that you may open to bid for?

Rajiv Kaul: So, I think in BLA right now we have a BLA estate of about 5,500 machines. We are fairly conservative on the BLA business. I think we are looking at adding about 1,000 machines a year provided we can find an estate with the revenue and profit matrix which makes sense to our capital allocation. So, that is where we would stand. The business obviously comes in bits and pieces, like if you are able to win a good quarter you order book maybe a little more or little less, but from a directional perspective we think we will be adding about an average of 1,000 BLA machines a year.

Aasim Bharde: And just lastly this incubation that you just talked about at the end of your opening commentary like any sense that we would want to give which segments are you really looking for?

Rajiv Kaul: I think again whatever we were highlighting during our roadshows I think these are the sectors

which are broadly around collections to create infrastructure on collections mechanisms in India both from logistics and technology side that remains an area of interest where we want to start accelerating the work and start investing time and resources. We are also looking at this, this will be more home grown and inside. I think from an investment perspective we continue to look for opportunities in the B2B Payments and in the whole Remote Monitoring side to see if we can find opportunities to invest in good upcoming technology companies.

Moderator: Thank you. The next question is from the line of Achal Lohade from JM Financial. Please go ahead.

Achal Lohade : Good afternoon. Thank you for the opportunity. Congratulations for the great set of numbers. My question was you talked about the CIC growth of 2.5% QoQ and 6% growth in ATMs cash resolved or cash handling the ATMs, would it be possible again this 6% QoQ for the industry how would our cash handling growth would have been?

Anush Raghavan : So, that number Achal would be between around 4% to 5% for us. So, when you compared Q1 to Q4, cash handled by CMS would be a 4% to 5% growth.

Achal Lohade : The second

question we had with respect to the margins now I see that given the cost inflation we have done extremely well. Is it possible to get more color in terms of what kind of cost
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inflation have we seen, and have we been able to pass on that cost or it is the compliance driven pricing which is taking care of these cost?

Rajiv Kaul : Like it is a mix when you think of it, inflation pressures are both obviously in wages and fuel for the companies like us and some raw materials or some input cost. I think for us the fact that we have been able to, and this is the question which came in last quarter as a potential concern and as a team I think we have again dealt with inflation or high inflation environments before. We are trying our best to manage that what you see is a mix of the volume of business increasing and therefore operating leverage impact. And pricing changes which are not only limited to compliance. Even to the earlier question asked, Aasim's question, I just want you to know that there is compliance related pricing in some part of the estate, but there is also business where annual increases or inflation increases are either being discussed or closed out. So, you see that benefit of that and that is what you are seeing translated to the P&L in front of you and the last point I just state this in my commentary is that part of our vision of our overall margin increase what you see here is the fact that our large part of the revenue on Q1 is annuity and services revenue overall. The product linked revenue is lesser and that has a margin impact automatically, but we have still grown the overall numbers well.

Achal Lohade : And just one more question I had is it possible to get some more color in terms of number of cash points for the cash business what is the growth QoQ or YoY?

Rajiv Kaul : I think we are roughly about 115,000 touch points, but again I will tell people this is not a number you should see every quarter. I think this is more at least 6 months, 12 months basis is the number sort of track on because many times there will be some shifts on contract between banks and therefore our quarterly numbers is not the best way to keep querying about this, but 115,000 is roughly the numbers of points I remember that we have.

Achal Lohade : Any color you can give on the replacement / the new ATM deployment by the industry or the banks if you could talk about any development you like?

Rajiv Kaul : In our May call when we have finished the full year, we talked about last year the ATM install based in India grew by close to 10,000 units. It is only couple of months till then so nothing significant to report at this point and also the RBI data has not come out for the month of June yet. Again, this is the number which you want to track more on annual basis than quarterly basis. To your second question on the replacement cycle or expansion cycle, there are large RFPs either underway in the process of getting bid or closed or RFPs coming out, but we feel that this will get bunched towards the second half of the year in the large public sector banks.

Moderator : Thank you. The next question is from the line of Sanjay Awatramani from Envision Capital. Please go ahead.

Sanjay Awatramani : Sir I wanted to know that if you can highlight the unit economics for the Brown label ATMs which we install?

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Pankaj Khandelwal : Generally, for the Brown label ATMs we have a threshold of high IRR, and we generally go for that is the reason Rajiv has mentioned that we are looking only for 1,000 ATMs, BLA ATMs in a year. So, we ensure that our threshold IRR is met for any sort of BLA or CAPEX driven investment. It is very difficult for us to give you some sense of the unit economics in this call.

Rajiv Kaul : But are you trying to ask what are the cost elements of the business or yo

u are saying what is

our targets in this business I was not very clear on the question actually?

Sanjay Awatramani : Sir basically I was asking about the cost per se itself because as you mentioned that yearly you will be moving ahead with roughly in the range of 1,000 installation of ATMs or replacement of ATMs. So, I was asking perspective on the cost basis?

Rajiv Kaul : I think basis the 5,000 - 5,500 machines we have been running now, our estimate is that basis the investment required for a Brown label ATMs, I think our IRRs are in the high teens number that post tax IRR that is what we target in a Brown label ATM. Again, in prior calls we have explained a strategy. We think in any given year between 10,000 to 20,000 ATMs could get contracted out for BLA. We are focus on mainly the high quality, high yield, high transacting ATMs which are for this largest bank of the country. In our current estate of 5,000 Brown label ATM, almost 65% to 70% of that is with SBI.

Moderator : Thank you. The next question is from the line of Nitin A Khandkarr, an Individual Investor. Please go ahead.

Nitin A Khandkarr : My first question is about the industry size relative to its counterpart in the Western world, so when we look at the US, the top four companies account for revenue of, I guess, about \$18 billion annually which includes some revenue from Europe as well I believe the size of the industry in India is about \$2 billion. So, in the context of India's GDP related to the GDP of the US I believe the Indian industry could outpace its US counterpart in the next few years, what is your estimate of the industry size in India and what would be our strategy to outperform the industry in India going ahead?

Rajiv Kaul : Nitin our estimate when we look at the market data for India let me talk about that before we think global are roughly the TAM for this market in 2021 was about INR 8,500 crores and now when I talk about that includes everything from automation to managed services, brown label deployment, white label market, cash management and also remote monitoring. The industry estimates this TAM is likely to become an INR 20,000 - 21,000 crore market by FY27. So, I would not say billions of dollars given how revaluations are happening I prefer to talk of rupees because that is where we are working in. Now that is the size India is a reasonably cost effective for value focus market and also because of volume and we are the world's third or fourth largest ATM market in the world. So, I think there is pretty healthy competition and prices are pretty aggressive given just on market conditions that is why I could give you some sense to help you understand the market and the market directions possibly our basis industry estimate. As
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company for us basis the current lines of business we have, we have set out with the goal to double our business in four years from FY21 to FY25.

Nitin A Khandkarr : So, what would be your specific strategy if you could throw some color on that please?

Rajiv Kaul : We were predominantly a cash management company till FY15 post which we started expanding into adjacent spaces where we are selling to banks starting from automation solutions, software for the ATM networks, remote monitoring services at ATM sites and the bank branches and the brown label ATM deployment. Our approach here is that we were a service provider till FY15 and we want to become more of a solution company offering end-to-end solutions which encompass both logistics and technology solutions, help serve the bank because they have got a very distributed network in the country and they do not find people like CMS who can handle this with them and more of the value chain by giving them a mix of services both on logistics as well as on the technology side. So, our quality of service, our network, our reach, our integrated capabilities are already resul

ting us in delivering the best quality services to banks. Now this is

a very difficult measure to measure, but we actually find that we have some of our customers in fact from internationally and from US and all saying why do not you come and start services here because we do not find companies with your capabilities or quality of service. So, that is the approach: keep high quality services, have a fantastic network to offer this so that customers come to you before they go to somebody else, use the economies of scale and operating leverage to be able to make up higher margin than anybody else and also run very tight operations with high automation to deliver a lowest unit cost and therefore maintain a margin profile. I am sorry it is a very large presentation, but I am trying to give a summary answer.

Nitin A Khandkarr : Secondly based on the consolidated data, EBITDA margin in Q1 will be highest in the last 7 quarters at least, how would you comment on the variable versus fixed components of the OPEX a small part of the EBITDA expansion is attributable to your company vehicle maintenance part which after peaking at 10.3% of revenue in Q2 FY22 has tapered off to 9.3% and 8.6% in the last two quarters this is in spite of the fact that the prices of fuel have been high since March itself after the Ukraine war broke out, so how would you comment on this particular line item and on the overall margin profile?

Anush Raghavan : I think over the last couple of calls and even during the roadshows and then some of our presentation you would see that we have sort of invested a fair bit of effort in bringing the

technology that we deploy to manage our routes and I am speaking on the cash business because that is where lot of fixed cost and variable cost gets associated. We have just been able to do a far better quality of throughput in terms of the route management, the predictive analysis around productivity and just getting better control of that fixed cost. During COVID we were sort of able to really reap the benefits of being able to deploy the technology and get automation happening. There is also lot of automation that has been implemented and various other things which are in process of implementation for some of the management process be it things like ATM reporting, cash processing for instance. So, I think that combined with the synergistic CMS Info Systems Limited

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benefits of certain scale and when we grow it helps us to sort of achieve to some extent a certain non-linearity in our margin profile.

With respect to the observation in terms of the margins I must tell you yes first quarter has been the best and like you rightly said it comes in the perspective of the inflationary headwinds being the most severe. We have in fact incurred expenses in first quarter also wage review across the board for the cash business so that is sort of already built in there. With respect to the maintenance expenses I think again over the last year and even this year deployed a significant capital to do a refresh of our fleet partly driven by compliance and partly driven by the fact that new vehicles help us achieve better efficiency and to some extent it has also helped us reduce the maintenance cost as well as reduce little bit of our hiring expenses so that is probably what you are seeing there.

Rajiv Kaul : I think net net whatever improvements you see it takes a lot of effort on the ground by field teams to monitor and track. A lot of our internal automation which we do not sell to anyone else is really about running and improving how tightly we run our operations and to prevent any leakages. I think some of that benefit has been part of the reason why our margin profile is different compared to our competitors and how we try to maintain them and run the company.

Moderator : Thank you. The next question is from the line of Ravi Naredi from Naredi Investment. Ple

ase

go ahead.

Ravi Naredi : Sir how much cash available in system by RBI and how much higher than last year?

Anush Raghavan : As of May or June the total currency in circulation by the RBI was INR 32 lakh crores which compared to March ending I think was INR 31 lakh crores so about an incremental INR 1 lakh crore or Rs. 1 trillion in circulation in this quarter.

Ravi Naredi : How we reduce the risk? Everything insured. If anything nuisance happened and our cash managed within Quarter 1?

Rajiv Kaul : I think the nature of business is the fact that there is risk and that is why we work with the banks and companies like us to manage the risk well. It is part and parcel of our cost I think from a revenue perspective almost 4% to 6% of the revenue is what goes towards our risk cost which could be theft, robbery, insurance, pilferages and what not. So, I think for keeping that tight and running that we have a large team we have almost 150 to 200 people across auditors and security advisors who are working across the country to keep these incidence under control.

Ravi Naredi : And this elevated net profit margin 15.2% in Quarter 1 will sustain in current year or maybe higher?

Rajiv Kaul : From our side what we guide towards is the fact that we have ambitious revenue growth goals which CAGR to an average of 18% CAGR we want to achieve. I think we should be able to

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maintain margins from as I said from FY21 to FY25 basis. Very different quarter by quarter exactly what will happen to margins, but we have done well I think last year we finished the year with 14.6% margins for the full year and PAT margins expanded from Q4 to Q1. We will try our best to maintain our profit levels.

Ravi Naredi : And this 18% growth we are hoping for next few years?

Rajiv Kaul : FY21 we were an INR 1,300 crores company roughly our target for FY25 is between INR 2,500 to 2,700 crores and if you take the mid number of INR 2,600 crore so that becomes a 2x in 4 years which is roughly 18% CAGR. In FY22 we had a 22% growth and I think from a guidance perspective I think that 18% CAGR from this base is what we would like to guide you towards.

Ravi Naredi : And last, CAPEX plan for current financial year?

Pankaj Khandelwal : In the last call we have given the sense that we are expecting Rs. 225 crore of CAPEX for the execution whatever orders in hand and we are in this quarter also in line with the investing according to that.

Moderator : Thank you. The next question is from the line of Jigar Valia from OHM Group. Please go ahead.

Jigar Valia : We would want to understand with regards to the employee cost and generally all the 20,000

plus including the drivers etcetera for the 4,000 vans these would all be on board or do we have contract staff as well and would want to understand typically on the attrition and normal staff inflation that you kind of generally see year-on-year?

Anush Raghavan : So, with respect to your first question typically we outsource the roles of drivers and security services. We have generally very few drivers and no security services on our payroll. We typically work through our partners or vendors for these services. So, those would be on contractual staffing. Rest of the team which handles the cash operations including the back office and the field would be in some cases on our payroll and in some cases we work with various staffing agencies.

You had a second question on attrition and inflation so yes I think if you sort of look at over the last few quarters the attritionary trends have been headwind for us as it has been for the industry and overall India. We sort of being trying to look at the overall numbers I think our attrition which used to be in the range of low 20s right now trending towards high 20 percentages. We have lot of HR team and people function working with different skilled development agencies to try and see ho

w do we counter some of these attritionary measures and make sure. The focus is that to make sure that we continue to maintain high levels of serviceability, high up times and high quality of operations and so do not want to get that affected. So far we are keeping a high threshold on that. You had a question I think on the inflation aspect could you just detail that please?

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Jigar Valia : I mean generally with this attrition or normally for the type of staff that you have typically what is the inflation that you kind of I mean in the past maybe going ahead these would be double digit inflation?

Anush Raghavan : No not double digit I think it is linked to multiple things it is linked to certain government wages and how they get revised I do not think there is a simplistic answer to how it gets done, but I think you should assume in typically it is in the range of about 5% to 7% inflation.

Jigar Valia : And including the contract staff what would be the total number of labor involved in the business?

Rajiv Kaul : We have overall roughly 23,000 team members.

Jigar Valia : So, this is including the outsourced?

Anush Raghavan : This is including employee associates, vendors.

Moderator : Thank you. The next question is from the line of Nirmal Bari from Sameeksha Capital Private Limited. Please go ahead.

Nirmal Bari : You had said that we have about 35% compliance at present and it would move to 65% by the end of the year, so if you can break it up between what is the level of network compliance and what is the level of compliance on cassette swap at present and where do we expect it by end of year?

Anush Raghavan : I think like Rajiv was mentioning on the call we think it is more appropriate to track this percentage and development on an annual basis than breaking it up down into quarter. Broadly when we say we would like to move from 35% as of last year end to 65% it will sort of happen in a smooth manner there is not really too much of lumpiness to this partly because there is a certain time of execution, buying the vehicle, getting the infrastructure and we are deploying them on the ground. So, it should sort of fall into that broad trend line. Again, when we referred to this compliance it is still more to do with the base RBI and MHA compliance.

On the cassette swap I think that is the project which generally is lagging behind the overall compliance given the fact the infrastructure requirement and upgrade needed by the banks in terms of some of the earlier procurement has a certain lead time. The RBI has given a mandate to all the banks that they should be completing this project by March 2023. So, many of these banks are in discussion with us and we think that implementation of the compliance should accelerate through this year.

Nirmal Bari : And would it be fair to assume that significant proportion of price increase that we are looking at from the compliance angle that would happen when this cassette swap compliance comes in?

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Rajiv Kaul : No, I think the compliance is very complex. I do not think you can break it down to these numbers on a simple basis. Compliance has got network upgradation cost which is your vault, which is your vans, it is your security, it is also training. So, I think that we indicated in May that we were at a 50% compliance level by May as a company and we are trying to get to 70% - 80% compliance by end of this year. From a cassette swap perspective again if you take the specific of what would a cash management company earn on a cassette swap basis, forget the

profit just as a revenue, I would think that on a blended basis everything you do for the ATM from cash management, compliance, cassette swap I think we will be roughly a 10% of the total revenue. From an overall compliance level it maybe a 20% - 25% of the revenue.

Now the banks

need to invest, the banks need to source the cassette for the installed base of ATMs. So, I think that is where there are choke points or supply side constraints because India as I said is the world third largest ATM market, you cannot overnight go and start buying and have so many cassette landing up in the country. So, that sort of area which is only area which is going slow otherwise I think both from a regulator perspective and CMS as a largest coming sector I think we are moving along quite rapidly.

Nirmal Bari : My second question you said at the beginning of the call that it is important to look at the annuity revenue, so of the total revenue that we had how do you segregate annuity revenue for rest of the one-time product sales related revenue, what was it for the current quarter and the previous year itself?

Rajiv Kaul : At a management level, we have three levels of revenue we have product sale, we have annuity, we also have something we call recurring, but for the sake of simplicity and not confusing people, let us assume annuity is both annuity plus recurring. In FY22, of our overall revenue our annuity revenue would have been 92% of our revenues and that seasonally right now in Q1 is at 97%, but that is obviously product sales and automation, these are not seasonal, but they can get bunched up into certain quarters depending on order cycle, supply cycle, inflation cycles.

Nirmal Bari : The other question was on our Managed Services book, so now that we have executed almost 95% of the order book there, for the current year would the revenues kind of stagnate at the current quarterly level or if there would be growth what would be the figures for growth in that?

Rajiv Kaul : It is a good question, but let me just use your last question to help explain a little better of where we are and where we are coming from for the sake of knowledge for you and your other colleagues here. If I have to think back 5 to 6 years ago the product or the one-time revenue type business in our revenue may have been close to a 30% - 35% of our revenue. That is now down to a single-digit number. Now again we have nothing against that business, it just depends upon the volume of business and the margin profile. So, I think the idea is to make sure that we have more smoother annuity type revenue which is more predictable both from revenue and also from planning your network and cost and how you plan for growth. Second question on the order book before I go to the order book, I will again go back and say it, repeat it one more time, that CMS Info Systems Limited

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our goal is on a four-year basis to achieve an 18% sort of revenue CAGR. If you take an 18% revenue CAGR as a goal for this year we have done x percentage of that for the first quarter and then therefore we have hope to grow at a particular rate roughly 4% every quarter-on-quarter to get to a number for our internal target for this year. So, probably obviously we are looking at that growth on a QoQ basis and therefore 18% on a YoY basis Q1 is very solid we have as I was telling other people in the day we still have 9 years period to finish. From an order book perspective we have from a current order book of INR 2,500 crores almost INR 1,900 crores is executed.

Now to your specific short term questions between last year to this year or this quarter I would say that you would see healthy growth because we started or execute the order book last year. We got some revenue recognition of that last year we will get a much larger one this year even next year we should see this grow very healthily, but this is at a point in time there are RFPs which are expected to come whether we win or lose we do not know, but depending on our win rate I think we should be able to our target again is to be able to keep growing our business at a 18% CAGR in the foreseeable future and that is how we would do last three to four mont

hs we

have won RFP worth 250 crore already.

Moderator : Thank you. The next question is from the line of Amit Chandra from HDFC Securities. Please go ahead.

Amit Chandra : So, my question is more on the from the competition side so maybe if you can throw some light on what kind of competition we are seeing maybe in the Automation business or in the Managed Services or in the Cash Management particularly from companies like Hitachi, Euronet or AGS or SIS, so is there any increased competition that you are seeing in the market?

Rajiv Kaul : You know if you look at the overall industry you have given some of the names and these are leaders in their rights in respective industries. CMS is one of the more unique players which cuts across all the product lines whether it is Cash Management, Remote Monitoring, Managed Services, Automation or Software. So, we would maybe end up competing in some business types, but we would also be partner to many of these companies for some of the businesses they do. Is the competition increasing? I think competition in India for any business and sector is

always very fair I do not think there is any dramatically new or lesser however I think if I think on a structurally basis what we have seen post demonetization and then GST and then COVID and now the higher interest rate regime there has been a share shift to stronger better quality players. There has also been consolidation in the sector between whether it is the MSP [Managed Services Provider] space or Cash Management space, there is some consolidation going there. We have seen the share of the top-two players increase steadily over the last couple of years, how that trend grew both in the future we do not know, but I think that is the global trend also because when you think of cash management you need large integrated companies which are able to cut across different product lines and are able to service the length and breadth of your country that is where the route dynamics and operating leverage and risk management comes

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into play. Do we see any new competitors right now? No, but companies have come and gone. I think CMS remains one of the largest and the strongest companies for the last decade in the sector.

Amit Chandra : Why I ask this question is because some of the competition specially in the cash management side have actually become your client because most of the Hitachi or FIS they are not doing cash management and they are mostly outsourcing and they are focusing more into Managed Services, so is that a trigger in terms of scaling up the Cash Management business?

Rajiv Kaul : We were the largest and the best cash management company in 2015, I think after that, that was not an aspiration anymore. Our goal was to simply say how do we increase our TAM [Total Addressable Market] again when we think of TAM our goal is to offer a high-quality service, earn fair margins and business scale. That is what we have done from our automation side where we are second largest OEM in the country. Today when you think of software we are the largest. When you think of remote monitoring, by the end of this year we will be the largest in the country. The only area where I have been very clear, to underline this in bold many times, is the Brown label business which is very capital intensive is something where we do not aspire to be number one that is why we do only 5,000 ATM. India may have 90,000 brown label ATMs we do only 5,000 of that and we may be go to 6,000 - 7,000 - 8,000 - 9,000 over the next three to four years we do not aspire to do 30,000 - 40,000 – 50s,000 ATMs.

So, from a perspective of, I think at the end of the day, in a market like India having more integrated offerings across the business is what makes sense because that is where we are able to deliver the most value to our customers, but we have also seen companies exist as special

ist

companies. They only do one product line in cash management and they have built scale. Now at what point will they sell out or sell or I do not who knows, but our approach has been to keep growing our TAM and line of services again also linked to what our customers want from us, what a Hitachi or a Euronet or an SBI or a Bank of Baroda wants from us is the way we are also trying to scale our business.

Amit Chandra : And sir in terms of more from macro perspective, because of UPI there is been push up for digital transaction do not you see that structurally the number of transactions for ATM is coming down and with the increase compliance and with the increased compliance cost do not you think there is structurally threat to the margins in this business especially on the BLA side?

Rajiv Kaul : I think this is the assumption we do not know, is cash growing lesser than UPI. Absolutely, is UPI taking over business from debit cards and credit cards and different payment wallets of course. However, this is not data based updated recently we will come out with this in the next couple of months when we look at the CMS Cash Index trends there is healthy growth of cash in our network across the country. I cannot compare ourselves to UPI when I look at cash and what CMS handles in cash management which is roughly 68% to 70% of our revenue because we have other business which is not linked to that. We do see healthy trend lines in semi-urban

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and rural where the growth levels are higher than metro and maybe urban and I think when I talk to industry players, I talk to bank Chairmen, I do not think they see that usage pattern in the majority of India changing dramatically over the short term it may change over the next 7 to 10 years and we do not know. Our goal as a team remains what - I remember when we have the management team came to CMS in 2009 we were predominantly an IT infrastructure player from where we morphed into a cash management company and now we have gone in technology solution and services. Our idea is to keep offering solutions to BFSI and retail and grow along with that. In fact we are seeing a very good pickup, as Anush talked about, very good usage or increase in cash volumes and retail specific sectors I think he highlighted in his talk and how do we bring solutions to them there will be an increase outsourcing from banks because banks are

still not outsourcing a large part of their work. So, from an 8-year to 10-year perspective I think there is a fairly decent macro for reasonable growth for what we do today and as a team we have proven that we have been very agile in launching new services which is helping us grow the way we are.

Amit Chandra : My last question is on the cash management business. So in terms of the contracts that we have with the banks, so is it a long term contract or it is being revised yearly and is it based on around like per ATM with economic basis maybe you are charging per ATM per month basis or is it based on the number of refill, so how is the this in business structure there?

Rajiv Kaul : In the interest of time we are at 5 o'clock. I think this is disclosed in lot of detail in our RHP and DRHP documents because this will take us 10 minutes to explain to you across our business lines, but the contracts for Managed Services clearly run into multiyear recurring contracts. On the Cash Management side, we look at contracts more on annual or two year, three year basis because we want to have the flexibility to look at prices depending on inflation because the impact of both wages and fuel both upwards and downwards is significant in that business therefore we like to have a flexibility to look at pricing on an annual basis. Having said that our attrition of clients is almost as negligible as 0 and looking here a base of I know when we came here we were doing 4,000 or 5,000 ATMs, today we do

more than 70,000 ATMs. I am just saying ATM, but retail and cash vans, all those metrics will also show a very good healthy growth.

Moderator : Thank you. The next question is from the line of Karan Bhanushali an Individual Investor. Please go ahead.

Karan Bhanushali : Congratulations on a good set of numbers. Your margins have improved year-on-year I wanted to ask if these can improve further?

Rajiv Kaul : I think from a margin perspective we are quite happy with the way our margins have been tracking last year and current quarter. As I have guided our investors over preceding calls we as a team think the opportunity after the whole COVID era and the consolidation in India before points us to larger share of revenues in the broader ecosystem we play in. We are quite focused
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on making sure that we increase our revenue market share in the industry, how we manage margins and as a management team managing revenue growth, profitability, profit margins. Market share is something which we have to be agile at every quarter and I think we will have to think of what we need to do from a longer term of the business interest of business rather than worry about short term measures. As of now yes they should, but it is not something which we would have any visibility, or we could give you some guidance on right now the market is fairly dynamic.

Karan Bhanushali : Can you also talk about your inorganic growth plan?

Rajiv Kaul : So, our inorganic growth proof point in the last 7 years - 8 years is that where we tried to do smaller acquisitions mostly to acquire new capability or enter into new segments. If there is something strategic in our core businesses we are open to acquisitions, however, we have done a one or two of them, but however they are usually a big gap in the value of what we think we would like to pay and what a seller may want especially from a company like us because when they start talking to us, they started looking at our numbers, our margins and starting extrapolating that. So, it is not been an easy dynamic for us we also do thing that we need to go and grab companies and buy them because I think we are able to grow our business organically and we rather invest our capital behind businesses which we have order or contract where we have far more clarity control and recurring nature. I think that is the business opportunity we are seeing and that is the order book we have built that is where we are deploying our capital. Having said that something strategic comes up at the right price and we can maintain our capital allocation we are obviously looking at it. Our current energies are going into non cash management, non managed services, into more asset light technology-oriented business where we can use either minority or majority investment to launch or try out new businesses.

Moderator : Thank you. As there are no further questions, I would now like to hand the conference over to the management for closing comments.

Rajiv Kaul : I think I had already closed the commentary initially, but just to summarize thank you so much for your time and patience. Thank you for your journey with us as investors. We feel environment is exciting at the same time there are challenges as we explained. Our focus is head down, focus on strong execution, continue to improve quality of service for our clients so that we become we have a very good mood on our business and use FY23 to start piloting new business ideas which can become a bedrock for growth from the FY25 onwards. Thank you and have a good evening.

Moderator : Thank you. On behalf of PhillipCapital that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2022

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CMSINFO/2211/ 006 November 4, 2022

To,
BSE Limited National Stock Exchange of India Limited
Listing Department, Listing Department,
1st Floor, PJ Towers, Exchange Plaza, C -1, Block -G,
Dalal Street, Bandra Kurla Complex, Bandra(East),
Fort, Mumbai – 400 001 Mumbai – 400 051
Scrip Code: 543441 Symbol: CMSINFO

Dear Sir/Madam,

Sub: Earnings Call Transcript

Pursuant to Regulation 46(2)(a) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed transcript of audio recording of post result conference call held on Wednesday, November 2, 2022 at 12:00 P.M. (IST) on Unaudited Financial Results (Standalone and Consolidated) of the Company for the quarter and six months ended September 30, 2022.

The transcript is also available on the website of the Company at www.cms.com.

You are requested to kindly take the same on your record.

Thanking You,

For CMS Info Systems Limited

CS Praveen Soni
Company Secretary & Compliance Officer
(Membership No. FCS 6495)

Encl: A/a
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"CMS Info Systems Limited
Q2 FY '23 Earnings Conference Call "
November 02, 2022

MANAGEMENT : MR. RAJIV KAUL – EXECUTIVE VICE CHAIRMAN ,
WHOLE TIME DIRECTOR AND CHIEF EXECUTIVE
OFFICER – CMS INFO SYSTEMS LIMITED
MR. PANKAJ KHANDELWAL – PRESIDENT AND CHIEF
FINANCIAL OFFICER – CMS INFO SYSTEMS LIMITED
MR. ANUSH RAGHAVAN – PRESIDENT , CASH
MANAGEMENT - CMS INFO SYSTEMS LIMITED
MR. MANJUNATH RAO – PRESIDENT , MANAGED

MODERATOR : MR. AASIM BHARDE – DAM CAPITAL ADVISORS

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Moderator: Ladies and Gentlemen, good day and welcome to the Q2 FY 2023 Earnings Conference Call of CMS Info Systems Limited, hosted by DAM Capital Advisors Limited. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Aasim Bharde from DAM Capital Advisors. Thank you and over to you.

Aasim Bharde: Yes. Thanks, Yashasvi. Hi, everyone. On behalf of DAM Capital Advisors, we are happy to welcome you all today on CMS Info Systems Q2 FY 2023 Earnings Call. From the management side, we have with us Mr. Rajiv Kaul, Executive Vice Chairman, Whole Time Director and CEO; Mr. Pankaj Khandelwal, President and CFO; Mr. Anush Raghavan, President, Cash Management and Mr. Manjunath Rao, President, Managed Services.

I now hand over the call to Mr. Kaul for his opening remarks.

Rajiv Kaul: Good afternoon, everyone. Thank you for taking the time to attend our FY 2023 Q2 earnings call today. We are pleased to inform you that we have been able to continue our growth momentum and have delivered another quarter of strong revenue growth, EBITDA growth and PAT growth.

On a Y-o-Y basis, our revenues in this quarter have grown by 27% to INR 472 crores, EBITDA by 43% to INR 135 crores and PAT by 37% to INR 73 crores. Both our businesses of Cash Management and Managed Services have seen strong growth, and this has helped us deliver our sixth consecutive quarter with an EBITDA growth of more than 20% year-on-year. This is a reflection and indicator of our market leadership, our focus on execution, a very methodical expansion strategy and being able to win large and complex end-to-end outsourcing deals in the banking sector.

Our order book continues to grow well, and we have added INR 600 crores of new wins in the first half of FY 2023. While there is a lot of focus on quarterly performance, we do want to reiterate and point out our H1 growth: our H1 revenue has grown by 25% to INR 925 crore level, PAT in the same period has grown by 42% to INR 142 crores.

I'm now going to request Pankaj, our CFO, to take us through the high level financial highlights.

Pankaj Khandelwal: Thank you, Rajiv. Our revenue from operations for Q2 stood at INR 472 crores, which grew by 27% on a year-on-year basis and net profit was INR 73 crores, which grew by 37% on a year-on-year basis. PAT margin in the quarter has expanded to 15.4% by 120 basis points between Q2 FY 2022 and Q2 FY 2023.

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We are pleased to share that ICRA has improved the outlook on our rating to 'Positive' from 'Stable' and reaffirmed the rating at A1+ and AA. At a segment level, both of our major business segments had recorded strong revenue and margin growth. Revenue in our cash management business grew by 17% to INR 324 crores in quarter and 23% in H1 to INR 637 crores. EBIT from the business grew by 23% to INR 81 crores in quarter and 32% in first half of the year to INR 158 crores.

Similarly, revenue in our Managed and Technology Services grew by 58% to INR 156 crores in the quarter and 34% in H1 to INR 302 crores. EBIT for the business grew by 120% to INR 32 crores and 82% in the first half of the year to INR 61 crores.

With this, I now hand over the call to Anush Raghavan, President of our Cash Logistics Business for more insight into the business performance.

Anush Raghavan: Thank you, Pankaj, and a very good afternoon to everybody on this call today. In the second quarter, the revenues for our cash logistics business grew by 17% to INR 324 crores. Usually, the

second quarter is seasonally a weaker quarter for us due to the monsoons and the Shraadh period, but we have still seen our activities grow 6% on a sequential quarterly basis.

The total currency handled by us also grew strongly at 12% on a Y-o-Y basis, indicating resilience of cash usage. In fact, this number has grown even faster in urban areas, recording a

23% growth on a Y-o-Y basis.

We continue to invest in upgrading our infrastructure in accordance with the RBI and MHA guidelines, and we are on track to achieving our compliance targets that we have set for the year. As we continue to invest in technology and automation for our day-to-day operations, it has helped us expand our EBIT margins by 110 basis points despite an inflationary cost environment.

With that, I now request my colleague, Manjunath Rao, to share with you an update on the Managed Services and Tech Solutions business.

Manjunath Rao: Thank you, Anush. Good afternoon, everybody. In Q2 revenues for our Managed and Technology Services business grew 58% to INR 156 crores. Our business contributed 33% of overall company revenue in the last quarter, compared to 26% a year back. With this scale up, our EBIT percentage has improved by 570 bps year-on-year.

In our AIoT Remote Monitoring business, we are now live at about 18,500 locations as of September 2022. This has been a phenomenal execution of our new business, which we incubated just two years ago. We are also expanding the software investments for developing use cases for new sectors.

In our banking automation and MS business, there are key RFPs and bids due in the coming six months, and we will share more on this as these contracts are decided and awarded.

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With this, I will hand over to Rajiv for his closing remarks.

Rajiv Kaul: Thank you, Manju. At the end of the last fiscal year, we had highlighted that our big focus on the current year is going to be on execution, given that we have a fairly significant order book to focus on. I'm happy to report that our execution of this order book despite many supply chain issues and an inflationary environment, as things are on track.

In addition to this execution, we are also doing well on our enterprise sales strategy of deepening our presence with different business lines across large PSU banks. This will enable us to have a more diversified base of business and also increase the share of our recurring revenues.

From a growth perspective, our approach has been very pragmatic and value oriented buying growth with a large acquisition or at a high valuation doesn't fit with a culture. Our M&A approach has hence been very programmatic and methodical, and we will always prefer to do small acquisitions to enter new business segments and leverage the CMS platform to scale them. If you see over the last five years, we have expanded both horizontally and vertically from being predominantly a cash logistics business into a business services outsourcing platform, which is currently focused on the BFSI and the retail segments. Over the last decade, we have maintained a robust top line growth of 17% CAGR. For the FY 2021 to 2025 period, we have set our goals of doubling revenue at a CAGR of 18% to a INR 2,500 crores to INR 2,700 crore range. In the middle of FY 2023, I'm happy to share that we are on track to achieve this target.

Thank you for attending our call, and we can now move to questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. Anyone who wishes to ask a question may press star and one on their touchtone telephone. If you wish to remove yourself from the question queue, you may press star and two. Participants are requested to use handsets while asking a question. Ladies and gentlemen, will wait for a moment while the question queue assembles. We have a first question from the

line of Baidik Sarkar from Unifi Capital. Please go ahead.

Baidik Sarkar: Rajiv and team good morning and congrats on a very strong financial trend. Couple of questions. Cash collection business from retail chains per se approximately how well the banks and NBFCs are growing their own cash management footprint and...

Moderator: I'm sorry to interrupt, Mr. Sarkar, your volume is very low.

Baidik Sarkar: Okay. I'm sorry about that. Is it better now? Am I bit more audible? Lovely. So Rajiv, I was asking that our cash collection business from retail chains per se is a function of how well the banks and our NBFC clients are growing their respective cash collection business and footprint? And then we follow suit with them.

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So, if I were to ask you or Anush to paint a blue ocean of how growth in this business will generally look like over the medium to long-term trend, is there a number that you can quantify as things stand today?

And secondly, on your Managed Services business, there are several moving parts with the

Brown label ATMs and now Remote monitoring, what is the pending execution of our order book here in respect to silos? And by when do you think we complete that pending execution? And post that, how does the new deal pipeline look? Thank you.

Rajiv Kaul : Baidik, thank you. I'm going to have Anush take your questions on the retail business, and then Pankaj can give you an update on the order book status.

Anush Raghavan : So I think with respect to how we are thinking about the long-term growth and the macro trends of those views are annual call to paint a more deeper picture in terms of how those things are trending.

But let me try and share with you how we are looking at that sector and given the last two, three years have been fairly volatile, what are some of the emerging trends that we are seeing right now. Broadly, when you think about the retail space in India and you compare -- sorry, when you look at the Cash Management sector in India and you compare that with any other developing, developed economy globally, you would broadly find that there is an even split of revenue between ATM, retail and then banking services in the form of cash in transit and currency chest management and so on.

In India, the growth has historically been a little bit more lopsided in bias towards the ATM, because it was that segment, which got a lot more tailwind in terms of banking outsourcing and BLA led growth. When you look at the overall retail space today, we estimate that the total addressable market is about 150,000. And when you try to look at this 150,000 in the context of what should be potential addressable market? We arrived at a number of anywhere between 700,000 to 1 million outlets where the service can be offered.

And like you rightly said, I think the only constraint or the only issue in terms of achieving this growth is how do banks and NBFCs think of deepening the penetration into this market. I think given what we see right now, both historically and currently, one of the reasons why banks tend to offer the solution, in addition to the fact that this acts as a value-added service to their current account customers, is that this provides them a very lucrative form of float and liquidity as compared to a fixed deposit or a savings account deposit, and I think when you look at that and use that lens to think of it from a macro perspective of where things are in the country today and how banks are looking at their liquidity position. I think, obviously, that acts as a tailwind for them to further deepen and focus on their sales efforts in growing the segment.

Rajiv Kaul : So Baidik, I think just to supplement what Anush was talking about the retail sector, this market or the segment did see a lot of churn thanks to COVID, unfortunately, because a lot of changes have hap

pened in the sector.

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We want to wait and see how a full year of non-COVID works out and pans out to be able to give you a longer term trend. Our going-in thesis for the sector is that this sector in the last 10 years has grown at a 10% to 12% CAGR. We think that this sector should grow faster, because of higher formalization and a more organized retail and e-commerce pick up in the country. But we would like to wait and see how this full year goes before we can give you a better commentary on a mid-term growth opportunity in the sector.

Baidik Sarkar : And if I can just harp on that question a bit more. Apart from the top few banks in India and probably SBI, do you see energy level from any other, say, the older generation private bank getting into this kind of business, because, I repeat myself here, your growth is dependent on their growth. So I'm just trying to see how the ecosystem generally is growing in the sector?

Rajiv Kaul : Sure. So the elements of change here are the following; one, e-commerce players need this service with just the private sector banks or multinational banks or public sector banks will have to cater to that need out there. So I think that's a big driver out here.

Similarly, from our side, as we built our enterprise sales strategy to focus on public sector banks for the large ATM outsourcing piece, we are also building a sales pipeline of working directly with many large, organized retail companies. This could be everything from a petrol pump to a department store and whatnot.

And I think that will show results over a period of time. Our approach is also to change this from a vanilla cash pickup service to more end-to-end outsourcing using retail cash vault, offering cash burial services and using far more technology to have a longer term growth story out here. So I think we have seen this sector was started primarily by the multinational banks then the large Indian private banks have led the growth and deepening. And I think finally, when the mid-sized banks and as you said, NBFCs, insurance companies and also most importantly, the public sector banks adopt the outsourcing wave in the sector, I think you will see a very good growth.

And that's why even if I go to our pre-IPO days, we said this is a sector where we think the tailwind or the opportunity of growth is for the next decade or two decades, just given the level

of outsourcing and how we rated on the quality or the type of outsourcing is still at a medium quality level, not on a high-quality level.

Baidik Sarkar : Got you. Thanks. And on the Managed Services?

Rajiv Kaul : Yes. So on the Managed Services, as we said that we have an order book when in this particular H1 is INR 600 crores, by this our new order book stands around INR 2,800 crores, out of which around more than 75% of the orders has been executed. I want to clarify that these orders are long-term in nature, and the revenue will accrue over a period of five to seven years.

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Baidik Sarkar : Sure. And what is your new deal pipeline look like sir, by which I mean there is RFPs in the market as far as BLA and traditionally ATMs have confirmed, your RFPs around the remote monitoring business. Any color on that?

Rajiv Kaul : So I think there are significant -- so I mean, I think right now, what we know for sure is what we have won. And that's a number of INR 600 crores in H1. There are significant and important RFPs, which we have alluded to and talked about, there is a deal pipeline, which is quite robust, which is linked to the whole banking and public sector bank refresh and expansion cycle. We'll have to wait and see how many of them are closed out in H2. But, I think we will keep reporting as they happen, the decision-making in banks is not something we can influence a

nd control.

But I think our strike rate and win rate has been excellent in H1.

Baidik Sarkar : Sure. Thanks Rajiv for answers. Thank you.

Moderator : Thank you. Ladies and gentlemen, in order to ensure the management is able to answer all queries kindly restrict your questions to two at a time.

We have our next question from the line of Achal Lohade from JM Financial. Please go ahead.

Achal Lohade : Good afternoon. Congratulations for the great earnings performance. My question is, you have talked about 70,000 ATMs in the recent presentation. Just wanted to understand, is this as of 30th September as of October? Or if you can highlight that?

Rajiv Kaul : Achal, I think our number of business points is something we've also said at the end of FY 2022, that's a metric, which we would like to report annually and not quarterly. I'm not sure, which presentation specifically are we referring to. But from a competitive intelligence perspective, I think we'll be comfortable sharing an update on our business points. At the end of September, our total business points would have been 115,000. And we will report to you the number end of March with a little more breakup at that time.

Achal Lohade : Okay. Actually, I'm looking at the slide 6 of the presentation, which you have just uploaded last night.

Rajiv Kaul : Updated last night, okay.

Achal Lohade : I'm looking at in the time line...

Rajiv Kaul : Sure. Let me just ask our team, just give me a minute.

Achal Lohade : Sure.

Rajiv Kaul : No, I think Achal that number of 70,000 of ATM is a number we had end of March 2022. That's the number we reported.

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Achal Lohade : Okay. Understood. The second question I had, can you help us understand the absolute cash handled by us for the quarter and for the previous quarter? Is that possible?

Anush Raghavan: Yes. This is Anush. So I think that is about INR 3.1 trillion for the quarter.

Achal Lohade: This is for second quarter FY '23? And how was that for second quarter last year and also 1Q of this year, sir?

Anush Raghavan: Last year would have been about 275. So that 12% growth.

Achal Lohade: And for the first quarter?

Anush Raghavan: Yes. I think it should be around 305.

Achal Lohade: And just one more question. You have talked about the order wins. Is it possible to get some color like Rajiv, you mentioned that we had a significant strike rate. Can you help us understand the number of BLA ATMs we have won or RM sites we have won in the last six months, is that possible to quantify as well?

Rajiv Kaul : So Achal, again, these are competitively sensitive information. I think, as a management team, we would prefer to share this on an annual basis because that's the metric we set for ourselves to track ourselves on. I think that even the names of customers I think is linked to our agreement with the customers and the depending on what we can share when. So I think you'll have to be a little patient with us. And right now, the only thing we can tell you is that our order wins have

been of INR 600 crores in H1.

Achal Lohade: And just last question, if I may, with respect to capex guidance, how do we work with that for FY '23, '24 and '25, a ballpark capex range given first half, there is partly any free cash generation. But I understand the Managed Services is obviously entails capex, but if you can still give some color as to how you look at the capex for current year and next few years?

Pankaj Khandelwal: So, in the last earnings call, we have given a guidance that we are expecting that the capex of around INR 200 crores to INR 225 crores. Of this, in H1, we have done a capex of around INR 135 crores. And our estimate is that will be able to end the year between INR 200 crores to INR 225 crores depending upon the execution of the number of orders we win. We expect that depending upon

the new orders we win, and we are not very much focused on the BLA unless it gives the returns above our threshold. We don't foresee that our capex will be significantly higher than this number, rather, it is much lower than these numbers.

Rajiv Kaul: Based on what we know today, Achal, life can change. I think FY '22 and FY '23 are years we think are peak capex, it should reduce after that. But again, middle of the year is not the right time for us to be able to give you a long-term plan and the direction. We will give you FY '24 visibility at the end of this fiscal year.

Moderator: Thank you. Reminder to participants to press star and one to ask a question. We have our next question from the line of Balaji from IIFL. Please go ahead.

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Balaji: Congrats on the great set of results. And thanks for giving me an opportunity. So I have a couple of questions. The first one would be, are you on track to achieve the INR 100 crore revenue mark from A IoT remote monitoring in FY '23? And now that you are almost 75% through your remote monitoring order book, how should one look at the visibility beyond FY '23?

And the second question would be on your costs. Your cost control has been fairly remarkable despite inflationary pressures. Could you elaborate a bit on the cost control initiatives that you are taking? And what more levers you have going forward? Thank you.

Rajiv Kaul: Thanks, Balaji. Let me quickly answer the first question, Anush, you can help you with the second question. On our A IoT business, we are on track to hit the INR 100 crore annual run rate. It was always the annual run rate target this year. It would not be INR 100 crores revenue. This said it would be INR 100 crores annual run rate, which means we will have a monthly revenue run rate of INR 8 crores - INR 8.5 crores. So we are on track to achieve that in the fiscal year. We are working, as Manju mentioned, we are working on new use cases. There are RFPs which hopefully should get closed in the second half of the year, which will give us an indication of the FY '24, FY '25 pipeline. As of now, we have an order book of 25,000 sites, out of which about 8,000 sites - 8,500 sites are live, and we hope to get the remaining live before the end of the fiscal year. On the cost side, I'll just let Anush give you a little bit of a peek into our approach on how we think about costs and the off market.

Anush Raghavan: So Balaji, I think we have, I think, shared a little bit of this in our last quarterly update as well.

And obviously, we are sort of living in unique and interesting times from an inflation perspective. Usually, the first quarter is the one which bears typically the wage increase cycle when you sort of look at it in that context, it was the first quarter is usually where we sort of provide for all this and make those cost increases. And cost management for us is a function of trying to balance and focus on our margins from multiple perspectives. There is a lot of investment and effort that goes into tech and automation and consistently using that as a lever over a long-term time frame, not just a quarterly or annual basis to sort of always keep trying to get better efficiencies and better synergies. And along with that, trying to make sure from a productivity and SG&A cost perspective, what is the optimization that we can get.

And then there is also sort of trying to use pricing in an intelligent manner to sort of balance the needs of the market share as well as margins. So, to us, this is sort of, we don't think of this in terms of step increments in terms of doing it as a one-time effort. There's a lot of consistent effort that goes into it. What you are seeing as sort of our consistent improvement in terms of our EBIT margins over several quarters, really a testament to that. And we've continued to sort

of

evaluating the external costs and the macro picture in terms of how inflation trends. And, like I said, it's just a continuous process and effort.

Moderator: Thank you. We have our next question from the line of Nirmal Bari from Sameeksha Capital. Please go ahead.

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Nirmal Bari: Congrats on the very good set of numbers. My first question was on this a clarification on the capex part, despite winning the INR 600 crores of additional orders in the first half, we don't anticipate that the full year capex will move up, right?

Rajiv Kaul : These order wins Nirmal, don't have any capital requirements . These are wins and a very capex - light model, not in the capex businesses.

Nirmal Bari: And secondly, for the first half, our capex was about INR 132 crores. So is it possible to give a rough breakup between capex on the cash management side and on the managed services or the BLA side ?

Rajiv Kaul : So, I think from our side, we can tell you by the two businesses, not by specific business unit. But not by service . But I think from a Managed Services business and a Cash management business, we think our estimate would be that INR 132 crores would be split it almost on a 50 :50 basis.

Nirmal Bari: It is around 50:50.

Rajiv Kaul : 50:50 basis.

Nirmal Bari: And secondly, on the receivables part, in Q4 last year, that is for the full year last year, we had some write -offs. And then at that point of time, it was said that it was because of some invoices mismatching or something. But even in the current first half, we have about INR 43 crores or INR 44 -odd crores of receivables write -off. So should we consider this as a part of the business and this 4%, 5% kind of revenue as a percent age of revenue would be written -off every year ? Why is this happening? If you can comment on that part ?

Rajiv Kaul : So, sorry, I don't remember that time, there is no reason to have invoice mismatching, etcetra . I think there's some confusion maybe misunderstanding on that, on the reason for a write -off. I think the write -off would have been linked to more reconciliation , reconciliation issues, which are normal in our course of business.

Pankaj Khandelwal : So, we handle around INR 1 lakh crores of the cash every month. And there is some reconciliation in that . That resulted in some losses , which is basically, we have to write -off for the same . As of now, in the last three years or five years, it is ranging from 3% to 5%. And even this particular quarter is around 4%. So, as of now, it is based on the past track record and the current trend, it is ranging from 3% to 5%. Going forward, after we implement MHA or RBI or Cassette Swap , etcetera, we believe that this percentage will reduce.

Nirmal Bari: My last question is on the margin improvement in the Managed Services business. So generally, if we do some product sales over there, this is my understanding that if we do some product sales then typically, in those quarters, the margins tend to come down. So is this a 20% kind of margin that we are seeing in the last two quarters, does it have some play on that the mix is more oriented towards services and so the margins are higher, but in the next two quarters, if there is product sales, it may come down?

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Pankaj Khandelwal : So yes, generally product margins are comparatively lower, and we end up doing the product only where we foresee that there is a lot of other services revenue associated with that . However, our total product revenue is in the range of around 2% to 5% of our total revenue. So it's not that significant. And on the MS [Managed Services] side also, if I will talk about only MS, it is ranging from 6% to 11% - 12% so far.

Rajiv Kaul : Yes. So the way you want to think of our product business or rather,

I would call it the Banking

Automation business is that , yes, if we have a quarter or a year where there is a significant revenue from that line coming in, it will have a lesser margin profile, but it's fairly accretive to us. And most importantly, it gives us a very long -term services revenue stream attached to that Banking Automation line of business we have. So I think it's important for us to keep building sustainable long -term revenue sources and also leveraging our investments and our engineers and our people on the field.

And the other way to think about it is that when we think of giving you all these forecasts and the longer -term forecast, we don't estimate our product and banking automation revenues to be a significant part . We like to think of that at capped at 5% to 10% of our revenue and not a large contribution to our revenue profile. So what you should look at is how the Services revenue tracking because in fact, this is a good half to look at when the product revenues are lesser, you get to see what are the base of services revenue, what is the EBIT profile of that business and that you should track and how that is trending over time.

Moderator: Thank you. We have our next question from the line of Kuber Chauhan from IDBI Capital . Please go ahead.

Kuber Chauhan: I just wanted to know that by any chance , are we facing any kind of a threat from UPI

transaction s or online transaction s, which is currently booming around? And second question is on capex. So the capex which you mentioned, is it from internal accruals ? Or are you planning for any additio nal loan ? So these are the two questions.

Rajiv Kaul : So, on the capex, let me have Pankaj address that question first.

Pankaj Khandelwal: Yes. So all this capex has done on an internal accrual basis. We have, as on 30th September also, a cash balance of around INR 248 crores cash and cash equivalent available in our books. So all our capex is done from internal accrual.

Rajiv Kaul : And from a broa der question of UPI versus cash, I mean this is a question we've been answering since pre -IPO days in every call. But I mean, UPI has had a phenomenal trend in the country for citizens, for everybody. Our answer, I'll keep it very brief, is that the preval ence of digital transactions is helping the country in many ways, including financial inclusion, Cash is a ve ry important part of our cultur e and how we trust that in the country. It has affected, obviously, the growth rate s of cash over the last four years to five years. However, we also feel that as India GDP grows, consumption gro ws, the rural markets grow, we see that cash will continue to grow well. Though digital may grow faster or slower at times, we'll have to see. And they're also coming from a smaller base rather than cash, which has been here for a century.

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Kuber Chauhan: So any kind of -- I mean, what are the growth plans? This to move ahead from -- for our cash management division? So any kind of a guidance over that or perspective ?

Rajiv Kaul : So I think our -- I'll right now use this quarterly call to stick to the goal of sharing our information and sort of a very broad strategy. Our Cash Management business, which was slightly less than 100% of our revenue in FY '14, FY '15, right now at the end of FY '22 is about 70% of our revenue. We estimate that this revenue contribution of our Cash Management business will be around 60% of our revenue by FY '25. And our Managed Services and Technology Solutions business will move up from zero in FY '14, FY '15 to 30% last year and around 40% in FY '25. This is assuming if we are not expanding into any other new sector in the next two years in which we have to wait and see how those expansion plans will do. In this business , we are still looking at a growth rate of 18% CAGR in revenue from FY '21 to FY '2

5.

Kuber Chauhan: So no threat from UPI transaction and online transaction, right? For the particular risk?

Rajiv Kaul : I think our business model is very different. And I think we have shown the re silience of the business model and the way we approach by our consistent growth of revenue and profit in the last so many years.

Moderator: Thank you. Reminder to participants to press star and one to ask a question. We have a next question from the line of Nitin Sharma from MC Pro Research. Please go ahead.

Nitin Sharma: Congratulations on great set of numbers. Two questions, if I may. I would like to understand more that what is driving the Managed Services performance in the first half ? That is and then I have a follow -up.

Rajiv Kaul : Nitin, thank you for your feedback. I think if you go back to last year, and obviously, we were not listed at that time in September, we had won a significant order book at the end of COVID and walking int o FY '22. The execution of the order book has started in H2 of last year, and you're seeing the quick ramp -up of that in FY '23. And therefore, when you look at the large bump up in managed services revenue from a half -to-half year basis. Part of it is als o the base did not have the luxury of having a lot of the order book under execution of that time. And that has given us a significant jump up in this half.

Nitin Sharma: And basically, I would want to understand that is it fair to assume that the Securit y and Service charges will continue to grow nearly revenue growth rate Y -o-Y and some update on the RB I compliance status ?

Rajiv Kaul : So let me have An ush, he'll take you through the compliance statement, and we'll come back to your security question.

Anush Raghavan: Sure. On the compliance front, as we had updated, we sort of set ourselves a goal of achieving about 65% compliance by end of fiscal '23. As things stand, we are on track towards achieving that number. We had also shared that from a longer -term perspective, we estimate that the compliance -- most of the compliance should be rolled out by FY '24 , depending on ATM or

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retail segments. So from that three year perspective, we are sort of on track with our compliance execution.

Nitin Sharma: So on the last call, you mentioned that the cassette swap compliance was lagging behind. Is it

still the case or it at par with your year -end goal?

Anush Raghavan : No, cassette swap, to be fair, I should call that out. When I talk about compliance, I'm talking more about the base RBI MH A compliance and achieving those 65% and close to completion by FY '24. I'm not talking about cassette swap here. Cassette swap continues to be a laggard from an overall industry perspective. Though as the market leader, we are reasonably well positioned to implement that in terms of the investments into our infrastructure and overall capability. But having said that, the RBI is continuing to urge the banks to ensure that they can meet the deadlines imposed which as of now is March 2024. So we will have to see how that evolves, but as we are sort of near the goal, there is a greater degree of pressure and urgency shown by the banks wanting to start ramping up their network towards cassette swap plans.

Nitin Sharma: Understood. And on the question on Services and the Security cost?

Pankaj Khandelwal : So these service and security costs are basically the outsourced employee and the security we take for our special for our cash fragment business and which is increasing in line with the increase in the revenue of the particular business?

Rajiv Kaul : It's not a straight -line correlation and we hope it's not because we hope to get more productivity benefits over time but it's mostly linked to our outsourcing of any staff which we need for our business and especially the security infrastructure we need

to put in place for both RBI MH A compliance and for our cash management network.

Moderator: We have a next question from the line of Abhay Agarwal from Piper Serica Portfolio Management. Please go ahead.

Abhay Agarwal Thank you to the management team of CMS . My question is that I heard you use the phrase Banking Automation and because now it sounds like going beyond this Cash Management and almost a convergence of your Cash Management business with Managed Services business? And also, we recently saw the government launched 75 digital banks .

So my first question is, are you considering that digital bank branches to be an initiative that CMS can benefit from which goes beyond the cash management but literally running these branches? And secondly, the way the Managed Services business is growing and the fact that it probably doesn't require as much cash to grow as the cash management business, plus you have international clients where the growth can be much bigger.

So how much bigger can the Managed Services business be over the next three to five years as compared to the Cash Management business ? These are my two questions.

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Rajiv Kaul : So let me try and take them one by one. On the Banking Automation side, of course, is a fairly vast field we've been helping both public and private banks automate their branches so that the load at the front desk and the tellers can be much reduced. This is from ATM, self -service kiosks and cash recyclers and other solutions. And even it's going up to currency chest automation.

We have provided solutions to banks for that. The question, I think your remark on capital needs, I would like to correct you here is that our cash management business is not actually very capex intensive. Some parts of our business in Managed Services, like the brown label ATM business are capital intensive, and therefore, we don't have a big thrust in those sectors. We have been very clear that it's an area we will look at very judiciously if it meets our return metrics. And that's the way we have been very capital allocation -wise, we've been very stringent.

If you think of the company over the last decade, not more than INR 200 crores of equity capital has come into the company, most of it, the growth has been done by internal accruals only. From a perspective of the cash management versus managed services, what I would like to refer to is what we shared during the IPO time and later, the market size or the TAM at the end of FY '21 for our combined businesses was roughly about INR 8,500 crores. That is expected to grow by 2.5 times to INR 22,000 crores by FY '27. Now the growth CAGR opportunity is almost similar for the Managed Services and the Cash Management. However, the Cash Management market in FY '27 is forecasted to be an INR 8,000 crores market and the remaining INR 14,000 crores is from both the Managed Services as well as the AI oT Remote Monitoring business. So it's a larger market. It's a larger market opportunity for sure. However, our goal is to focus on the businesses where we don't need to deploy too much capital, and we can continue our growth rate at healthy return metrics.

Moderator: Thank you. We have our next question from the line of Abhishek from Narayani Investment. Please go ahead.

Abhishek: First question, are you thinking starting new service line? Or are there any plan for inorganic acquisitions? Would you like to say something about it? And second question, what kind of EBITDA and the PAT margin are you expecting in H2 and the next two years?

Rajiv Kaul : Abhijeet, thank you for your questions. I think in line with the way we have done our last three quarter calls in this quarter call, we don't, as a management team, give any guidance on EBITDA

or PAT . Our only guidance is on revenue for FY '25 which is to reiterate again, we have a
n 18%

CAGR goal of growing our revenue from FY '21 to FY '25, which is to take a revenue of INR
1,300 crores to a roughly INR 2,500 crores - INR 2,700 crores range by FY '25.

In terms of service lines and inorganic acquisition, as a team, we are always focused on looking
for adding on business lines and services in which we can scale and be a market leader and do
well. We will share with you, if you would refer to our annual report letter or our earlier calls, I
think we have alluded to the areas in which we are examining our expansion strategy. As of now,
there is nothing definite. The last acquisition we made was in AIOT Remote Monitoring about
12 to 15 months ago.

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And we continue to look at markets adjacent to us or new sectors. Our approach is to focus on
our capital to enter new lines of sectors instead of investing in our current sectors where we think
we should be able to grow our market share and business organically. Unless we get something
very cheap.

Moderator: Thank you. We have our next question from the line of Sanjay from Real Group. Please go
ahead.

Sanjay: So my first question is like, what the management take on RBI decision to come up with the
CBDC . And as you already provided the revenue guidance. So are you keeping in mind that if
it goes well, with the CBDC side, how it affects your revenue? And what will be your outlook
on that?

Rajiv Kaul : I think if you look at our revenue model, it's a function of the number of business points we
handle in the country. I don't think CBDC or increase in that will have any impact to our current
business lines and the way we have structured our company. But from a CBDC perspective, our
views are, you and I know the same what we read in the public domain.

The Central Bank is, like some other countries, trying to pilot it. The pilot has been launched for
wholesale. It looks interesting. I think it's a fairly interesting idea to try this in wholesale,
especially for intercountry remittances in rupees . From a retail perspective we, as of now, haven't
really understood what use case will it serve and how will it help consumer or Indian citizen yet,
given the fact that we've got a remarkable adoption of UPI in the country.

So CBDC retail is to be seen to see what it helps deliver in the country and what problem does
it really solve. The wholesale one, specifically from a intercountry remittance in rupee trade and
all, I think that looks like a promising opportunity for the country to explore like some other
large developing countries like China are already doing.

Sanjay: So are you expecting any trend if it plays well down the line?

Rajiv Kaul : Not as enough for what we understand of CBDC pilots and early papers, we don't perceive this
to be a threat to our current business model.

Moderator: Thank you. Ladies and gentlemen, in order to ensure that the management is able to answer all
queries kindly restrict your questions to two. We have our next question from the line of Bhavin
Shah from Sam eeksha Capital. Please go ahead.

Bhavin Shah: So first of all, we own the stock, so we are believers . But I actually want to go back to the
question of the cash in circulation. But I look at how everything is happening only use of cash,
I can see is for black money and corruption and that's because I think every smallest, even the
very bottom of the pyramid people are doing UPI -based transactions -- so if you can comment
on that.

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And then you have given a very interesting data on CIC, cash in circulation as a ratio of basically
trying to show that in India the velocity is low. So is that velocity number decreasing, increasing
or stable? How is that? And then on the remote monitoring, I think last presentation, you had
shown a pretty large TAM, includin

g the one in the nonbanking area. So how much is right now
the revenues from remote monitoring and IT Solutions? And are you looking at the nonbank
area?

Rajiv Kaul : So let me take the last part of your question first, and then Anush can talk to you about the cash
in circulation of velocity questions. I will avoid any reference to cash we use for black money
and all because that is not a business model which works to our advantage anyway. So I hope if
that is happening, it comes down.

We only work in the organized channel, and that's the money we currently we handle because we work with the banks. From the perspective of remote monitoring, we have talked about large TAM, and that's our understanding the market opportunity across many sectors in the country. We have started focusing on the banking sector actually start because that's where our strength of enterprise relationships and our know-how last.

I think we have done well in that. We are expanding now to other elements of BFSI which is insurance, NBFCs and that sector. I think we want to play to our strengths to build our base as quickly as we can and become a market leader in the area. Over time, we do aspire to expand into the broader options there.

You have to keep in mind that this is a business we started 18 months ago. And then you have to think from a long-term perspective, we have already started building the software use cases for our new sectors. There will be pilots, we'll ever see what we win and lose. We're going to learn and see how we are able to do well in other sectors.

But from a BFSI sector, I think we feel good and happy about our software. What we have most importantly delivered - the number of robberies and incidents which we have prevented or files and everything in a very short period of time. We feel very happy about the value we're adding to our clients. I think over time, as the quality keeps improving, our footprint increases, we should continue this, again, to build this into a good cash cow and into a high-quality business and number one market player in India.

We will be focused on the B2B side. We are not focused or intelligent enough to focus on the B2C side. I think, again, for this, end of year would be a good time to report on broader direction of these businesses instead at the midpoint, where I think the focus is on a lot on the current year execution. Anush, do you want to talk to the cash in circulation.

Anush Raghavan: Yes. I think with respect to cash, this is an interesting topic where everybody tends to have a certain rhetoric or an anecdotal view, mostly based on what we are seeing in the world around us. We sort of try to look at it as objectively as possible. And the only guidance that we can sort of give is basis that data and numbers that we are seeing.

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Now and obviously, as a cash company, we've been tracking a lot of these numbers over a long period of time. We also evolved the CMS Cash Index in a way which sort of seeks to demonstrate what is actual intensity and usage of cash in terms of whether the ATM withdrawals or the retail cash usage -- and maybe below what we can try and do is, at the end of the third quarter, we will try and share with you given that the festival period has just got ten over.

And in the third quarter, we'll try and share with you some snippets from our Cash Index which will hopefully give you a sense of what are some of those longer-term trends. But right now, I'll just limit myself to two or three specific data points. Generally, the perception is that with the increasing penetration of digital and UPI, most of urban India is sort of migrating into that usage. We have repeatedly reiterated the point that two-thirds of the work that we do is in semi-urban and rural India, where there is, in fact, a lot of work still to be done in terms of fi

nancial inclusion,

in terms of improving people's access to banking and in terms of the need for the per capita incomes in those segments to increase if India has to sort of meet its broader macro aspirations.

But having said that, when I look at how cash is trending in metros and this is just the top six cities we've actually seen a 23% change in terms of overall increase of cash withdrawals through the ATM network on a year-on-year basis. So Q2 of FY '22 versus Q2 of FY '23 is 23% growth.

And if I look at it on a sequential basis, that is 5%. For a long period, during the COVID, we have sort of seen that the Semi-urban & Rural India and Semi Metros has more or less achieved their pre-COVID cash usage levels and slightly exceeded that. Metros were lagging at 90-95%.

But in the last six to nine months, we've sort of seen a dramatic shift in that usage.

Second, when you look at the overall cash volumes, which is beyond ATMs and we look at how those are trending. Now Q4 is usually the, you know, cyclically the strongest quarter in terms of, you know, because typically, you know, that leads to a spurt either due to tax payments or insurance payments and whatnot. But, you know, we shared with you the last call as well that this first quarter was the period of highest cash usage that we had seen across our network ever, even surpassing Q4. Q2 continues to build on the Q1 strength and as it stands that we have seen a 5% increase in the overall cash usage in Q2 even as compared to the fourth quarter.

You know, retail sector continues to show fairly strong degree of resilience. Sectors which were impacted for the last two years due to either as a function of lockdown, mobility issues or COVID, have also seen a strong resurgence. If I just look at Media and Entertainment, for example, that's up by 150% on a year-on-year basis. Aviation is, for example, up by 20%, while the other sectors are sort of tending to hold to their long-term trends.

Bhavin Shah: So the cash velocity ATM withdrawal as a percentage of CIC, is that increasing or decreasing

for India, since you have this data from the past as well?

Anush Raghavan : I think in terms of cash velocity, the CIC has undergone a significant increase in the last two years. I think that was a step change and that CIC is obviously holding steady. I think it's just a 2% increase. But the usage of cash is a more smoother curve and that's continuing to increase

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slightly. So the base of that I think is a longer term trend. I think that should be reasonably steady. I don't think, we will have a look at the number in case there's a change, we'll come back to you. I don't think that number is changing much.

Rajiv Kaul : Bhavin, I may want to just join into this question a little bit and give a different perspective for the sake of not only you, but our other call participants, because this may not be understood very well by some people here. Our business model, even though the metric which an investor will look at is currency in circulation and velocity. We have a contrary view actually. We actually think that if this goes down, the need for our services and efficiency will even go up. Our business model is linked to the number of trips, is linked to the number of business points we cover. It's not linked to the amount of currency we carry or we manage, rightly or wrongly, whichever way, that's the business model in the country.

Now, if organized retail goes up in the country, whether it is a Reliance Retail store or it is a D-Mart store or it's e-commerce, there will be a cash transaction in that. The percentage of cash transaction may be 10%, 20%, 30%, it doesn't matter. But that means that business point will need to be covered on the cash logistics network. That is where we get the revenue from. Then now there may be a small amount of revenue link

ed to the amount of currency, but the majority is linked to the stock. And that we think is a long-term opportunity for decent growth in our industry on the retail side.

You come to ATM, the ATM management business and cash is linked to the number of ATMs, obviously we handle. And there we have more than 35% of ATMs just still in-sourced where the banks are not outsourcing it. The second element is how many trips do we need to make to that ATM in a month? That's where our pricing is linked to. And that over the last five years has not declined much. It has declined by max 10% after demonetization, because, again, the linkage here is to doing a just-in-time fill, so that banks can optimize on the currency, which is outside the network and on which they have to pay an interest. And we have seen pre-GST, post-GST, pre-COVID, post-COVID, the number of trips being fairly strong and robust out there.

Now the amount of money, which we put in each trip may go up or go down depending on seasonality. So again, you got to our Managed Services business, our linkage to the currency in circulation or the currency volume we handle isn't so much to our revenue, it is just to demonstrate to you the robustness of cash usage, because perception, like you said, cash is used mostly for black money is untrue, right? There is a lot of cash being used in the formal channels, which is traceable and trackable by the banks, which you and I sitting in a larger city may not be so aware of and we may perpetually be thinking differently.

Bhavin Shah: See what I meant is the need for incremental cash is primarily for corruption. And then that...

Rajiv Kaul : I mean that's your viewpoint, right? My point is I don't think we are a management team to comment on that. And neither are we qualified. My point of view is simple, if India will grow at 5%, 6% and 7%. Some part of that consumption growth at the rural sector will be taken care of by DBT, will be taken care of by UPI. Some of it will be done by cash. For us, the deepening

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presence of financial services in the country, the deepening prints of organized retail in the country is our opportunity for growth because they will -- our view is that all boats will rise at what rate we'll see, but all boats will rise as a country does well.

Moderator: Thank you. We have a next question from the line of Mukesh Kothari an Individual Investor. Please go ahead sir.

Mukesh Kothari: I mean just to take forward the last caller query on velocity of cash. I think if I read the trend in UPI and the current C BDC that RBI is proposing, the low cash velocity in India is actually a feature. It's not a buck, I mean, compared to other countries. Because other countries don't have similar systems except probably Brazil. So low cash velocity in fact is not an opportunity, I think, it's more of a design. What do you think about that?

Rajiv Kaul : Sorry, your question wasn't fully clear. Was there a question that the low cash velocity in India is not an opportunity or...

Mukesh Kothari: Yes, it's not an opportunity because other countries don't have a similar system the way India

has? Like UPI and I mean, the other latest CBDC that RBI has come up with?

Rajiv Kaul : No, not really. I mean you go to even a developed country like America. There are many interpersonal payment solutions available. They may not be done by the national regulator like NPCI, but there are many applications by bank to bank which people have. There's Venmo which everybody in America will be using to transfer money to each other. There are digital wallets. It's not an invention of India. Digital wallets were invented 25 years ago. Whether you go to Japan, you go to China, you go to wherever. So everybody has their own system or different systems either by private sector or public sector are prevalent out there.

The comment on cash velocity and opportunity is, let me try and explain this one more time, is that if the currency in circulation goes down, let's assume, this is a hypothetical scenario. If it goes down, we feel that the banks will need to drive more efficiency of cash usage through velocity. Right now we think the system isn't that efficient. I think there are many hops which a company like us needs to make. RBI prints the money, the money needs to go to a bank's chest, from bank's chest goes to a bank branch, from there it goes to a bank ATM, then you want to withdraw the money, we spend it at a retail shop, then a company like CMS goes and picks up the money, then we bring it back to our world, we process it, then we go to a bank chest, the bank chest will keep it or take it back to RBI.

This can be far more efficient. It's something we have been trying to advocate for a long time as a leader in the sector. It hasn't been yet streamlined, for whatever reasons there may be. We think that will streamline over a period of time. And I think as that happens, you're also keeping in mind that in India, the cost of cash or the cost of currency has been at a mid-single digit levels always. It's never been 2% or 0%. It's been 5%, 6%, 7% and 8%. When you have such cost of cash, whether you hold it in your chest or your ATM or branch, it is in the bank's

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interest to therefore have a higher efficiency of how frequently can the money come back to the vault rather than it be floating outside.

Part of it also is that as a country, a lot of us continue to hold a lot of cash at home or in our wallets instead of depositing it frequently back into a bank account and then withdrawing it when you need it. Either it's due to access or it's due to whatever reasons out there. So our contrary viewpoint for the long term, this is not something I foresee happening in the short term, is that when the velocity will improve, the need for a cash logistics company will be far more robust than even what you see today. Again, it's a viewpoint. We are you know, you and we can defer on it, but that's something we feel having been the sector of the business over the last 15 years.

Mukesh Kothari: And I take your point. My next question was on basically the market share. The currently top two players have around 72% market share, right? And I understand that it's a growing market that is a market will grow, but banks will also have their own constraints in terms of dependency risks that they have. So don't you think the top two players might not grow from year on despite the growth in market?

Rajiv Kaul : Sure. I mean, it's a valid point. When you're referring to the 72%, let me clarify for the sake of everyone else on the call, that's a number which is for the top two players in the ATM cash management space. The retail cash management has a different dynamic. The cash in transit has a different dynamic. The Managed Services have different market shares.

Now again, India can be different in India can be similar to other countries. But when we have examined this landscape across 10s of countries over the last decade in our experience, whether you take a large country like America or you take a smallish country, we have seen that for a company to be successful in this sector, this is a cash logistics business, which is also a risk management business, which people somehow do not realize at times. Scale is very important, because our scale gives you the network, the network and the ability to drive technology to manage your risk and also manage your operations at a reasonable cost.

And therefore, these industries have geared towards a two player three player, maybe a four market around the world, because others cannot survive. India, we saw -- I think when we were in the sector in 2009 and '10, there were four players. -- which

quickly grew to almost eight or

nine players in 2013, '14 and '15, which then shrank to a five-player market, which may shrink to three or two or may again expand. We don't know, right. Competitive dynamics on what companies want to do is not something which we can forecast so well. We think looking at the global trends, the only larger scale players can survive. Otherwise, it's very difficult to sustain this business for more than four, five years. And as you've seen in India, some companies have shut down, some had either losses or they couldn't manage to invest to grow the business. So that's our view, will the top two go from 72 to 90 or will it go to 60? We don't know.

Mukesh Kothari: Finally, one final question. How do you look at non-BFSI opportunities in terms of Cash

Management? Say targeting petrol stations, company -owned company -operated petrol stations or say railways. Have you explored any such area, I mean, non -BFSI? I know there are no
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guidelines by RBI as such regulating this, but have you looked at this? That could be a potentially big opportunity?

Anush Raghavan : I think when we talk about BFSI, the reason we say that from a retail perspective is that while we offer our cash management solution to a wide variety of retail stores, we generally prefer to work through the banks, because it helps address concerns around compliance, source of money, reporting and AML and so on. But having said that, even if you look at our current split of retail business, it's quite diversified. We work with e-commerce companies, we work with petrol outlets, we work with organized retail and NBFCs, hospitality, education. And so from that perspective, we do not sort of set ourselves a bar in terms of the sectors that we work with. The only bar we set or the only standard we set for ourselves is we're preferring to operate through a banking channel.

Mukesh Kothari: What would be the ratio between BFSI and non -BFSI business? And do you think non -BFSI could grow?

Anush Raghavan : Obviously, I think when you look at the next decade or two decades, there is a lot of potential for retail to grow , especially with the entry of large -scale players in organized retail. Just to name some names, you've seen Reliance Retail, you've seen similar such companies having aspirations of significantly increasing their retail footprint. So I think that is going to be a large growth driver. We already operate, work and provide our services to many of them. So I think there will be a large degree of overlap or a similarity of our wallet market share of different types of retail sectors similar to the broader industry. I don't think we'll be very different from that.

Rajiv Kaul : And while we talk about the growth opportunity, I think it'll be good to just distract all of you also to think about other things which don't get attention on these calls . You think of something as basic as currency transportation. We think that's a sector which has grown quietly over the last 10 years at least a 10% clip every year. We think this will continue to grow well at a 10% to 15% clip, because at least just because every bank which you and I know of or we track or we invest into as a stock is looking to expand the number of branches in the country.

That expansion brings in its own currency logistics opportunity to carry cash back and forth to process it, to manage it. So again, my point is that there is a need at least in the foreseeable future for deeper financial inclusion and access. The DBU is one form of a way of trying to get a branch or a mini branch out there in a more automated manner without too many people involved out there. And I think all of them, again, in a DBU, you will have an ATM. You may have a currency recycler. They will consume cash. They will also have ways to open a bank account digitally

without using too much human intervention. So our point remains that when you see financial inclusion drive in this country, you will see all boats will rise at a reasonable pace.

Moderator: Thank you. I would now like to hand the conference over to management for closing comments. Over to you, sir.

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Rajiv Kaul : Thank you again for your time and your patience. I hope our commentary and our question -and- answer session will help you understand our business better. We , just to summarize, we are very focused this year on execution of our order book and making sure we build a good, sustainable and more predictable revenue base for all our investors in the coming years. I think we are well on track to meet all of our strategic objectives. The first half of the year has continued to be a good half on the back of a good FY '22. And thank you for your support and look forward to talking to you at the end of our Q3.

Moderator: On behalf of DAM Capital Advisors Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2023

CMSINFO/2302/001 February 3, 2023

To,

BSE Limited National Stock Exchange of India Limited

Listing Department, Listing Department,

1st Floor, PJ Towers, Exchange Plaza, C-1, Block-G,

Dalal Street, Bandra Kurla Complex, Bandra (East),

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Scrip Code: 543441 Symbol: CMSINFO

Dear Sir/Madam,

Sub: Earnings Call Transcript

Pursuant to Regulation 46(2)(oa) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed transcript of audio recording of post result conference call held on Monday, January 30, 2023 at 4.00 p.m. (IST) on Unaudited Financial Results (Standalone and Consolidated) of the Company for the quarter and nine months ended December 31, 2022. The transcript is also available on the website of the Company at www.cms.com.

You are requested to kindly take the same on your record.

Thanking You,

For CMS Info Systems Limited

CS Praveen Soni

Company Secretary & Compliance Officer

(Membership No. FCS 6495)

Encl: a/a

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"CMS Info Systems Limited

Q3 FY '23 Results Conference Call"

January 30, 2023

MANAGEMENT : MR. RAJIV KAUL – EXECUTIVE VICE CHAIRMAN ,
WHOLE-TIME DIRECTOR AND CHIEF EXECUTIVE
OFFICER – CMS INFO SYSTEMS LIMITED
M R. PANKAJ KHANDELWAL – PRESIDENT AND CHIEF
FINANCIAL OFFICER – CMS INFO SYSTEMS LIMITED
M R. ANUSH RAGHAVAN – PRESIDENT , CASH
MANAGEMENT – CMS INFO SYSTEMS LIMITED
M R. MANJUNATH RAO – PRESIDENT , MANAGED
SERVICES – CMS INFO SYSTEMS LIMITED

MODERATOR : MR. SHALIN CHOKSY – AXIS CAPITAL LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to CMS Info Systems Limited Q3 FY '23 Results Conference Call hosted by Axis Capital Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Shalin Choksy from Axis Capital. Thank you, and over to you, Mr. Choksy.

Shalin Choksy: Yes. Thanks, Neerav. Hi, everyone. On behalf of Axis Capital, we are happy to welcome you all today on CMS Info Systems Q3 FY '23 Earnings Call. From the management side, we have with us Mr. Rajiv Kaul, Executive Vice Chairman, Whole-Time Director and CEO; Mr. Pankaj Khandelwal, President and CFO, Mr. Anush Raghavan, President, Cash Management; and Mr. Manjunath Rao, President, Managed Services.

I now hand over to Mr. Rajiv Kaul for his opening remarks. Thanks, and over to you, Mr. Kaul.

Rajiv Kaul: Thank you. Good afternoon, everyone. Thank you for taking the time to attend our Q3 earnings

call. This is our fifth quarterly Earnings Call since our listing on December 31st, 2021. We are happy to report that we are continuing our growth momentum with another quarter of strong 20% plus year-on-year growth across revenue, EBITDA and PAT metrics. In fact, this is our seventh consecutive quarter with an EBITDA growth of more than 20% year-on-year. Given we are close to the end of the fiscal year, I wanted to highlight our nine-month results. Our revenue has grown by 23% to INR 1,413 crores. Our EBITDA has grown 39% and our EBITDA margin profile is at 27.9%. Our PAT has grown by 36% to INR 217 crores, which is almost equal to our full year PAT of FY '22. All of this is a reflection of our market leadership, our execution capability, a methodical expansion strategy and our right to win for large complex end-to-end outsourcing deals in the banking sector.

I'll now request our CFO, Pankaj to take you through the Q3 financial highlights.

Pankaj Khandelwal: Thanks, Rajiv. Good afternoon, everyone. In Q3, our revenue has grown by 21% on a year-on-year basis to INR 488 crores. EBITDA in the same period has grown by 29% to INR 135 crores, and net profit grew to INR 76 crores, 26% on a year-on-year basis. PAT margin has expanded by 50 basis points to 15.4% on a year-on-year basis. All our business segments have seen strong growth.

Coming to the businesses. Cash Management business revenue has grown 16% to INR 338 crores in Q3 with EBIT growth of 21% to INR 85 crores. Managed Services segment revenue has grown by 39% to INR 156 crores in Q3 with EBIT growing by 49% to INR 31 crores.

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With this, I now hand over the call to Anush Raghavan, President of our Cash Logistics business for more insight into the business performance.

Anush Raghavan: Thank you, Pankaj, and good afternoon, everyone. For the cash business on a nine-month basis, our YTD FY '23 revenues have grown by 20% to INR 975 crores, and the EBIT by 28% to INR 243 crores. Further, our EBIT margins have expanded by 110 basis points year-on-year despite an inflationary cost environment.

To reinforce the usage of cash in everyday commerce, I want to share some interesting insights from our CMS cash index. At INR 3.3 lakh crores we had the highest ever quarterly throughput of currency through our network in the company's history. This represents an 11% growth on a year-on-year basis. Further, in FY '23, over for the last nine months, we have seen a trend reversal with currency usage growing in metros by 15% year-on-year, outpacing the growth of semi-urban and rural. Our business network has expanded,

and we currently service 120,000 business points.

As the largest company in this sector, we remain committed to investing in our network and infrastructure to comply with the RBI and MHA guidelines. As shared in prior calls, two-thirds of our estate will be compliant by the end of this fiscal year. This we feel is going to be a key differentiator in keeping our quality and reliability of service offerings to the banking sector.

With that, I'll now request my colleague, Manju, Manjunath Rao, to share with you an update on the Managed Services and Tech solutions businesses.

Manjunath Rao : Thanks, Anush. Good afternoon, everyone. Pankaj has already shared with you the Q3 financial details. I'm happy to share that we are now 35% of the total revenue of the company. In the last three years, we have grown our share from 29% to 35% of the overall revenue. FY '23 continues to be a strong growth. In nine months of FY '23, we have seen revenue growth of 36% to INR 458 crores, with EBIT growing by 69% to INR 93 crores.

In the banking automation sector, with the RBI push on ATM network compliance, most banks are focused on this as a top priority. This is leading to some delays in key RFPs for ATM refresh and expansion. We are hopeful that these will be completed in the coming months between March and June 2023 timeframe.

In our AIoT Remote Monitoring business, we are happy to announce that we have crossed 20,000 live installations, making this one of the large IoT implementations in India. In our software business, CMS won a prestigious order for our Algo software, AIoT-based ATM security application for a large bank. This will be implemented over 15,000 ATMs.

With this, I will hand over to Rajiv for his closing remarks.

Rajiv Kaul: So, I think what I want to highlight is a couple of things here. First, as we look at the whole banking sector and some of you would have read these articles in the last week, we feel very

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happy to see a renewed focus the banks have on expanding their branch network. It was quite

obvious to us for the past few years, that there was a dire need to increase banking access. But at the same time, I think, due to COVID and also disproportionate investments going towards digital and other banking areas, this area did not get the requisite focus.

But today, we feel fairly vindicated that banks are recognizing the need for balancing their investments in both physical and digital infrastructure, and there is plans to increase the number of branches. In fact, private sector banks are poised to add maybe 12,000 branches in the coming year across the country. There is severe under-penetration in Tier 4, Tier 5, Tier 6 towns in India. And these will need branches, ATMs, micro-ATMs, DBUs and whatnot.

This, along with the formalization which we have seen in the economy on the back of the reform efforts like GST should present to us good growth avenues over the medium-term.

When we started FY '23, we have set our big focus in this year and thrust from the team at CMS is going to be on execution of a large order book. I'm very happy to report that all our key projects are well in track. Our enterprise sales execution is also showing good results. We today have expanded, and we have several large banks in India where we are winning contracts across multiple business lines.

Our track record of bidding for and winning these large complex contracts continues, and we have added more than INR 800 crores of new wins in the first nine months of FY '23. And as Manju already mentioned to you about our AIoT business, when we had started this business with a focus at the end of FY '21, we went and acquired a small company, which had maybe 2,000 sites, which have now grown to over 20,000 sites and, as reiterated, we will hit an annual revenue run rate, in this business, of INR 100 crores by the end of March '23.

Thank you f

or attending our call. And now we can move to the Q&A.

Moderator: The first question is from the line of Balaji from India Infoline.

Balaji: Congrats on a great set of results. So, I just had three questions, if I may. So, the first is on the central bank digital currency that was recently launched. So, in the long run, what are the potential risks that you see from CBDC?

And the second question would be on the AIoT-based remote monitoring business. So, once you've achieved the targeted delivery of 25,000 ATMs by March 2023, what is the future visibility we have?

And the final would be more on a housekeeping basis. So, we have seen a pretty sharp increase in other expenses. I understand that inflationary pressures are there, but is some of this attributable to anything like an increase in bad debt provisions or any risk-related costs? That would be my last question.

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Rajiv Kaul: Balaji, sure will take these questions one by one. Let Anush give you his view on CBDC, and then I'll tell you quickly about AIoT and Pankaj can help you on the other expenses part.

Anush Raghavan: So, Balaji, we've obviously have been following the CBDC and the development as well as the white papers published by the regulator with quite a bit of interest to understand how they're thinking about it because each central bank in each country is looking at things somewhat differently.

From what we understand of the two types of CBDCs that are being looked at, the wholesale and retail. On the retail side, the implementation and the use case seem to be very similar to UPI right now in terms of scanning a QR code and how the payments would be realized. So, to that extent, we feel that this sort of could supplement or complement the UPI-led growth. We will have to see in what way and what sort of momentum it achieves in terms of being able to scale up. That's what we're seeing on the retail side.

Where we feel and in some of our discussions with some of these people, is that the real impact of this would be more in the wholesale markets, either in terms of facilitating and enabling a more frictionless, cross-border payments and remittances. Or also, more importantly, it could help in the settlement of interbank transactions. So that's sort of where we feel the wholesale CBDC could make an impact. We'll obviously keep watching as this stabilizes and evolves, and we'll update you in some of the future calls.

Rajiv Kaul: Manjunath will help you with the answer of the RMS side.

Manjunath Rao: Hi, Balaji. On Remote Monitoring, we have launched very well, as I explained. I just spoke a little earlier. And it is ramping up very well, too. As I said, our installed base has grown across 20,000 sites. But we have also expanded our solution capability to new areas like branches, vaults and have won contracts with leading private banks and gold loan companies. And that's where the expansion we feel would come across.

In our AIoT and software business, we have also won a new win, which I mentioned, which is for our ALGO software, and it is AIoT-based security software used at the ATMs.

Rajiv Kaul: So, Balaji, when we think of our business classification, increasingly, you will hear us talking

about both our IoT business, which is RMS and also our software, which again is ML [Machine Learning] driven software business, as a category.

To your question on what is the visibility, there are a couple of key RFPs which should get decided in the coming months. And hopefully, at our analyst meeting in the first quarter of FY '24, we will have, we'll be able to give you, a better direction of the short-term growth opportunity, as the mid-term we have already talked about.

I'll pass on the baton to Pankaj to answer your question on the other expenses.

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Pankaj Khandelwal: So, the other ex

penses increased because of the business mix change. So, like take the example of the IoT based Remote Monitoring, which we started recently. Majority of the expenses of Remote Monitoring have gone to the Other expenses.

Basically, because of the initiative we have taken in recent past for the new businesses. All the expenses are booked in the other expenses. Of course, we have to make an adequate provision for our bad debts and ECL provisioning, that is also going in this particular bucket.

Rajiv Kaul: So, given our financials, the way we have shared them in the past, we had different businesses, but now we have incubating new business during the AIoT business and a couple of business we alluded to in our earlier calls, some of the start-up costs and the incubation costs are being categorized in Other expenses. And as these business units become by themselves independent, we will then categorize them separately.

Balaji: One quick follow-up, if I may. So, is it fair to assume that there is no significant increase in the bad debt provision beyond what is the par for the course?

Pankaj Khandelwal: So, all the provisions we have to make adequate provision for the impairment, and which is in line with whatever the four quarter, five quarters you have seen, they will be in line with those numbers. There's no significant increase in any of these numbers.

Moderator: Next question is from the line of Achal Lohade from JM Financial.

Achal Lohade: My first question was, is it possible to give some market share in terms of the CMS, CIT, RMS business as we speak? A ballpark number would be of great help.

Rajiv Kaul: The market share of CIT or RMS, I didn't understand.

Achal Lohade: All three sub-segments of cash management business.

Rajiv Kaul: Achal, I think we mentioned this in the last call, given the competitive dynamics and given that now we have more companies in the sector which are listed also, we will feel comfortable talking about market share on an annual basis at annual meeting that will be wiser and better for all of us. But there isn't any significant up or down trend just for your comfort in the last three months since we have talked last. And we will classify our market shares annually as we had said even at the end of September.

Achal Lohade: With respect to the slide on the pipeline for ATMs, you've mentioned that there's a 40,000 ATMs pipeline what you have talked about. Is it possible to get some color in terms of how much of that would be replacement and how much is actually the net addition?

Moderator: Sir, can you hear us?

Rajiv Kaul: Our estimate at this stage, because this pipeline which you're referring to, is mostly what we know from the RFPs of some key public sector banks. We don't classify this as the RFP time.

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We will know this only once the RFPs are concluded. But our estimate is that from just looking at the track record of some of these banks, we think closer to 65% will be replacement and about 1/3rd of this is possibly going to be expansion.

Achal Lohade: And just additional question on that. How much of that will go under the BLA and how much would the banks be managing on their own and you would just be doing the cash management part of it?

Rajiv Kaul: We'll have to wait for the RFPs to get concluded. Only then will be able to tell. Till the RFPs don't get closed out, we will not know the final mix and what decisions bank take. As of today, from again, our knowledge, I think it is going to, on the overall 40,000 number, it's a 50-50 bank-owned versus industry-owned or third-party owned assets.

Achal Lohade: And with respect to the compliance, if you could talk also about the industry. You'll be 65% compliant, 2/3rd compliance by end of March '23. Can you give us some sense about the industry as well where the industry is? And how do you see it in FY '24 for the industry

and us?

Rajiv Kaul: Anush?

Anush Raghavan: So, when I look at the industry overall, the industry number is more representative in terms of the cities that the SRO or the Currency Cycle Association has picked and chosen to implement 100% compliance on. As we speak, that number is somewhere between 80 to 100 cities depending on ATM or retail, which I think is a number which should be a little bit more than 50%, closer to 60% for ATMs, perhaps 50% for the RCM business. We are a little ahead of it given that we decided to expand and cover more cities in the initial period. But I think that it's not very different, like I said. We will be at about 65%, industry number should be about 55% odd.

Achal Lohade: Understood. And how about FY '24, Anush?

Anush Raghavan: So, I think as we had guided earlier, we sense that and I told you I think at the beginning of this fiscal year, we estimate that the rollout of compliance should be mostly complete for ATMs by end of FY '24. And I think we are sort of on track to delivering to that.

The RCM business was, sort of, lagging by one or two quarters. And again, I think whatever commitments we made or indications that we've given in terms of the rollout of compliance. As things stand, we are pretty much on track to achieving those. So, through the middle of FY '25, is where we will have a significant portion of ask them covered, and ATMs should get completed by FY '24.

Moderator: Next question is from the line of Vishal from Motilal Oswal.

Vishal Katkoria: Just quickly, of the three sub-segments of cash management being ATM, RCM and CIT, can you just break down the growth for the current quarter and nine months respectively?

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Anush Raghavan: So, I think we've explained this also earlier. Just given the sheer competitive dynamics of certain listed companies as well as the ones which have listed recently, we would prefer to share certain more intensive data on our performance on annual basis than making this out on a quarterly basis.

Rajiv Kaul: But I think the question, another way to think about it, are we seeing any different trends in the three segments? Are we seeing them all growing reasonably?

Anush Raghavan: Again, to go back and reaffirm the same, I think our growth in the cash business has been fairly secular whichever way you cut it. We are seeing a fairly secular growth across the different business segments. The only thing that we called out, which is sort of a departure from the earlier norm was more in terms of where we are seeing the intensity of cash usage changing. And in some of earlier calls, we had alluded to the fact that the semi-urban and rural India has seen a much faster recovery from COVID. And in fact, towards the end of last fiscal, they were at about 8% to 10% ahead of the peak-COVID usage and metros were closer to 90%- 95%.

What we've seen is a very interesting development in the last nine months and on a more specific basis in this quarter has been that the use of cash in the metros has actually increased quite sharply, which, as I said earlier, corresponds to almost a 16% increase on a year-on-year basis. I think with that, if I sort of compared to pre-COVID, they are all within the ballpark of each other. Metros being slightly ahead, followed by semi-urban and rural.

Moderator: The next question is from the line of Shakti, Individual Investor.

Shakti: So I wanted to ask a question regarding the growth drivers. So we are seeing the total installed reduced in the country. So, we are seeing the trend that in the semi-urban and the rural areas are contributing towards significant growth. So can I assume that going forward, like the management said that the addition of close to 12,000 bank branches. So can I assume that going forward, it will be the SURU areas that is going to be contributing to a significant growth for the company?

Rajiv Ka

ul: Your line was audible but not completely clear, but if I understood your question, it was more about saying do we see ATM growth to be dominated in the semi-urban and rural areas? Is my understanding correct of your question?

Shakti: Yes.

Rajiv Kaul: So, let's talk about the specific pipeline right now. We can talk about the last nine months have seen almost 8,000 ATM additions in the country. And I don't have the exact breakup, but I would assume that a significant part of that would be in semi-urban and rural areas. The 40,000 ATM pipeline of which we think 1/3rd of that is going to be expansion, we'll have to wait and see where the banks are planning to install it.

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However, when we anecdotally look at our interactions with the private sector banks, the branch infrastructure expansion is mostly in Tier 4, Tier 5 and Tier 6. So, SURU And usually different banks have different strategies - some banks will add one ATM for each branch, some will add two. It would be fair to assume that a large part of the expansion should come in the Tier 4, Tier 5 or Tier 6 cities.

Anush Raghavan: The only thing I would like to add to that is you may have heard this from us earlier or also seen this in the presentation, but of our existing network and reach, 2/3rd of the business that we do is already in semi-urban and rural India. So, there is already that sort of that inherent distribution of where we do business. In the past, it has been our experience that as and when we have incremental business coming up in these pockets, so it works well in terms of fitting into some of the infrastructure that we already created. And we then, sort of, expand on the basis of requirement.

Moderator: Next question is from the line of Aasim Bharde from DAM Capital Advisors.

Aasim Bharde: I had a few questions. Firstly, on your BLA business, the large orders you had, including the bonus one, is all of it now implemented and live?

Rajiv Kaul: Manju?

Manjunath Rao: Yes. 98% of it has been executed. And that's the question you've asked, right?

Aasim Bharde: So, you had from two large banks and plus your bonus orders as well. All of it is now into the system, 98% of it.

Manjunath Rao: 98% of it is in the system.

Aasim Bharde: So going forward, are there any materially decent-sized orders you are working on or rather are on the radar? Or will the run rate fall back to around 1,000 ATM additions per year on the BLA site.

Rajiv Kaul: Here, I think we have said that our strategy will remain that we'll really be very selective and picky about where to bid. We will share as and when we have any development in this space.

What we talked about also the INR 800 crores of order wins, I do want to reiterate that this year, amongst the order wins most of them are not capital intensive in nature at all. So I think that's another good highlight of the order wins this year.

So today, we roughly do 5500 BLA sites. There is very little left to be executed. There is no order book pending on the BLA side. And if there is a significant bid or deal, we win, we will come and share that.

Aasim Bharde: Is the commentary similar on the remote monitoring sites as well? Are most of the sites live and up and running?

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Rajiv Kaul: Remote monitoring, I think we are a little lesser because business was started much later. I think we'll be close to 85% completed, and we hope to finish at all as per our commitment by March of this year.

Aasim Bharde: So just in terms of a capex number for FY '23, I guess it will be heavier with FY '24. But can you just talk about how much you would end up incurring on capex in FY '23? And any rough estimate for FY '24?

Rajiv Kaul: FY '23, we stick to our guidance, which we said it will be roughly around the INR 225 crores range. I don't see that

changing. FY '24, I don't know if we have already given, we haven't given guidance really. Let's just wait for the year to finish, and then I think we can give you an idea on that.

Aasim Bharde: But it should still be much lesser compared to FY '23, right?

Rajiv Kaul: It should be lesser than our FY '22-FY '23 track record, yes.

Aasim Bharde: Second question is basically on what is happening on the cassette swap in terms of compliance deadline of March end, how many ATMs are already on the system? And in your estimate or in your talks with the industry, would FY '24 be the year where things ramp up quickly on this front?

Rajiv Kaul: Anush will give you more color on this.

Anush Raghavan: I think you're absolutely right on that one. FY '24 would, when I look at it in terms of the overall lens of compliance given that the base RBI/MHA compliance implementation is well underway and on track as we spoke. So, FY'24 would be the year of cassette swap. So the most recent update is with most banks and ATM OEMs coming out of the supply chain-related issues, which were causing a challenge in terms of the availability of cassettes and shipments, I think that there's a renewed thrust into focus on cassette swap.

The regulator had a meeting a few weeks back where they have reiterated very strongly that in fiscal FY '24, they would like to see a significant coverage for cassette swap across Tier 1 and Tier 2 cities. The most immediate plan that I can share with you is that there are four large metros which have been planned for implementation, Delhi, Bangalore, Calcutta and Chennai, all of its

having scheduled for an industry-wide rollout over the next 90 days to 120 days. I think that for the overall industry should add about 25,000 ATMs for cassette swap, which I think is a significant number.

And once you are able to swap, get such large numbers done in 90 days to 120 days, I think that will just create its own momentum and make sure that we will be able meet the regulatory goals in FY '24.

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Aasim Bharde: The newer ATMs that are coming in, the pipeline that you talked about to an earlier question, that would all be on cassette swap, right, regardless of which market they are coming in, metro or the smaller ones?

Anush Raghavan: There are two parts to that. The ATMs which are being procured by the banks, those the banks are now procuring ATMs with an additional set of cassettes. So, in those RFPs, orders, the availability of cassettes are not a constraint. Banks also undertake, in many cases, a significant back tech upgrade to change the way of reporting, reconciling information in their accounting system and risk management software to implement cassette swap. So, most of that is fully done. In terms of the cash companies or CMS readiness, we have upgraded quite a few vaults. We have planned upgrades for the further vaults. So, I think with that, most of the work that needs to be done is well underway.

Aasim Bharde: But in that case, I think even FY '24 seems ambitious, right? Maybe the top four cities might be more proactive. Maybe the 25,000 ATMs we talked about would probably be the only thing that happens in FY '24, given the back-end headaches that need to be targeted.

Anush Raghavan: I think the approach of the regulator is urging as is one of it's both the top down, bottom up. When I say that, bottom-up, they're saying you picked the largest cities and implemented because typically, implementation of this nature is more challenging in the large cities given that we need large infrastructure and space and vaulting capacity to deal with the sheer number of ATMs. In the Tier 2, Tier 3 cities, it's typically a little bit easier, especially from an operational standpoint. So the top-down approach that they are recommending is that in addition to these large cities, wherever, as a cash company, you have incremental vaulting infrastructure

available, they're urging the banks to make full use of those and implement those.

And in addition to these 25,000 ATMs in large cities, the cash industry association has indicated

that they will be able to roll out another 8,000 to 10,000 ATMs in the next two to three months in the smaller cities. So, I think the regulatory push is there. I think there's also a standing committee, which has been created under the IBA, which includes participation from OEMs, MSPs and cash logistics companies.

Again, I'm saying a lot of the time in the last eight to twelve quarters has been about creating that infrastructure and ensuring that we are fully in compliance with the MHA and RBI regulation. I think those investments having been done and having now created an infrastructure, which is both world-class and as per regulatory needs, and with the whole industry stakeholders focusing on cassette swap, we are fairly optimistic that we should be able to pick up the pace on this one.

Rajiv Kaul: I think the one number I would look will reiterate and maybe Anush mentioned already, some of the larger banks have already gone and bought almost 150,000 to 175,000 cassettes in the country, which have now landed in India, their supply chain has worked because we can't do

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cassette swap, there's many things in the infrastructure. But first of all, you need the product.

And so we were surprised when we were tabulating all this data. This data adds up to almost 175,000 cassettes which are now in the country for the purpose of cassette swap.

So that gives you a good base of ATMs, let's say, 40,000 - 50,000 ATMs could move on to cassette swap sooner than what you and I may be able to forecast right now. But let's wait and see. We would always like to be conservative and see. The central banks' push is very clear. They have recently very strongly reiterated that drive and focus on this, and they are taking an active role in monitoring this.

Moderator: The next question is from the line of Dhiral from PhillipCapital.

Dhiral: We have registered a very strong growth. If I look at our Managed Service revenue on a nine-month basis and even if I look at our EBIT margin, there has been a very sharp improvement on a Y-o-Y basis. So, sir, I wanted to know, sir, what has led to this good improvement in the EBIT margin. And what kind of improvement we see going ahead?

Pankaj Khandelwal: So the EBIT margin improvement in this Managed Services because of the new line of business we have added. So, the IoT-based remote monitoring as well as the more service revenue, like software services we have added. So that has resulted in higher revenue as well as higher margin in this business. Manjunath has given you the pipeline number of 40,000 ATMs, which are in pipeline over period and the banks focus on higher remote monitoring, be it a bank, ATMs or other gold loan companies added for retails. So, there is a lot of revenue related to that, which will lead to the expansion in our revenue as well as the margin.

Dhiral: So sir, we expect this trajectory to even improve going ahead, right?

Manjunath Rao: Yes, that's what it looks like. That's what it is showing, the trend because with these additional lines and adding into those points, I think that's what is going to be increasingly being seen right now.

Dhiral: And sir, if I look at your other income, there's gone a sharp rise in the other income on a console basis. So, what is the reason for that?

Pankaj Khandelwal: The amount is not significant. It is approximately INR 1.5 crores, and that is largely related to some of the investments we have sold. We do investments in short-term mutual fund, etcetera.

And so, one of the mutual funds we have sold related to that.

Dhiral: This is INR 32 crores [Million] versus INR 6 crores [Million], if I look at on a Y-o-Y basis.

Pankaj

Khandelwal: So, you were talking about nine months?

Dhiral: Yes. If I look at INR 3.2 crores versus INR 60 lakh on the Y-o-Y basis.

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Pankaj Khandelwal: That is basically as on 30th September, we had INR 248 crores of cash available with us. So higher the cash balance, the higher the investment and resulting in higher Other income as well.

Dhiral: And sir, last one question, sir. So how many percentages of our routes are compliant? And are the banks slow or quick to get it compliant?

Anush Raghavan: I think I didn't get the second part of your question. If you could just repeat that about the banks.

Dhiral: Sir, our banks are quick enough to get it compliant or they are very slow from their end to be compliant.

Anush Raghavan: So let me answer the second part first. The way we've rolled out compliance now, especially over the last 1.5 years has been, after we demonstrated pilots in some of the large cities to the banks and all the industry stakeholders are fully onboard. The onus of rolling out compliance has been more on part of the SRO, which is a self-regulatory organization for the cash industry. So the onus of rolling out compliance is more driven by the regulatory organization for the cash industry, which is the CCA, Currency Cycle Association. What that body does is, on a quarterly basis, it publishes an incremental list of cities in which all cash companies regardless should be able to deliver the compliance. So, when that happens, it means that any type of services which are provided in that city, whether it's ATM or RCM will switch over to compliance. So, banks are very comfortable with this model of rollout.

With their effect to our coverage, we obviously, the route compliance or the infrastructure compliance will for us have run a little bit ahead of the business compliance. We try and manage this as efficiently as we can. So, when we finish this fiscal at 65% compliance for business points, the actual compliant routes may be of the order of 70% to 75%.

Moderator: The next question is from the line of Zaid from Concepts Investwell.

Zaid: So sir, can you give a breakup of the contribution from private and public banks in your overall business

Pankaj Khandelwal: So, we don't track on a quarterly basis. Right now, it is approximately 50-50 is the split across private and public sector.

Zaid: Okay. So, it's 50-50.

Moderator: The next follow-up question is from the line of Aasim Bharde from DAM Capital Advisors.

Aasim Bharde: Yes. Just one question on the cassette swap bit again. What would that do to our ATM realization?

Anush Raghavan: So, Aasim, I think there was some figures that had been broadly discussed during the industry negotiations stage and what I recollect from those discussions were the implementation of base

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compliance will give an incremental realization of about INR 3,000 per ATM and cassette swap should add another INR 1,000 on top of it. So that's sort of the broad split.

Aasim Bharde: And just lastly, any comments on a way forward for your RCM business? The market opportunity is there, you have the vans running on most of the routes, nice way to improve

productivity. What are your plans on this side?

Anush Raghavan: So, in fact, if you look at our business point additions and as we look at our performance, I think quite pleased with how the growth trajectory in RCM is shaping out. We've always sort of alluded to this business in the mid-to-long term having fairly strong tailwinds especially driven by formalization of the Indian sector, increase in the organized retail. So while on one side, we are seeing the financial sector having a very strong growth aspirations for incremental bank branches. The private sector by itself wants to add close to 12,000 bank branches in the next year, 1.5 years, two years.

rs.

Likewise, the counterparts on the retail, I think, have very solid aspirations in terms of just increasing their physical stores and presence across the country. We've added more business in Q3 of the year than we had for H1 of RCM. I think we are seeing a pretty robust growth coming in from expansion of organized retail, e-commerce as well as financial services.

Moderator: The next question is from the line of Franklin from Equentis Wealth.

Franklin: Congratulations on a good set of numbers. What is the gross and net order book in your Managed Services business?

Rajiv Kaul: I think the way we allude to refer to our order book, it cuts across all our businesses. Of course, a large part of it, is an MS business. Our order book, we had shared was roughly INR 2,000 crores when we were going public. That order book is now at a size of INR 3,000 crores.

Rajiv Kaul: About INR 800 crores was added to this in this fiscal year.

Franklin: So, would this entirely be unexecuted?

Rajiv Kaul: I think out of the order book we had last year is all under execution. It's already been executed. Not all the revenue has been accrued. The new order book of INR 1,000 crores addition of that, I think about how much has gone live or not yet? I think it will be roughly 50% of our gone live. The revenue is a more complex calculation because order book contract periods vary from four, five, six, seven years. We take an approximate five years to six years as the order contract duration.

Franklin: So, I was trying to understand what part of the order book has not been converted into revenues.

Rajiv Kaul: I think this is a number which we I don't have top of the mind because we sort of take stock of this at the end of fiscal year. And I think it will be a better time for us to share this update with you. We'll have a more accurate number at that time.

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Franklin: And also, I wanted to know how many ATM and RCM touch points do you have as of nine months?

Rajiv Kaul: Sorry, same answer. This is a annual number reporting. We'll break this down. Total Anush can tell you where we are.

Anush Raghavan: Our combined number would be about 120,000 ATM and RCM points right now.

Franklin: And last, in terms of the cassette swap compliance, you did allude to the fact that 40,000 - 50,000 ATMs are likely to move. But for our number of ATMs, how much what percentage of it is already compliant in terms of the cassette swap?

Anush Raghavan: So yes, so the cassette swap both for CMS and industry was closely similar at about 7% or 8% which based on the plan which is under discussion with the banks as well as the regulator, we think in the next four to six months, we should be able to move from the 7% - 8% closer to 20%.

Franklin: So, is it fair to assume that as and when this is getting more compliant, then will incrementally get higher revenues, which is proportionate to the cassette swap?

Rajiv Kaul: Yes, of course. There will be the impact to the revenue for sure, which is positive. But I think overall, cassette swap, you have to think it more from a broad term industry trend, not our industry just banking sector. I think it just brings in a global best practice and how routes are managed, how currency is managed in the country. It leads to a lot of benefit to the central bank, to the banking sector, to the bank themselves and to our industry in terms of the efficiency, productivity and the probability reduces dramatically of something going wrong with the cash while in transit.

Franklin: And for whatever reason, in case RBI announces any penalty in case of non-compliance by March '23, who does the bank share this penalty entirely or would it be equally distributed?

Rajiv Kaul: No, I think it will be improper for me to tell you what RBI could do or would do, but having seen just being as a normal citizen in the country reading the papers, I thi

nk any penalty central

bank would pass would be on to the banks which it regulates and not anybody else. That's what I think and now what banks may want to do in turn, I don't know, but I'm just saying from a central bank perspective, I think the purview would be focused on the banking sector itself.

Moderator: Thank you very much. I now hand the conference over to the management for closing comments.

Rajiv Kaul: Thank you so much. Thank you for your questions. We look forward to talking to you in three months' time. And hopefully, we end the year on the same track we have done the remaining three quarters and hope to talk to you soon in more detail at that time.

Moderator: Thank you very much. On behalf of CMS Info Systems Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you.

Call: May 2023

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CMSINFO/2305/013 May 31, 2023

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Dear Sir/Madam,

Sub: Earnings Transcript

Pursuant to Regulation 46(2)(a) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed transcript of recording of post Investors/Analyst meeting held on Thursday, May 25, 2023 at 3.00 p.m. (IST) on Audited Financial Results (Standalone and Consolidated) of the Company for the year ended March 31, 2023.

The transcript is also available on the website of the Company at www.cms.com

You are requested to kindly take the same on record.

Thanking You,

For CMS Info Systems Limited

CS Praveen Soni
Company Secretary & Compliance Officer
(Membership No. FCS 6495)

Encl: a/a

00:00:00:00 - 00:00:11:07

Good evening, everyone. Can I request everybody to start taking their seats, please?

00:00:11:09 - 00:00:39:03

Good evening, everyone. Once again, request everybody to take their seats. We are going to start the event. We will have the Tech Experience Zone open after the Q&A session, so request everybody to move on to their seats now. Once again requesting everybody to start taking their seats please. Very warm welcome to everybody to CMS Info Systems Investor Day event.

00:00:39:05 - 00:01:02:14

My name is Anuj Sonpal Founder & CEO of Valorem Advisors. We represent the Investor Relations of the company. On behalf of the company, I'd like to thank everybody joining us today. I know it's a busy day and a lot of corporate earnings and a lot of analyst calls, So thank you everybody for taking the time out and joining us today.

00:01:02:16 - 00:01:42:10

Before we begin, I would request everybody to kindly switch off or silent your mobile phones. I hope everybody had a chance to visit the tech zone. We will reopen it after the Q&A session. So please make way to your seats. Please note that the agenda of this analyst meet will be that the management (management) will start off by giving a short presentation, post which will open the floor to the Q&A session as well.

00:01:42:12 - 00:02:05:03

And we request everybody to hold their questions till the end of the presentation, after which everybody will have a chance. So we will have a chance to take everyone's questions one by one. If you have a question for the management, there will be representatives with mics. So please raise your hand and they will find you and hand over the mic to you.

00:02:05:03 - 00:02:31:12

As mandatory, let me mention a short cautionary statement before we start the event. Some of the statements made in today's event may be forward looking in nature. Such forward looking statements are subject to risks and uncertainties which could cause actual results to differ from those anticipated. Such statements are based on management's beliefs, as well as assumptions made by and information currently available to management, audiences are cautioned not to place any undue reliance on these forward looking statements in making any investment decisions.

00:02:31:14 - 00:02:55:19

The purpose of today's event is purely to educate and bring awareness about the company's fundamental business, financials and future growth strategies.

We will now start the event with a short

video on CMS and how it is today seamlessly connecting commerce in India. Thank you.

00:05:08:13 - 00:05:40:03

Okay. Now let me just introduce you to the management participating with us, the management panel. We firstly have Mr. Rajiv Kaul. Mr. Rajiv Kaul is the Executive Chairman, whole time Director and the CEO of the company. Mr. Kaul has been associated with the company since 2009. He holds a bachelor's degree in engineering, specializing in computer science from Birla Institute of Technology, Mesra and a postgraduate diploma in Business Management, specializing in marketing and finance from Xavier School of Management, Jamshedpur.

00:05:40:05 - 00:06:05:18

He has over 24 years of experience across technology, private equity and cash management industry. Prior to his association with CMS, he was associated with Actis Capital Limited LLP, formerly from London as a partner and also with Microsoft Corporation India Private Ltd in the capacity of general manager and managing Director of India. From there he moved to Redmond, USA as a senior Director of Emerging Markets, including BRIC.

00:06:05:19 - 00:06:26:23

He's currently nominated as a member of the Board of Governors at his Alumni Birla Institute of Technology, Mesra. We then have with us Mr. Pankaj Khandelwal, who is the President and Chief Financial Officer of our company. He has also been associated with the company since 2009 and prior to the demerger was associated with CMS Computers Ltd since 2006.

00:06:27:00 - 00:06:51:16

He's currently responsible for finance, legal and secretarial functions of our company. He holds a bachelor's degree in commerce from University of Rajasthan and is a qualified chartered accountant from ICAI with over 27 years of experience. Next we have Mr. Anuj Raghavan, who is the president of the Cash Logistics Business. Anuj has been associated with the company also since 2009.

00:06:51:18 - 00:07:13:17

He holds a bachelor's degree in academic law from University of Mysore and a postgraduate Diploma in Management from IIM Ahmedabad. He has over 14 years of experience in business management and business development. He has previously been associated with Hay Consultants India Private Limited in the capacity of an associate consultant. He's also the president of Cash Logistics Association and Currency Cycle Association.

00:07:13:19 - 00:07:41:11

Lastly, we have with us Mr. Manjunath Rao, who is the president of the Managed Services and Technology Solutions business. He has been associated with the company since 2012. He holds a bachelor's degree in science with specialization in statistics from Madras University. He has over 34 years of experience in sales and marketing across sectors. In the past, he has been associated with NCR Corporation, India Private Limited in the capacity of Country Manager & Interim Managing Director and as Chief Operating officer at Cashlink Global Systems.

00:07:41:11 - 00:08:00:01

He has also served as the Director of Sales and Marketing at Diebold Systems India Private Limited. Without any further delay, I request Mr. Rajiv to take the stage and start his presentation. Thank you.
Anuj

00:08:00:03 - 00:08:09:10

Good afternoon. Good evening. Thank you for coming here today to attend our first Investor Day since we listed about 15 months ago.

00:08:09:12 - 00:08:29:09

I have been a part of CMS, as Anuj said, since 2009, where I spent more than half of my professional life and career helping build with my team a very unique company. We have already introduced my team members who will be speaking to you today. Some of you would have had a chance to meet the other team members at the back when we had the experience on going on for the last one hour, which will continue after the session.

00:08:29:09 - 00:08:59:23

If you want to have a

look at what we what we end up doing. Listing this company December 31st, 2021, was a very important milestone for our part of our dream of what we want to try and build this company and this institution going forward. Today's session, over the next approximately 20 slides, 45 to 50 minutes. We hope to talk to you about three things - who we are, what do we do and how do we do it.

00:09:00:00 - 00:09:26:04

And therefore, going into our background, into our journey, I just want to give you a little bit of a flavor of where this all started. When I left Actis Capital. It was with the courage and motivation to become an entrepreneur. I came back to India looking to create a domestic leader in outsourcing of business services. I ended up partnering with Blackstone at that time to convince the promoter family, which owned CMS computers, to divest a majority stake holding to us at that time.

00:09:26:05 - 00:09:50:11

That was 2008 and 2009 and that's when CMS info systems got created. Now, sorry, I can look at. If you think of our journey in those 14 years, we think of that as three distinct phases. I think it's important to understand our history and our culture as you think about us as an investment and a growth opportunity.

00:09:50:13 - 00:10:19:22

However when we acquired CMS, it had a variety of business services, which it was in to. The largest business was around IT infrastructure maintenance services, where it competed with the likes of Wipro, and HCL in the country. The 2008 GFC crisis had a delayed impact in the Indian banking system. 2009 to 2010 were fairly difficult years, which sort of led to a lot of churn.

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And we sort of made a fundamental bet saying that we will only focus on businesses where we have a right to become a number one, where we can be a dominant market leader and will move out of any other business. So we hived off other business units and instead focused on at that time a smallish business of cash logistics.

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Now, if you had to sort of rewind and imagine cash logistics at that time, that very nascent sector was less than 500-600 crores in revenue. And mostly it was a business around evacuation and processing of currency at retail stores. The ATM business was very small and we realized the potential this could have in India. And therefore we went about doing building a massive distribution network, ahead of time.

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We penetrated the deepest corner of the country with a branch network, with a route network. And we were lucky. And in many ways, because that's a period which saw a dramatic boom in the growth of ATMs in the country, driven by two factors. The first was private banks rushing to capitalize on the growth of semi-urban rural India. Number two, the Ministry of Finance drove the public sector banks to open a lot of ATMs in the remotest part of the country where people did not have physical banking access.

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And this was their way of driving financial inclusion. So our investment in infrastructure thankfully coincided or was a little ahead of this market growth which came in, which really catapulted us to become a very large number one. We acquired, in fact, at that time another competitor so that we could be the only company in our sector at that time, to have a pan-india reach and presence.

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But as with high growth, what happens is it attracts a lot of competitive intensity. The number of players

in the sector went from 4 to 8, but we kept our focus on becoming a world class cash logistics organization. We also expanded in the area of banking automation at that time because banks felt that we could leverage our network and cash management, to actually offer and handle their automation needs in the remote parts in the remote districts.

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In fact, remember, we entered the space and we won a large 400-500 crore order of deploying 8 000-10000 ATM s for one of the largest banks in the country. So that sort of journey, one phase one, which really was about getting our core really strong and robust and then moving to phase two, Wave two, I would say would be between 2016 -2019.

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Now you think of that period in India. This was characterized by fairly low economic growth. This also witnessed demonetization. We had a big change through GST and finally the banking sector to whom we cater, were suffering from a fairly large NPA issue. And that's a period when banks obviously had to double down and sort of consolidate and they couldn't invest for growth.

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What we did at that time were two things. Number one, we sort of protected our core. We kept focus on our core cash management business, but we took our earnings. This is a low growth period. We took our earnings and invested that in to expand into the managed service adjacency. We realized that we had to cater to a broader market opportunity.

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It also was a time where because of all this volatility in the market and low growth, smaller quality companies are suffering. And we thought that is an opportunity for us to be able to enter into a broader TAM. On top of this, RBI became very focused on the rights of Indian consumer, what protection they need, how can they safely transact at an ATM?

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And therefore banks had to start investing a lot into the ATM network. From a safety and security perspective. This phase ended in 2020 FY 20. In fact, I remember it was a fantastic year after three years of lackluster growth. We grew revenue by 20% in FY20 and in this wave in the last 4 years, when you think of it, we've had almost a year and a half which has gone towards handling Covid as a epidemic around the world and in the country.

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But in these four years, given the expansion strategy, we've had very rapid growth. We expanded and managed services. Our managed services business, which let's say in 2016, was close to 30 crore services revenue, last year hit a 500 crore revenue mark. That's a CAGR 50%. In fact, if you think of our oldest business cash logistics across this entire cycle has grown at a 16% CAGR.

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So 2021. In fact if you think about a particular year where the CMS management and leadership team cemented its reputation, it was FY21. Couple of things. One, we dealt with COVID, which meant a little different than most of us here. Our team members on the ground had no luxury of sitting and working from home. They had to be on the roads, managing currency every day for banks and for citizens.

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We do provide a critical service which can really shut down. The safety of people are very important. Thanks to the diversification of our business lines. We're able to arrest our revenue decline to a very minor, our revenue dip by 6 or 7%, but our PAT grew at least that year by 18%. We came out of the year strong and in FY22 December 31st, we actually listed the company.

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So the lot the company did during that period. The other highlight in this period for us was that we launched a new business, which was our youngest business on AIoT remote monitoring. And Manju is going to talk to you a little bit more about it. But I remember after the IPO, when we were sharing in our quarterly results our plans for this business and the excitement we have in the sector.

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We were quite bullish about this to be a high growth potential and optionality for investors who joined us during the IPO journey. Since then, this business, which is mostly a Tech-SaaS play and some of you've had a chance to look at

it on the experience zone, has grown rapidly. At the end of March, this business was tracking to an annual revenue run rate of almost hundred crores.

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This is one of the steepest, fastest growth in a SAAS oriented business, which is focusing domestically in the country. The last two, three years have also seen banks coming out stronger, recapitalized - for growth and looking for first refreshing their installed base of automation and also for expansion as they chase deposit growth. Public sector banks are looking for outsourcing more. Private sector banks are looking to increase depth of branches in the country.

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But from our sector, our cash, logistics and managed services, I think a lot of the changes which happened from FY16, 17, 18, 19 onwards and even then COVID has resulted in a lot of the smaller players, either shutting down or selling out. So if you look at this journey, our whole history and journey has been about compounding our growth throughout the history of our company.

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And this graph will actually give you a better idea of our journey. You can see wave two, right, very sort of flattish in revenue where we are looking at using some of our earnings to expand into the next set of sectors. But we maintained our revenue line, we maintained a profit line, we didn't, we didn't let it dip. wave one was really when we grew revenue from 200 cr to 1,000 cr growing 5x.

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We also used our time to actually deleverage and become a debt free company, and since then we haven't kept any debt on our books at all. We don't believe in having debt. Wave two was really about consolidation, tackling intensity of competition, lower prices, lower margins, defending our turf, yet expanding judiciously into adjacent areas. And wave three has been about getting rapid growth and acceleration where a lot of what we have put into place has started coming out in terms of wins we've had.

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We had when the whole PSU banks started with the refresh cycle, we raced ahead and almost won an order book of 2000 crores, which is still rapidly growing. Our AIoT business also has helped us drive a higher level of growth. When you think of this 14 years and the average revenue of CAGR 17%, you have to keep in mind that the last three out of the four years our revenue has grown 20%, which is sort of unique, right?

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Normally your earlier years is when you grow fast and we have and then we had a slowdown. And then again, we are rapidly accelerating our growth. So our margins have, of course, grown very well in this period. So that's our sort of journey. That's to give you a quick history and context of who we are, what we have done.

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What we exactly do is where my colleagues are going to come and tell you about it. I'm going to invite Anush to come and talk about our Cash logistics business.

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Thank you. Thank you. Rajiv. Good afternoon, ladies and gentlemen. Thank you for spending your time to be with us here today. It's always a tough act to follow, Rajiv, but I think if there's one area in which I can compete, it's that he has spent half his working life in CMS, I spent significantly more time than that and see him as almost 80% of my working life has been here.

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It's been a very interesting journey. I could share a lot with you about all the experiences that we have gone through, the challenges, the learnings, how as a team we've taken on crisis and dealt with those situations. But if I may simplify it and just say it, and in one word, I just loved it. If somebody gave me a chance to do this all over again, I would not hesitate and would just not change anything about it.

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A lot of it goes to the quality

of team that I work with. I know for the quality of talent, the motivation and the commitment levels, it's been a phenomenal experience working with the CMS team and today as a publicly listed company to be able to share our future and the journey of it. Thank you for reposing your trust and faith on CMS.

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It is truly a privilege to be here with you today. The history of the cash business. If I go back over the last decade, what we've built here really is a logistics network, which is amongst the largest, the deepest and the widest of its type in India . In terms of our reach, we are present in more than 16,000 pin codes across 97% of the districts in the country.

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But that aside, when you look at us in terms of scale, it's truly massive. Imagine all the notes in circulation, not the currency in circulation, but just the sheer number of notes in circulation in India today are more than all of the currency in the US, the Europe and several other economies put together. And what CMS does is, we process almost all of that currency through our channel.

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Just in the last 12 months. The aim for CMS or the mission and some in when I think about what we are trying to do here is we seek to make banking more efficient. We want to make sure currencies are available anywhere, anytime and at the lowest possible cost. Now, you may ask me what is the relevance of all of this to today's life?

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What is the role of cash in the society? For the last seven years at CMS, we have been publishing the cash index, which tracks where money is coming from and where money is being spent. And this year what we've done is we have detailed that out into a very in the report, we call it the CMS cash vibrancy report.

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All of you will have a copy of it, please I would urge you to go through it in your spare time . Without going into a lot of the detailed metrics. I'll just share with you the three things which really matter. The first is the ATM channel in India today. That channel today does 50% more transactions than all of the credit and debit card transactions across online and offline spends .

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So for people who talk about what is cash vs digital, I just want this to sink in for a little bit. The ATM does 50% more transactions and all the cards put together in the country across online and offline , in a way that just goes to show what is the criticality in terms of its functioning as a payment system in the society today.

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Second, in a recent research report by the Bain Consulting, they estimated that 65% of all retail spends in India today are in the form of cash. And that brings me to the third point, which is when you look at the CMS cash index, and this is something that research has shown. The CMS cash index is has a very high degree of correlation to several other macroeconomic indicators.

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So all of us look at indices like the PPI or the PMI to determine what is the state of the Indian economy, how well are we doing what you know, what how vibrant is the economy? You can also gather the same input and the same trends. When you look at our cash index. And that's because consumption and the usage of cash is so critical and is so closely weaved into the Indian story.

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And at CMS we try to address this through our businesses, we have three businesses today which cater to which , which power the cash cycle in India. The first of this is our , is our ATM cash channel. This is the largest revenue contribution to our cash logistics business. But it wasn't always the case. If I go back 10-, 12 years in history, the ATM used to be a smaller business and it was the second largest business in the cash.

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After retail cash. We were managing only about 7500 - 8000 ATMs in India and we had roughly a 25% share of the market. That was also when, based on observation discussion with people and understanding the government policy, we realized that there was a significant market shift that was bound to happen .

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If India were to grow , banking and financial systems had to grow. It was imperative that there is a network and a distribution reach available which enables that growth. So we invested a little bit ahead of time in creating this network in semi-urban and rural India. And soon enough, as private and public

sector banks grew and ATM deployments started scaling up, private banks deployed ATMs to the brown label model.

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The public sector banks had a mandate from the Ministry of Finance saying an ATM has to be set up in each branch location. That led to a rapid growth of the network, and we were an obvious benefactor from that. Our ATMS under management grew rapidly, but more importantly, our market share increased by almost 10 to 12 percentage points.

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We went from 25 to almost 35, 37 percentage points. And in a way that sort of seeks to show how we always try to understand what does economic scenario we are operating under, then how do we sort of anticipate some of these shifts. Today in CMS, we handle close to 72,000 ATMs. Almost one out of every two ATMs outsourced by the banking system is done by CMS.

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We work across all the banks, we have market share of 47% today. Our revenue or business model is linked not to the usage of the ATM or the number of transactions the ATM does, but to the number of visits we make to the ATM on a monthly basis. And it is this figure that has been relatively stable and steady for many years now.

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And the reason for that is the banks need our help and we constantly work with our customers to optimize the amount of currency that is loaded into each ATM relative to how much the ATM is dispensing. So if an ATM is doing 5 lakhs of dispensation, we load the appropriate amount of currency. If it's doing 20 Lakhs load in an appropriate amount.

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But the key is always to ensure a balance because too much of cash in an ATM is idle cash, which costs the bank interest too little cash and any other risk of cash outs, as a result of which, despite what happens to ATM transactions and ATM usage, our visits are relatively linear. This interest, this corresponds to a revenue model that is relatively fixed in nature.

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More than 90% of our ATM revenues are fixed, giving us a very good ability to predict and forecast how our growth would pan out in the years to come. Our second business is where we work with the transaction banking partners and the various banks to help the broad, broad based retail and merchant network with cash solutions. We service more than 52,000 locations of different retailers.

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This could be organized retail, large format, fuel pumps, e-commerce, logistics, NBFCs. And on a monthly basis, we handle more than 13,000 crores of cash for this channel. And what we do here in India is quite unique and unparalleled anywhere else in the world. In global examples, if you go to any of these other developed economies, you will see that a cash company visits a retail outlet once, maybe twice a week.

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In India, we do this activity every single day. We pick up all this currency, bring it back to the CMS facility, we process it, and then we put it back in to the banking system. And why do we do it? Why is India different? Because it's for the success of retail getting working capital efficiency and keeping the cost of capital as low as possible is

extremely critical.

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This is also why we have pioneered two new businesses within our RCM business. We created the Retail Cash Vault Solutions and some of you may have seen that in the experience zone and we have deployed those at more than 500 locations in the country today. So large format retailers who have multiple cashiers and billing counters in their stores and then they have to manage the shift operations of all these tills and the cashiers.

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How do they manage cash? How do they handle the change of shifts? So that's sort of where the retail cash vault comes in. People use it closed group card, they swipe it and they put the money and that's it. It brings them an amazing amount of convenience and risk management to these retail customers. Our CashX solution is where we partnered with a wide range of fintech and payment banks to be able to offer real time accelerated settlements and real time reconciliation to retail.

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As a result of this, you know, what we're trying to do is make currency behave almost like a digital payment. Under the cash X solution the moment, employee picks up cash from a retail outlet within a matter of minutes the retailer gets a credit and is able to reconcile sale done to collection on a real time basis .

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And we do all this at a fraction of the cost of a digital payment. 40, 60% of the work we do in retail today is metro and urban . And based on how India is changing and based on the growth of organized retail, I feel very positive and bullish about how this coming decade is going to be critical for the growth of retail in India, just like how the previous decade was transformational for the ATM business.

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Our third leg is the CIT business and this is the way we work with the banks , helping optimize the flow of currency from the chest to the bank branches. Now, remember, for the bank, money in the currency chest is what counts as reserve ratios for what they have to maintain with RBI, money outside the chest is where they start having an interest cost for capital that's outside.

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So there is a daily effort to make sure that we again achieve a balance of cash between the chest with the bank branches and back. And at CMS we service more than 10 000-12000 of these bank branches on a daily basis . As banks invest to grow their physical reach and distribution and increase the number of branches that will act as a very strong tailwind for the growth of the sector.

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Now that's our business model. But if you really ask me what makes CMS tick, what really is the big differentiator, I think that really comes down to the way in which you are able to integrate all of these business activities. Now we have market leadership. We are only company that has market leadership across all these businesses our number two, competitors, a different brand in all of them.

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And what we are able to do and we don't call ourselves a cash management company, the reason we call ourselves a cash logistics company is because we're able to plug in all of these different businesses into our route network. Through the use of technology. We have been able to make our routes and our core infrastructure fungible. You may have a route which does an ATM replenishment in the morning.

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It does a CIT work for a branch in the afternoon and in the evening it could be doing a retail cash pick up. And that is the way in which we have been able to create this operating leverage of incremental businesses and tying in the benefits of all these businesses into creating a very strong productivity led growth platform.

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Last four years, we have been able to grow our producti

vity by 20%, and that's a figure which we keep working with on a continuous and consistent basis. This helps keep our unit cost of operation as low as possible. We also use technology to be able to provide a very superior and superlative experience to our customers. What we are able to offer them by way of a quality of service and reliability is far a head of market and competition. That allows us to price ourselves at a premium to competition.

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So both of these vectors, which are operating to try and keep our unit cost as low as possible and try to keep our pricing as much as we can , is effectively what creates a very strong differentiation for us, all of which is visible when you look at it from a financial perspective. The reason that we are able to grow our margins by five times and sorry by two and a half times almost in the last five years.

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And the reason that we're able to increase our margin percentage by almost 600 to 700 basis points in the last three years is because of this operating leverage and and this synergy of this platform. When you look at the quality of our business, of quality of revenue is what really sticks out is we love this annuity business. It gives us this very strong ability to go back and figure out how do we want to handle cost inflation and pass it through from a pricing perspective.

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I'm very proud of the fact that since the inception of this business, we've had almost hundred percent customer retention. That speaks to the testament of the reliability and the quality that we provide to our customers. It's also very exciting when I think about what are the growth opportunities for each of these businesses. 40% of the ATMs today are still serviced by the banks themselves and have not been outsourced yet.

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80% of organized retail is untapped by our sector. We have a, we have started this initiative of direct to retail where we build our own sales teams. For a company like CMS today with our scale reach and the quality of financials and the governance that we have, the retail sectors should be very comfortable in talking to us directly and we, we identified the solutions that we can help them with, whether it's technology or automation related.

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And then we onboard them to one of our banking partners. That sort of also how we are trying to improve the presence of the retail cash business broader into semi-urban and rural India. The CIT business, 60% of the CIT business is still very semi organized today and there is a strong push on the banks of the regulator, the Reserve Bank, to change this in the future outsourcing.

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Our volumes have grown significantly in the last two years. We've added more than 20,000 business points in the last two years, which sort of translates to a 10% volume CAGR. Fundamentally, when you think about why banks partner CMS and why we are able to grow our share in the ATM business, we've been able to grow our market share by almost 500 basis points in the last three years alone.

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Is the fact that as CMS, what we represent to them are - we are a reliable, well-funded, high net worth and most importantly, the safest player for them to work with. When banks think about working with the company in this sort of a business where they are entrusting us with hundreds and thousands of crores, the safety is a key and key factor and also of paramount importance to them.

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And that sort of really brings me to thinking about when you think about understanding the cash logistics business and what makes us tick, what makes us grow, it's not really the usage of cash. It's really fact that our growth in the past and the future is very intrinsically linked to how consumption in the

country grows, how per capita income grows, what we are linked to, the growth of organized retail.

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We are in some way linked to the growth of India. And that's why I would like to think that we are really a story where the sum of the parts is much more than the whole, the business of cash logistics is a lot more than just the business of cash. And it's very exciting when I think of what we have been able to achieve and what more we are able to do in the years to come and how we can further scale and grow this business and would love to have you along for that journey.

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Thank you. With that, I would add, of course, my colleague Manjunath to join me on the stage and while that is happening, I would also like to give you a peek into the video of trying to understand how technology works within the cash logistics business.

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To start off with. Good afternoon. Good evening, ladies and gentlemen. I stand before you today as someone who has spent 30 years in the ATM ecosystem. A little, maybe a little more. 30, 30 years. And when our Pankaj Khandelwal, while our CFO introduces me to everyone, he says he's the first one who installed the ATM. I smile to myself because I know that I was not the first one to install the ATM.

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But I was there when there were five ATMs in the country. Today, there are 260,000 ATMs. So I've grown along with the ATMs as they grow in the Indian market. And while I was at NCR, I had this opportunity to work with CMS in many of the managed services contracts that we have won along with their help. But what we gave them great respect because of their reach and their infrastructure.

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And in 2009, when Rajiv and his team just came into CMS, they invited me as I was the MD of NCR and they wanted NCR perspective of what they think about CMS. So when I went there, I told them that had a large I.T. infrastructure, they had cash logistics business, and this together could play a huge business

for them in the managed services sector.

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In 2012, Rajiv convinced me to join CMS, leaving the safe environment of multinational sector and joined as the head of sales. When I came into CMS, first thing Rajiv said was walk the talk. You told something to me in 2009. Now you do that. So as I as my journey went closer to CMS and I witnessed what all they did very closely.

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I was so impressed with the role that they have in handling ATMs as well as bank needs. And I realized that it was imperative for CMS to actually get into the broader sectors of managed services. But there was it was a little tricky because there were many players in that segment at that time, and we decided to build rather than buy.

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That was the philosophy of CMS, and I followed that philosophy. And plus a lot of customers at that time wanted CMS to become an OEM in the banking automation space. I hope all of you had a chance to look at our solutions around there. If you don't, please do visit. And as we, the main importance of banking automation solutions at that space was that the banks needed for their network expansion.

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During demonetization, we saw many the sector was actually getting a little weak and we had an opportunity to acquire small managed services company for its tech services as well as we wanted to familiarize ourselves with the, the basically the how to use managed services and also learn get ourselves familiarized with that. We did that and we went beyond that and we through all these years, we set up four key businesses.

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So the four key businesses, all of them offer end to end capabilities to the customer. The first one is the banking automation solution. The second one

is the ATM as a service. The third one is the software. And the fourth one is the remote monitoring services. Together with all of this is what a bank, managed services ecosystem is in the banks.

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So let me take you to the first business of mine, which is the banking automation solution. Banks will expand and they will need automation solutions in their branches, and as they go deeper into their network, they will, there will be fewer companies to support them with the branch automation solutions and the multinational OEM struggle to grow as it expands into the interiors.

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We decided to take a different approach. We decided to take a partnership approach. So we were looking for an OEM who could work for us, OEM who could support us with the entire solution range. What you saw at the back, which was basically the ATMs, cash recyclers, kiosks, and we found we chose one, our partner - who was from Korea.

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He is globally number two Hyosung along with this expansion of the branches. There is also vast significant opportunity for, as Rajiv mentioned, about existing ATMs, the required upgrades and replacements. Those are also significant opportunities. So together with the branch expansion and this refresh program, we see up close to about 100,000 ATMs being coming up for bids in the next three or four years, along with the government of India's push for make in India at the right time, too.

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We decided to take the plunge and we built our manufacturing plant in Chennai. Some of our competitors had done this already three, five, seven years ago and they spent a huge capital in doing so. But we timed it correctly strongly because the market maturity of the ecosystem of good suppliers were available for us and we could set it up at a fractional cost of the entire plant.

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The next one,

The second part of my business is the ATM as a service, and this is what actually the main portion of our business, which Anush talked about so eloquently a little earlier. ATM as a service has got two segments. One is managed services. Another one is the end to end outsourcing services. Managed services, when the banks have got their ATMs installed in their branches and they outsource these ATMs to companies for providing them high uptime.

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Companies like CMS along most of these opportunities require cash management also. So the revenue model here is fixed monthly rate and the contracts are 3 to 5 years. We have about 12,000 ATMs in the sector, which represents roughly about 6% of the market share. And please consider that as we started this business very recently, the second part of the business is the end to end outsourcing business, which is also called as brown label ATM, which popularly you might have heard in this model, many private banks and few public sector banks will also have outsourced a percentage of their ATMs for this end to end outsourcing.

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The bank here lend their name. That's why it's called Brown Label ATM and the bidder will have to spend the capital. The revenue model here is monthly fixed rate or linked to transactions. We have about 55 00 ATMS in this business and which roughly represents 5% of the overall outsourced market. And we have been doing this for the last, what, three or four years ago, and we have been very selective with the customer, as Rajiv said, and where we will invest the capital and based on the returns that we will get for the capital that we do, the revenue model.

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As I said, this transaction linked our monthly rate order for 55 00 ATMS, 20% of this base is monthly fixed rate as well as 30% of the base the ATMs are installed in the branches. The advantage of installing the branches is because the costs

are significantly lower and the we are able to predict the transactions also because the usage pattern is well known .

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Using our like, Anush talked about the cash report. So we use analytics of our cash usage as well as majority of the services we do in-house. What are these services? The services like incident monitoring, cash replenishment, our field maintenance services. So all of these services we do in-house, unlike many other service aggregators in this business. We all, as I said before, we are very careful in where we put the capital focused on the return.

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My third part of the business is the software business. Software, as you know, in the ATM that we are, we just experienced , software plays a very critical role in customer engagement, customer retention for and as a delivery channel for the banks. So it's a very important piece of the activity that the banks look for because they have currently, what, about 2 lakh 60,000 ATMs and most of the software is static and it is heavily dependent on the OEMs .

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So what happens is it's really difficult for the bank to change the software or make it customer friendly across their entire base because there are multiple OEMs and multiple hardware configurations. So this puts out a very difficult time for the banks to actually improve their even the uptime . In India, that's why the Multi-Vendor software was created, which is the software that we have now deployed across many ATMs.

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The largest bank in India floated a global RFP for this software because they were having huge challenges around any changes to be made in their ATM network or to improve the uptime in their ATM network. They were struggling. So this project was won by CMS and it was very prestigious. It was about 500 crore order for us. It was very complex, but we successfully completed it.

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And today the bank has improved its uptime as well as one significant factor because of the change in the software control that they have today. They were able to make it a digital services platform. So today's whatever the bank has got on the Internet banking platform is found on the ATM screen. So the customers find it very unified interface available on the ATM.

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The many public sector banks today are queuing up because after the consolidation, they have multiple ATMs, multiple OEMs . They're all queuing up to make their ATM as a digital services platform. So this software that we have been very successful with, or 65,000 ATMs we branded it, ALGO . To the fourth part of my business, which Rajiv mentioned proudly, and I am

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I'm also very proud of this business. It's the youngest part of my business. It's the AIoT remote

monitoring services. I think when I earlier saw all of you queuing up to look at the future ready remote monitoring, I was actually filled with pride. But I need before I get into the business, I need to talk to you about a little bit of history.

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Historically, ATM sites had man guards, but this approach had a lot of issues. Plus, Reserve Bank of India instructed the banks that they must provide safety and security at the ATM. So we were very keen to get into the sector. But what happened is the sector attracted a lot of venture capital funds and therefore we decided to wait and watch.

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Some good companies were set up during this period. But in order to grow fast, they had they attracted unsustainable revenue models and and growth.

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During COVID 19 pandemic, Some of our customers who could not scale up with these players to further roll out came to us and we seized that opportunity. And we invested in deep tech. Actually, before that, we actually went and

acquired a small company of 2000 sites. And just before that, we before that, deep tech was invested. We invested. We acquired the small company of 2000 sites, and we improved their platform.

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They had a platform. We improved that platform into a deep tech. AI and IoT based solution and we started serving. And what I will do now is I will show you a small video which will take you through the AIoT business, which will be much better than me talking about it and struggling with it.

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So there are 2000 sites that we acquired on that platform when we built this AIoT deep tech solution for us. We powered it completely with the robotic process automation.

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I think if there was a demonstration and I would request all of you to go and take a look at the demonstration. Currently this is a robust platform, hundreds more than 21,000 sites. On the video. It said 20,000 and was this video was shot about a month ago. Since then, it has become 21,000 live sites. And the strength of this platform is that it handles more than 60,000 alerts every day and more than 50% of it is handled by the robotic process.

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Automation with zero misses and the balance is handled by the manual agents. The the the more than 1000 sites have been a thousand critical threats have been alerted by this platform. And this makes us as number one, established us as the number one in this banking ATM segment of the remote monitoring. We continue to invest deep tech because we have to stay ahead of the competition.

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We have built more than 40 plus A.I. modules. Why and how are they important to us? Because this will allow us to expand into the adjacent sectors of our businesses, such as retail, hospitality, healthcare, ware houses and premises. So this opportunity is very significant for us. Next, as I said, we are number one in the AIoT bank, in the banking sector as an AIoT remote monitoring services player.

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What I will do is to summarize my four businesses. I would like you to take you through the financials, to summarize my business. We have grown significantly in the last three four years in our business, in my business, and we have contributed very large amount of revenue for the CMS revenue. We were about 15%, as Rajiv mentioned, in FY 19 of the CMS revenue.

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And today we have contributed close to one third of the CMS revenue. We have grown to that level. In spite of the capital invested in our business. We have close to about one third of the revenues of CMS. And am I right, Pankaj, we are close to about 500 - 560 crores, yes, of CMS revenue. So that's a significant achievement for us for the last three, four years that we have contributed to CMS and we also have significantly improved the EBIT margin by more than 330 BPS.

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We have BPS, we have done, as I stand before you today, I'm full of pride and excitement for the future of CMS business in the managed services space. I said, and I am proud to say that today we are number one in the AIOT Remote monitoring services. We are number one in the software business. We are a market leader in the banking automation solutions space and we are also the brand to be reckoned with in the managed services space.

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Thank you very much. And for this opportunity I will hand it over to Pankaj Khandelwal, just now, Thank you, Manju, and good afternoon to all of you. I had the privilege of working with CMS for last 17 years. It has been a unique experience. Initially, working with promoter group, then the large private equity player and now as a listed entity, I have had opportunity to see CMS transform and adapt.

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We have gone from a very high debt

company to practically zero debt company and from very thin single digit margin profile to a strong double digit margin. Both our businesses have done very well. Higher volume and focus on execution of order book has helped us to improve our revenue by 20%. 33% growth in PAT and 300 basis point improvement in our margin, which was driven by our expansion into tech related new businesses and automation in cash logistic business. Our managed services business, has EBIT of our managed service business grown by 49%.

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And at the same time our cash logistic business EBIT has grown by 27%. In fact, if you look at our eight quarters, we had a very consistent and strong one quarter on quarter and year on year growth in seven of these eight quarters, our PAT grew by more than 20%. In last quarter, the first time in history of CMS had crossed the 500 crore revenue mark.

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Taking a longer term view, our financial over the last five years, our revenue has grown 14% CAGR. It could have been better. Please note that this period, we had two years of the COVID. 95% of our revenue is from services business and majority of this revenue is multi year recurring, which gives us... which gives us a very predictability of the future revenue.

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Our EBITDA and PAT had grown three times and margin is almost double. This was driven by changing business mix and high value added services, scale and synergy across business lines and investment in technology and automation. 1100 crore of OCF we have generated in last five years, driven by mainly our margin profile and the improvement and the razor sharp focus on our working capital management.

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Getting the investment capital cycle very right is very important. We are very judicious in when and where to invest our capital. From 16 to 18 when we are not sure of the industry cycle. We have reduced our CapEx and then a CapEx of only 70 crore rupees and then the environment changed and we see the signal of the improvement at the same time.

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PSU bank was recapitalizing, we only just started investing in the CapEx. And during this time we have also expanded our many services, many services offerings. Over last five years we have invested more than 700 crore rupees for the growth and expansion. Despite this peak investment, we have expanded our ROE by seven hundred basis point to 21%. And also at the same time, we have consistently paid dividend and our dividend payout ratio is around 23%.

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As on March 23, we had 450 crore rupees of cash and cash equivalents in our books. This liquidity is going to be a differentiator for us because of flexibility to invest in up when our opportunity comes will help us to improve for the during the year outlook of our credit rating has improved to positive and then upgraded to the AA+.

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I'm happy to inform you only 1% of the company in our peer group have AA+ or more Credit rating. With this now I request Rajiv to talk about future growth opportunities. Thank you. Thank you for so people done a good job. I'm left with 5 to 7 minutes to wrap up. But this is the fun part, right? This is what excites us.

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This is what brings us to work every day. I want to talk to you about where we see growth, how we think

about growth in the coming years. But before that, it's important to understand the principle on which we work and how we think about growth. All right. So I'm going to use this slide. I'm going to borrow the slide, but I've seen it somewhere, which is sort of what are the playbook for growth, right.

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Fundamentally, we think about first, we will continuously seek to invest in our core business.

ss. 10 years

ago, the core of cash management today is both cash management and managed services. Our goal there is to be world class. When we are world class, we will have the best quality your customer can get. If you have the best quality, your customer retention is not an issue.

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You are able to sometimes charge a premium. More importantly, it helps you attract talent and you can become world class by deploying a lot of technology. If you think of the CMS management team of our top 10, 15, 20 people, less than 20% of our people come from the sector. That's deliberate. If you look at the four of us who are here, Manju is the only one who comes from the sector I come from a tech background, Anush comes from consulting background.

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Pankaj comes from a financial and obviously a manufacturing background. And that helps in having a different mindset compared to our peer group. It's a mindset where you're continually looking to improve and that's what we call innovation, where there is nothing limiting what we want to do. We don't come with any preconceived notions, and the goal is to give a customer a great experience, high quality, lowest cost, maintaining the lowest unit cost.

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Economics is critical for us in a logistics business is very critical and that's what we seek to do. You take what you own from your business and then you look at expansion. When you think of expansion, invariably you think both horizontally and vertically. Usually leads to technology oriented solutions. You're moving up the value chain. The approach here again, we take a very different normally you would look at a company with a new technology offering.

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They would want to pilot it out, Let's say at a smaller customer. They'll make it work, improve it, go to the midsize customer, improve it, go to a big customer. And then we thought, I'll go reverse. We will put our name and reputation on the line and bid for large, complex projects with the largest banks in the country. We think differently.

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I think if we can make it work at that level, the rest will follow. And that is very critical for just deepening your customer engagement. Manju talked about the multi vendor solution business. It is a big risk and a big bet for us. But you think of that particular bank, that operating system of the ATMs is managed by CMS, the seat of the table.

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You have not only the ATM channel or the branch banking channel, but also with the CTO and CIO of the company and the bank think would be very differently, are way more critical to them than just for the currency logistics business. And when you use that and we can win with large banks and large financial institutions, it's sort of you are bringing the best of CMS.

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You think of any bank today we started with the retail Cash logistics offering in 2008 or 2009, moved to ATM cash logistics, then moved to a banking automation, then hopefully another managed services offering and now and the AIoT offering. So we think of a vector and think of the number of services we are selling to a bank, it has increased dramatically over time.

01:06:23:07 - 01:06:51:13

Our cost of sale remains very low, right, because the same team will be managing the customer. And then we look at ourselves as a very deep B2B company. We track how many customers we have at each category revenue. When I think of 100 crore plus revenue customers for us annually, this was maybe 0 five years ago, 3 three years ago, 5 customers today.

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You think of the 50-100 crore customers, again, this would have ramped up, you think of you in five crore annual run rate customers that are gone from 15 to maybe 30 today. So at each level having a different set of

ferings, having the right to win makes a big impact. When you are a B2B business services company. And for us, that's the playbook we want to continue on, right?

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You want to make we want to strengthen our core, make sure we never lose that. That's our right. We generate cash flows, invest in expanding TAM and make that a virtuous cycle. So that we can continue to accelerate growth in our core and also expand the market opportunity we are playing in. And so with that, let's switch to how we think about growth, where we are today.

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The macro has is looking very positive. When I think of the in the country dynamics right now, the expectation of what India can do in a global economy over the next 3 to 5 to maybe ten years, there is pragmatic bullishness. Our economy remains a consumption oriented economy, which works very well for CMS. Consumption leads to spend of you know, currency that leads to growth for us.

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When I think of the biggest industry state we cater to right now, which is the banks, the banks are look the best conditioned they have been ever. If I talk to CEOs of large banks in the country, they are looking at growing their business 4X in the next ten years, if a large bank can grow 4X, we should be able to play a role in that growth and helping enable that growth, helping them give the network the reach and hopefully grow faster than that.

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When I think of retail, which has rebounded with a vengeance after COVID, you look at e-commerce growth and I think of that opportunity. For us, that's a multi-decadal growth opportunity for us in the cash logistics business and hopefully some new services we aim to launch for them the coming years. And then I think of what happens in India today.

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If you if you get rid of the rhetoric and the noise and the marketing from others, you think about. We look at this data every day and it's in your cash vibrancy report, the amount of currency we collect not from just organized retail, but we collect from nbfc and insurance and collections companies and petrol pumps is very robust.

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So I look at this backdrop. It gives us a fairly strong confidence in how we think we can grow in the coming years and for our 4 businesses right now, I look at our cash logistics business. There is 40% of India's ATMs 100,000 ATMs are still managed by a bank themselves. Now 60% the outsource this use 50%. Let's say five years ago, the 50 to become 60 will become 63.

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Will become 65. I don't care how long it takes, but that's the direction. This will move in line with any global trend. Anush talked to you about the retail side of the business, which has very well with very high growth and the initiatives we are launching there of partnering with payment banks are working with large format, retailers are going directly to retail, offering solutions.

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I think that should give us a very good growth for that business. I look at the managed services business first, large public sector banks after the mergers have a refresh cycle where 80,000 ATMs have are outdated and have to get refreshed to the latest technology that will play out in the next two, two and a half years. The private sector banks, which had a lull in expansion, are right now growing their branches, declared data on the private sector banks,

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talks about 12,000 new branches coming up, which will lead to almost 20,000 new ATMs coming in. And then the BLA business where we remain a cautious and a small but important player itself will see almost 100,000 ATMs moving from the balance sheets of banks to private sector players. So this is a huge, massive opportunity. We will judiciously choose which parts of it we want to operate in.

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In our remote monitoring business, more than 60% of the installed base of ATMs and branches need to get the solution implemented, it is still not there. There's also the 40% which will expire and will move to the next generation technology over the next 3 to 5 years. Immediate adjacencies for us is going from ATMs to bank branches to Nbfcs to gold loan branches to retail, to warehouses, what not.

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We've had a very dramatic ramp up. We will take some time to consolidate this business and our technology offerings and create the AI module so we can have the next big wave of growth in the sector. And finally, inorganic growth, as a team, we have had a very good experience of driving programmatic M&A. I do want to own a caution because I know M&A gets lots of people excited.

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We are not a buy and grow team. We usually for small acquisitions to enter new sectors in our core businesses, we are willing to make bigger bets provided the valuation is right. We have done almost six seven acquisitions in the last decade, but the sum total of money spent is less than 250-300 crores. And of course we look for aggressive payback periods, which is either the cost in which you buy the company or how you drive synergies.

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The industry will consolidate both in cash, logistics and managed services. There are many companies which do not have the financial strength or the technology capabilities to see the next five, seven years of change that industry will bring. Outside this when I think of the areas we have been examining over the years. I haven't yet done a deal or a transaction for various reasons.

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FinTech remains an area of strong interest, broader business services. I have to keep reminding myself that I when I came to CMS, my dream and vision was to make a market leader in business services.

Puneet any think we should worry about that. Maybe my time on, its here is not there.

So so when you when you put this together and you think of the TAM opportunity we are talking about market for us where the market size and if FY 21 to a FY 27 over a six year journey should grow from 8500 crores to 22 and a half thousand crores, CAGR of roughly 19%, we are not equally going to play in

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all of those spaces with equal rigor. There are some which are scored, some we are very keen to grow into, some we will be careful about. But that's a market opportunity of growing about two one half times. When I co-relate this to where we are during IPO, after IPO, we talked about our growth aspiration and we gave a guidance.

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The only guidance we've given is that we will look to double our revenue from FY 21 to a FY 25, which sort of is going from 1300 crores to 25 -2700 crore range at the midpoint today and the end of FY. So that's a CAGR of I think CAGR of 19% up at the midpoint today, we are a little ahead where we are growing at 20%.

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So we seem to be on track to be hitting the target, we set out. But important for us to give you an indication of the mid-term from where we stand today and not just be content with looking at a FY 25. So when we think of so we are looking to double FY 21 to 25. When we think of FY 23 to 27, it's not a target, it's just an aspiration.

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It's a very early peek into how we aspire to grow. We look to grow from 75%, to 100% from here, which would put us in the roughly 3400 to 3800 crore revenue range. Before I sum before I end, I want to sort of summarize the investment thesis beyond the numbers. Some of you, I'm grateful to some of you who are shareholders.

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We have over one lakh shareholders of the company already. I'm grateful

I to our 25,000 member team.

I'm grateful to my entire leadership team, which is here for being part of an exciting journey. What you have here is a different company in many ways. It's a cautious company growing very well with a team which has weathered many cycles. I've seen many ups and downs and has consistently driven growth over chunks of time and still kept expanding margins.

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It's a team which has delivered and if you had to totally co-relate the XIRR sheet from 2009 to 2023 with everything we've done, the XIRR would be close to what our price was yesterday be close to a 24% XIRR. And the team, which has been very judicious about capital allocation, we have almost spent 80% of capital on growth ourselves and maybe 20, 25% in M&A.

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With that, I would like to end we would like to pause before we get into Q&A and thank you for your attention and your time.

Thank you. Management will just that was a very exciting presentation. We'll start the Q&A session now just a couple of minutes before we get the management seated. We have two people roaming around with Mics, so if you have a question, please raise your hand.

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And one of us, one of our team members will find you, request you hold your questions to two or three per participant just to give interest to everybody.

We start, who sort of choosing what do we do.

Hi. Thanks for the opportunity. I think in one of the earlier call conversations you had referred to, getting in collection services is one of the possibilities.

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So I saw the slide which illustrated Right to Win as an important metric, right? So wanted understand from your perspective in verticals like collections, etc., how would you develop a right to win number one? Number two is again, correct me if I'm wrong, but your experience with interacting with banks is more on the CTO CIO side of it, whereas when you get into these other kind of services, you might have to interact much more with the business side of the divisions.

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So how would you bridge that kind of a gap? Yeah, those are my two questions. Thank you.

Let me take the first question on collections. There is always a constant way CMS to keep looking at newer opportunities for growth. And this is a business that we first did very small scale pilots and just before COVID, and then we ramp down the efforts because we just got focused on just securing, then growing our core business.

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What we like about the collection space is everyone, everyone in India you speak with, whether it's banks or fintechs, new payment banks, everyone is talking about lending money. Hardly anybody was talking about collecting money. But but then when you anecdotally speak with a lot of people, you realize that this is a very critical part of their business, just the regulatory norms around and provisioning for their collections and NPAs just make this very critical in terms of their competitiveness and success.

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Our idea was to try and see is there room for us to craft a business model which is built on three things. The first is there are more than 30, 40 different small, semi organized or unorganized collection agencies in the country today, but no one has scale and no one was working across the country. And the second was, if you look at the different parts of the collections value chain, there is technology, there is then the whole contact center and how do you reach out to the customer.

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And the third is the field, the field and the collections, actual collections part of it. There are many companies doing each one of these. There are many New Age companies. FinTech are doing the first part very well. There are large established people doing the second

part, and then like I said, there's a very large set of people doing the last one, but there's no one doing all of this together.

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The third element, which actually sort of interested us the most and when I go back, when I spoke about why banks fundamentally work with CMS is the fact that looking at what has happened in the collection space in the last 12 months would have you read enough stories about, you know, one bad actor creating so much of a reputational risk to the to the nbfc or to the bank?

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I think that's important. When banks equal partner, they want to work with companies who can who have the same sensitivity towards reputation management and towards managing, managing brand and doing things in a certain right way. As we stand today, we are still in the incubation process of our collections. We put together a team of almost a hundred people.

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We have hired five or six very senior leaders from the industry. We will treat the FY24 as the period when we would like to incubate, invest and see how this business can scale if it if we can craft it in

the manner that we've thought about it. We've got pilots going with 5 to 6 large NBFCs .

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We are in discussion with at least 15 to 20 more. But we will use this year as a pilot . We would like to try and see how this works out. And towards the end of FY24, we come back and update you on what would be the future prospects for us in this business. So just to add to a couple of points that we deal with many people in the banks, The CIO, CTO is actually more recent with managed services and software, but the ATM channel or the Cards team, we've been dealing with them for a long time, even at the branches.

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But they're the brand reputation of quality of what we do. Therefore, this business also of more concern. We want to make sure that that the reason we have not acquired anybody because any acquired whatever the culture may be, we want to it's a bootstrapped venture. We do it in -house. We want to do it right. It may never take off, but we will not mess up with the brand and.

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We will not take risks to do this in a manner which is wrong. So testing may take two years, I don't know. But we have been bullish about the potential opportunity here. We will go at it pragmatically, like Anush just talked about. But we've been very surprised with the interest of large NBFCs for CMS to enter, can we execute and deliver a better solution.

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We don't not we have to see that out. Okay. Just also request you to state your name and organization. Where you from before you ask the question standing, we want to sit down in the front Manish you. You want to sit down? Okay? Yeah. Thanks for the opportunity. This is, I don't know, rural from shipping family office. My question is to Manjunath and Rajiv , you regarding managed services.

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So when we think of BLA business, you know, you mentioned the word cautious . So just want to understand the risks that are there in that business. What are the risks that you're wary of? And when you work with certain banks, you know, how do you decide with whom to work? You know, so what are what are some of the key parameters you look at?

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Yeah. Thank you. I'm not sure where they got it. I did mention that if you get a chance, please go through what? The cash index report that we have shared with you that gives you the analytics of cash usage. It also indicates that it has been more prevalent, that the cash is available, cash has been transacted, and from the retail, the entire value chain of it.

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So when we decided on which bank to bet on, we , having been in the cash management space for so long. We

know effectively which banks have large transactions, large debit card base and how they want to populate and look at that business. And that's how we decide whether this is worth investing our capital or not. Not that the we are worried about the capital.

01:23:01:00 - 01:23:19:23

We are only worried about the return in the capital. If you go behind banks, every bank wants to outsource and every bank wants to outsource. Even the small debit card strength banks also want to outsource. But we are careful in that aspect of choice.

What I could have started with my mikes one. I just want to use my mikes.

01:23:19:23 - 01:23:53:05

That's fine I don't need to so you know, it's a the .

There is a regulatory interchange price in the country which is ₹ 17 per transaction. That doesn't change. We want to work here. The reason we are cautious is because in our earlier journey wave 1 , we saw many companies come and become manage risk providers , set up the capital, build ATMs for banks, grew very well but they did this sort of model this on a transaction level which didn't sustain either due to more complex because you know it's a supply.

01:23:53:07 - 01:24:10:17

If you put 100,000 in the country, the number of transactions is going to be down. And if you actually don't add up, it should actually hopefully steadily go up. So figuring that out as one second as contract management, if you're entering into a long term outsourcing deal, think of IBM and, you know, Bharti, 20 years ago, contract management is critical.

01:24:10:23 - 01:24:36:15

Who's a counterparty risk you talking? You can say, is a bank, but the contract is very careful about how can you pass on the price increase, what happens when ATM shut down during COVID for two months? I don't know many things. So I think for us, building in the risk of what can go wrong and then still win in a competitive market and drive an IRR, which is way ahead of anybody else, limits the opportunity for us.

01:24:36:15 - 01:25:12:21

That's the way that's why we're cautious. There are many banks who would love for us to participate in this. We don't want to lend out, you know, balance sheet unless we can foresee return of capital, return on capital in the 7 to 10 year period. And we will, of course, model the fact that X transactions will go down over a period of time it could go down because of digital, it could go down because there are more ATMs coming the country and therefore being cognizant of that risk and maintaining our return profiles is not a very easy task.

01:25:12:23 - 01:25:44:13

Rajiv, that was very impressive presentation. Thank you. Haven't had the chance to read the Cash report. The question I'm struggling with, Rajiv, is that all across the world, or let's say even in India, you can see a clear effort by the government to cut down usage of cash, right. The ₹2,000 note is now gone right of digital form of payments are becoming all prevalent even in the lower down blue collar workforce.

01:25:44:15 - 01:26:12:08

Right. I'm sure all our behavior around cash is changing. So personally, for example, I don't think I've used my physical wallet to pay for cash for I don't know for how long. So how does one intuitively think about why the usage of cash in the economy cannot suddenly plummet? I mean, it's holding up so far and I'm perplexed about why it's holding up.

01:26:12:10 - 01:26:48:24

But as the government keeps finding new avenues to cut down usage of cash, for example, just at the top of my head, a thought that occurs is what if the government forms a rule for organized retail that any sale transaction over ₹ X thousand will attract a higher GST rate? So as a nudge to customers to use digital, how do you think I mean, how does one gain the confidence that the usage of cash in the economy will grow in line with nominal GDP growth?

01:26:48:24 - 01:27:10:04

And what is core in your business? The core revenue stream might not suddenly be at risk of mortality. I think I can take on some of some of so I'll pick on some of these points and the team can add to it. I think the first is, you know, like you said, Manish, it is not a very it is easily understood from an intuitive perspective.

01:27:10:04 - 01:27:24:09

I think a lot of the cash business is reasonably counterintuitive, which is why we saw there is some merit in trying to flesh out as much data as we can about what cash flows, where it comes from and where it goes to try and provide as much clarity as we can. We've tried to make some sense of the data.

01:27:24:09 - 01:27:47:02

I'm sure when people through it, there will be many other insights that can come out. What we always believed in. And, you know, this is something in my 13 years and seeing as I've been hearing it at least for the last ten years, has been the argument is usually a binary one, which you know, there is a cash vs digital we heard I heard this with debit and credit cards and wallets and then UPI, all kudos to the country.

01:27:47:02 - 01:28:11:24

I think the innovation of UPI and just a space digital innovation and scale has happened is just phenomenal. But fundamentally, I don't think life is binary in that way. I think there's a lot about coexistence and that's point number one. The second is and I think fundamentally what leads to cash being very resilient and very sticky in the Indian context is being essentially where we are as a country in our development curve.

01:28:12:01 - 01:28:37:12

We are relatively a still middle income country. We still have a very long way to go before the large masses of people have better per capita incomes and is when they can start choosing to exercise discretion in terms of how and in which manner they want to spend their money. Right now, a lot of the spending, consumption driven is around essential spends. Third, and I think this is the most important argument when you compare cash with a lot of other different payment systems.

01:28:37:14 - 01:29:09:21

We are a fraction of the cost. If you add in the total cost of cash management in terms of what companies like us incur and what banks incur and what merchant's incur, I think some of it falls into a range of about 15 to 20 bps. And then when you compare that to other digital payment costs, whether it's cards, which I about 150 bps or in UPI, which has a certain cost of transaction despite the fact that it subsidizes the cost of transaction because of the technology investments and the risk cost and the whole chargebacks are going to it.

01:29:09:23 - 01:29:43:20

And the last point I would like to make, as you know, if one were to think of a scenario in terms of what if, what happens, look at our analogs in the global context. If you take any of the other cash management companies, just to give an example, like maybe a Brinks or Loomis, who derive a large part of their revenue from developed mature economies in the Europe and the US for the last three years, for the last five years, whichever timeframe they've been able to grow their revenues and a larger portion of the revenues are from cash logistics.

01:29:43:22 - 01:30:09:22

They've been able to grow their revenues at about 10% CAGR. I want to answer this in a different manner, which is what we get to do is, first of all, what we cater to is organized currency, formal currency. We have no play in the informal currency of the country. I wish it would be ten times the size. So we have no business model around the informal currency cycle.

01:30:09:22 - 01:30:32:10

In fact, all of these moves bring back currency into a more formal economy. That's when we feel we have a bigger chance. Why do we bounce back both demonetization? Why did we not dip much during COVID? We've had big shocks. Again, I'm not

saying shocks won't come, changes won't happen. I'm just saying that our business model what anush start to explain this presentation isn't around.

01:30:32:10 - 01:30:50:14

The amount of currency we had is to do with the number of business points we handle. We think there is a growth dynamic in that, both in ATMs, low growth, retail, higher growth, and we earn money based on the logic, are based on the number of business points, the cover, not the physical model of currency we we're handling there.

01:30:50:16 - 01:31:23:17

Number two is the fact that when I think of financial inclusion, what we, what we see in semi-urban rural, you know, currency is a very important backdrop. I will transfer money today to somebody working with me digitally. He or she will then go and transact 50, 100, 200 Rs by cash. That currency is still roaming around there, doesn't come back. I actually think contra to what people like to think of because when you refer to currency in circulation increasingly I could only own I don't see our life correlated to that at all.

01:31:23:19 - 01:31:46:09

I actually think that if I could be wrong, but my contra view is that if currency in circulation goes down, our revenue will go up a lot because you will need more of a work to get efficiency of the currency cycle going. We have been talking to the regulator saying when I am going to a bank currency chest, I'm just withdrawing the money, depositing it in the ATMs, then I have a different route going retail, bringing it back.

01:31:46:11 - 01:32:06:03

Why can't I just do it from my chest? Why do we have to make those trips? I just think there is a lot to be done on efficiency you're working on on the currency ecosystem. The country currency should not be such a large percent of GDP. We actually think that our business model will do far better with more activities and more trips, because as anush said know that our cost is really very low.

01:32:06:05 - 01:32:41:19

When I compare the cost to the UPI transaction, we are still a fraction and I think we will be a very efficient model for country to save printing more currency over time, which may not be a focus for the regulator right.

now it's just a oh, sorry, just a follow up question, Rajiv, did I understand you right that let's say there is an ATM which today dispenses say 10 Lakhs a day, if that ATM because let's assume currency usage in the country declines in sort of ten lakhs a day.

01:32:41:19 - 01:33:06:18

The ATM dispenses only five lakhs a day, half . Would your revenue stay unimpacted on revenue you per ATM.

The way we look at it, Anush is going to tell you the data on how the currency so number one currency dispensed through ATM is also linked to inflation rate a per transaction amount five years ago, ₹3,000. is ₹5,000 today, inflation growth , whatever it maybe.

01:33:06:18 - 01:33:32:11

What I would add, maybe number of transactions may have been in the 100 - 110 range per day, but our revenue model for an ATM business for cash logistics is mostly has mostly become fixed today. It was variable earlier I think of pre demonetization 2015 we were making maybe a 11.5 trips per month. Today we are making 11 trips a month every alternate day on an average.

01:33:32:13 - 01:33:50:06

The question is why? Why do we have to make those trips? Why don't we make three trips? Right? Because you can go and not repeat one. You can say maybe the ATM can only hold so much capacity, maybe. And now 2000 rupee notes going in , more lesser . Can also possibly but we don't get into this is noise. Right.

01:33:50:06 - 01:34:14:10

I simply look at the fact the thing if a bank in India has to hold currency in this chest, they pay no cost for it to the RBI. The minute the currency leave the chest whether to get into of our networks or via n, so for no reason they have to pay our interest cost

t. The interest cost at 4%, 5% is far higher than the trip cost we make, and therefore the banks will keep using our ecosystem to get just in time right .

01:34:14:10 - 01:34:40:14

They will never let cash dry out an ATM. They never let cash dry out at a branch. Can you imagine a bank would runs out of cash on branches? There could be a run for the run for the bank. Right. So therefore I said our unit cost economics. You could argue that in five years time with only one player left and we can charge six times the money we are to compete with ourselves for the cost, to make sure the cost of what we do remains very competitive for the banks to be able to continue use us.

01:34:40:16 - 01:34:47:23

Sorry does that help ?. Okay. Thank you.

01:34:48:00 - 01:35:23:11

Unknown

I am Dr. R Ramakrishnan, Chairman, Transforming Advisors. My compliments to the team. What comes through very clearly is amazing teamwork. A high degree of empowerment and a high degree of ownership from everyone who has spoken today. My warm compliments on that , I have two questions. I noticed that in FY21 the revenues went down while the operating profits and operating profit margin went up substantially.

01:35:23:13 - 01:35:58:11

Leads me to the question whether during the COVID time, because you were taking a riskier business in terms of managing all the teams, putting in money there. Were you able to improve margins and thereafter sustain margins? What is the reason for that margin uptick? The second question is, you know, obviously, given the very large different options that one has today in terms of making a payment outside cash very easily, you can use UPI very easily.

01:35:58:11 - 01:36:29:09

You can do transactions through net banking very easily you know, there are payments banks that are around, etc., etc. and then multiple options you are having, including rupay, etc.. So what do you see as the impact, say, five years down the line in terms of the current business model? Because quite a bit of what you're doing is physical cash related and cash management related and things like that.

01:36:29:11 - 01:36:55:07

And if so, what are you planning in terms of a shift? I really appreciate what's being planned in terms of IOT and, you know, intelligent IOT and all of that, that that's a step in the right direction. And third question, whether there are opportunities internationally in terms of, you know, the gamut of operations that you have handle the complexity handling

01:36:55:07 - 01:37:21:10

Many countries would be like handling a small state in India. So do you see any opportunity of this kind internationally? Thank you so much.

A great question, sir. I'm going to take some of them closer to my heart. So international is something

I've evaluated very, very many times. Right? 2012, 13, 15, 16. But and then we gave up every time we said, this is too much distraction .

01:37:21:10 - 01:37:41:02

Unknown

We need to focus on a core. We think we got a lot of growth opportunity here. It's not easy to think of. We also looked at many failed companies from India who try to expand globally, and we said really what worked for them was technology offering or labor arbitrage. You can't explore that in our business. And we said we have enough growth here, let's focus here.

01:37:41:04 - 01:38:08:20

But we had a we again, we talked about it about 12 months ago when a large global customer of ours multinational customers wanted us to set up shop in the US. Now we were looking at South Asia, South Asia, not in Middle East, and we said, Why? And they said, Because when we work with let's take whatever company in the U.S. they said we planned the entire month with them, which ATM which date of the month, which retails or which they ultimately still can't execute.

01:38:08:22 - 01:38:39:09

And here we let you know in the morning the 400 0 atms to go to

o and you finish it by the end of the day

we want this network there. So it was very you know it was it felt good and we said we just have enough opportunity here. Therefore, we will still focus here. But when I think of from a long term perspective, the lot business potentially, yes, we would because we think if we can become really world class and that is something we can export, we will take a different approach.

01:38:39:11 - 01:38:57:18

We will partner with the best companies there to launch it. But we still think, again, you know, we have a great market opportunity, is a massive market opportunity. We can do well also we have to attract some talent to think about that. But I think from a technology businesses, we will from the shared logistics business, I think we have enough opportunity and I don't think really we would want to distract ourselves.

01:38:57:20 - 01:39:21:13

To your first question on how we think for a five years perspective with all the different payment options available. Our view is that we feel our let's take retail, just the growth in retail and the number of points we have seen coming up, that retail store, if you go to any retail store or whether it's in Bombay or Delhi, I'm talking metro, right?

01:39:21:15 - 01:39:56:12

60% of our retail business is actually urban, only 40% to semi -urban or rural. Now, they will be a new retail store in these cities. They will need cash management. The amount of transactions a day could be 50% in cash, could be 20 % in cash. But they need a company like us to come and manage it for them. We also have a currently a very large market which is sitting under the cash logistics players, which is handled and tackled by business, correspond by the payment banks dealing with currency and that's where .

01:39:56:12 - 01:40:42:12

Anush just talked about CashX the solution which you want to launch in partnering with them. We think that a massive amount of money which you can handle in the formalized manner out there. So I think from us the business model still remains about formalization more commerce points to transact and they will have some ratio of digital and cash, whatever cash levels, they have ₹10,000 a day , Rs 50,000 a day , one lakh a day they will need somebody like us to come and evaluate and manage it for them. I missed and forgot your second question. Sorry. Which business businesses for the future market expansion . So if FY 21 we did a few things. One, we were lucky when the years when COVID hit. I think first thing we had been driving a lot of automation of internal operations for a year, year and a half.

01:40:42:14 - 01:41:00:21

So we don't know. We just trying to automate and just get some of that done. Secondly, we were looking to acquire a company and thanks for COVID . You could acquire it faster and much cheaper so that revenue and business came on to our network very quickly. Number three, we so we are able to manage cost and we are able to scale up product revenue.

01:41:00:22 - 01:41:21:20

And third, our expansion into the managed services business has started playing out. Some of the contracts started delivering results. The big ones came later, some of them started coming and so on. Our revenue dip I think 6- 7%, 6-7%. And the PAT increase was in fact I remember pre IPO and during IPO

people are like this margin profile is substantial improvement.

01:41:21:24 - 01:41:50:21

Unknown

This was cost cutting obviously forward. You can repeat it and thankfully till we have, you know, taken that much, much higher after that. So thank you. Thank you.

Am i audible. Is it? Yes. Yeah.

This is Piyush Jain, Individual investor sir, I want to check we are generating around 350 to 400 crore free cash flow every year, uh, cash flow from operations this year.

01:41:50:21 - 01:42:15:16

Also we had a around cash flow of 350 to 400 crore . 450 crore cash we a

re having on the balance sheet.

So what I understood banks wants to do more of the outsourcing ATM, which is your brown label or something where they don't want to do CapEx and the CapEx would be done from your site. So what is the outlook for the next 2 to 3 years where this cash flow generation of the next few years and the cash sitting on the balance sheet will be used?

01:42:15:22 - 01:42:46:09

And how much would be the annual CapEx would be from your side? First? This is second. Second question. We are some doing some ATM manufacturing site in the Chennai. some manufacturing. I don't know how much CapEx would go there, but will it be a manufacturing will be a lower margin business which will impact our blended EBIDTA? Is it overall and of your third point, like the EBIDTA margin is improving from 16% 3 to 4 years back.

01:42:46:09 - 01:43:07:00

Unknown

Now we are down 27 to 28% in this last quarter. We do down 30 -31%. So this EBIDTA will be sustainable for the next two three years or the way we are growing in the target around 3400 crore next by FY27 or something, the further operating leverage will kick in and we can annual business will go move towards 30% plus something.

01:43:07:02 - 01:43:37:15

Thank you for my side. I hope what you are saying, but a lot of what you're saying comes through. But Pankaj could you answer some of these questions? So if you see the first question of around 450 cr cash available with us saying I told you that we are paying around 23% of the dividend payout ratio and over a period of last five years from 19 to 23, we have spent around seven hundred crore rupees, other CapEx for the expansion and growth.

01:43:37:17 - 01:44:01:24

There is a lot of refresh cycle of the ATM which is coming and but we are very judicious in investing the CapEx, whatever our threshold for the IRR, we will invest only for those type of projects, not for the other projects. We are looking for a lot of other opportunities which may come in during the next coming period where we will invest.

01:44:01:24 - 01:44:40:03

For that BLA we are always be very cautious. I'm saying we are not, we are cautious because the considering that it should threshold our IRR limit as well as we are very choosy about that banks we put for the BLA for that. Let me sort of I'll tell you about your outlook for starting over. Finished. Yeah. Yeah. So yeah, so you know, the manufacturing assembly is a very strategic decision when you think about any new RFP which will come out or most large RFP's, they will be end to end balance sheet or not as a separate issue right now.

01:44:40:03 - 01:44:56:08

Right. They will say we want someone to be able to provide the machines. They should do the maintenance, they should have the cash management due to the remote monitoring bank could spend the capital. They could want you to the capital. That doesn't matter right now, if you want to bid for them. Given the new make in India norms and push, if you don't have manufacture, you can't even bid for it.

01:44:56:08 - 01:45:15:24

You're out. You know the entire value chain. Therefore, I don't think it is about Kitna kharcha hoga. It doesn't even matter. It is a necessary thing for us to do. Having said that, so therefore, it is not about making low margins. I don't think this will lead to lower margin and how we sell. Our focus remains on doing things, which make sense.

01:45:16:01 - 01:45:37:19

To your second question on 450 crores. You know, we have our cash flow generation. How do you deploy the capital? How do we give it back? Absolutely valid questions.

Our view today and that can change over time is the fact that we don't want to be sitting on too much cash. However, we want to have cash available for strategic moves.

01:45:37:21 - 01:46:04:14

Growth capital is easier to forecast and predict, but strategic moves, I think

there are

very juncture. The best I've seen in the last five or six years when you think of potential for M&A, global impact on VC cycles impacting India, fintech industry in India, lack of their business model, lack of many other liabilities, them having good technology but not able to penetrate the bank.

01:46:04:14 - 01:46:44:19

We know the banks, we have a distribution network. Partnerships could emerge. We don't know. We will see. We have been giving dividends and we will continue to give dividends, hopefully basis board approvals. And over time, I think if we don't see a good use for a cash that will get returned to shareholders obviously, there is something else. So the capital direction is, the last two years we have spent about 200 and 210 crores of CapEx - our capital forecast needs for this year are roughly in the 150 to 175 crore range.

01:46:44:21 - 01:47:08:15

Unless we win a huge auto big win, multiple recurring revenue, recurring revenue streams which needs a capital investment, will come back and update you. But I know that's what we think the capital cycle needs for us. Also growing and expanding and upgrading our network. You have to also had one more point I wanted to make out here on CapEx.

01:47:08:17 - 01:47:36:10

We talked about the plant, the manufacturing plant was last year within the capital outlay we had. So we didn't go and spend more. We actually managed that within the budget we had for the year. In fact, we came a little lower than what we had forecasted. EBITDA margin, And so, you know, as a management team now we are we have done 12, 14 years together every quarter we simulate we do simulations on revenue growth, margin profile, market share.

01:47:36:12 - 01:47:59:17

You don't get all true right every time. But that's sort of ideal thing, where we sit with our margin profile is significantly different than many other players. Number two, the sector is growing very well. I would expect very high competitive intensity. How do we grow in that? How do we win in that? When do we focus on share?

01:47:59:17 - 01:48:20:20

Unknown

When do we share on margins? You will also hope and trust us to do what we have done till now to do the right thing we have capital, thankfully, and therefore we don't need to take debt. But You know, we are responsible for capital, so we think of cost of capital, what our equity to do on capital ratios 13, 14% plus a margin of safety is what we seek when we think about investing capital.

01:48:20:22 - 01:48:36:09

But sometimes you have to make strategic moves. When we entered the multi vendor solutions business, we were willing to do that even at a loss because you just get into a very strategic and we didn't make a loss and made a profit. But you have to do the right thing for the longer term. So difficult to forecast margin profiles.

01:48:36:11 - 01:49:01:16

Had you asked me three years ago would we be 28% or 30, whatever, I would not have known. I think we watch it every quarter. And if there is any change coming, we will update you on that. What I said, we simulate and manage this every quarter. Right. It depends on the competitive moves. I wish it was only market share in new businesses and that is also very deal specific, right?

01:49:01:16 - 01:49:20:06

How sometimes you want to enter a customer so that you can sell other services and therefore you will. We don't take a loss leader strategy. sort of not, not our culture, but for us we do think about scale. We think about being a number one, but not number one, because there's a marketing element. We want to be number one, bring down our cost unit cost, right?

01:49:20:11 - 01:49:42:11

So we can get the unit cost down. It makes us sustainable for the longer term. And also we have a strong confidence that once we are able to penetrate a, our quality will help us do what we do today. Our customer re

tention is almost close to 100% is never 100, but almost 100%. Thank you. Yeah.
Hi. This is Prateek Cheda from Guardian Capital Partners.

01:49:42:17 - 01:50:08:15

So my question is around remote monitoring. So you mentioned in one of your slides there you under 40, 40% of the bank branches are on the remote monitoring system. So suppose we are sitting in an environment where 80 to 90% of the branches have been tapped. So what do you see as the revenue potential here, along with the consideration that you've upgraded the existing 40% of the new offer that you mentioned?

01:50:08:17 - 01:50:32:11

And this is the question I'm coming from the background that You mentioned that the run rate of this remote monitoring system is close to 100 crores right now. My second question is, what is the can you get into a bit of the unit economics of remote monitoring? So one of the important business case that you mentioned is that it is looking to replace security guards with the remote monitoring system.

01:50:32:11 - 01:50:59:23

So what is the cost that implementation of a remote monitoring system, Cost for per ATM sites removing the security guard and is there any pushback coming from these ATM guys or the retail manufacturers when they get into a more private get into a more reactionary mode rather than a preventive mode from having a security guard at the site?

01:51:00:00 - 01:51:21:20

And lastly, when you say that your aspirational target is to reach around 3700 to 3800 crores of revenue may affect 27, how much would you attribute this to remote monitoring systems? Great question. I lost the last question last, but just to clarify, 34 to 38, not 37 to 38, I don't want us to keep increasing our targets right now.

01:51:21:24 - 01:51:48:07

Manju You want to talk about the economics between having a physical, the ATM and remote monitoring? Yeah. Sorry, I who asked this question? I couldn't see you. Sorry. Yes. Typically, if a guard is put as by the central minimum wages or state minimum wages, there are so many codes which makes it very difficult. typically costs one or three shifts for about ₹45,000 a month.

01:51:48:09 - 01:52:10:10

The cost of the man guard. A remote monitoring solution offering depending on bank of bank, they would be paying less than 5000 a month. Yeah, right. I'm talking about ATM and not any other use cases are. Your second question was on unit economics. So that's sort of, you know, the revenue stream is mostly fixed in nature. Your third question was bit of revenue question.

01:52:10:12 - 01:52:32:00

So my my first question was if you are sitting in an environment, when we tap 90% of the bank branches we have when we get there. Yeah. When we get there. Yeah. So considering that we've upgraded the office for the existing 40% also, what is the revenue potential of coming directly from the ATMs itself. I'm not leaving out. So you go your laptop.

01:52:32:00 - 01:52:58:00

We can do it right now. Right. We'll just think of it. I would wonder. 2,60,000 ATMs roughly into 5000, ₹4,000 a month or Rs. 50,000 to be the year that gives you a thousand crore opportunity. Mota mota. I could be wrong, for the ATM. forget CMS. We may Win lose. I have no clue right on that. Your take a branch of the 120,000 branch of the branch solution is more expensive a little more extensive with six ₹7,000 a month, at it's a lakh per year, one lakh into those.

01:52:58:00 - 01:53:12:03

How many branches are there in the country? 120,000. 120,000. So that's about 12 00 or 13 00 crore. And that just bank branches and ATM sites. Then you go to nbfc branches and you go to insurance branches, then you go to Gold loan. But I don't even know how many there are because we don't they are not still full customers.

01:53:12:03 - 01:53:30:00

We started to walk up to them. I think the large opportunity, if I remember the TAM slide,

it's a TAM

which is growing from 1000 crore to 4000 or 5000 crores in that year period, right? Wrong. I don't know. But that's the sort of time, potential retail. I don't think that the time to replace it, if you thought about it, we are not to replace anybody.

01:53:30:02 - 01:53:53:19

Unknown

But retail is more about analytics, right? It's not about Chor i hoga ki nahi, . Got any because it's too late. Somebody did something. What are you going to do anything with? This is more of our analytics, is more oil. Analytics is about tracking how you standing there, how long footfalls , footfalls of those things right warehousing because I think a bigger area that already people are a solution to this don't get us wrong we are not the guys are the solution that we have the solu tion for the branches and the ATMs, which is sort of our core competency right now.

01:53:53:24 - 01:54:10:05

But technology is sort of fungible. We're investing in people. We have architects looking at it, We have AI models being built. We are hoping to use the scale, a lot of it goes around maintaining these sites. We will get I mean, I don't get the name, but there was a big name in the consumer site on this long ago in the country.

01:54:10:05 - 01:54:26:08

Most of your buildings would have had it. The company has disappeared. It's moved to you know, it just became more of a sad situation where they didn't have the money to go maintain and manage those networks. I think we are going about in a very pragmatic manner. I think this could be a 5,000 -10,000 crore potential market size.

01:54:26:10 - 01:54:41:10

We will not be 20% market share in that. We would be, let's say a thousand crore business will take five or ten year. I don't know, will we get lucky and e xpand internationally? I would want to , do a business. I would love to expand inter nationally if we can get the right partnerships to go take it to other markets.

01:54:41:10 - 01:54:58:20

Are there no other solution that of could there be solutions there ? Can we do cheaper and better? We hope to. Right ! Early days. I'm sorry I can give you a lot of clarity. Is two years in the business of. We can't speak with the depth of knowledge. We haven't got the businesses, but it is a promising business. Thanks.

01:54:58:22 - 01:55:29:10

Oh, hi. Thanks for taking my question. This is Balaji Subramaniam from I IFL and the presentation was quite insightful. So just a couple of questions. The first one is just on your revenue aspiration of 3 400 to 3800 crores by FY27 . So what would be the rough revenue mix between your core business, which is cash management and the managed services and any potential new areas that you may foray into?

01:55:29:12 - 01:55:56:00

And number two, it is more of a housekeeping question. Just wanted to understand the progress on the compliance of both the van related compliance and the cassette swap regulation. Thank you. I think maybe can you hear me. Let me take the second one first of all, as soon as the compliance is concerned for the non -cassette swap part of it, we had indicated that there is roughly a three year roadmap for us to complete that.

01:55:56:02 - 01:56:15:18

We are two years into the three roadmap and right now we are at about 70% completion. Little bit more on it, a little lesser on retail. And I feel fairly confident that in the next , by end of FY 24 and then maybe another quarter or two, we should have we should have most o f the compl iance process completed because cassette swaps always been a lot slower.

01:56:15:22 - 01:56:43:09

But there has been I'm not sure if we spoke about it in the last call, but there have been strong discussions, a lot of discussions between the R BI and the IBA on what is the most effective manner t o roll this out going from our p ast learnings on where we did compliance on a bank to bank basis, irrespective of which cities

it was located in, there is a strong collective thought in the industry, bot h the cash as well as the banking industry, that we should instead operate on a city wide basis.

01:56:43:11 - 01:57:04:18

Hence there is no disparity of in one city of doing cassette swaps for a particular bank and then for some of the bank. It is happen ing in a different way. It also just gives us more operational complexity for us. I

think that road map of the cities and which time frame should get firmed up in a matter of a couple of months and we should maybe have some more clarity on the next time we speak to your first question.

01:57:04:18 - 01:57:28:08

Balaji, if I look at a FY 21 FY 21, the cash logistics business would have been roughly 70% revenue. If FY 23 is closer to 66, I don't know. The numbers are public, FY25. And then FY 27 and I know again, this is what I hate, what giving an aspirational target is one of my friends there told me, the friend, I hope you don't have to give a guidance, but I would love it as the analyst will get your guidance.

01:57:28:11 - 01:57:53:05

This is not a guidance. This is just a directional call. We think the cash logistics business would be 57 to 60% of our revenue. We are largely talking organic growth sort of numbers and mixes Right now. The software business, which includes the AIoT business, should be 8 to 10% of our revenue and then the remaining 30% would be the broader managed services suite of offerings.

01:57:53:05 - 01:58:21:23

We have. Yeah. So I think that's the sort of what we think right now. Okay. So this is Dewang from Samiksha. You mentioned CapEx of 150- 175 crores earlier. How do you understand this CapEx between is your core business and what is what, you know, growing in adjacency? So for core business, if you could give a sense of all which is CapEx to sales on an ongoing basis, what do you like 7 -8% of sales for a capital sales function?

01:58:21:23 - 01:58:48:23

You know, right now everything has become core this. There's no I just didn't see left right, no remote monitoring has come to a decent size. It's not incubation. A lot of it. I think the question is really how much is growth CapEx Vs maintenance CapEx, right. Maintenance CapEx for us. You know, Pankaj, how much maintenance CapEx for us is not much, and especially given in last five years, we have invested heavily on that, especially our core business.

01:58:49:04 - 01:59:10:05

So going forward, next three or four years, the maintenance CapEx will order by 25 -30 crores per year. Maybe just to be having a safer ballpark, I would think about the fact that basis, the projects we have to execute, whether its IoT, whether I think of managed services and some of the growth we anticipate, I think the most of it is growth capital.

01:59:10:05 - 01:59:31:15

This is not including any M&A. How should we think about the longer term? We showed you the FY 16 to 23 journey right where 23 crores per year for three years and then 138 crore, very difficult to forecast longer term. But we have sort of guided to the fact that we anticipate CapEx average of one 150 crore a year.

01:59:31:17 - 01:59:56:00

We could be lower, There could be more. If it is more, I mean, it's actually good. I think then we are only investing it because we have a long term we winning that long term recurring revenue. Why do we invest capital for ourselves? We only invest capital other than the mandatory upgradation of the network or deepening is to if we have a line of sight to a very strong recurring revenue stream and therefore the payback period of that is very important.

01:59:56:00 - 02:00:10:22

We have our own internal benchmark thresholds, IRR for which will never go to the board for approval, and we have actually left a lot of growth where we are, you know, in the middle range, we just drop it. We don't take the risk at all. Okay, how

much do we spend on technology?

02:00:10:22 - 02:00:28:09

And given our, you know, aspirations to go global, how much do you intend to, you know, scale this up. I don't I don't want you to think that we have aspiration, but we would hope to go global at some point. I actually don't think we are getting the bandwidth to even think about it, there is a lot to be done.

02:00:28:09 - 02:01:05:04

Managing a business of our type and nature in India is very intensive of we will get to it when we think we are ready right now I don't think we are ready to go global, so please don't think that's happening right now. From a perspective or technology spend per year. I would say our journey. 20,30crores I think it is generally less than 10% of the CapEx spent on the total CapEx when initially in the we talk about

initially from 18 to 19, etc during that period, our lot of expenditure has gone for automation and the technology.

02:01:05:06 - 02:01:34:17

We have seen a lot of the videos you are seeing, those are the videos and digital, those technology investment we have made. So yeah, let's take really close, maybe roughly. So the next question was on the revenue growth in the past call. You mentioned, you know, the contribution of volume and value is about 5050 now in FY24. Once we reach the, you know, compliance levels acquired, how does the volume value mix will be in the aspiration and the guy so five that I speak, I know where you are going with that.

02:01:34:17 - 02:02:03:02

Let me for the purpose of giving everybody else a little I want to change the question a little bit, right? Because I want people to get fussed about the compliance. And yes, it's important. Yes, you're driving it. The question really, what happens after that? That's the question. Yes. Yeah. And again, our viewpoint, right or wrong and Anush you should give the answer, because this is most important relevant for the ATM cash logistics business not the rest is really relevant that you should get that viewpoint of how we think longer term.

02:02:03:04 - 02:02:17:21

Absolutely. So I think when you look at our last two years, the 20% revenues that we've been able to achieve CAGR in the cash business, a little bit more than 10% has come from pure volume. And then when we talk about the rest, that's not purely compliance alone. That's a function of three things. There's obviously compliance to it.

02:02:17:23 - 02:02:38:09

There's also the activity increases that happen because as you know, as the economy has opened up, as greater intensity of cash has increased, as we've seen the vibrancy report, all of that leads to improved realizations. And the third element of it is just pricing. We've got we've had a demonstrated history for the last decade where we've been able to take on an average basis about a price increase of about 3% - 3.5%.

02:02:38:11 - 02:02:59:23

So I think one way to think of it is, you know, when you look at if I just take a very not a FY25 beyond seller, but if you take a much longer scenario and one more to sort of because we keep doing a lot of scenario planning internally, if one were to think of it in ATM business and what happens when we need can stop growing or in a very low growth scenario, what does life look like that look like for us historically?

02:03:00:00 - 02:03:22:07

Whether you look at the three years or six years or ten years, the average growth of the overall ATM network has been about 4 to 5% CAGR. That's that's that's bare min_____ also coming out of the last four or five years where the banks have just not been able to spend the money to grow this network as Manjunath said based on what we think are the ATMS in the pipeline, 40,000 ATMS in the next 12 to 18 months.

02:03:22:12 - 02:03:40:11

80,000 ATMS in the next 3 to 4 years. I think that CAGR will increase. But let's assume if we just go with this 4% for now. To this

we need to add in the layer of what is going to be the growth of incremental outsourcing. That by itself, I think will lead to another 4 to 5% CAGR.

02:03:40:11 - 02:04:00:06

So just, you know, if nothing else happens, if companies like us are not investing no capital for helping the banks expand the network because banks by themselves will not do much, that 8 to 10% expansion of this, the bad number of outsourcing attempts will increase to this. Then you add the layer of what would be in terms of our pricing increase in a low growth scenario.

02:04:00:06 - 02:04:23:15

I think pricing increase can be better and in high growth scenario we still want to keep pricing a little low to try and just manage and deal with all that growth. So I think when we think of such sort of, you know, almost like a doomsday scenario, what is a very long future scenario for the cash business and on the ATM, which is the most mature or the largest of the three cash businesses, I think that is sort of way we feel saying we should be able to grow revenues by about 13 to 15%.

02:04:23:17 - 02:04:44:08

You've seen a historical performance where we are able to sort of bring in a lot of operating leverage to business. And I think if we are able to get that 13, 15% revenue growth in, we should be able to get a higher number of that translating into a bottom line performance. But then that's that's one very reasonably pessimistic, cynical version of life.

02:04:44:10 - 02:05:02:07

But I hope that we'll see, we think of it this way. We say, take the next decade, we don't know what happens. We can't forecast, we have no ability to forecast. We still think the various components of the cash business put together looking historical trends, look and not be bullish. We try and take a base case, not terrible case, get base case approach.

02:05:02:13 - 02:05:18:16

I think we should grow revenue 10 to 12%. If we can grow revenue 10 to 12%, your margins should grow at 14 to 15% maybe high. I don't know. We don't know competitive dynamics. There are three players, ten players. We don't know all that. That's what we think as a base case. We clearly right now much higher than that. But that's the way we think.

02:05:18:16 - 02:05:48:13

We could be surprised, positively or negatively. We don't know that I'm, you know, linking this to unit economics. We are the leader and if you are to keep increasing market share, with whom are we? Is it easiest for us to gain market share from? Are the smaller players, regional players, Do we really, you know, have superior unit economics from them to gain, you know, gain market share from them or is it the number two player struggling and the larger players for whom we are gaining share it So it's a mix honestly.

02:05:48:13 - 02:06:05:23

Right. Like I said, I think our got a gain in the market share, which is most easily visible on the ATM side as is a mix of all of these things and which is why I think different banks in this piece have different preferences. Sometimes they want to work, sometimes outsource or increase share for quality of service. Sometimes they do it for because we have the reach.

02:06:06:00 - 02:06:19:09

And I think in the ATM that's particularly critical because once you invest in a capital and you set up a new team in a particular place, you want to give it to those whoever it is the most readily accepting of that location as opposed to saying, give me a six month time and I will set up a facility and I will create a network on that.

02:06:19:09 - 02:06:44:12

They just don't have the time to wait for it. And third and most importantly is just around the sheer reliability. And can I go to sleep every night knowing that my currency or cash is safe with this of this company. So again, different different dynamics or different businesses and different customers, different preferences. But yes, I think as with every

thing else, as with every industry that is growing at maturing, we are seeing a shift to and a shift to quality in the shift to safety.

02:06:44:12 - 02:07:11:06

In the cash in transit business is the only place you see smaller regional semi organized players. There is an RBI mandate to streamline that. I don't know how long that takes, but that's the most part of a sector which has got though, let's say, on a level of compliance players with lesser compliance. The retail side of the business has got surprisingly lots of local companies at the smaller level handling it.

02:07:11:06 - 02:07:41:00

The payment banks are also doing some work there. The BCs is also doing so it's a fairly large market there. But the cash logistics place is basically a two three player market trading, same with the ATM cash management. That's also just a three sort of player market who do we gain share from I think we have we have every time there has been a pain point in the industry their share has moved to the stronger player whoever that maybe we've been lucky many times and we hope we can be that in the future.

02:07:41:02 - 02:08:09:08

I think the last few questions are good. Yeah. Uh, a Hi, this is Omnia. Thank you. It was a very elaborate presentation. Thank you to the management. I have one question on the unit cost that you mentioned. I think multiple times during the presentation first by Anush and then by Mr. Kaul, can you talk about where are we efficient and what are the reasons behind our efficiency in that cash logistics business.

02:08:09:10 - 02:08:27:15

And second thing you mentioned about productivity increase of 20% that you have achieved in the last

few years. Can you talk more about it. What are the metrics that you're thinking about and is that like a ceiling we are sitting on or are there more opportunity to improve our on our unit cost? Can you expand on this point?

02:08:27:17 - 02:08:51:22

I want I want to please I remember this incident and I think the team would remember when the company was changing hands between two private equity players. We had a productivity gain that year of, I don't know, three and a half percent and consulting firms and the PE firms were diligencing this; ye saade teen ka kya hoga, ye saade teen kaise aage badhega, I am like hume nahi pata, hum koshish karenge isse badhane ke liye and I know we are seven years later I don't know how again they've done it but they've done just 20% over the last two or three years.

02:08:51:22 - 02:09:12:18

But I remember this in 2014, the amount of brain damage, eight nine consulting people, three practically companies were going after. I think Kaise kiya aage kaise karoge and sometimes you don't even know how to explain these things. It thankfully happened, but hopefully Anush is better articulator that I'm going to give you a simplified that I can give you a long answer and I'll just be giving everybody away from Hi-tea in sometime.

02:09:12:18 - 02:09:36:16

But I think if I try to simplify it fundamentally, it's a business which lends itself to scale. We have spent our we spend time and effort and capital in creating a network and scale across the length and breadth of the country. What helps us is when incremental business comes, it comes and we have an ability to absorb it without necessarily having proportionate cost increases.

02:09:36:18 - 02:09:53:04

And that's to the simplest level. What the second thing, which really helps us is the fact that I think people underestimate this a lot when they when they see when they don't see, the fact that there is a certain value to having market leadership positions across all the businesses of cash, you do not necessarily see that in any other player.

02:09:53:04 - 02:10:23:02

There may be companies which are large in ATM cash management or retail or CIT, but not not all of them. And even the ones which are large,

in ATM cash management are there because they have a large captive business not spread. I think having access to that diversity and, you know, gives us an ability to just sweat a certain portion of our infrastructure routes and fixed cost across all of this in a way that also relates to your second question, which is then what does productivity mean for us?

02:10:23:04 - 02:10:47:02

I think that, for us also that keeps changing. But right now the way we measure productivity is what is the throughput that we can extract from a route on a daily basis. And this may mean that, you know, is it the route doing what is the number of activities that we are able to, for example, measure, which is the number of ATM replenishments and number of cash pickups and number of CIT.

02:10:47:08 - 02:11:05:04

And this is not easy because all of them have different complexities. That item loading replacement work is different from retail cash pickup up and so on. What we are able to do is to sort of bring it to normalized level of what we call it activity, and ATM may be 1.5 x, retail maybe point seven just for example, and that is what we sort of internally measure.

02:11:05:04 - 02:11:27:05

So when I talk about how we have been able to grow activities by 20%, what it means is, for example, if four years back we were doing 14 activities to a route, we got really able to do 16, 16.5 and the last part of your question, which is how much can this grow? The only one way to answer that, to say the same thing was, as Rajiv mentioned, which is how we answer that five, six years back, which is honestly, we don't know.

02:11:27:05 - 02:11:47:08

But what we do know is there are regions, of CMS and large regions, large places. Each region, for example, may be the size of one of our smaller competitors, but there are regions that CMS, which thanks to the combination of density, the quality of work and the process improvement that we've been able to do, that our operating and productivity levels which are far higher than the national average to us go.

02:11:47:08 - 02:12:05:04

So as inspiration of figuring out, okay, this one can do it, what are the factors which are helping properly and you know, and how do we sort of nurture those similar factors in other places that that really is is what we do? I would tell you couple of things more. I just thought of this. When you think of a team, the culture right up here, they are everywhere.

02:12:05:06 - 02:12:24:22

When you come to a field level, I don't want to compare to some of the other logistics companies in different sectors and how they what they do and the pressures on people. There's not a single CMS team member who's not got paid on the 30th of the month. Fundamentally, they will get paid. If you don't have money, the management, you'll get paid 15.

02:12:24:24 - 02:12:48:16

That was ten years ago, but we'll make sure people have money on time. Number two, we link some part of the pay to productivity, but not like, you know, tumko athara dabbe aaj dene hai . But we don't have the culture we think the risk management safety & security is very, very important. Our productivity, if you compare to some other competitors when you're looking to invest or acquire them, we compare us 20/30% higher.

02:12:48:18 - 02:13:06:00

I think culture plays a big role, density plays a big role. Semi -urban Rural India still doesn't have enough density, right? We have very good density in Bombay malls, right? Whatever. But traffic kills you you've got a smaller city. Traffic may not kill you, but networks are far flung. So I think the enough potential for this to systematically change.

02:13:06:02 - 02:13:23:02

But why are we able to do this? Is we put technology into this. Right. And this is not technology and marketing , we are not a tech company, we need a different multiple. We just put technology into this lon

g ago. Why can we do it? first We think that way right some of us have a fairly decent technology background. Secondly, it costs money.

02:13:23:04 - 02:13:38:02

When you have a large business , let's assume we put 8 crores into the cash logistics technology business this year on a 13 00 crore of revenue, we don't even think about it twice. The next competitor will be 400 crore in revenue can he put in 8 cr in at the cost of the same. It's not going to be like, you know, you've got.

02:13:38:06 - 02:13:54:11

So therefore we're able to take the cost, think longer term, apply it and really keep pushing for so many small things come into play up tech to some level automation of business to some level, how do you save time? But for us, we also go a lot into how do you save, how do you reduce the risk in this business.

02:13:54:13 - 02:14:16:19

So I got this one question related to remote monitoring that you mentioned as a business. Just from the feel of what you just said seems like more horizontal technology business. So really think about that. What's our right to win? And when we think about international, these seems like much more micro market type of activities that we need to do.

02:14:16:21 - 02:14:35:18

So is there a right to an event in international for in remote monitoring . International? No clue. No clue. It's a long dream we'll see. We'll get to it. It's not something we've indicated promised, anything, nothing like that. Domestically, we want to make it a horizontal. Right now it's a vertical. This is one business we think we can go horizontal right.

02:14:35:20 - 02:14:55:24

Who are the players there? We haven't come across any scale player. Right. Because the larger business right now is the BFSI space. You go win one bank, you could 5000 ATM sites, you can't get 5000 retail stores. So it's just not happening, right? So and there is regulatory and the cost focus and therefore you are getting a faster ramp up there.

02:14:56:01 - 02:15:16:23

What is the right to win horizontally for us, the right to win will be number one. We will have investment technology on much larger scale. Let's assume you have a retail oriented AI oT company and we have a banking oriented or you'll have 5000 sites max, we will be at 25,000. Our AI cost of development of the modules can be allocated on a very different level.

02:15:17:00 - 02:15:32:01

Number two, every where there's a site physically, it needs a physical touch stip, something going wrong, who are you going to use? You will depend on somebody else he or she will never land up. The quality of service is terrible. The customer is not going to wait, boss I got this to be fixed now. What do we do?

02:15:32:01 - 02:15:57:22

Manju, s got Manju's team got 15 00 engineers. We're managing different infrastructure. We can use them. Is it is it is. It doesn't make sense cost but we'll see. But I think for us, we have a lot of these things which come into play to give a better customer experience. Many of the older generation video, whatever we used to call it at home or offices just never work because the company could never turn up for three, three days, five days to fix things for you.

02:15:58:01 - 02:16:12:24

And people say Ye chal nhi raha chodo yaar pada hua hai, but our right. So I think there us there is a lot which we can do here, but we need to prove ourselves and see and we will see how lucrative those markets will be. I don't want to be chasing individually each building in Bombay and society. We want to go into that business at.

02:16:12:24 - 02:16:36:14

All right. Now we want to focus on which is we are a deep B2B company. We don't want to go away from that. We do a lot of work with banks. We will do more work than NBFC s will do more work with e-commerce companies, and we want to keep selling them different solutions. Sorry. Yeah, thanks two three if, you know

, like a cultural change the way people have started accepting.

02:16:36:14 - 02:17:03:21

Gpays, the government initiative for UPI, the way it has exploded, the way they are trying to come out with the rupay, which is a comparatively lower cost for credit card. So all this can put together can bring some flanker take one of us we are handling some your thoughts on that say for maybe three years perspective. I think this is something which has been going for a long time.

02:17:03:23 - 02:17:36:20

It got catapulted & thrust much more really post demonetization like Paytm became a huge national brand at that time. We did look at fintech companies, we were looking at fintech companies before, but uske baad toh fir unka valuation, ek zamane main kar hi nahi paye In fact, I know in the lead up to the IPO last a lot of investor friends would tell me tum kuch paytm type karo yaar, nahi karoge toh tanla type karlo, kuch bhi karlo but kuch toh isme naya dalo, we could never figured out the valuation multiples or whatever many of this companies or anything that, we said humko ye samaj nahi aata hai.

02:17:36:22 - 02:17:56:18

So I don't think it's a flank attack. I think there's a there is a big change which just happened. It got further exaggerated or thrust up during COVID. E-commerce to organised retail, people just say, why are you investing your organized retail vs E-commerce. Fundamental question people have invested in e-commerce and lost money? They may be making money there.

02:17:56:18 - 02:18:16:19

We don't know. I think we our view is very simplistic. We are saying as India grows steadily, slowly, fast, we don't know a ll boats will rise. Our share of that will improve because we are a play on formalization rather than informalization. And therefore when there is, let's say, money which doesn't come in, come back into banking channel, we can't do anything with it.

02:18:17:00 - 02:18:40:22

We would want a bhi kya hai ki aapne mahine main das hazar withdraw bhi kar liye, spend karne ke liye, who ghumta rehta hai, woh wapas nahi aata. Like we dispense. We handle how much in ATM per year? Per month We do 90,000 to 1 lakh crore in ATM per month, but then retail will do 15,000 crores someday this should be one crore, one crore, should be logically. Kab hoga mujhe nahi pata but should be one crore.

02:18:41:00 - 02:19:00:13

If you go to the US, let's say the ATM business will be a smaller proportion. The retail will be the bigger business, right where people are still going and collecting money and there are organized retail. So I think we look at some of these global trends and we are saying thik hai kuch alag chal raha hai. We've still grown in all of these periods that just gives us confidence to, keep growing.

02:19:00:14 - 02:19:25:18

So we don't think we are growing at the risk or the cost of something else. And I think our play there said

a few times is not to do with how much currency you will end up spending, but the more number of formal places we can go and address . Seven years later, the ATM cash management business. Let's assume that, I don't know, 15% out of your 20% revenue because the new revenue strings by then and and we'll see maybe will become a mature market at that time.

02:19:25:20 - 02:19:45:14

Thank you Rajiv and thank you management for those answers. Unfortunately, we've run out of time. Please do join us at the Tech Expo if you have not already done that experience. But management, thank you so much for patiently answering everybody's questions and everybody else. Thank you so much. Thank you for being a very attentive audience and thank you so much for your time.

02:19:45:16 - 02:19: 55:03 - Thank you.

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Pursuant to Regulation 46(2)(a) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed transcript of recording of post Investors/Analyst meeting held on Monday, July 24, 2023 at 4.00 p.m. (IST) on Unaudited Financial Results (Standalone and Consolidated) of the Company for the quarter ended June 30, 2023.

The transcript is also available on the website of the Company at www.cms.com

You are requested to kindly take the same on record.

Thanking You,

For CMS Info Systems Limited

CS Praveen Soni
Company Secretary & Compliance Officer
(Membership No. FCS 6495)

Encl: a/a
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"CMS Info Systems Limited
Q1 FY '24 Earnings Conference Call"
July 24, 2023

MANAGEMENT : MR. RAJIV KAUL – EXECUTIVE VICE CHAIRMAN ,
W HOLE TIME DIRECTOR AND CHIEF EXECUTIVE
OFFICER – CMS INFO SYSTEMS LIMITED
M R. PANKAJ KHANDELWAL – PRESIDENT AND CHIEF
FINANCIAL OFFICER – CMS INFO SYSTEMS LIMITED
M R. ANUSH RAGHAVAN – PRESIDENT , CASH
L OGISITCS – CMS INFO SYSTEMS LIMITED
M R. MANJUNATH RAO – PRESIDENT , MANAGED
S ERVICES & TECHNOLOGY SOLUTIONS – CMS INFO
SYSTEMS LIMITED

MODERATOR : MR. BALAJI SUBRAMANIAN – IIFL SECURITIES

LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to CMS Info Systems Limited Q1 FY '24 Earnings Conference Call hosted by IIFL Securities Limited. As a reminder, all participant lines will be in the listen only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on a touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Balaji Subramanian from IIFL Securities. Thank you, and over to you, sir.

Balaji Subramanian: Thank you, Neerav. Ladies and gentlemen, good day, and thank you for joining us on the Post-Results Conference Call of CMS Info Systems Limited. It's my pleasure to introduce the senior management team of CMS who are here with us today to discuss the results. We have with us Mr. Rajiv Kaul, Executive Vice Chairman and CEO, Whole-Time Director; Mr. Pankaj Khandelwal, President and CFO; Mr. Anush Raghavan, President, Cash Management; and Mr. Manjunath Rao, President, Managed Services. We will begin the call with opening remarks by the management team. And after that, we will open the call for a Q&A session.

I would now like to hand over the call to Mr. Rajiv Kaul to take proceedings forward. Thank you, and over to you, Rajiv.

Rajiv Kaul: Thank you, Balaji. Good afternoon, everyone. Thank you for taking the time to attend our Q1 FY '24 call. As most of us have recently interacted at our Investor Day on May 25. This call is going to specifically focus on our Q1 FY '24 results. We continue to deliver consistent growth with revenue growth of 13% and adjusted PAT growth of 20% in the quarter.

We're happy that this is our fifth consecutive quarter with 20% year-on-year PAT growth. This is also a quarter where we hit the INR500 crores mark for our services revenue for the first time.

Q1 is usually a seasonally weak quarter. Despite that, we have managed to grow on all of our key metrics. Our CFO, Pankaj will now take us through the financial highlights.

Pankaj Khandelwal: Thank you, Rajiv. Good afternoon, everyone. Our consolidated revenue has grown by 13% to INR512 crores with Managed Services and Technology Solutions now contributing around 36% to all our revenue. Our adjusted EBITDA has grown 19% to INR152 crores, and our adjusted EBITDA margin profile is now 29.6%, a year-on-year improvement of 160 basis points. Our adjusted PAT has grown by 22% to INR87 crores, making this 9 out of last 10 quarters of 20% plus YoY PAT growth.

These numbers are testimony to our market leadership and execution of our order book which we won over the last year. Both of our business segments have delivered strong results. I now hand over the call to Anush Raghavan, President of our Cash Logistics business for more insight into the business performance.

Anush Raghavan: Thank you, Pankaj. Good afternoon, everybody. Our cash Logistics business revenue has grown by 12% year-on-year to INR351 crores in the first quarter with an EBIT growth of 22% to INR94

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crores. The EBIT margin has further expanded by 218 basis points year-on-year to 28.6% in this quarter.

In May, we had released our first cash vibrancy report, which is the first-ever report on cash usage trends in India, which highlighted the robust cash usage across geographies and sectors. We continue to see strong usage trends in currency in this first quarter. Our network had the highest ever currency throughput of INR3.3 lakh crores.

We also continue to see the trend of currency usage growing in metros with 10% year-on-year increase, outpacing the growth in semi-urban and rural India. Our business network has further expanded in this quarter and we currently service 126,000 business points, a 10% year-on-year growth.

On the compliance front, we are seeing a strong momentum in cassette swap implementation.

This has been reinforced by the regulators push and industry-wide consensus. We are now targeting a one-third cassette swap compliance of ATMs by the end of FY '24.

With that, I now request my colleague, Manjunath Rao to share with you an update on the Managed Services and Tech Solutions business.

Manjunath Rao: Thank you, Anush. Our Managed Services and Tech Solutions business revenue has grown 17%

year-on-year to INR182 crores in Q1 with EBIT growth of 15% to INR34 crores. Our EBIT margins stood at 18.7% in the quarter. We have successfully completed the execution of ATM managed services of 5,200 ATMs for a large public sector banks across 526 cities and towns in 26 states.

In our AIoT remote monitoring business, we are investing in building AI modules and are conducting pilots in other verticals. In this year, we expect to see key large PSU RFPs for both automation and ATM as a Service business lines. Just to close out, we reiterate our FY '25 revenue target of INR2,500 crores to INR2,700 crores. Thank you for your support and attending this call. We can now move to the Q&A.

Moderator: We'll now begin the question-and-answer session. The first question is from the line of Varun Darjee, individual investor.

Varun Darjee: Thank you and congratulations on the wonderful set of numbers. Sir, I wanted to ask a couple of questions. Thank you, first of all, for the very detailed transcript that was shared on the exchange website. So while I know the call is specifically for the Q1 results, I had a few questions around the business, right? You had mentioned that 40% of the ATMs are still being serviced by banks, while 60% is being outsourced to players like CMS, right? So how do you see the road map going forward for this existing 40%, which is managed by banks and the incrementals one that banks will deploy in, let's say, 2 to 5 years of time. What is the trend directionally that you see?

Secondly, on the trade receivable numbers as well. The trade receivable numbers is INR451 crores as of March 2023, that's broadly in that range for the last 2, 3 years, right? I was just

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curious to understand why is that number so high. Is that something that is peculiar to the industry? Would that number be very similar for your competitors as well?

Anush Raghavan: Varun, Anush here. I'll take the first part, and Pankaj will answer your second part of the question. As far as the outsourcing trend is concerned, and we have sort of shared this in some of our previous calls as well. This is a longer-term trend. 8-10 years back, perhaps there was a greater majority of ATMs, which banks were servicing themselves as opposed to what they were outsourcing.

With each new iteration of RFP and the outsourcing process, there is a greater percentage of ATMs, which banks choose to outsource. It's really a function of what is the comfort and the quality of outsourcing sophistication of that, which is being amounted by the banks, number one. Second, a lot of these ATMs, which are serviced by the banks themselves are typically on-site branch ATMs which is the public sector banks. The private sector banks have almost completely outsourced their ATMs. And now as incrementally, the public sector banks are getting comfortable with moving to an end-to-end outsourcing of projects, we are seeing a greater number of ATMs which used to be branch managed moving to outsourced model, but this will still take time. This will still take a few years for those trends to continue. And what used to be 50% earlier has become 60% and we expect this to keep inching upwards. Pankaj?

Pankaj Khandelwal: On the trade receivables, one is that we don't comment on our competitors. As regards to CMS is concerned, if you see the FY '21 to '23 period, there is around 40 days DSO improvem

ent.

Varun Darjee: Okay. Understood. And sir, as of June 30, 2023, how many ATMs would CMS manage? I think the last time that number was 72,000, right? What would be that number as of 30th June 2023.

And what do you think the number two and number three players, of course, without putting in a name, how much would they be managing?

Anush Raghavan: So as far as the second one is concerned Varun, sorry, I can't really help you with that. But we also had mentioned this again in some of our earlier calls. As far as the detailed breakup of the business-wise statistics are concerned, we would prefer to share that on an annual basis. Quarterly frequency is not really appropriate for tracking these metrics. So what we do report on a quarterly KPI basis are more the consolidated business points.

Moderator: Next question is from the line of Prithvish Uppal from Asian Market Securities.

Prithvish Uppal: Congratulations on a really good performance. A couple of questions. First, I just wanted to understand the road map of the managed services business as well as, in particular, the AIoT business. How do you see that scaling up into the ambition of doubling the FY '21 revenue by FY '25. So how are we positioning specifically the AIoT business, like you spoke of certain pilot projects. So what has been the feedback there and in terms of increasing the number of touch points that we have in that business as well, how do we perceive vis-a-vis the competition? So that would be the first part of the question.

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Second is, if you could possibly give a breakup of FY '23 the split of the cash management business within the ATM cash management, the cash in transit and the retail cash management business, that would be helpful. And thirdly, in terms of the cash flow- operating cash flow has been growing quite healthily. So just wanted to understand what are the uses of the cash that we're earmarking in terms - specifically in terms of growth. So where are we seeing investment opportunities going ahead? So these would be my three questions.

Manjunath Rao: Thank you, Prithvish. I'll take the -- this is Manjunath. I'll take the question on your remote monitoring services. As you know, our remote monitoring service was launched in 2021, which is now at an annual run rate of about INR100 crores and is also the largest in the BFSI sector. We already have about 21,000 sites plus live and we are further investing in AI modules for new cases. And our overall MS and tech business has scaled to greater than 35% of the revenue. We are aiming for our RMS and software business to be about 8% to 10% of our revenue by FY '27. Does that answer your question?

Prithvish Uppal: Understood. So 8% to 10% by FY '27 is what we will be targeting in terms of the remote monitoring business.

Manjunath Rao: Yes. Remote Monitoring businesses + Software businesses

Prithvish Uppal: Okay. Okay. And this does not include the AIoT -- sorry this is the AIoT business.

Rajiv Kaul: The second question was around -- on cash. I think from an M&A perspective, I think just from a cash and books over the last 2 years, Pankaj, we invested how much money for capex?

Pankaj Khandelwal: So INR350 crores for the growth capex.

Anush Raghavan: We invested about INR420 crores of cash in the last 2 years for both growth and maintenance capex and we have given a general direction that this year, capital spend could be in the INR150 crores to INR175 crores range, which would include both expansion into adjacencies, growth capital for new wins we have and some maintenance capex and upgradation of our network.

I think we have -- there's 1 more question which we -- if you can just repeat. Yes, I think we don't give a breakup of segment -- subsegment wise split. I think what we have and what we share is broadly between our cash business and the MS. And within each businesses, then we don't give a deta

iled breakup.

Prithvish Uppal: Okay. Because I mean, my perspective actually was for asking that was specifically in terms of retail cash management and the opportunity, because last couple of years, the growth rate would have probably been slightly on the lower end because of the COVID and pandemic-related disruption. So just some color in terms of how we are seeing specifically the retail cash management business growing both in terms of touch points, pricing and just some color on that.

Anush Raghavan: Okay. I can try and help you with some of that Prithvi. I think during our investor day, we had shared some March-end statistic, which is a split of our business points by ATM and retail, CMS Info Systems Limited

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which is roughly about 72,000 ATMs and about 52,000 retail touch points. That will give you a sense of what actually the business point split is, if not on the revenue.

As far as retail is concerned, if you look back the last few years, a lot of growth has been powered by the growth of the ATM network in the country as well as incremental outsourcing. And as we have alluded to it, that trend will continue into the mid- to long term, especially as banks seek to increase their footprint and also get into further end-to-end outsourcing. In addition to that, we are now seeing a strong aggressive intent on part of large, organized retail formats to expand their footprint in the country.

As we are recovering from the whole COVID impact and as consumer spending is coming back, a lot of them have both publicly and in our conversations, alluded to wanting to expand and open up especially on the physical infrastructure side, even people who were running pure play digital businesses are very keen to get into the physical side.

So I think when we think of it and we look at this from a mid- to long-term perspective, which is really for a 5- to 10-year story, I think the retail and the growth of retail, the growth of consumption of that will play and will have a significant tailwind into how it feeds into our business growth.

Moderator: Next question is from the line of Pujan Shah from Congruence Investment Advisers.

Pujan Shah: A few questions from my side. First question would be, as we are saying that the 40% of the ATMs have not been still coming out from the banks -- like managed by the banks. So are there any restrictions or it has been like that. I'm not able to understand that why it has been so slow from the bank side because all banks wanted to be an asset light or like that. So what could be the reason for this specific?

Anush Raghavan: So I think if I understood your question right, you're asking why our 40% of ATMs are even

managed by the banks themselves. So I think earlier if you look at it, the banks used to only enter into pure managed services contracts for a fixed fee basis, not end-to-end outsourcing contracts. As a result of which the public sector banks especially found it convenient to continue managing the branch of the on-site ATMs themselves and outsource the off-premises off-site ATMs to managed service providers.

That trend is changing. As the public sector banks are getting more comfortable moving to end-to-end outsourcing. As and when those RFPs come up, those ATMs, which are managed by the branches switch into an outsourcing model.

Pujan Shah: Okay. Got it. And sir, as you announced that we will deploy from INR150 crores to INR175-odd crores of capital into expansion plus maintenance, so if we look at our historical capital flow, we have invested INR70 crores for the maintenance for last trajectory. Now if we consider that cost, so are we having any plan for the M&A specific, which we have been eyeing to and we are trying to acquire, are there any deal flow going on specific for that?

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Rajiv Kaul: So the capital plan, which we have indicated to our inves

tors at both the Investor Day and today

is mostly for our growth and maintenance capex. This does not include M&A, it's very difficult to predict what will be the spend for M&A. I think that will be subjected to the opportunity. As and when we have anything to report on M&A, we will come and update you for sure.

For the maintenance capex, I think the ratio should remain the same as you've seen in the last 2 years. Our CFO shared with you, we have spent about INR420 crores, out of which roughly INR70 crores would have been in maintenance capex over two years. Similar ratio should continue for this year.

Pujan Shah: So major capex would be both for the BLA side because that's where we have been deploying that capital?

Rajiv Kaul: No, I think it is not when we think about our growth capex, it is towards the order book, it's towards scaling our business lines, both in AIoT, ATM as a Service, which you are talking about and also investment in fleet upgradation for our network and for RBI compliance. It will be a combination of these things and also investments are going into incubating the new business lines, we have shared at the Investor Day. And finally, for implementing the work we are doing on the technology side. It's across a whole spectrum of things.

Pujan Shah: Okay. And sir, current order book, as we have seen, I have seen that INR150 crores is from the managed service. So total order book size if you can spell it out?

Pankaj Khandelwal: It's INR3,300 crores.

Rajiv Kaul: So we report order book for our managed services business only specifically for that business and our cumulative order book over the last 2, 2.5 years, there is now a INR3,300 crores. INR150 crores is the addition to the order book in Q1 of this year.

Pujan Shah: Okay. And how much totally the order book has been completed over this accumulated order book?

Pankaj Khandelwal: 90%.

Pujan Shah: 90%. Okay. And last question from my side would be -- have you faced any union-related issue because in DRHP, I have read somewhere that we have faced -- historically in '17, '18 faced issue related to the union base, and we have also closed out our Kolkata services in some of the parts. So have we faced the similar situation - in the previous 2 years?

Anush Raghavan: No, we're not. No. But those have been more once in a very rare occurrence situation. But having said that, entering into collective bargaining agreements, having long-term settlements where the unions is sort of part and parcel of our business, but we've not had any such situations in the last 2 years.

Moderator: Next question is from the line of Pratik Chheda from Guardian Capital Partners.

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Pratik Chheda: So my question pertains to the cash management business. On this business, on a Q-o-Q basis, you've been seeing consistent growth of around 2% -- maybe 2% to 5% every quarter for the last 6, 7 quarters. But this quarter is sort of flat. So just wanted to understand, is there any one-off? Is there any delay in some execution of the projects?

Anush Raghavan: So Pratik, in our cash business usually has a Q1, which is seasonally a weaker quarter. Last year, Q1, we didn't see that trend simply because the some of year-on-ye growth last year was also linked to pre-COVID time. So I think Q1 is something we do see usually a dip basis Q4. Still, the cash business had the same revenue as in Q4, which is, I think, pretty good. There are some

ups and downs which happen on business on a quarterly basis, but nothing significant, which will have a material impact.

Pratik Chheda: Got it. Second question I want to understand is on the margin side. Now on the cash management business, we reached EBIT margins of around close to around 26.8%. Now are these banks coming back and sort of sitting on the table and renegotiating pricing with you or how are you thinking about EBIT margin going forward? Have

you reached a peak? Or is there any further improvement which can come in through operating efficiency or through pricing?

Anush Raghavan: As you've known us for some time now, we don't comment on margins. I think for the team to manage and balance our goals on revenue growth, margin and market share is something which we are working on every quarter. From a perspective of bargaining and negotiation, I think that is part and parcel of every B2B business.

What you and other investors will appreciate that what we have is a network density business where margins are blended over multiple customers and multiple business lines that we do run a route network, which is not very easy to either replicate or to disaggregate.

A significant part of the margin improvement in the last 2 to 3 years has also been with respect to growth in the network as well as automation efforts. So while we don't have any guarantee on margins maintaining themselves at a current rate, I think as a team, we've been very focused on trying to maintain a superior margin profile to the rest of the industry and our large market share and our market infrastructure helps us achieve that.

Moderator: Next question is from the line of Amarnath Bhakat from Ministry of Finance, Oman.

Amarnath Bhakat: Actually, my first question is relating to the promoter stake sale. If we look at from December 2021 up to now, the promoter stake is continuously getting reduced. And recently, there was a promoter sale, which is, of course, bought by somebody else. What is the reason? If the management was so strong, the outlook is so strong, what is the reason of this continuous promoter stake reduction?

Rajiv Kaul: So if you look at our promoter of CMS, our promoter Sion Investment Holding, a company based out of Singapore, which is, in turn, an investee company of Baring Private Equity Asia, which is a large PE firm in Asia. Baring and their holding companies, Sion have been investors in CMS for over 7 years. And as part of their own exit process, they will look at exiting their stakes in investee companies.

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So you should think of this as a financial investor and not a strategic investor and the financial investors will have their own timelines and plans for exiting stakes and reducing them. In fact, many other investors have been keen to know as to how does the promoter stake go down because they feel this has to happen so that the stock can be more widely held amongst institutions.

Amarnath Bhakat: Yes. So that means we can expect a further selling from this Sion investment in the future time to come?

Rajiv Kaul: Yes. I mean, logically, yes. I mean we as the team obviously will not have insight or won't be able to comment on what Sion's plans may be. But logically, if you look at the trend of any PE shareholder, they would look at exiting their stakes over a period of time.

Amarnath Bhakat: Okay. The second question is a little bit on the strategy side. See, as you say, the opportunity size for the cash management is increasing. But on the other side, if we track the government different announcement, the government is continuously emphasizing on cash reduction or cash less transaction and accordingly the UPI-related transactions are getting prominence every month and month and the transaction there is just booming.

So in that context, I'm just trying to understand, though, the country like India, we know it cannot be a completely cashless because of our demographic. But the growth what you're projecting from the cash management services vis-a-vis the current range of the huge growth in the UPI transaction, how these 2 are going side by side? If I assume that UPI will take more prominence, which will be the case, will it not be affecting your cash management business going forward.

Anush Raghavan: Yes. So I think one of helpful background read to this in a more detailed manner

would be what

we published during our annual event. On May 25, we published a very detailed report, which was our Cash Vibrancy Report, which sought to try and explain using as much of our data as possible, where is currency coming from and where is it being spent in the country, and what are some of the more longer-term trends around that? It's available on the website. So it might help to clear some of the doubts

Amarnath Bhakat: Actually, I have seen in detail. The question is coming that whatever data has been presented to be very frank in that mean is mostly depending on the past data. The future, I'm talking about

the way that UPI is getting acceptable even at the very lowest strata of the economy, including the bhajiwalla and chaiwalla and all.

And even we can see in our day-to-day transactions, our frequency to go to ATM to withdraw the cash or deposit the cash has substantially come down compared to what it was. I'm looking to the futuristic part; how do you give the kind of confidence to the investors that this is not going to impact your cash management business substantially?

Rajiv Kaul: So I think it's a fair point. And we think of it from a few prisms. One, what are we betting on here? We're betting on the fact that our growth. And when you think of CMS, you should think of it as an integrated platform for both cash logistics and managed services and AI remote monitoring. We serve banks, we help banks cut down their costs and managing their

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infrastructure better and cheaper. Some part of that revenue is from cash logistics areas, which is now 2/3rd of our revenue.

We feel there is a lot of opportunity in the coming 5 to 7 years, which will come from organic growth, which will be slower than before for sure but with higher outsourcing from banks, I think that should compensate. When you drill down into specific sectors like retail, where we feel that more formalization based on GST and more organized retail growth in India, will create an opportunity for retail cash management business to grow much faster than other cash logistics areas. That gives us the opportunity for growth.

The third has been our entire expansion into technology-related services. What we have done in managed services, in banking automation and then AI remote monitoring, which was 0% of revenue in FY '16 and now at 36% of our revenue. So we look at expanding our business lines into where we can add value to customers.

And we look at that as a way to grow. Now we think of it, yes, we are talking about the past, but that's the only data we have. We don't have forward data. We do think that India, there's a lot of potential for, I would say, informal cash to move to organized cash where it comes into a banking system.

When INR2,000 notes come back into the banking system, there is a velocity and a transaction opportunity for people to deposit and then to withdraw again. Yes, we do see UPI-led payments growing rapidly. But I think the whole digital payments is something which is not a 1-year phenomenon. We have seen that from 2016-17 onwards. Their growth rates have moderated but the nature of the digital payments, they will grow at a faster than cash, but we're also seeing cash growing fairly healthily and very robust numbers.

Amarnath Bhakat: Just one more thing. Regarding these AI and IoT related things. At the moment, I think you were doing only for this ATM part, the security part replacement of the physical security by this digital security. Is it possible to extend this business segment outside the ATM to other segment of the business, I mean in retail or somewhere?

Because this is the innovative product you guys have started. And probably, you are one of the first movers in doing this. So I'm just trying to extrapolate. Is this possibly can go beyond ATM in some point of time in the future or the business is restricted towards the AT

Ms only?

Manjunath Rao: Thank you, sir. In my earlier introduction, I did mention that we are investing in AI modules to expand into other sectors. ATM was the low-hanging fruit we moved in, and we have set ourselves very well. And we also have done many bank branches. And due to the recent MHA guideline, for the financial services, branches as well as for the NBFC sectors, there is an increased interest in the branch security systems.

So that's a new area. There's a lot of interest and it's growing but we are also setting up a lot of use cases piloting in hospitality, in pharma industries. So there's a lot of things going on at this moment, and we are incubating new businesses and new lines in this remote monitoring services.

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Amarnath Bhakat: Okay. And my last question, sir, if you may allow just one more. What's your current market share at the moment? You were saying you are the market leader in the cash management and this retail management. Exactly what is your market share? Do you have the data?

Anush Raghavan I think if you look at it different parts of the cash business. There is the ATM cash management, retail cash management and then there is CIT. Each of those would have different market structures and will have different shares. But on the whole, if you look at our cash revenues, we'll be at roughly 40% plus revenue share of the overall cash market.

Amarnath Bhakat: And that other side of the business, wherever you were saying that you were the number 1?

Rajiv Kaul: So in AIoT, remote monitoring, we are number 1. I don't know our market share there because a lot of this ATM market is still in transition to move into the new technology standards. We would estimate we will be at least 25%. Let me not give you a number off the cuff, but we have the highest number of installed sites there right now compared to anybody else.

Moderator: The next question is from the line of Akshat Hariya from Multi-Act Equity PMS.

Darshan Shah: This is Darshan Shah from Multi-Act. I have two questions. One is, can you elaborate on the nature of cash losses that we report and how it is accounted in the income statement as there are multiple line items. And second is, when we look at cash loss percentage in the ATM business versus retail cash management, there is a significant difference between the two. So can you elaborate on what is leading to such a big difference?

Pankaj Khandelwal: So there are two types of cash losses. One is that the cash losses in transit, or the larger infidelity wherein whatever the difference, what we get from the insurance claim and total loss, we book as a cash loss in transit. The rest of the claims, which are the smaller in nature or the reconciliation losses, that is part and parcel of our AR provisioning. So if you see in any of our financials, there are three line items you will see. First one is the cash loss t. Second one is the bad debts and third one is a provision for doubtful debts.

Darshan Shah: Okay. So this provision relates to reconciliation difference – the provision for bad debts?

Rajiv Kaul: Yes.

Darshan Shah: Okay. So but when we look at it as a percentage of revenue, this number looks very significant. And even as a percentage of let's say, cash handled, it is very high when we compare it with the retail cash management. So we are unable to figure out what is leading to such high numbers?

Rajiv Kaul: So Anush can maybe tell you a little bit nuance between the ATM and retail side of the business and processes and what is the difference? Maybe that will help you understand this.

Pankaj Khandelwal: See one is that the quantum of the value of the currency we handle, like last year, we handled INR13 lakh crores in comparison to whatever the provision we have made on the losses that are insignificant. But generally, if I will calculate on the percentage of our revenue, it is coming to around

5% of our revenue.

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Anush Raghavan: Yes. I think as far as the ATM versus retail is concerned, while I'm sure we don't break down the numbers by our business line. So you might be comparing it to other people, but we don't know what is the exact accounting that people apply. But generally speaking, ultimately, both ATM and retail have a very strong element of risk management to them.

Structurally, when you look at it, whether globally or in India, the ATM business or ATM cash logistics by itself has a slightly higher degree of risk cost because of the nature of the business, which is we are responsible for the safe logistics of the currency from the bank to our vault, the processing of this money, you put that money into an ATM. And then there is also the fidelity risk of the cash while it is at an ATM.

Second, there is also what used to be known as what Pankaj was trying to explain as reconciliation differences or what the industry sometimes call chargebacks. These are those transactions for which customers who make a transaction at an ATM and sometimes not receive the cash, make a claim on the bank. So a lot of those claims need to be processed and settled with the bank. So ATM by itself is an operationally a very different type of work. It is a lot more intensive; it involves a greater degree of risk.

And a lot of that is reflected in the pricing and the realizations that people are either pricing for it or charging for that. The difference in the retail cash operation is the reconciliation happens almost on a daily basis because you pick up money from a retail location, you process it, and then you submit it to a bank, it's almost sort of instantaneous.

Second, the ticket size sort of values at risk in terms of exposure are a little lesser. In terms of what one typically deals with at an ATM. But having said that, the nature of cash and transit exposure is reasonably similar for both.

Moderator: Next question is from the line of Aasim from DAM Capital Advisors.

Aasim: So my question is more hypothetical. I wanted to hear your thoughts on this. So ever since RBI compliance norms start to get implemented, it became a more level-playing field for larger players. And so industry consolidation began in favor of the big guys. At the same time, the TAM, even if I just look at the ATM, RCM, CIT and maybe the BLAs put together, it looks quite lucrative per se plus at least your margin and return ratios are also fantastic enough to attract attention of competitors.

So my question is, what stops well-capitalized players to enter this space? They may not have the margins that you have given the network density for now. But if they do come in, then what does that do to industry pricing at least in the short term? Second, is there space for another player to coexist with the larger guys. And third, will banks work with the new player who might

be open-minded on pricing as it has happened in the past? Or would banks also stick with larger guys given the network and penetration of you guys.

Rajiv Kaul: So Aasim, let me try and give you a perspective. And you have to keep in mind that over the last 6 months, we have been highlighting that the market is attractive, and with compliance norms kicking in. It becomes an attractive country and segment for large multinational competitors, CMS Info Systems Limited
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new companies to think about, right? I don't think there is any two ways to think about it. I think it is an attractive market and can attract competition. And we have been alluding to the fact that we may see more competitive intensity in the coming year or two.

Coming to the second point about what so I think if anybody new who wants to get into this business and not just new, if you look at the history of the sector, there have been companies which have vacated a couple of the subsectors

because it became unviable for them. They could launch back operations. There's nothing to stop them from trying to launch back operation. Now building scale, building that capacity and trying to run that network at a high-quality basis over time. Yes, it is possible. What impact can it have on pricing? That, I think, is a very difficult scenario for me to really give an answer on. People can enter the segment and give a discount to get business.

We feel that in this if there is a churn like that, there will be churn between the current 3-3.5 players where shares should start switching from, let's say, a lower quality player, whoever that may be or in whichever geography that may be, sometimes there are people with strength in respective geographies. And it may move to a little bit to a newer player or a new multinational company wants to come into India because I think the compliance norms make it now worthwhile for them.

So that's what we could foresee. I'm sure share will shift between companies at that time. Will it move to from the strongest and the largest to the company? Or will it move from a weaker player to this? I think that is a scenario we'll have to wait and see when it actually happens. The second thing I think I want to clarify that this is a scenario which is possible, specifically, I guess, for the ATM side, which is where the compliance rollout has been more ahead of the other sectors.

Aasim: Okay, okay. But still, I think the one-line point, if I can take it is competition can and will most likely come in, but at least the larger guys have the moats already in place. So they should be ideally least affected at least in the medium term?

Rajiv Kaul: I mean, yes, again, like you said, it is hypothetical, and we'll have to see when these things pan out, what our response would be. But we have maintained that as a market share leader in the sector, we will have to be flexible and agile to balance our market share with our goals on revenue and profit. I think we have done a splendid job of managing and balancing these three. But every quarter, it is not possible to do this. And if there is a threat to market share, we will, of course, have to be very aggressive at that time.

Aasim: Sure, sure. And the second question is on BLAs. So actually, on the ATM cash management side, you have 72,000 ATMs right now. I presume on BLA, you would be, maybe 10% or maybe a little less or more than 10% out of those 72,000. Is there any rough percentage number of your ATM that you would want to be in BLA form in the future, say, maybe 40% to 50%. And also, like the 8% to 10% revenue goal for remote monitoring that you have said by FY'27, is there a similar revenue percentage goal in mind of BLAs as well?

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Rajiv Kaul: So I won't comment on our current unit numbers for this quarter. I think we'll stick to the numbers we guided for in FY'23 end. What we have said, Aasim, both during IPO time and after IPO time is that we aim to keep our exposure in some way to the ATM as a service, which is the BLA business, to about 15% of revenue. We were, at the end of FY '23 at about 5,000-odd ATMs in that business. We are very focused in this business on very specific banks to work with. We are not a broad market player. We are a niche market player focusing on a few banks to work with.

The broader BLA market in India, our estimate is about 90,000 odd, out of which we'll be doing about 5,000, 5,500-odd right now. If there is anything which comes up for bid or for a project, which meets our return metrics, we'll, of course should be a good player given our integrated offerings to be able to bid for it. But given the nature of the business, the capital intensity and these are long-term projects, we, as a team, would like to position size this to about 15% of our

revenue streams.

Moderator: Next question is from the line of Pranav Mehta from

ValueQuest Investment Advisors.

Pranav Mehta: So a couple of questions. So if we look at the revenue growth for this quarter, at around 13% seems a tad lower than the average of, say, around 20-odd percent that we have been doing since the last couple of years. So just wanted your thoughts on what has led to this kind of number?

And secondly, a slightly longer-term question on our margin profile.

So we've been able to improve our margins significantly in the last couple of years and the reasons are well articulated. But now as we move towards the FY '25 target of, say, INR2,600 crores revenue, how do you see the margin profile moving in the next couple of years at that scale. So these are my 2 questions.

Rajiv Kaul: Pranav, I think for your first question, the problem we're having is that with very strong performance in the last couple of years at 20% plus, then expectations get built into that. But if you think from our perspective, right from IPO time, we have guided towards the FY '25 revenue goal, which is what we are focused on, which is a revenue of INR2,500 or INR2,700 crores.

If you look at our last year number of INR1,915-odd crores, we are still guiding towards achieving that target in FY '25 that will mean a 15%, 16% growth average for the FY '24, '25.

Q1 at 13%. I would not read too much into this. I think Q1 is usually, as I said, seasonally weaker quarter. We have still done reasonably well but we'll have to see what we are reading in the commentary of other quarterly earnings basis retail and consumption and inflation and spend.

We hope that growth continues in consumers because that will be important for our both ATM withdrawals and retail business in the coming quarters. One quarter is too early to start commenting on. I think we gave a fairly detailed presentation at the investor update. Maybe in the coming quarters at the end of H1, we'll have a better sense of how the year is moving from a macroeconomic perspective and specifically for our business. But as of now, I think we are in line to achieve our FY '25 revenue target. Margins, we have not guided towards at all. We have no margin guidance at all, and we will refrain from giving any margin guidance.

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Moderator: Next question is from the line of Vaibhav from BMB Investment Management.

Vaibhav: My question is regarding -- as covered in the previous questions, you answered that even if the advent of the UPI transaction, if the revenue will somehow be lower than the revenue will be compensated by the other adjacent area you are operating it. But traditionally, it's been seen that the Managed Services part of your business is a little high capex intensive than the cash logistics. So can we expect that the return ratio will be lower if the contribution from the managed service will increase in the revenue part?

Rajiv Kaul: So I would like to point out a couple of things here. One, our revenue CAGR since inception in 2009 until now has been 17% through good and bad years, right? So it's a fairly high growth rate, which our team and company has maintained through ups and downs of the macro and the sector itself.

Coming specifically to your question on the capital intensity in some parts of our managed services businesses, I think what you should look at is if you think about -- if you look at our ROE numbers, our ROE has consistently increased over the last 3 to 4 years, despite peak capex in the last 2 years, our ROEs went from 20% to 21% in FY '22 to FY '23. What is happening is the fact that orders don't always come separately by segment.

Increasingly a bank, a large bank, will outsource end-to-end. And that component of the order will have many elements of our services. Some will have all our services; some will have some of our services. And therefore, margins will sort of blend across these revenue lines for us. So you already see the trend line in

revenue in managed services. But you also have to keep in mind

when you see our managed services EBIT margin, it includes the product automation business.

The product automation business by the nature of the business is a lower margin business but has no capital intensity at all. So if you think about our services business, I think our managed services business, the services, EBIT has grown very well. Obviously, it cannot match the EBIT percentages of the cash management business, which we have been running for the last 20 years. But I think it's a fairly healthy return. I think we are able to generate good return for the capital we are deploying.

Vaibhav: So it's like it's becoming a necessity part of the business that providing managed services become a kind of necessity when you go to the banks for the business?

Rajiv Kaul: I mean it's more than necessary. I think it's a large TAM. It's a large TAM which you can win with. It's about getting more wallet share. If a bank is spending INR100 on different services, and you are only operating in a INR30, if you think you've built the capability to offer them the

remainder, you want to do that, right? At any enterprise B2B company would want to do more and more with the same customer.

So if you think of most of our large banks, 20 years ago, we did maybe only retail cash management, then we moved to ATM cash management, then we moved to cash in transit, then we moved to automation. In the last 5 years, we moved to BLA as a service. And now in the last 2 years, we have started doing remote monitoring services. So our goal will remain to grow with

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the BFSI sector, which is banks and NBFCs and offering them new services. So I think more than necessity, it is about expanding the TAM for us and the opportunity for us to grow.

Vaibhav: Okay. And regarding the cash on the books, do you think that the company is generating enough internal accruals, so dividend payout will be a good option considering the high capex cycle is behind us.

Pankaj Khandelwal: So in the past, you will see that we have given 25% rate of the dividend payout. And in the last 2 years, as I told at INR420 crores, we have spent for growth capex. We have not taken any loan and a fairly good amount is sitting on our books, around INR450 crores of cash and cash equivalents, which are sitting on our books as on 31st March 2023.

Moderator: Thank you. I now hand the conference over to Mr. Rajiv Kaul for closing comments.

Rajiv Kaul: Well, thank you, Balaji and IIFL team, for hosting the call for us. Thank you to all our investors for your continued support and intensive questions. I hope that we will deliver a good year for you in the coming 9 months. And we'll talk to you at the end of H1 and the second quarter then. Thank you so much.

Moderator: Thank you very much. On behalf of IIFL Securities Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you.

Call: Oct 2023

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CMSINFO/2310/010 October 31, 2023

To,
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1st Floor, PJ Towers, Exchange Plaza, C-1, Block-G,
Dalal Street, Bandra Kurla Complex, Bandra (East),
Fort, Mumbai – 400 001 Mumbai – 400 051

Scrip Code: 543441 Symbol: CMSINFO

Dear Sir/Madam,

Sub: Earnings Transcript

Pursuant to Regulation 46(2)(a) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed transcript of recording of post Investors/Analyst meeting held on Thursday, October 26, 2023 at 12.00 Noon (IST) on Unaudited Financial Results (Standalone and Consolidated) of the Company for the quarter and half year ended September 30, 2023.

The transcript is also available on the website of the Company at www.cms.com

You are requested to kindly take the same on record.

Thanking You,

For CMS Info Systems Limited

Debashis Dey
Company Secretary & Compliance Officer

Encl: a/a
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"CMS Info Systems Limited
Q2 FY '24 Earnings Conference Call"
October 26, 2023

MANAGEMENT : MR. RAJIV KAUL – EXECUTIVE VICE CHAIRMAN ,
W HOLE TIME DIRECTOR AND CHIEF EXECUTIVE
OFFICER – CMS INFO SYSTEMS LIMITED
M R. PANKAJ KHANDELWAL – PRESIDENT AND CHIEF
FINANCIAL OFFICER – CMS INFO SYSTEMS LIMITED
M R. MANJUNATH RAO – PRESIDENT , MANAGED

MODERATOR : MR. SARVESH MUTHA – ANTIQUE STOCK BROKING LIMITED

CMS Info Systems Limited
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Moderator: Ladies and gentlemen, good day and welcome to CMS Info Systems Q2 FY '24 Conference Call hosted by Antique Stock Broking. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need any assistance during the conference call, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Sarvesh Mutha. Thank you and over to you, sir.

Sarvesh Mutha: Thank you, Sagar. Ladies and gentlemen, good afternoon and thank you for joining us on the post-results conference call of CMS Info Systems Limited. It's my pleasure to introduce the senior management team of CMS who are here with us today to discuss the results. We have with us Mr. Rajiv Kaul, Executive Vice Chairman, CEO & Whole-Time director, Mr. Pankaj Khandelwal, President, and CFO, and Mr. Manjunath Rao, President, Managed Services. We'll begin the call with opening remarks by the management team and after that we'll open the call for a Q&A session. I would now like to hand over the call to Mr. Rajiv Kaul to take proceedings forward. Thank you and over to you, sir.

Rajiv Kaul: Thank you, Sarvesh. Good afternoon, everyone. Thank you for taking the time to attend our Q2 FY '24 Earnings Call. With a revenue growth of 15% and an adjusted PAT growth of 25%, it's been a very good quarter. This makes it the sixth consecutive quarter for us with 20% Y-o-Y PAT growth. The strong, consistent performance highlights the growth as well as the formalization opportunity in both the banking and retail sectors.

We are increasingly seeing more banks which are focusing on expanding and refreshing their physical infrastructure. We are also witnessing strong growth in organized retail and e-commerce and we expect the sector to lead the overall growth for our cash business. Our Managed Services and Tech Solutions business has achieved critical mass and we have strong wins.

Our expansion in this category now has the potential to cross 40% revenue contribution by FY '25. In terms of our execution focus, our quality of service is very robust thanks to our strong tech platform and this has helped us maintain a very robust margin profile. Our Q2 margins have in fact expanded despite this being a fairly high inflation environment.

Based on our current momentum at half of this year, we feel confident of achieving our FY '25 revenue target of doubling our revenue on a FY '21 basis from INR1,300 crores to a range of INR2,500 crores to INR2,700 crores. Our CFO Pankaj is now going to take you through the Q2 financial highlights.

Pankaj Khandelwal: Thank you Rajiv. Our consolidated revenue has grown by 15% to INR554 crores with managed services and technology solutions now contributing around 38% of the total revenue. For this quarter, we have recognized ESOP expenses to the tune of INR10 crores for the ESOP granted in 2023 as per the approved policy.

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Our margin data is adjusted to reflect for the same. Our adjusted EBITDA has also grown 15% to INR157 crores and our adjusted EBITDA margin profile is 28.9%. Adjusted PAT has grown by 25% to INR92 crores making it the 10th out of the last 11 quarters with greater than 20% PAT growth.

Adjusted PAT margin 17% compared to 15.7% in Q2 of FY '23. These strong financial metrics are the testimony to our market leadership and execution of our order book. Both our business segments have delivered strong results. My colleague Manjunath Rao will take you through the respective business highlights.

Manjunath Rao: Thank you Pankaj. Our revenue in cash logistics business has grown by 11% year-on-year to INR361 crores in Q2 with an EBIT growth of 18% to INR95 crores.

The EBIT margin has expanded by 160 bps year-on-year to 26.4% in Q2. Our business network has further expanded in the quarter and we currently service 1,29,000 business points which is 12% year-on-year growth. This was the first quarter where we crossed 5 million activities on our cash logistics network in a single quarter. Our overall cash handle growth has been 6% year-on-year and in

our ATM channel, currency dispensation has grown faster in metros with a 10% growth on year-on-year basis.

On the compliance front, our network in 150 cities has been upgraded in line with norms covering 70% of our business points. On the ATM cassette swap process, as per RBI, IBA and CCA consensus, Phase 1 rollout has been completed and Phase 2 is underway. We expect 25% to 30% of our ATM network to be cassette swap compliant by end of FY '24.

I will now share with you an update on our managed services and tech solution business. Our managed services and tech solutions business revenue grew 26% year-on-year to INR206 crores in Q2 with an EBIT growth of 23% to INR39 crores. Our EBIT margin stood at 18.8% in the quarter, marginally down from 19.2% in Q2 FY '23 due to change in business mix.

In the last earnings call, we had indicated that we expect to see key PSU RFPs get concluded this year. I am happy to report that we have won INR500 crores of new orders in Q2, taking the new wins in H1 of FY '24 to INR650 crores. These wins are across our banking automation and ATM as a service business lines and all of these wins are asset light in nature and should help us maintain a strong growth momentum.

Thank you for your support and attending this call. We can now move to the Q&A.

Moderator: Thank you so much. We will now begin the question-and-answer session. The first question is from the line of Balaji from IIFL. Please go ahead.

Balaji: Hi, good afternoon. I have a couple of questions. So the first one is on the cash management segment revenue. While your touchpoints have gone up by about 12%, we are seeing that in the last couple of quarters the revenue has been around 11%-12% in growth terms and that is besides CMS Info Systems Limited

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some tailwinds from compliance also coming through. So where should one expect this to settle down? Are we down to these levels or do you see an acceleration going forward?

And my second question is on the remote monitoring business. So where are we in terms of the number of ATMs and the order book and how is the competitive intensity there? Because earlier you had mentioned that the competitive intensity can potentially catch up at some point in time? So those would be my two questions.

Rajiv Kaul: Thanks Balaji. So let me take the last point first. I think we have been now over several quarters talking about competitive intensity, and I think we have to understand India is a fairly good growth market. In our different businesses, there are different types of competition. We are a player with high margin profile and fairly choosy on the quality of business we will pick up.

I think we will foresee strong competition across all our business lines including RMS, banking automation, cash logistics and what not. And therefore, our current revenue and margin profile I think is also a testimony to the quality of the platform and our focus on our execution.

In terms of cash logistics business, we have seen growth in the last several years .as you know we have three different types of business in cash logistics. We have the ATM cash logistics, we have retail cash management and then we have the currency and transit businesses. Our growth has been led by the ATM cash management for the last two to three years. We have indicated that retail business will pick up and will actually lead the growth in the cash logistics sector for the coming couple of years.

So, when we talk about the growth trend you have seen right now of 11% to 12%, i

t's impossible

to tell you what the future, what the growth level will be. I think from our side we have highlighted that we have a diversified business. Our growth aspiration are in the range of 15% to 17% sort of revenue growth trajectory till FY '25 and we are on course to do it.

In some quarters some businesses will lead, in other quarters other businesses will lead. I hope that helps you with both the answers. And finally on your RMS business, we did indicate that we already hit the INR100 crores annual run rate. We are about 22,000 sites, we are the largest in the banking sector. We will give you an update on this business in our next, not next, in our annual investor summit. I think that's the right time for us to talk to you about key developments in all of our new businesses.

Moderator: Thank you. The next question is from the line of Mr. Achal Lohade from JM Financial. Please go ahead.

Achal Lohade: Yes, good afternoon team. Thank you for the opportunity. So, my first question is pertaining to the ATMs. Now we've been hearing about the incremental new orders with respect to ATMs, whether replacement or new ATM, 100,000 ATMs, right? Can you update us as to where we are in the cycle? Are you seeing the delay in terms of getting through these tenders, industry-wide, CMS Info Systems Limited

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or what are those challenges? And I mean, till now, whatever is given out, what has been our market share? If you could help us understand that.

Manjunath Rao: Yes, thank you. The ATM RFP that we've been, there is still about 51,000 ATM RFPs are likely to be awarded in FY '24. That's what we had said about 20% new and 80% replacement.

Of this, there is about two-thirds of this are under the Brown Label ATM model, I think we have been insisting on all our calls that we will be selective and opportunistic in this particular segment. We have been very selective.

But as we mentioned in our call that we have won in our first half about INR650 crores worth of orders, it's got both asset-light managed services as well as our banking automation business in it. There are still some tenders left to go for the rest of the year, and those are all in the pipeline.

Rajiv Kaul: So, I think, Achal, overall, I know this was something we mentioned in the last fiscal year. Some key contracts got pushed out of this year. We are finally seeing momentum in these moving to the finish line.

Of course, RFPs have to close, orders have to be given, they have to be implemented, they take some time. But we feel fairly strong about the growth opportunity in this, helping us lead our, leading to higher growth in our MS and Tech business.

Achal Lohade: Sure. Just to get a bit deeper into this, 51,000 is the number or 100,000? So can you clarify?

Rajiv Kaul: I think the 51,000 is for this year. The 100,000 is something which you are referring to, which is over a three or four-year period. 51,000, we are saying specifically, we know that contracts which will get into awarding in the, likely to get awarded in half, second half of this year.

Achal Lohade: Right. And just to clarify, of this 51,000, 20% are new ATMs, 80% are replacement. And of this 51,000, two-third is BLA and one-third will be bank-owned and bank-operated. Have I understood it right?

Rajiv Kaul: Yes.

Achal Lohade: And within this 51,000, how much has already been given out in last...

Rajiv Kaul: This is all going to happen in H2 of this year. So these are already, September, October onwards, RFPs are in various stages of getting closed out or issued out. This is our estimate, right?

Obviously, we can't talk on behalf of all the banks, but this is our estimate of RFPs which will conclude successfully in the second half of the year.

Achal Lohade: Got it. And this INR500 crores new order wins, that's to be executed same 7-8 year period, right?

Rajiv Kaul: No, I think given the nature of these wins, I would say that m

ajority of our H1 order book is

asset-light. Asset-light businesses, I think you would see an average accrual in a 3-5 year period,

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not 7 to 8. 7 to 8 is usually for asset-heavy businesses. These ones will accrue over a shorter period, which is not short, I mean, it's 3-5 years.

Achal Lohade: And with respect to this INR500 crores would represent what, 40% market share, 30% of whatever orders?

Rajiv Kaul: So, impossible. For one, I don't know the number. We will wait for the end of the year to see what sort of market share it is. But again, you should -- it's not a number we track so much because, as we said, there's a lot of business opportunity in the BLA business. We are not by nature very focused on that sector.

We will be very selective with a few key banks or deals, and the rest, we will not be participating.

And therefore, market share in this is not something which we really go ourselves on. Market share is something which we are very, very, very focused on our cash logistics, RMS, businesses.

Moderator: The next question is from the line of Prithvish Uppal from AMSEC. Please go ahead.

Prithvish Uppal: Yes. Hi. Good afternoon and congratulations to the management on a good set of numbers. So, my first question is regarding the working capital. So, we've seen an increase specifically coming through as receivable and receivable days have increased. So, I think this was roughly around 90 days has now gone up by about 15 days, 20-odd days for the first half. So, I need just color on that from the receivable side.

Second is that on our capex side, we have done about a INR40 crores to INR41 crores kind of capex in the first half with the guidance of roughly around INR 150 crores for this year. So, just wanted to understand, how you are seeing this develop over the second half and if we think that INR 150 crores is something that we will actually end up doing or how do you see that?

And if you could also just give some color on the cash management business in terms of the touch point where the growth has come from 72,000 ATMs, how has that moved between retail and ATM and what the realization increase would have been because of Cassette Swap. So, I mean, this is the first set of questions and if time permits, I'll add some more.

Pankaj Khandelwal: Thank you, Prithvish. So, as regards the working capital or the AR increase, see, our business has grown 15% in H1, which has resulted in the higher working capital with the AR increase.

H1 is usually weaker in terms of collection. Historically, it's weaker compared to the H2. That's the reason that the AR has increased, basically.

The third important thing is that in this last 12 months, we got a lot of large PSU bank projects, which was executed, and it takes time to streamline the collection cycle. And the fourth important thing is about the higher interest rate environment leads to the delay in the payment from the customer. That has resulted in slightly higher AR and the working capital is increased to some level.

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About the capex, we have done around INR40 crores to INR41 crores of capex in H1. We have guided that FY '24, we will do around INR150 crores to INR175 crores of capex. And we estimate that it will be in line to whatever the target we have given in the initial period of the year.

Prithvish Uppal: And on the cash logistics, business, touchpoint wise, how the growth has been between retail and ATM and specifically any realization gain that we have seen specifically relating to...

Rajiv Kaul: Prithvish, in our earlier calls, we have said that we will share more detailed metrics on each business only once in a year. But we do give touchpoint guidance overall. I think breakdowns we will do only at the end of the fiscal year.

Prithvish Uppal: Sure. And just lastly, in our bad debts, written-off also

has increased about INR25 crores. And

since 15% of ATMs are now on the cassette swapping, so shouldn't this number ideally decrease?

And what has been the reason for the higher bad debt write-off in the first half, because it was around INR50 lakhs last year?

Pankaj Khandelwal: No. So you have to read the provision and bad debts together. Depending upon the reconciliation, finalization with the customer, on the basis of receipt of any claims, provisions have been provided. So for right calculation, you have to add both the things. We have guided that our risk cost because of the nature of our business, the bad debts or the provision for bad debts or risk cost will be in range of 4% to 6%. This time, it is in line with that and in past it is in line to 4% to 6% only.

Prithvish Uppal: Understood. Okay. Thank you. I'll join back in the queue.

Moderator: The next question is from the line of Sheel Shah from Sameeksha Capital. Please go ahead.

Sheel Shah: Just one question. Sir, any update on our cash collection pilot that we were doing with five to six NBFCs?

Rajiv Kaul: Our collections business, I think we said we will use FY '24 as year of incubation. It is ramping up. We have hired a fairly strong team from the industry. We have projects where we are working with eight to 10 large NBFCs already on the ground. However, this will be too early for us to have any determination of how this business will ramp-up and is this going to be in line with the way we think the potential is.

At the end of FY '24 is, when we will give you a full status on what our learning has been and also guide you on how we think about this business going forward. Right now, this is an investment year and incubation year.

Sheel Shah: Okay. Understood, sir. Any other business area that we are doing pilots or anything like that you would like to share?

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Rajiv Kaul: I think whatever we shared at our investor summit, we have the CashX business we talked about. We talked about the bullion business. We are trying to ramp that up. RMS, we have already ramped up. So we have mentioned that. There is nothing new. I think we have enough going on and we are currently focused on these businesses to see where they head.

Sheel Shah: Okay. Thank you so much.

Moderator: The next question is from the line of Asim from DAM Capital. Please go ahead.

Asim: Hey, hi team. So first question was on the RCM business. So on your comment that the next leg of growth will come from retail cash for the cash segment and I presume you mean post FY '25. I just want to know, if the anticipated growth is more touchpoint-led or is there any pricing growth also in place courtesy compliance?

Rajiv Kaul: I think Asim, let me re-clarify, so that there's no confusion. I don't think the growth is going to be from only retail. I think we see potential growth in all of our key businesses. We feel the higher growth is likely to come from retail just given the momentum we are seeing post-COVID and what we see in the market from a formalization perspective.

As of now, what we have witnessed in the last six months to nine months, hopefully the trend

will continue. In the midterm, I mean actually in the long term, I think the bigger opportunity here is really going to be from more touchpoints, right? Because that's a formalization opportunity out there. And also our CashX initiative, we see a lot more opportunity coming in from there.

From a pricing perspective, I think we sort of told you about our longer-term pricing trends in this industry. I would say, volume expansion of business points and then pricing would be the way I would think about this in that order.

Asim: Sorry, just to clarify, I mean the pricing, so from what I understand, compliance driven pricing was more an ATM subject, right? It has not really populated on the RCM front. So maybe on the near term, there should be some catch

-up on the retail side as well?

Rajiv Kaul: I think the compliance-led pricing is a benefit we have seen in our ATM business. We will see some of it in retail, but I think retail touchpoints volume is really going to be a large driver. The large driver in retail is going to be from formalization and more organized retail touchpoints being added.

Asim: Got it. And the second question, just as a clarification, so of the 51,000 ATM RFPs you mentioned that would be awarded over H2, I mean is there any that was already done in H1 that maybe did not come CMS's way because of whatever reason?

Rajiv Kaul: No, this is what, so we have already told you about the wins in H1, right? The wins in H1 are obviously come through basis, somebody buying an ATM or a recycler, so we're not counting that. We're talking about what the pipeline is right now.

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And again, I will again qualify, 51,000 ATMs, a lot of it is likely to be BLA. We are not highly focused in that sector. We are very selective, but from an automation perspective, we will compete as aggressively as we can.

Asim: Okay, because I think I presume that of the INR650 crores order wins you mentioned in H1, almost all of it was from the product automation and the ATM as a service bid, not BLA and remote monitoring, that's what my understanding was?

Rajiv Kaul: You're right. Yes, most of it is from the automation side.

Asim: Okay, thanks.

Moderator: The next question is from the line of Lokesh Manik from Valium Capital. Please go ahead.

Lokesh Manik: Yes, good afternoon, team. My question was on the pilferage in the system in the form of cash reconciliation and cash loss in transit. So what I understand is we are incurring somewhere around INR10 crores per INR1 lakh crores of cash handling versus our peers who are doing INR 3 crores to INR4 crores per INR1 lakh crores of cash handling.

So I just wanted to understand, where is this issue arising given that we've introduced software, Algo MVS, Algo OTC? In light of these, we should not be seeing an increasing trend happening at least on the reconciliation side.

And secondly, if you have observed any area of your operation, right, from picking up cash to overnight vaulting, which segment of the operation is this issue recurring? If you can just share some details, throw some light on this, it would be really great?

Rajiv Kaul: Sure. So just to educate you and all the other listeners on the call, the comparing the INR12 lakh crores to somebody in INR3 lakh crores, unfortunately, it's not like-to-like because of the mix of business. The INR3 lakh crores, I don't know who the company may be, but I suspect it could be just a company doing retail cash management only.

We have a business across all sectors. The reconciliation specific losses, right, they occur predominantly in ATM related activities. It could be in ground level ATM. It could be in ATM cash management. That's where the large trend line has been till now in the country. But our overall provisions, which you are maybe referring to and Pankaj can dive deeper if required, will cover multiple things, including reconciliation, any provisions for bad debts, and any SLA penalties, which we may be incurring in terms of execution. That's the usual mix.

We have set for the nature of our business and our business mix, 4% to 6% of the range we have seen. It was 5.1% at the end of FY '23. Right now, the end of FY '24 H1 is about 4.1%. But we would hope this would trend down as our business mix changes over time and also basis the reconciliation and governance and compliance law, which RBI is mandating across the ecosystem.

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Lokesh Manik: Okay. So it is not on your operational legs, right, from picking up to overnight vaulting. It's not

occurring there, you're trying to say?

Rajiv Kaul: No, not really. I think this co

mes more from our customer claims and reconciliation-led losses, which happen at the point of transaction. It's not linked to the cash losses, which may happen while you're transporting currency.

Lokesh Manik: Understood. My second question was a clarification. I read in the DRHP that the government does not permit more than 49% FDI in this segment. Our promoter is an FII. So in that sense, have you received some special approval from the RBI in that regards in terms of any risk on operations from that area?

Rajiv Kaul: I don't think this is applicable to us at all. I'm a little confused as to what exactly in the DRHP you're referring to. But there is no FDI approval required to be in the sector. I think that's already been sorted and cleared out.

Lokesh Manik: Okay, got it. Thank you. That's it for myself.

Moderator: Thank you. The next question is from the line of Pranav Mehta from ValueQuest. Please go ahead.

Pranav Mehta: Yes, thank you for giving me the opportunity. My question is about ESOP expenses. So you mentioned in the notes that we have granted some 8 million options during the first half. Just wanted more details from you. So first of all this, looks like a pretty sizable number. It's almost 5% of our current equity base. So if you can share with us who all are eligible to get these options and what are the conditions and the pricing attached to it?

And if I think maybe Pankaj can guide us as to what kind of expensing out will happen in the P&L over the next couple of years?

Pankaj Khandelwal: Thank you, Mr. Mehta. So the ESOP that we have granted is already disclosed whenever we have granted these ESOPs. There are two grants which have happened. One was in Q1 and the second one was in Q2. All the ESOPs generally we are granting is close to fair market price. 75% of the new ESOP we have granted were at average fair market price as defined in the ESOP scheme. And 25% of the ESOP issued was only on 10% discount of the market price.

We have not given any deep discount on the ESOP and we have not issued any RSU. Though the ESOP was issued on the fair market price and the option value as calculated using Black-Scholes methodology has to be expensed out in the P&L. And second thing is only 50% of the ESOP we have issued will get vested only in case of the performance criteria which is defined in the ESOP policy itself.

Next three quarters we see that the charges to P&L for the option value will be around INR 11 crores and then it will gradually reduce to INR 6 crores, INR 4 crores and INR 2 crores level, FY '25, FY '26, FY '27.

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Pranav Mehta: Okay. Thank you.

Moderator: Thank you. The next question is from the line of Ankit Kanodia from Smart Sync Services. Please go ahead.

Ankit Kanodia: Thank you for taking my question and congratulations on good set of numbers. So my first question is related to unbilled revenue. So if you can give me some more color into what are the unbilled revenue is because what I have noticed over the last three years is that our unbilled revenue is growing at a faster pace than our total revenue. So if you can just give us more color as to what are these revenues and how it is reconciled in the subsequent years that would be very helpful? That is the first question.

Pankaj Khandelwal: So unbilled revenue, the different businesses have a different type of unbilled revenue. If I will talk about the cash management business, unbilled is primarily related to the last month, or the month prior to that, it takes time to around 25 days to 30 days to get it reconciled from the customer. And based on that, we bill it. Most of our unbilled are closed 97%, 98% is closed in the next month itself and 3% is being closed in the next month.

In the managed services business, the unbilled is related to any of the part execution of the contract or the AMC, wherein the billing is quart

erly in arrears or six months in arrears. I believe

98% to 99% of the unbilled of the last year is already billed for 1% is spending because of the AMCs or which is not yet allowed to be billed as per the contract notes.

Ankit Kanodia: And if you can give me more color into which part of the business has more of unbilled revenue and which has less?

Pankaj Khandelwal: Both businesses have unbilled revenue. Like if I will talk about like the month, we provide, take the example of the September, we provided the services in the month of September. So as on 30, September, there will be unbilled related to September month and some unbilled related to August and prior period as well. But 97% of unbilled in cash business is for that particular month.

In managed services business, depending upon the type of business, like BLA is generally for the last month, for AMCs other business, wherein the based on the agreement terms, it can be three months to six months of the unbilled revenue.

Ankit Kanodia: Thank you so much, sir. That was very helpful. My second question is related to the cash logistic business where we have three sub-section. One is the ATM cash, there is RCM and the third one is cash in transit. It would be great, if you can just share the competitive intensity in all these three sub-segments. Where do you see more competition? Where do you see our situation being far more stronger, where the second competitor is probably far more distant? And how do you see in the future? I think that would be very helpful.

Rajiv Kaul: I'll give you a quick philosophical answer. We are in India, everybody is chasing growth. There is competitive intensity in all of our businesses. We have highlighted that. I don't think, we can go away from dealing with the actual things in market. If I think of our ATM cash or retail or CMS Info Systems Limited
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even cash in transit, each have their own different competitors who are operating at different margin profiles or different growth aspirations.

So our competitive intensity, I would say, is usually, let's take the smallest business in cash, our currency in transit, what we call DCV business. It is relatively the simplest business and therefore it has the highest intensity because the barrier to entry, I would say, is maybe lesser and the expectation from the customer side is also lesser. But as soon as we go into something like ATM or retail, which is linked into having a deep network in the country, having a very strong technology platform for reconciliation, that's where our advantage of CMS comes into help.

So ATM is generally the one where we have made the biggest inroads, followed by retail, and then by the currency in transit business. A lot of currency transit business is still done in-house with the banks and will get outsource slowly over a period of time.

Ankit Kanodia: Thank you so much.

Rajiv Kaul: I think its DCV Business that we see many more smaller competitors instead of organized players, which you see in the retail, cash, and ATM side.

Ankit Kanodia: Yes. Thank you so much. That was really helpful. Thank you.

Moderator: Thank you. The next question is from the line of Aasim from DAM Capital, please go ahead.

Aasim: Yes. Rajiv, just one clarification on the INR 650 crores order win. You mentioned most of it is bank automation. That's the product business, right?

Rajiv Kaul: We have a lot of banking automation and services business. Both of those are there. All of this relates to MS and tech solutions. My point of view was that, this is non-capex heavy. So we are not investing capital for these set of wins compared to the wins we had in the last couple of years.

We are trying to differentiate the two to give you a better idea of a sense of the margin profile.

You'll get a sense of the capex intensity. You'll also get a sense of the accrual period. The accrual period will be there for a little

bit lesser,. We will accrue this over a three-year to five-year period.

Aasim: Sure, sir. So just wanted a clarification because if most of it is a product, then it should have been seen in margins this quarter itself. And of course, that would not be a recurring thing?

That's what I'm saying.

Rajiv Kaul: You'll just see it one time in revenue itself, right? Then the revenue would have a big bump up and then it will go down, right? Yes. Which you haven't seen right now. Yes.

Aasim: Okay. Got it. Thank you.

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Moderator: Thank you. The next question is from the line of Divyansh Gupta from Latent Advisors. Please go ahead.

Divyansh Gupta: Yes. Hey, just wanted to understand the impact of Hitachi and Writer's acquisition. How much impact will it have on CMS? do we have any exposure to Hitachi ATMs? And is there any communication from Hitachi on any transition plans that they have?

Rajiv Kaul: So we can't comment on any speculation about a customer or a competitor. But what we have guided to is that, we will see more M&A activity in the sector given the compliance norms are making the sector more attractive for global companies. Given our market leadership, the infrastructure and branch network we have, we have avoided from doing any extensive acquisition because we are prepared to grow by getting market share organically in our core

businesses.

India is a growing market. There is good growth for all businesses. We do expect to see more MNC interest given the regulatory clarity on compliance and also the growth potential.

Divyansh Gupta: And are we also in the market for any acquisitions or right now, just trying to build a business organically going forward?

Rajiv Kaul: No. So, we've said this in prior calls it is our job to be tracking M&A and looking at companies in our sector or expand in our adjacencies. However, we will not be the right people to be buying businesses at a high price because we already have built these businesses. For us to acquire something to just drive growth is not our strategy.

For us, the return on capital is far more, we want to be very, very careful about that. Then we don't want to buy share or buy market growth unless it is very accretive. So we think it will be difficult for us to go do transactions in the cash management space. We would rather take that capital and focus on expanding into new sectors. That's where we think, we'll get a bigger return on both our capital and also build a more diversified business over there.

Divyansh Gupta: Yes. That's fine. Got it. A couple of data point questions. What will be your order book for the managed services business and the number of AIoT that are in progress or in the order book?

Rajiv Kaul: Sir, order book for managed services close to now, our gross order book will be roughly about INR3,800 crores, Manju. INR3,800 crores. Yes. I didn't understand the second question. What is the second question?

Divyansh Gupta: The AIOT, the remote, that thing?

Rajiv Kaul: Okay. So we are currently, Manju, how many sites do we have totally?

Manjunath Rao: 22,000.

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Rajiv Kaul: 22,000. So we have 22,000 sites live in the banking sector, both across branches and ATMs right now.

Divyansh Gupta: And any pipeline or the order book on which we are working or?

Rajiv Kaul: There's always a pipeline. There's always a pipeline we are working on. When this culminates, we will come and update you again, end of the year.

Divyansh Gupta: Got it. Last question. What is the total cash handled this what...

Rajiv Kaul: Cash handled? In our cash logistics business?

Divyansh Gupta: Yes. You used to give earlier?

Rajiv Kaul: Yes. It's INR 3.3 trillion. 6% growth year-on-year.

Divyansh Gupta: Yes. CMS is not going... [inaudible] . The players in the industry who are doing this cost, if this has

to come -- and service them.

Moderator: Sorry to interrupt. Divyansh, we are not able to hear you properly. Your voice is breaking a lot.

It's still breaking. May we request you to join back the queue once again? Thank you. The next question is from the line of Nitin Sharma from MCPPro Research. Please go ahead.

Nitin Sharma: Yes. Hi. Thanks for taking my question. Firstly want to understand, out of that INR 3,800 crores order book, how much has been executed so far? And then I have a follow up.

Pankaj Khandelwal: So out of INR 3,800 crores order book, we have already executed INR 2,800 crores order books. To be clear that this order book is executed and the revenue of these will come over five-years to seven- years.

Nitin Sharma: Understood. And just some color on your equipment manufacturing business that you announced, few quarters back. Some understanding where it is currently and what is the near-term plan for that?

Manjunath Rao: Yes. As we have already told you that it was to align ourselves with the government's Make in India policy and the focus that we wanted to give it to our ATM banking automation business.

And also, this was very important for us from the point of view, because it gives us more control on the supply chain of the critical banking infrastructure.

And so here, as we told you, we have about 2,000 machines capacity per month and which can be expanded as we go on.

Nitin Sharma: Understood. Thank you.

Moderator: Thank you. The next question is from the line of Saurabh from Multi-Act. Please go ahead.

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Saurabh: Yes. Thanks for the opportunity. I just have one question, out of this INR650 crores of new order wins, how much is in the nature of let's say products business and software and other part of the business?

Rajiv Kaul: We don't break down order book wins. What we refer to in order book wins is in our Managed Services and Tech Solutions business. We don't give a breakdown by sub sectors or sub business units.

Saurabh: Okay, thanks.

Moderator: Thank you. The next question is from the line of Mayur Bopodara. Please go ahead.

Mayur Bopodara: Hello, congratulations on the good set of number. Actually, I wanted some clarity regarding our card services business. So, what this business line is about and how this potential is there in this card service business?

Pankaj Khandelwal: So if you see that the card business during this quarter has grown from INR 8.16 crores to INR 24 crores. And for the half year end, it's increased to INR 17 crores to INR 42 crores. We got a couple of large orders from PSU bank and which will help us to maintain the growth momentum during this year.

Mayur Bopodara: Okay, and what is the market size regarding the card services investment? Total addressable market size?

Rajiv Kaul: I think the growth in the market, if you think of it, there are 90 crores cards issued in the country. 90 crores cards have been issued, whether it's a mix of credit or debit. The growth potential is really linked to two elements. One is, if more bank accounts are opened or therefore more cards are issued, whether they are RuPay or what. And then there is also re-carding opportunity where every two or three years or one year or four years, cards will have to get reissued.

So that's where really, it's a fairly reasonable size market. There are four to five players operating in this market there. I don't have a per se of idea right now, which I can remember offhand the size of the market, but we will take that feedback and maybe in the next call, we'll give you a sense of the overall market sizes.

Mayur Bopodara: Okay, and the next question is regarding our ATM manufacturing. So we are generally design for service industry mostly. So why are you going ahead and manufacturing on our own? Any thought process regarding that will be helpful from your side?

Rajiv Kaul: Sure. So I think it's

a very valid question. We were a services organization. I think we've become now a solutions organization because we have both software and high-end platforms. The reason to diversify or integrate into manufacturing is very critical from a competitive perspective. We are seeing a trend line of large contracts, especially from the PSU banks, which are integrated in nature. And when we talk integrated, they are looking at a single company for both supply, CMS Info Systems Limited
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maintenance, managed services, software management, cash management, remote monitoring. And not having that capability would then become a competitive disadvantage.

So what we have done is, as you know, our partners on the automation side are largely Nautilus Hyosung from Korea. We have partnered with them with the technology to set up a manufacturing plant here in which we can manufacture both ATMs and currency recyclers, which is also timed well with the large RFP pipeline in these banks to both refresh and to also expand. So I think that's the investment we made last year. It is already part of the capex expense we have done in the prior year. And we are leveraging a lot of the technology know-how from our partners in Korea on this.

Mayur Bopodara: Okay, it's great to know about that.

Moderator: Thank you. The next question is from the line of Gaurav Nigam from Tunga Investments. Please go ahead.

Gaurav Nigam: Yes, thank you, sir for taking my question. First question was on the cash logistic business. As I understand, there are three parts here, right? And would it be possible for you to even historically give a breakup of the revenue? How much is ATM and how much is non-ATM? Even a historical sense of proportion will also be helpful.

Rajiv Kaul: So, I would say that over the last few years, the ATM side of the business is a larger one. And that will be close to 60% of the revenue. And retail and cash in transit business will be roughly 40% of the businesses. That's the trend over the last three, four years.

Gaurav Nigam: Got it, sir. Got it, sir. And sir, continuing on earlier participants' question on these bad debts, which you were indicating. So can you just clarify what do you mean by reconciliation? And as you said, it is not in the transport. It happens somewhere in the reconciliation and there is a penalty. And what can you specify what exactly is the issue? And is this an industry-wide issue? Or is this specific to us? Is there a 4% to 6%, which you mentioned? Is this a norm that all the people are priced based on 4% to 6% of cost of bad debt?

Rajiv Kaul: So let me, maybe this is one of the first calls you're doing, but let me explain this to you. We'll reinforce the fact that this is a combination of two, three factors. The first of it is simply just any, if there is any bad debt. Second is provision for any penalties, which you may incur while delivering service. And if the service standards are not met, then you will have some penalties,

which you have to incur.

The third comes through reconciliation link losses. The reconciliation link losses are mostly, linked to the ATM channel. ATM channel, if a customer does a transaction and they don't get the full money, or there is some discrepancy in the amount of the money in the ATM versus the actual, then there are some reconciliation link losses, which get passed to a bank. Bank may choose to pass it on to a service provider like us. You will reconcile to figure out where this

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possibly could go missing. Was it a fault of the consumer? Was it a fault of the cash logistics company? Or was it fault of the maintenance company?

So these usually take some time to go figure out. We have actually built in a very strong machine learning based software to be able to sort these reconciliation losses in a quick time. But it is part of the nature of bu

siness in a ATM cash management business globally. In India also, and therefore, if somebody has a larger part of business in ATM linked businesses, this becomes a larger number. For us, we have said, given our broader business mix is 4% to 6% of our overall revenue. As our mix changes, this percentage will come down. As the RBI compliance on cassette swap gets implemented, we expect this number to start coming down more.

Gaurav Nigam: Got it, sir. Thank you for your detailed answer, sir. And just one question.

Moderator: Thank you. The next question is from the line of Divyansh Gupta from Latent Advisors. Please go ahead.

Divyansh Gupta: So, more specific question. So, MS is investing heavily on the ASI side, right? Because it doesn't want to be a business. What is BLA? If you can throw some light on it?

Rajiv Kaul: Divyansh, I unfortunately couldn't understand the question fully because again of the line quality, but I only heard BLA in the end. So, if somebody else heard the question.

Divyansh Gupta: I'll send a mail if that's okay.

Rajiv Kaul: Yes, please.

Divyansh Gupta: Yes, that's all from my side.

Moderator: Thank you so much. As there are no further questions, I would now like to hand the conference over to Mr. Sarvesh Muha for closing comments.

Sarvesh Mutha: Yes, I would like to thank the management team of CMS Info System for giving Antique Stock Broking the opportunity to organize this call. I will now hand it over to Rajiv for his closing comments. Over to you, Rajiv.

Rajiv Kaul: So, just to reinforce, we have seen a reasonably good half, first half of the year, despite some sort of slowdown we have noticed in the last quarter in the rural side. Metro consumption demand trends on currency seems fairly robust. We are seeing good growth thanks to the diversification of businesses so that if any business is slackening off in the last couple of quarters, other businesses have picked up the growth.

Our pipeline auto wins look good. We are very happy at the fact that we are still very focused on building high quality businesses and are able to maintain our margin profile and feel fairly confident about achieving our FY'25 revenue goal. Thank you for your support. Thank you for your questions. We will look forward to talking to you at the end of next quarter.

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Moderator: Thank you. On behalf of Antique Stock Broking, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Jan 2024

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CMSINFO/2401/013 January 31, 2024

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Dear Sir/Madam,

Sub: Earnings Transcript

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed transcript of recording of post Investors/Analyst meeting held on Thursday, January 25, 2024 at 11:00 a.m. (IST) on Unaudited Financial Results (Standalone and Consolidated) of the Company for the quarter and nine months ended December 31, 2023.

The transcript is also available on the website of the Company at www.cms.com

You are requested to kindly take the same on record.

Thanking You,

For CMS Info Systems Limited

Debashis Dey
Company Secretary & Compliance Officer
Encl: a/a

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“CMS Info Systems Limited Q3 FY24 Earnings
Conference Call”

January 25, 2024

MANAGEMENT : M R. RAJIV KAUL – CHIEF EXECUTIVE OFFICER AND
EXECUTIVE VICE CHAIRMAN , CMS INFO SYSTEMS
LIMITED
MR. PANKAJ KHANDELWAL – CHIEF FINANCIAL
OFFICER , CMS INFO SYSTEMS LIMITED

MR. ANUSH RAGHAVAN – PRESIDENT (CASH MANAGEMENT SERVICES), CMS INFO SYSTEMS LIMITED
MR. MANJUNATH RAO – PRESIDENT (MANAGED SERVICES), CMS INFO SYSTEMS LIMITED

MODERATORS : M R. PRITHVISH UPPAL – ASIAN MARKETS SECURITIES LIMITED

CMS Info Systems Limited
January 25, 2024

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Moderator: Ladies and Gentlemen, Good day and welcome to CMS Info Systems Limited Q3 FY24 Earnings Conference Call hosted by Asian Market Securities Limited.

This conference call may contain forward-looking statements about the company which are based on the beliefs, opinions, and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. Actual results may differ from such expectations, projections etcetera whether expressed or implied. Participants are requested to exercise caution while referring to such statements and remarks.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Prithvish Uppal from Asian Markets Securities Limited. Thank you and over to you, sir.

Prithvish Uppal: Thank you Michelle. Good afternoon, everyone and we are very pleased to host you and the management team of CMS Info Systems for the Q3 and 9 Months ended FY24 Earnings Conference Call.

We have with us today from the management team of CMS Info Systems: Mr. Rajiv Kaul – CEO and Executive Vice Chairman, Mr. Pankaj Khandelwal – Chief Financial Officer, Mr. Manjunath Rao – President (Managed Services) and Mr. Anush Raghavan – President (Cash Management Services). I now hand over the call to Mr. Rajiv Sir for his "Opening Remarks." Over to you, Sir.

Rajiv Kaul: Thank you Prithvish. Good afternoon, everyone. Thank you for taking the time to attend our Q3 FY24 Earnings Call.

With revenue growth of 19% and an adjusted PAT growth of 22%, it has been a strong quarter. This actually makes it our seventh consecutive quarter with more than 20% year-on-year PAT growth. The strong and consistent performance highlights the robustness of our annuity linked business model.

We are seeing a very strong momentum in both our business lines led by growth in the banking sector and higher outsourcing and the growth in the retail sector led by formalization. Our track record on bidding and winning large complex banking outsourcing deals continues. We're happy to share that we have INR 600 crores worth of wins in this quarter, which takes the CMS Info Systems Limited
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cumulative wins in this financial year to INR 1,250 crores in our Managed Services and Tech Solutions business.

Our CFO – Pankaj, will now take you through the "Q3 Financial Highlights".

Pankaj Khandelwal: Thank you Rajiv.

Our consolidated revenue has grown by 19% to INR 582 crores with Managed Services and Technology Solution now contributing 40% of our total revenue.

Our adjusted EBITDA has grown 16% to INR 163 crores, and our adjusted EBITDA margin profile is 28.1%. Adjusted PAT has grown by 22% to INR 96 crores making it 11th out of last 12 quarters with greater than 20% PAT growth.

Our adjusted PAT margin has expanded by 40 basis points on year on basis to 16.5% in Q3 of FY24.

I'm also happy to inform you that our Board of Directors has declared an interim dividend of INR 2.50 per share.

Both our business segments have delivered strong results. My colleague will take you through the respective business highlights starting with Anush for the "Cash Management" business.

Anush Raghavan: Thank you Pankaj.

Our revenue in the Cash Logistics business has grown by 11% year-on-year and 4% quarter-on-quarter to INR 375 crores in Q3 with an EBIT growth of 14% to INR 98 crores. The EBIT margin has expanded by 80 basis points year-on-year to 26.0% in Q3. Our Cash X offering which we have talked about on

our Investor Day

in May 2023 is scaling well. So far this year

we have onboarded and are servicing 40 plus new retail logos.

Our platform offers retailers seamless technology integration which enables process automation, risk mitigation, reconciliation and faster settlement cycles. With this, we have accelerated our business point growth to 4,000 for this quarter, which is close to what we added in all of H1 this year. We continue to invest in our infrastructure with the addition of 500 vans year to date and have upgraded our vaults at 40 locations to state-of-the-art technology and QR-based track and trace mechanism for cassette swap.

With this infra capacity we have been at the forefront of cassette swap implementation and are best placed in the industry to roll out cassette swap. We have already added ATM cassette swap process in 12,000 plus ATMs and we expect 25% of our ATM network to be cassette swap compliant by the end of FY24.

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With this, I hand it over to my colleague Manjunath to share an update on our Managed Services and Tech Solutions business.

Manjunath Rao: Thank you Anush.

Our Managed Services and Tech Solutions business revenue grew at 38% year-on-year to INR 233 crores in Q3. EBIT grew 27% year-on-year to INR 41 crores and the EBIT margins stood at 17.7% in the quarter. In the last Earnings Call, we had indicated that we expect to see key PSU RFPs get concluded this year.

I'm happy to report that we have won INR 600 crores of new orders in Q3, taking the new wins in the first three quarters of FY24 to INR 1,250 crores. In comparison, our total wins in FY23 were INR 950 crores. In our AIoT remote monitoring business, we have won orders for 2,000 new sites and are conducting pilots in non-BFSI sectors. With this, I would like to invite Rajiv for his closing remarks.

Rajiv Kaul: Thanks Manju.

To summarize:

Both of our businesses are showing great momentum. Our enterprise sales execution across banks and our solutions for retail such as Cash X are delivering very good results. A significant part of our last two to three years' growth was linked to the MS order book, the ATM growth and compliance. Going forward, we continue to see high growth from our Managed Services business, our retail and AIoT businesses.

Based on current visibility and new wins, we are on track to deliver revenue in this fiscal year of INR 2,250 to 2,300 crores which would be a 17% to 19% growth rate and we feel confident on our mid-term outlook of FY25 which we had presented as an aspiration of INR 2,500 crores to 2,700 crores to be in the upper half of the range.

Thank you for your support and attending this call, we can now move to Q&A.

Moderator: Thank you very much, sir. We will now begin the question-and-answer session. The first question is from the line of Aasim from DAM Capital. Please go ahead.

Aasim: I think Rajiv has partly answered my question so. So, I think revenue aspiration for FY25 you said that you would be most likely in the upper end of the range. Could you also just give some more color that would it be still more Managed Services driven than rather with Managed Services growth still be faster than Cash Management in FY 25 and basically with Managed Services growing faster than cash, what does that do to our consolidated EBIT margins over that year?

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Rajiv Kaul: Our Managed Services business is obviously coming off a smaller base. It has grown very well.

We had in our annual investor day indicated that by FY25 we expect the split of businesses to be in a 60-40 ratio. Q3 of FY24 we have already have that ratio, forecasting it by quarter will be difficult, but I think we see a similar contribution from each business at the end of FY25 at a 60-40 level which is what we had indicated in May earlier this year.

From a margin perspective the MS business EBIT ma

rgins are on the lower side. It's a business

where we are aggressively growing and investing for market share. Also, it has a product automation mix to it which can impact margins on a quarterly basis. So, I don't see any change in the margin profiles of the businesses from the medium term perspective. We will give you more clarity I think at the end of the fiscal year when we have our Analyst Day.

Aasim: I think for now I think from a base case scenario one should circle in maybe a slight decline purely based on the mix changing in favor of Managed Services.

Rajiv Kaul: Yes.

Aasim: And second question is basically on the compliance norm pricing catch up. So, you have mentioned 85% of your ATMs on route basis are compliant and cassette swap at 15%. Can you share similar figures for our RCM and CIT and if you can also talk about where the industry is currently in these three markets?

Anush Raghavan: I know we had guided earlier the rollout of ATM compliance was happening on the route wise basis and 85% of our ATMs are fully compliant especially with addition of 500 plus vans onto our own network this year.

On the RCM side, it is following a process of city wise throughout and as we speak we would be compliant in a little bit more than 40% of our RCM network. The CIT business the quality of network that we're operating we have chosen to sort of have exclusively compliant contracts on the CIT network. So, there are obviously some contracts which continue to come and go from certain public sector banks which do not fully mandate compliance. We're taking a very strategic call to not load our network with any of that business in order to just chase revenue. So, 85% of ATMs are compliant, almost all of CIT is compliant and 40% of our RCM business is compliant.

Rajiv Kaul: When Anush refers this, he is talking to you on the CMS network. We obviously can't comment on the broader industry and what our competitors are doing, but if this is on the CMS network. As a management, we have taken a call to consolidate our focus on working with banks and partners which are focused on compliance and any other business which is lower yield we will slowly stop working on that and focus on a high yield business.

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Aasim: But safe to assume that broadly vis-a-vis industry you would be higher or maybe in the ATM's case similar to industry levels, or would industry be much behind?

Rajiv Kaul: We should be higher simply because the investments required for compliances were significant. We had front loaded this investment in FY21 itself. So, again we will refrain from commenting on other market participants, but our focus on compliance has been to lead with these investments. I think most of the investments for compliance have peaked and I think we're seeing the benefit of that in just the quality of the business and also the margin profile of the business.

Aasim: And just last question it's basically on your M&A focus points, you've mentioned business services, fintech and financial inclusion. Can you just elaborate more specifically on these three where your synergies lie with your existing strengths, and would all these be non-cash movement related or would there still be an angle of cash over here?

Rajiv Kaul: From the Investor Day and what we talked about I don't think there's any significant change in the way we think about acquisitions or M&A, and we did talk to you about the areas of our focus where we'll try to look for expansion. I don't think any of them have a cash element to it at all. I think this would be either broader towards infrastructure, financial inclusion or logistics or technology.

Moderator: Thank you. We'll take the next question from the line of Balaji from IIFL Securities. Please go ahead.

Balaji: My first question is on the FY24 revenue guidance that you have mentioned which is INR 2,250 crores to INR 2,300 c

rores. If I take the midpoint it implies about 27% YoY growth for 4Q which is a fair bit higher than what you have been doing. So, basically what gives the visibility on such strong numbers in 4Q. The second question is on the ATM compliance which you mentioned of 85%. So, we can see that despite that your Cash Management revenue has grown only by about 11%. I do understand that there was some pricing impact on a CIT contract, but still one would have expected a slightly higher number since there should have been some realization boost from this compliance, so what explains this phenomenon on the compliance percentage and the relatively lower revenue trajectory growth that we are seeing so those are my two questions?

Rajiv Kaul: From our commentary before, I think there is the fact that our order book wins have been strong that execution will lead to some of that work getting built in Q4. Secondly, Q4 does tend to become a seasonally higher quarter as we've witnessed even last year. I think that's what leads to the confidence of the commentary for revenue forecasts for FY24.

On your second question on the cash logistics business, I think if you go back to we have always guided to the growth potential of the business in the medium term to a 10% to 13% range. I think at 11% is still very good growth. There was that CIT contract loss which we had talked about

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earlier, but I think more importantly what we are seeing is what I did say to Aasim in his question is that as a team we are standardizing our operations and delivery to focus on the compliance work.

So, any customer or customer segment where compliance is not a priority for them or they're not able to do it based on their own business model is the business which we will try and move away

from. So, case in point would be let's say the white label business, the white label business as the operators is not in a position to maybe drive full compliance for whatever reasons. I think we will let go of those businesses because we don't want to have our revamped infrastructure delivering services which are both compliant and non-compliant. I think that's the right thing to do.

Moderator: Thank you sir. We will move on to the next question which is from the line of Mr Achal from JM Financial. Please go ahead.

Achal: The question I had in mind is with respect to if you look at, I mean this is more top-down question we kind of face this. If you look at the currency handled by the ATMs or per transaction value, number of transactions we are seeing the marginal dip year after year or rather for the last few quarters.

So, the question I wanted to ask you is a) how does it impact the Cash Management company and industry and for us how do we tackle this, how does it impact us, and the second question is there any monetary impact or financial impact already seen in our 2Q or 3Q numbers?

Anush Raghavan: I think broadly if you look at it the fact that the interchange has continued to remain flat for the last few years despite the broader industry asking for an increase. I think that is leading to more tepid 4% growth in the ATM volume.

We firmly believe that deeper penetration of ATM is required especially in semi urban and rural and that increase in ATM rollout either accompanied by an interchange increase or with what the public sector banks are doing in terms of growing the ATM channels and expanding that will lead to a more secular increase in overall ATM usage.

However, with the current concentration of ATMs, the overall disburse to the channel is remaining relatively stable and steady at between INR 2.7 to 2.8 trillion per month. In terms of from a CIT perspective I think we've sort of reiterated this in the past as well. We are more focused in terms of looking at the total cash handled through the CMS channel, which actually continues to grow quarter-on-quarter.

So,

even in Q3 we had the highest ever currency handled at about INR 3.4 trillion and the more immediate impact on our revenue stream is in terms of the total activities that we do which have actually increased by about 10% year-on-year.

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Achal: Secondly with respect to the comment Rajiv made with respect to compliance, investments are already by and large already done. So, with respect to the CAPEX how do we look at CAPEX going forward and another question I had in mind is with respect to the ATM addition where we stand because in the last call you had mentioned about a fairly significant capacity the ATM additions should happen in the second half. So, how is that progressing or are we seeing that getting pushed in to FY25?

Rajiv Kaul: Achal I will talk about the second question and Pankaj can reply on the CAPEX side. So, a lot of the RFPs which have got deferred or delayed rather have started closing out. We have seen contracts RFPs for almost 30,000 ATMs which have closed in the year-to-date period and there are another 20,000 odd ATM RFPs which are expected to close in I hope Q4 2024 or Q1 of next year.

So, we are seeing good progress on this, this had got deferred or delayed a little bit, but I think this is moving along very well and that's also part of the reason for our forecast, our bullishness and also the orderbook which we have. In terms of CAPEX your question let Pankaj give you a view.

Pankaj Khandelwal: So, CAPEX spent will be lower than our earlier guidance of INR 150 crores in FY24 with some of it getting spilled to next financial year on account of large order books which we have won in Q3 FY24.

Achal: Would you be able to give us the number Pankaj by any chance FY24 what CAPEX we would look at and how much is already spent?

Pankaj Khandelwal: So, we have given a guidance earlier of INR 150 to 175 crores in the last call. We expect that this will be over INR 100 crores this year.

Rajiv Kaul: So, INR 125 crores is the forecast we have for what you think will end up in CAPEX spent this year.

Achal: And how much is already spent Pankaj in 9 months?

Rajiv Kaul: I think H1 we had reported the number. I don't exactly remember the number it will be an H1 results. So, you'll get a sense from there.

Moderator: Thank you. The next question is from the line of Nitin Sharma from M.C. Pro Research. Please go ahead.

Nitin Sharma: So, two questions. First of all, on the cost end both purchase of traded goods went up sharply similarly service and security charges also went up. How should we see it going ahead and then I'll follow up?

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Anush Raghavan: Nitin could you just clarify the question again you said two cost you missed the first?

Nitin Sharma: The purchase of traded goods and services and security charges both of them went up sharply in this quarter. So, how should one see it going ahead?

Pankaj Khandelwal: See the cost of goods sold have increased because of the revenue mix change. So, in Managed Services, our Managed Services business is now contributing this quarter around 40% and that too in that the Banking Automation business is there which has resulted in the percentage of the cost increase from 5.5% in Q3 FY23 to 9% in Q3 FY24.

As regards your question on the service and security expenses has gone up because of the change in the revenue mix. Second is the vehicle cost we have added 500 vehicles, which has resulted in the reduction in the fuel cost, fuel and the vehicle hiring cost and increase in the Service Security cost.

Rajiv Kaul: So, you should take those two together the vehicle costs of service security and then see the trend line on quarters on that.

Nitin Sharma: Secondly on this INR 600 crores order win what all is included there. It cannot be entirely Remote Monitoring and also how much of the order book is yet to be executed?

ed?

Rajiv Kaul: How much of orderbook sorry...

Nitin Sharma: Yet to be executed percentage that has been executed so far?

Rajiv Kaul: Our orderbook we actually only refer to our Managed Services and Technology business. We are not talking about orderbook in our Cash Management business and the order book comprises Banking automation, ATM as a Service, AIoT remote monitoring. The INR 600 crores the order wins are only in Q3 for the full year the order book is about INR 1,250 crores.

The revenue from these INR 1,250 crores will accrue to us in the next 3 years to 5 years. So, some of this will start getting executed towards the end of the fiscal year, but the majority of this will accrue to us in FY25-FY 26.

Moderator: We will take the next question from the line of Adityapal from Motilal Oswal Financial Services. Please go ahead.

Adityapal : Just wanted to understand in Cash Management services what would be the split of business across RCM ATM and CIT and if you're saying 11% growth what will be the growth attribution?

Rajiv Kaul : We don't split our contribution of businesses within cash manager. I think we always talk about overall business points and overall business growth. We don't detail our growth by sub segment.

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Adityapal: But if you can just give a commentary on if you want to attribute to where the 11% growth is coming from which one of the three is driving the growth?

Rajiv Kaul: This was part of my opening and closing remarks where we said that significant part of our last two-to-three-year growth came from the ATM market and compliance driven growth and our ATM as a service business lines. The current trend and momentum indicates that our business in retail is growing very healthily. Anush also talked about the Cash X offering which is doing well. Also, our AIoT Remote Monitoring business is doing well, and our broader Managed Services business is growing very, very strongly.

Adityapal: So, just talking about Cash Management services so when I look at over the last 6 to 7 quarters on a year-on-year growth has actually slowed down from high 20% to low double digits. Anything that we have to read into it?

Rajiv Kaul: I think you should go back to what most people thought before IPO that cash business cannot grow in the first place and then we surprise people are growing 20% at that time. You have to think of the larger business and Cash Management are linked to formalization and growth of the economy.

So, we will be linked to the growth of the economy at 10% to 12% growth in a large business is I think very good and very healthy. It will look optically lower than what we had in two years prior, but from a long-term perspective I think our goal remains to see this business growing by 10% to 13% range, which I think should be the market expectation also.

Moderator: Thank you. The next question is from the line of Pranay Jain from Deal Wealth Capital. Please go ahead.

Pranay Jain: Could you throw some color on the outsourcing cycle in ATMs and how our talks with the banking partners and the PSU private side is giving us an idea of what could come to us next year as part of the expansion and refresh cycle and the outsourcing trend?

Rajiv Kaul: So, I will refer to the answer we just made. So, the outsourcing trends are obviously different across different business lines, but the large ones which we were looking to work on where the whole ATM reflect cycle, 30,000. ATMs have already been in the process of getting awarded this year, 20,000 odd ATMs should happen in the early part of next fiscal year.

In addition to this, I think there is when you think of AIoT business, RMS business and our

software business we are in talks with many banks in terms of their expansion and at least for them it's just about adopting new technology. This is technology which has not been used before at many banks, whether it's

in branches or in their ATMs.

And I don't think I can tell you what will likely happen next year in terms of order wins. Order wins will only conclude basis is linked to competitive intensity of course in each business of CMS Info Systems Limited

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ours, but our gross order wins over the last three years are being at the range of about INR 4,400 - 4,500 crores. INR 1,250 crores of order wins in the 9 months of this year and we aim to keep doing well in this as and when contracts come up for bidding.

Pranay Jain: And our most of the wins with regards to expansion in the banking and the refresh that you're seeing coming from non-metro pin codes, is that the understanding going forward?

Rajiv Kaul: So, expansion for sure you're right. Expansion would be in the semi metro and rural side. The refresh would be across the country because infrastructure, which was set up 7, 8, 10 years ago was across would be large in the urban centers and that would need to get replaced and upgraded by newer technology. Also sorry is that what your question was completely I couldn't hear you come fully.

Pranay Jain: Yes, that was part of the question, and the second part was how is the competitive intensity looking because our peers whether it is Hitachi or Radiant or other smaller ones they're quite aggressive in pricing and wins so how are we tackling competition presently?

Rajiv Kaul: We have been talking about competitive intensity will be higher for the last five quarters. I think I've said this in every call. India is an exciting market for domestic and multinational companies.

We expect competitive intensity to be in intense - that's the job of competition. So, whether that is obviously competitive intensity leads to pricing impact.

We've been doing a pretty good job of focusing on market share and growth as you can see from our results over the last 7 to 8 quarters. Our job is to balance growth with market share and then margin profile and in our core strategic businesses we are very clear on focusing on market share and therefore again if you look back at some of my commentary some of the lower yield businesses which are not likely to get into compliance over the coming year or two we are not interested in those businesses and we rather step away from that and focus energy on businesses which is stickier and better margin profile in the long term.

Moderator: Thank you. We'll take the next question from the line of Ankit Kanodia from Smartsync Services. Please go ahead.

Ankit Kanodia: My question is related to a news article which appeared maybe yesterday or the day before yesterday where it has been mentioned that 40,000 ATMs are to be replaced in the next 12 to 18 months and 10,000 new ones to be added.

So, just wanted your thoughts on that in terms of how much of that can come to us and how much of that will lead to only Cash Management business and is there any scope for many services business also with these new ATMs, if you can throw some more color on this that would be grateful?

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Rajiv Kaul: I talk about the 3,000 ATM's which have already been closed out 20,000 more. This is sort of part of the same trend or the article you may be referring to. The numbers may be a little bit here and there, but the number I'm telling you right now is what you should refer to.

There is a upfront opportunity of winning the automation business and then there is a longer-term opportunity by services, Managed Services. Some of this may come as ATM as a service business, but from a upfront product automation perspective our historical market share has been in the 15%, 16% range for the business which got contracted out the 30,000 odd ATMs and recycles our market there and the wins would be more about 25%. What will happen in the future we can't tell you, but this is what the trend is right now.

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Ankit Kanodia: Just one more question related to that article only, someone from our team Mr. Manjunath Rao. He mentions there that bank right now is looking at ATM as a selling point rather than a service point. So, if you can just elaborate a little more on that as to how does that open up new opportunities for us?

Manjunath Rao: This was in regard to the branch expansion plans of the banks you must have read that in the articles of the banks. Typically, on the ATM front we have 1-2 deployments. One for every branch there are two ATMs deployed and in that model the banks are now thinking of a smaller format of their branch and making it more automated and using that space as their cross-selling points.

So, rather than a traditional brick and mortar, they would be using more automation in their branches that's what we get to hear from many of the banks that we discuss with.

Ankit Kanodia: And how does that help us?

Manjunath Rao: Absolutely because one the banking automation business itself and as well as if the model moves on to ATM as a Service model then that it would help our Managed Services business and almost all our businesses get a play in that including Remote Monitoring services.

Moderator: Thank you. The next question is from the line of Abhishek Sinha from Bodh Capital. Please go ahead.

Abhishek Sinha: I just have one question. I wanted to understand what is the run rate of AIoT for the remote monitoring business?

Rajiv Kaul: So, AIoT business is running at a ARR of INR 100 crores plus.

Abhishek Sinha: So, a couple of quarters back I think last quarter also it was at around INR 100 crores, so have we seen any uptick in that?

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Rajiv Kaul: I think it's a number we report every year and we already mentioned that we've done 22,000 sites. We have won orders for 2,000 more. I think by the end of the fiscal year we should be closing around 25,000 sites.

Moderator: Thank you. The next question is from the line of Bhargav Sangi from AMSEC. Please go ahead.

Bhargav Sangi: I have two questions and my first question is regarding the provision like what's the recent trend in the provisioning and what's your outlook, if you can provide any outlook that could be helpful?

And my second question is related to the pilot project in collection business that you mentioned in the last quarter like is there any update in the projects, so these two are my questions?

Rajiv Kaul: So, Pankaj could help answer the first one on provisions if I got your question correctly and the collections business, of course, we should not confuse our provisioning and collections businesses and the second question Anush can answer.

Pankaj Khandelwal: So, on the provisioning part with the rollout of the compliance and increased coverage of the cassette swap. We have seen a reduction in our risk cost. This has allowed us to drive a corresponding reduction in our provision from 5.1% in FY23 to 4.1% in H1 of the FY24. Further, we expect that closed FY25 we will expect to close sub 4% level.

Bhargav Sangi: Can you mention for the Q3?

Pankaj Khandelwal: So, H1 we have done 4.1% and we are expecting that for the full FY24 we will close less than 4%. So, the Q3 was also lesser than the H1 number. So, there is a gradual decrease in the provision because of the rollout of the compliance and the increased coverage of the cassette swap.

Anush Raghavan: I think as we have said, you know FY24 is a year where we will incubate a few new businesses and run advanced pilots. Collection is obviously one that we were looking at very keenly. I think the pilot was progressing quite well. We would love to come back to you and update you in more detail on that closer towards doing the next Investor Day. We have signed more than 15 contracts with various banks and NBFCs and I think there's a lot of learning which our team has been getting out of that.

Moderator: T

Thank you. The next question is from the line of Darshan Shah from Multi-Act Equity Consultancy Private Limited. Please go ahead.

Darshan Shah: I have two questions. One is on the order wins during the quarter. Can you just split it between CAPEX intensive versus non-CAPEX intensive out of those INR 600 crores of order wins?

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Rajiv Kaul: So, instead of just Q3 we will tell you for the whole year to date. The year-to-date order wins are INR 1,250 crores. I think less than one-third of that will need capital investment and the remaining will not.

Darshan Shah: And my second question is on dividend payout. So, this is the first time we have given interim dividend. So, is there any change in the thought process of dividend payout policy because if we look at Q3 dividend payout it comes to around 45-46%?

Rajiv Kaul: So, it's not 45-46% for the quarter. Let me clarify we have done interim dividend before in FY22 we have done interim dividend and there is no change in dividend policy or thinking as such I think from our perspective as a company we would like to not wait till the end of the year and do dividends. We have a fairly robust balance sheet, and we should be able to give capital back to shareholders at frequent intervals. So, I don't think should link to Q3. I think there's a year to date we've done interim dividend.

Moderator: Thank you. The next question is from the line of Nilesh Jethani from BOI Mutual Fund. Please go ahead.

Nilesh Jethani: My first question was on the margin front. So, from going forward wanted to understand in both businesses that is Managed Services as well as cash logistics. What are the levers for margin

expansion I understand Remote Monitoring is one of the pieces, but apart from that what are the levers for margin expansion from here on?

Rajiv Kaul: First of all, I do want to underline the fact that our margin profile is best in class globally. I would struggle to know of companies which have the margin profile which we've been delivering consistently. Second point I want to underline is that our margins have expanded substantially over the last three years and in both of our businesses Managed Services as well as Cash Management. Number three I will go back to repeat myself again and say that we expect intense competitive intensity. In this intensity our job is to make sure we defend and grow market share and growth. Of course, our efforts will be to maintain margin profile as much as we can, but that's not. I don't think margin profiles can be linear in nature. Lastly, it's like your fundamental question on levers of margin expansion. I think the mix of business is one. The second is really about productivity if you are able to do more activities on the network and the third is just pricing. So, the levers will not change dramatically for any company including us. For us the one thing which we have been good at and we hope we can continue doing that in the future is driving a very strong investment and technology in the core of operations for the last several years, which

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has helped us systematically drive productivity you're seeing that also help in reducing our let's say risk cost this year and just to keep working on improving these things, but we don't control inflation. We don't control how competition will be and from the longer-term perspective we have to be very careful and not just be overly focused on margins, but we focus on revenue growth and market share.

Nilesh Jethani: So, on this revenue growth and market share fees just wanted to understand if more and more Brown Label ATMs come out in the market and say we don't participate aggressively in that, but we participate for the other ancillary services and even Managed Services for those ATMs. So, wanted to understand today whatever brands or whatever

infrastructure we are in place and

say additional say 70,000, 80,000 of PSU banking ATMs are there for refresh.

Wanted to understand what CAPEX we would require for capturing that market and whether that CAPEX required today would be adequate for capturing the higher margins from here on? So, wanted to understand at today's infrastructure what kind of additional ATM's etcetera we can service?

Rajiv Kaul: In a way what you are saying is on a current investment on vans and capacity how much more capacity could we really do. I think it's a function of this is always changing in time because we're expanding the network. When you move into a new location your productivity will be low. But I think that's again our productivity numbers are systematically gone up whether you take it on per route or you look at just revenue per employee and cost per employee. I think we've been systematically working to improve those two things. From a perspective of your question on BLA you're right we are reasonably careful on that segment because it's capital intensity. We don't mind the capital intensity. It's just that making a bet on how transactions will be for the next 7 years. We don't think we have that good quality. Therefore, we will always be more conservative. We have rightly or wrongly taken a call that we will try and catch the contribution of this business to under 15% of our revenue.

We think that's the way to do position sizing, like when you do capital allocation and in that it gives us the flexibility to work with clients where we think we can get the adequate return of capital and therefore we're not getting over. I mean our revenue growth can be pretty much higher if we want to play a bigger role in BLA, but that's not a goal.

And then the last point is really about when you think of the work we do in our network we are trying to make sure that we change that to higher yield and higher quality, and we wean-off lower yield and lower margin business over the network.

Three years ago, it was very different because the network quality was different. Today, our network infrastructure is of a much higher quality, and we don't want to use that to deliver services which are not in line with the way we want to grow.

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From a need for capital, we have done roughly an INR 200 crores CAPEX I think Pankaj for the last two fiscal years, this year we were estimating INR 150 to 175. It will be lower, but some of that will just slip into the early part of next year. It's too early to know what the capital needs of the business are going from a three-year cycle, but if next year we would hope to be at an INR 200-crores capital plus some of the slip over from this year. So, maybe it's an INR 250-300 crores

number for next year right now.

But keep in mind that the EBITDA of the business has grown significantly over these 3 years, 4

years and therefore the CAPEX as percentage of EBITDA is going down substantially.

Nilesh Jethani: So, last question from my side so on this upcoming 80,000 ATMs available for refresh from the PSU side. Just wanted to understand any ballpark understanding you would be having based on your calculation currently what routes etcetera we are servicing at least what kind of market share we can gain in this incremental number?

Rajiv Kaul: Well, impossible to know, but I just want to clarify. There is no way we have talked about 80,000 ATM's right now. We have talked about 50,000 ATMs in recycler 30,000 already closed out and 20,000 up. Now there may be more from other banks, but I don't want to confuse anybody with 80,000 number which at least we haven't talked about, but impossible to know which routes and networks this will go into because these are spread across the refresh will be already part of it.

The expansion could some of it will come on the same route, some may need new routes, but this is not s

omething which we can sort of forecast.

Moderator: Thank you sir. We'll take the next question from the line of

Mohit Madhiwalla from Envision

Capital. Please go ahead.

Mohit Madhiwalla: So, number one with these points that have been added this quarter, have they basically been in locations where you already have presence and are getting more density within those pin codes or is it more that kind of exploring other pin codes we don't know how much is the standalone that my first question.

And the second question is if you could also provide an update on what kind of annual expense that is expected on ESOP costs, let's say FY24 that is this fiscal up until let's say the next two to three years?

Anush Raghavan: I'll answer the first part of the question and hand over to Pankaj for the second. So, as far as the new business is coming in I think we have spoken about some of those earlier, but one of the core strengths of the logistics platform that we have in CMS is the fact that we already present in a significant number of pin codes covering a large percentage of Indian districts.

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So, our ability to service any new business point that comes in I think is far ahead of anybody else. What practically happens is that as and when new businesses come in, it goes to an internal process where we use some of our technology to figure out what is the best way to service that. And in very rare cases we may need network expansion into a new area, but in most places, it may be an expansion in terms of an upgrade of the infrastructure of the routes in case we need to cater to that incremental demand. More than 62% of our network is present in semi urban and rural covering greater than 16,000 pin codes. So, that's really the strength that we offer to our customers.

Pankaj Khandelwal: So, whatever ESOP we have issued at a very close to the fair market price. 75% of the ESOP are issued at the weighted average fair market price and 25% at a 10% discount. We have not given any deep discount, or we have not issued any RSU. Those are ESOP issued at a fair market price, but the option value to be calculated at a Black Scholes method and expensed out in the P&L.

So, based on that for the next two quarters we expected INR 10 crores to INR 11 crores of the ESOP expense and then next four quarters around INR 6 to 7 Cr s and then it will reduce to INR 3 crores to INR 4 crores. One more point I want to highlight is that 50% of these ESOPs are vested only in case of the performance as defined in the ESOP policies.

Mohit Madhiwalla: So, just to clarify that ESOP for this is per quarter this is a per quarter run rate that you have mentioned?

Pankaj Khandewal: Yes, ESOP cost per quarter.

Moderator: Thank you. The next question is from the line of Chinmay Nema from Prescient Capital. Please go ahead.

Chinmay Nema: My question pertains to the Retail Cash Management business. The other players in this segment have talked about pricing revision s price cut, so just wanted to understand what kind of pricing power do we have in this business, have we taken any price cuts? What kind of price hikes have we taken in the past? Do we have fixed contracts, variable contracts, any objective or subjective commentary on this would be helpful?

Anush Raghavan: Let me answer it in a different way. I think fundamentally when you look at the performance of the cash business when you take the 9 months of the year I think they're showing almost a 16% growth in our EBIT margins. I think that's sort of speaks testimony to our pricing power and the way in which we are able to deliver with high operational efficiency.

Having said that, I think the nature of the way in which we're looking at retail businesses is changing. This is no longer just a per pickup price or a per pickup model. It's transitioning from

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being a logistics service to a more solutions-oriented play. We are bringing on board a lot of investments that we've done with respect to technology.

Cash X is really a very strong ecosystem of collaboration between payment banks, Fintech, CMS and some traditional banks to try and look at the retail outsourcing in a very different way, how do we bring in greater process efficiency to the front office. How do we bring in greater risk management and resilience to the back-office processing. I mean it's really about trying to help retail execute a lot more efficiently, making sure that their working capital cycle reduces, making sure that the risk exposure of the people who are working in retail is vastly different, offering accelerated settlements.

So, I think we feel quite positive about the offering that we have and the conversations that we have with retailers. As I said earlier, we brought on board more than 40 different logos just in this year. So, I think that's the way we're looking at it.

Chinmay Nema: Would it be possible for you to quantify what kind of price hike you've been able to take in the last 3 years, 4 years, 5 years?

Rajiv Kaul: No, we can't.

Moderator: Thank you. We'll take the next question from the line of Pranay Jain from Deal Wealth Capital. Please go ahead.

Pranay Jain: Yes, on the AIoT's just wanted to understand what is the opportunity we see over the next couple of years as we are expanding into NBFC insurance and retail so that is the first one?

Rajiv Kaul: On the AIoT business right.

Pranay Jain: Yes, the opportunity size versus where we are.

Manjunath Rao: So, the BFSI sector TAM is roughly about INR 1,700 crores and the non BFSI sector we estimate around INR 6,000 crores and that's the opportunity. When I say non BFSI we are talking about big retail, logistics, warehousing and government, railways, metros, highways and ITMS (Intelligent Traffic Monitoring Systems) sectors.

So, these are the large ones. Currently we are very strong in the BFSI sector and like Rajiv said earlier 22,000 and this year we might end up with around 25,000 ATM sites. So, likewise the bigger businesses are outside the BFSI sector.

Rajiv Kaul: So, in our BFSI side ATMs we hope to be about 10% market share by the end of the fiscal year. This is a business we incubated only about 2.5 years ago. Our current focus and win rate is obviously high in the areas we know well. Over time, we are building the software stack and the platform and then putting a sales team together to venture into the other area.

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But just from a overall 2.5 lakh ATMs in the country we think about and there are about 1.5 lakh branches. So, if you take that total that's about 4 Lakh sites potentially as a tap for this business. We are right now targeting to get to 25,000 in this fiscal year.

Tell you more about the thinking and really at the Analyst Day, I think that will be the right time to sort of talk longer term with the business.

Pranay Jain: I was just looking to get what size I could scale up in the next couple of years, any percentage, any goals or aspirations here so?

Rajiv Kaul: I understand. That's something we will update you at Analyst Day. Again, keep in mind that it's a business which we are new still. We have done very well, but we don't want to get carried away and just focus on doing the right thing from the midterm of the business.

Pranay Jain: And the second question is on the inorganic part basis the cash that we have on books, what are the strategies that we are looking to deploy over here in the opportunities we see as part of industry consolidation or in the adjacent areas of our operation?

Rajiv Kaul: We've talked about this in detail in our earlier calls and as well as our Investor Day, but I'll just summarize, # 1. We are a fairly conservative company. We have done many small tuck-in M&A

deals and to look for expansion, but we do see the opportunity to scale into newer segments with meaningful M&A in the coming years.

We have reasonable cash in the books which we want to have flexibility as and when an opportunity comes up. Having said that, buoyant stock markets don't necessarily help for M&A especially for a company like us which is looking to do things at the right value.

Our focus will not be so much on consolidation. I think the consolidation opportunity as a market leader most of our segments we would prefer to grow organically rather than do aggressive M&A. We think that's the best to use our capital to invest the capital ourselves rather than use it to buy something in our current line of businesses. The areas where we would like to deploy capital for expansion remain on broader financial inclusion and infrastructure space for banks, bullion logistics and collections.

Pranay Jain: And we have adjacencies over here the areas that you mentioned financial inclusion and the other pieces that you mentioned or are they fresher areas for us?

Rajiv Kaul: When you think of bullion logistics it's a fresh area for us, but it's a logistics business. We do cash logistics. We know risk management, but we may not know the client. So, therefore the whole thing is about getting new clients there. When you think of collections we haven't done collections, but then again it's a business which should render itself very well to the infrastructure we have set up of both governance, risk management and the branches we have in the cash logistics business.

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The clients here would be potentially would be banks and NBFCs with whom we already do some work. So, adjacencies depend on how you define the work and the final financial inclusion I think that would be something new. Our approach usually for M&A from the past has been to incubate and pilot new businesses internally, learn about them or do a small acquisition to learn and then only scale it up. We normally don't do something big in a new sector first upfront.

Moderator: Thank you. We'll take the next question from the line of Shakti Dinesh an Individual Investor. Please go ahead.

Shakti Dinesh: So, if I look at our business there is Cash Management and there is Managed Services. So, just wanted to understand in Managed Services we have this software solutions Algo and AI based monitoring. I understand our competitive position in terms of Cash Management and how this offering is strengthening our business proposition like and NBFC is there. We are transporting the cash and we're also providing the monitoring solutions, but just wanted to understand the competitive dynamics like from CMS side like what kind of competition are we seeing in particularly in the software domain like why can't an IT company do it, so if I can get a picture on that?

Rajiv Kaul: When you think about software I'll specifically talk about Algo because on software because your question is very vast, but if I just pick software when we work in software our ALGO software there are two elements here. One is the whole Multi-vendor software we work on with the large banks on the ATM channel.

Now this is specific to the ATM channel it is of relevance to strategic companies like us. There are other competitors like global companies which could do this. I don't think Indian IT companies would have the necessary skill set to focus on this. The second is on a AIoT remote monitoring. I think AIoT remote monitoring is a sector which has seen many companies over the last decade come in and set up solutions.

But software and technology have changed dramatically. We saw an opportunity; we are a late entrant into the sector. We only entered the sector in 2021. We saw disruption ability at that time basis the model of technology changing from whatever it was earlier to mostly using machine

learning in AI and therefore we are able to invest into that aggressively when there is a disruption in technology.

And where the incumbents were maybe slower at that time or couldn't invest for whatever reasons. So, I think that helped propel us into a market leadership position. So, we are in the BFSI space the number one player even though we are one of the last people to enter that sector, but that's what both the good and bad on technology-based businesses where if we can be disrupted by anybody from where, but it also gives us people like us a chance to enter new sectors and drive strong growth.

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Shakti Dinesh: So, just to clarify when we are investing in this machine learning models and such. So, can I take it back since we have been in this business segment for long like we have done solutions for ATM and now we are offering an allied service, can I take it as a way that we have the required data that gives us an edge over some of these IT companies?

Rajiv Kaul: I think it's a technical expertise first. It's a technical expertise is the understanding of what a customer is wanting to do and ability to work with them and finally it comes down to having a company which is present across the nook and corner of the country to be able to scale. Today you could find, let's argue, some companies which could help you do this in Bombay or Delhi, but you will not find it will not be so easy to find companies which could help you scale this

across the country when you want to think of a branch network or an ATM network across the country. So, it is technical knowledge, it is the quality of technology. It is your service levels and finally ability to work with large complex customers like banks and able to do this.

Shakti Dinesh: It's more like a bundled strong business proposition plus leveraging our already strong vintage with our clients.

Rajiv Kaul: I would also recommend that maybe at the end of the call if you haven't already, have a look at

our Investor Deck which we updated and uploaded yesterday. It will talk about our integrated platform capability and where we are able to bring together one integrated approach to solving a banking customers' needs and the platform will work across logistics and technology to offer a very high-quality service which gets very difficult for others to replicate.

Moderator: Thank you. Ladies and gentlemen, that was the last question. I would now like to hand the conference over to the management for their closing comments. Over to you, Sir.

Rajiv Kaul: I think I've already done the closing comments. No new comments. Thank you so much for your time, patience and interest and support. We look forward to talking to you at the end of the fiscal year, with our annual results. Thank you. Have a good day.

Moderator: Thank you, members of the management. Ladies and gentlemen, on behalf of Asian Market Securities Limited, that concludes this conference. We thank you for joining us and you may now disconnect your lines. Thank you.

Call: May 2024

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CMSINFO/2405/012 May 23, 2024

Dear Sir/Madam,

Sub: Earnings Transcript

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed transcript of recording of post Investors/Analyst meeting held on Friday, May 17, 2024 at 12.00 Noon (IST) on Audited Financial Results (Standalone and Consolidated) of the Company for the quarter and year ended March 31, 2024.

The transcript is also available on the website of the Company at www.cms.com

You are requested to kindly take the same on record.

Thanking You,

For CMS Info Systems Limited

Debashis Dey
Company Secretary and Compliance Officer

Encl: a/a To
BSE Limited
Listing Department,
1st Floor, PJ Towers, Dalal Street,
Fort, Mumbai – 400 001

Scrip Code: 543441
National Stock Exchange of India Limited
Exchange Plaza, C-1, Block-G,
Bandra Kurla Complex, Bandra (East),
Mumbai – 400 051

Symbol: CMSINFO

Page 1 of 19 "CMS Info Systems Limited Q4 FY-24 Earnings Conference Call" May 17, 2024 MANAGEMENT: MR. RAJIV KAUL – CEO & EXECUTIVE VICE CHAIRMAN MR. PANKAJ KHANDELWAL – CHIEF FINANCIAL OFFICER MR. MANJUNATH RAO – PRESIDENT (MANAGED SERVICES) MR. ANUSH RAGHAVAN – PRESIDENT (CASH MANAGEMENT SERVICES) MODERATOR: MR. ACHAL LOHADE – JM FINANCIAL INSTITUTIONAL SECURITIES LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to Q4 FY24 Conference Call of CMS Info Systems Limited. CMS Info Systems Limited is India's leading business service company providing logistics and technology solutions to banks, financial institutions, organized retail and e-commerce companies with presence across Cash Logistics, Managed Services, and technology solutions. The CMS platform today includes ATM and Retail Cash Management, banking automation, ATM as a service, AIoT remote monitoring, software solutions, and card personalization capabilities. The Management Team will be using a presentation to take you through the highlights of the year. You can view the same through the web link. The same has also been uploaded on the website and the exchanges. As a reminder, all participant lines will be in the listen only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this

conference is being recorded. I now hand the conference over to Mr. Achal Lohade from JM Financial Institutional Securities Limited. Thank you and over to Mr. Lohade. Achal Lohade: Thank you, Neerav. Good afternoon, everyone and we are very pleased to host you and the management team of CMS Info Systems for the Q4 and FY24 Earnings Conference Call. We have with us today from the management team of CMS Info Systems Mr. Rajiv Kaul – CEO and Executive Vice Chairman, Mr. Pankaj Khandelwal – Chief Financial Officer, Mr. Manjunath Rao – President (Managed Services) and Mr. Anush Raghavan – President (Cash Management Services). I now hand over the call to Mr. Rajiv Kaul for his “Opening Remarks and Presentation”, post which we can open the floor for Q&A. Over to you Rajiv. Rajiv Kaul: Thanks, Achal. Good afternoon, everyone. Pleasure to have you on call with us today as we finish FY24. Just a quick financial highlight: A very robust year both in terms of revenue and margin growth, we had 18% revenue growth and about 23% margin growth, while maintaining a very solid OCF conversion. Also end of the year our cash and cash equivalents grew from Rs. 450 crores last year to Rs. 780 crores, and the dividend payout recommended for the year by the Board is close to 25% of FY24 PAT. If I move to, I am on Slide #3, moving to Slide #4 for those of you who are on the web link. The highlights of the year for us:

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It's our fifth consecutive year of 20% PAT growth, while maintaining very high return ratios, our ROCE in this year expanded to 27.4%. It is also important year for us where we transitioned in ownership, and we have now become one of very few unique companies in India with a 100% public ownership. Now, this is something which has happened far ahead of any one of your expectations as investors and even as of my expectations, and hopefully this will take away one of the concerns you would have had about some potential overhang of the stock with a PE ownership. Our win ratios this year: We doubled our win rate; we had Rs. 1,850 crores of new order wins in our MS and Technology Solutions business. Two thirds of this happened in the second half of the year and we had alluded to delays in the order process cycle, but we saw a lot of them coming to close and getting awarded. And that provides us a good base of growth for the coming years. Our MS and Tech business contribution to revenue grew to almost 40% ahead of our guidance for FY25. This was achieved in FY24 itself and most importantly for us, as a team, it was an important incubational year; we did talk at our Investor Day on May 23 about trying to incubate two new businesses. We have made tremendous progress in understanding the landscape, the opportunity set and what CMS can bring to the table. And there

fore, we also have invested in talent. Earlier in the year we had a new CIO, Rajeev Bhatia, who joined us from a banking and tech perspective. He has worked with Infosys, Axis Bank, and was most recently at SWIFT as CIO. And towards the end of the financial year, we hired a senior President level officer. It's our first President level hire in the company after a gap of 12 years. Puneet Bhirani comes to us with some exceptional experience across tech and operations in companies like Mphasis, Byjus and Ola, and will lead consolidated operations for CMS. Important as a team for us to talk about. I am moving to Slide #5, to talk about a longer-term track record. If you think of it from a last three-year perspective, our numbers are very solid, whether in revenue, PAT or EBITDA growth and expansion of margin profile. And I would like to remind some of you who may be new to our calls, our track record of growth and performance over our life cycle of the company from formation in 2009 to 2024, over a 15-year period, our revenue growth has a CAGR of 17%, our EBITDA CAGR of 19% and PAT CAGR of 21%. The last three years are substantially higher than that. And all of this is a result of our focus on building a business which is more predictable and therefore our focus is on generating and creating new service lines, which can deliver annuity and recurring business. And it helps us to make sure that there are no negative surprises to our shareholders. In terms of when you at look at the bottom table, the PAT growth over the last 12 quarters, other than in Q4 FY22, each quarter had more than a 20% PAT growth year-on-year. And the revenue profile will show you how we have scaled from a Rs. 370 crores quarterly revenue in Q1 FY22 to Rs. 627 crores in Q4 FY24.

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On Slide #7, this is important to us as we continue to build different business lines, as we continue to build our platform, some things culturally and the value system wise remained the same at CMS team. We look for business segments, in which we can build market leadership and they have a strong cash flow generation capacity, and so that we can continue to deliver high ROCEs. And that capital which we generate we look to invest in growth, whether in the same lines of business or new adjacencies, at the same time, paying a steadily increasing dividend to shareholders. With that, I am going to pause, and we are going to dive deeper into a little more flavor of the various businesses. I am going to invite my colleague, Anush, to take you through some of the key business highlights and developments. Anush Raghavan: Thank you, Rajiv. Good day to everybody on the call. In the previous two years our Cash Logistics business has grown revenues at 20% CAGR. This was primarily driven by our ATM growth, increase in share and compliance revenues. As we enter FY24, we exited a contract in our CIT business, which has impacted our full year growth by 2.5% to 3%. However, since then we have been able to regain that volume through the year and end the fiscal on a positive note. In our ATM Cash business, we had a flat volume for the year in line with the broader market. As ATM deployments, which were linked to RFP execution got delayed or deferred towards the end of the year, we instead focused our efforts on leveraging our network compliance to improve pricing and yield. This in turn resulted in our revenue growth for the ATM business. As we now enter FY25, we see volume growth coming back basis RFPs, which have been awarded, and rollouts which have commenced. We have had very good traction in our overall business point addition and gained 13,000 points through the year. These are all attributable to Retail Cash Management or the RCM business. This represents a 25% growth in points for RCM and is a result of our efforts in FY24 to drive a very focused effort in expanding the market in the retail sector. I am now on Slide #10. And I would like

to sort of use this to talk you through the broader opportunity and what is our approach here, as this is not something that we may have detailed in the past. The retail cash industry is today serving just about 150,000 business points. These have mostly been sourced by the banks basis their lending relationships. The overall opportunity here across organized retail, financial services, healthcare and utilities is more than 550,000 points. And this is growing at 8% to 10% annual growth. We have invested in a sales organization to drive this in a fairly focused sector-by-sector approach.

Now in the case of banks, the decision maker is usually the business or operations team. In retail when we talk to the senior leadership there, we usually engage with either the CFO or the treasury teams. And their challenges stemmed from being able to reconcile order sales to settlement cycles, having a store specific MIS and also figuring out what are the ways in which they can better handle in-store cash payments. We have leveraged our strength in technology and built several automation solutions which either get deployed in-store or get integrated via APIs with the retailers. This in turn creates a more sticky and resilient relationship for us over the mid to long-term. As we move forward, we plan to integrate our AIoT remote monitoring, and offer an end-to-end solution towards retail outsourcing. I will just switch gears now. And on Slide #11, and we will talk through Managed Service and Tech Solutions. We had a stellar Q4 with revenue growth of 56%, and a solid 35% growth for the full year. In addition to that, we were also able to secure incremental order wins of Rs. 1,850 crores, most of which will get deployed in FY25 with revenues accruing over a five-to-seven-year timeframe. In our remote monitoring business, we have crossed 25,000 sites. And this represents a 10x growth over the last three years. We are now developing our own integrated platform here, which will help in pitching for projects which are more complex and at the higher end of the technology curve. In Slide #12, what you see are some broader trends of the overall ATM market. You see, ATMs in India have an average life cycle of eight to ten years. India today has about 250,000 to 260,000 ATMs as an installed base. So, you could expect that every year there will be about 25,000 to 30,000 ATMs, which come up for replacement, in addition to a growth of about 3% to 4% in the overall network. Given the fact that we had a massive expansion of the ATM network way back in 2012 - 2014, many of those are now due for replacement, and hence the current refresh cycle. Increasingly, during the replacement banks are wanting to outsource the entire ATM network management, which significantly increases the addressable market for companies like us. At CMS, we have had a 25% win-rate of contracts in FY24, and you need to understand and see this in the context of us being a relatively new entrant to the sector and we have a current market share which is in the mid-teens. What helps us with our win-rate is actually our vertically integrated platform, which not only reduces handoffs, but significantly improves uptimes and delivers a far superior quality of service and helps in better cost efficiencies. Moving to Slide #13, and when you look at it from what is the CMS Enterprise Sales Strategy? It's actually quite simple. We just focus on two things. First is to increase the number of offerings to our customers and the second is to have a deeper penetration across key customers. We have gone from having only three services in the past to eight solutions right now. This portfolio approach has helped us with managing the cyclicity of any one business, and it also helps us become a partner of choice for customers. Over the years, the success of our enterprise sales strategy is evident in how we have been able to grow our strategic acc

ounts. That is accounts

which contribute more than Rs. 100 crores revenues per year, which used to be only three in FY21 and has now expanded to eight in FY24. With that, I will just take a pause and hand over back to Rajiv to talk about FY25. Rajiv Kaul: Thanks, Anush. This is an important slide to sort of communicate two things from our side one, this hopefully gives you a view into the opportunity and how we think of the opportunity for us going ahead. And secondly, more importantly the slide helps you understand the value we bring to our customers and to make them trust us so that they can do more with us. Of course, all of this is dependent on our focus and ability to execute very strongly each year. Before I give you the FY25 outlook, a quick reminder to those of you who may be newer to our calls, what are we finally achieving out here, what is the opportunity for CMS at a broad level. We are sort of linking our future to four themes, three themes are more, the formalization and consumption is really linked to a broader macro environment. As India grows, the GDP grows, GDP per capita increases. the GST led reforms lead to more formalization and this creates its own interesting opportunity for CMS. At the industry level, there is a very clear driver towards more and more outsourcing of current lines of business. And then, from a CMS perspective, when we think of us broadening our solution sets as we are able to launch new solutions and succeed with them that brings alpha for growth. So, if you want to drill down in Cash Logistics, Anush has already talked about the opportunity, the opportunity I want to point to is more mid-term, from a next five-year perspective, we see the market is ripe for a broad play in currency chest outsourcing. India has got roughly about 4,000 currency chests, less than 300 of them are outsourced to third-party companies. CMS does some of those, there is a lot of learning, and we feel that going forward with the upcoming technology refresh cycle in the way currency is processed by banks, there is an opportunity for this to become outsourced to large high-quality companies in the sector. Managed services, we have talked about, here there is a very big opportunity and how ATMs will shift from being bank owned to being owned on private sector CAPEX. Our approach here is to be very conservative with the transaction-linked ATM model. This not somewhere we bet too much on, we prefer this outsourcing of ATMs and recyclers with the banks that are more open to doing this on a fixed cost basis, thereby reducing any potential risk in transactions in the coming decade. Our AIoT business has done extremely well in the third year of operation, there is still a very large portion of ATMs and bank branches which are not yet deployed with this type of a solution. The 40%, which have deployed this in the last five to six years will come up for an upgrade and refresh cycle. We are investing into building very strong AI and machine learning-based solutions which will give us an edge over any other competitor. More importantly, we talked about the fact that there is going to be an opportunity to go beyond BFSI. We are looking and

we are tapping in the immediate adjacency of NBFCs and insurance. But we are also seeing a large opportunity potentially coming up in the broader public sector arena out here. M&A and partnerships have been a very core part of our evolution at the company, we have done about seven very programmatic small to medium size deals over the last 10 years. We have a very good partnership with a large global OEM on the ATM side. And we look to continue that in the coming years, we have already identified areas of expansion through M&A and partnerships which are listed here. And hopefully, in FY25 we hope to

make some progress in scaling some of these efforts. From an immedi

ate interest to you, FY25 we had a target of doubling our revenue from FY21. I am going to Slide #16, which is basically sort of 2x growth, 18% type of CAGR. We have in the first three years overachieved in that; we are still guiding to the Rs. 2,500 crores to Rs. 2,700 crore revenue range, though we feel reasonably confident to be in the upper end of that range. Important to also, highlight a couple of things, the opportunity set where we are focused and where we have already got service lines, that presents a TAM opportunity of roughly Rs. 22,000 crores for the industry in FY27, thereby leaving enough headroom for us to grow in the coming decade. Over the last three years, growth for us has been led by the growth across volume, market share and pricing on the ATM Cash side, the whole entry into Managed Services and BLA and our launch of the AIoT remote monitoring business. Where we sit today and of course this can change over time. But where we sit today and we think of what will drive the alpha in our growth, we think our Retail Cash solutions should grow at a substantially higher level than the rest of business. Our AIoT business is poised to further scale-up and to double from the current levels in the coming three years. Our integrated Managed Services solution stack is building out very well, whether its Software, Managed Services, fixed price contracts. And then if we are able to make headway into some of the new identified business lines, all of them provide the potential for alpha generation and growth in the coming three years. With that, I am going to sort of pause and get Achal back on the line. Achal Lohade: We can start the Q&A, Neerav. Moderator: Thank you very much. We will now begin the question-and-answer session. First question is on the line of Kunal Sharma from SD Capital Financing. Please go ahead. Kunal Sharma: So, wanted to ask, if I am not wrong, we have a ratio of 60%, 40%. 60% from the cash and 40% for the Managed Service business. So, however, the growth and margin are quite strong on the Managed Service side, so can we expect going forward the vice-a-versa, like 40% from the cash and 60% from the Managed Service. If you could just highlight the same?

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Rajiv Kaul: Kunal, we were with the split was roughly 70:30 a few years ago, we guided towards getting to a 60:40 split by FY25. We have seen also our cash business grow very robustly, the margin profile of cash business is obviously much higher in MS. I don't see the reverse happening in the next two, three years, because all the business lines are growing fairly strongly. Now, if we were to have new service lines, which are not in the current stack today. And if they scale very well, then obviously the percentage contribution of both the MS and cash will be very different. Kunal Sharma: Okay. So, but still, there's a growth from the Cash Logistics is still stand at nearly 10% to 11% despite growth in UPI. So, that is something I wanted to understand? Rajiv Kaul: So, the cash business growth for us, let's comment and our business has grown at almost 20% for the last two years, the last year has grown at about 11%. If we look at some of the global strategics in the Europe or US, they are all seeing 7% to 10% growth in their Cash Logistics business. So, if you have to take a forecast, we have always guided our cash segment business growing at a 10% to 13% over a mid-range. And our Managed Services business should grow faster. So, I don't think you see a dramatic shift in contributions to the overall business unless we have some new big businesses which enter of our mix. Kunal Sharma: Okay. Second question on, and there is a huge opportunity in the SURU area. So, how are we tapping those opportunity as far as the new ATMs and the Managed Services are concerned? Rajiv Kaul: For CMS, we have a fairly large network already established in the country, 60%+ of our network was already in SURU. So,

as and when any new retail stores in SURU are coming up for cash outsourcing or an ATM is being set up or available for outsourcing, CMS is one of the prime contenders to be doing that work because of our deep network already there. And we continue to expand our network. If you go to our platform slide, one of our biggest advantages and USPs is the depth of our network in the country. Kunal Sharma: Okay, fair enough. Okay, there is a slide number seven, where the CAPEX during FY24 gone down drastically to 99 odd crore and which resulted into high ROCE. So, what is the reason behind that and what is the outlook for the FY25 in the CAPEX term? Rajiv Kaul: So, it's a very good question. We have guided as a team to a CAPEX or sort of our CAPEX run rate needed about Rs 200 crores per year, but we also tell people given the nature of the order cycle, execution cycle, don't look at it year-on-year, look at it in chunks of three years. In the prior two years, we had a capital spend of roughly about Rs 200 crores approximately. This year because some of the project s got delayed to the second half and order placement cycle got deferred due to that, the CAPEX has slipped into FY25. So, FY25 CAPEX will be higher because of the under-spend in FY24. Kunal Sharma: Okay, understood. And lastly, if you highlight on the CIC, what was the CIC during FY24, how was the industry trend in the cash circulation in India as compared to GDP?

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Rajiv Kaul: The CIC growth which was reported recently was about 7% to 8%, if I am not mistaken. And CIC with GDP ratio, is 12% to 13% somewhere in that ratio. Moderator: Thank you. Next question is from the line of Prakhar Sharma from Jefferies India. Please go ahead. Prakhar Sharma: Just a couple of things. Rajiv, it's good to see the order book seeing a very strong growth between last year and this year. Could you help us just get a broader sense whether the order book has, broadly let's say, as you were saying just before this, a higher capital intensity and if that is true, then how should we look at like, is margins EBITDA margin is the right way to look at it, or we should look at operating margins, that is question number one. Rajiv Kaul: You finish the second one, maybe I can give you a shorter answer. Prakhar Sharma: Okay. The second one is basically how do we look at the market share gains in the ATM rollouts. You used to have like 44%, 45% market share at the time of IPO. So, I just want to get a broader sense of how your incremental or market share in the incremental rollouts, or even refreshes looking like, these are the two questions. Thank you. Rajiv Kaul: Okay. So, the first question is a great question Prakhar really appreciate it. The way I would like, all of you to sort of think about and the way we think about it is we first look at our return on capital trends. Being a high cash flow generating company, we feel that we have the capability to deploy capital for getting better and better returns for our shareholders. And that's where we see we, we talk about ROCE numbers. From order book perspective, I would say, maybe two-thirds of that will need some capital deployment. Obviously, the ratios will be different, payback periods differ project-to-project. The one area where people get a little uncomfortable in

the analyst community is really around the transaction-linked BLA business. Our returns there have been very good and very solid because we have been very picky., our total installed base of transaction-link brown label ATMs will not be even 5,000 ATMs. Maybe even less, less than 3,500 ATMs or something that's it. So, we have position-sized this business where we do it only if there is a high capital return. And if I had to think of the order book for the last year, less than 1/4th of that would be linked to this nature of business. Your second question is around, in market share of ATM Cash, the ATM Cash market share was pre-IPO,

I don't remember, I think that was 43%, 44%. And now, in the last four years this number I know has gone from 39% to 49%. I don't exactly have each in terms of percentage of new deployments or new wins. But I know the market share gain has been 10% over the last four years. And in this year, it would have increased nominally because this year was more of a flattish year because the orders have got issued and whatever December, January, February, March, the roll outs were starting to happen. But I would like to extend your question to give a broader answer to the folks on the call. As a team, we have said that it is our duty to focus on market share, revenue growth, margin profile sometimes, most times in that order. That's the way we think, we are very focused on maintaining and increasing our market share across all

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our lines of business. that's where our north star is. So, needless to say, when any new orders being placed, we are working hard to make sure we maintain our market shares. Prakhar Sharma: Thank you Rajiv, just to reconfirm, your number of 44% around the time of IPO was correct. So, were you saying that 44% has gone towards like 49% or something like that? Rajiv Kaul: That's right, that's correct. Moderator: Thank you. Next question is from line of Abhishek Sinha, from Boat Capital. Please go ahead. Abhishek Sinha: My question is around the increased receivables, as percentage of sales it has gone up to 32% in FY24 versus 37% in FY23. Could you please throw some light on why this has happened or is this going to subside soon? Pankaj Khandelwal: So, it's Pankaj. Our AR is largely dependent on last quarter gross revenue, gross revenue means inclusive of GST. You will see that DSO based on that, March 24 DSO comes to around 87 days, which is improved from September, which was 95 days, and slightly increased from March 23, which was around 80 days. Some minor increases due to increased ratio of Managed Services and tech business, where the customers are largely PSU banks. And the payment cycle is around 10 to 15 days longer. So, that is the reason the AR is slightly increased from, DSO is slightly increased from 80 to 87 days. Abhishek Sinha: Alright, thanks for your answer. The second question is on slide number #10. I wanted to understand, basically this Retail 360 solution that we have built is this built fully in-house and second, isn't this space already intensely, very competitive and what is our outlook on this one? Anush Raghavan: Anush here. So, most things that we do in CMS, we take pride in using our core technology skills to be able to craft solutions to the needs of the customers. Perhaps the misnomer here is, when we talk about payment automation, you may be comparing us with pure play payment companies who are more focused on the digital payment side. What is of context to us, and in our parlance, we are talking of cash payment automation. And, in fact that is the space which is offering itself as a very interesting opportunity for us to be able to see how we blend our reach, our quality of service, and bring on board a lot of technology automation, to make a cash payment equivalent to a digital payment in the eyes of a retailer. The ease, the efficiency, the reconciliation and the fungibility. Moderator: Thank you. Next question is from the line of Pranay Jain from Deal Wealth Capital. Please go ahead. Pranay Jain: So, I wanted to understand the Cash Logistics business. Do we see where things are now moving, growth can be in line with our company average because we have been expanding pretty well on the business points network. And while our focus has been on ATM pricing and yield improvement, anything you can share on the wins over here?

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Rajiv Kaul: Sorry, could you just repeat the last part of the question your voice wasn't very audible. Pranay Jain: What is the kind of improve

ment we expect in ATM pricing and yield, over the next 12 to 18 months, along with the growth on the Cash Logistics business as we continue to expand our business points network? Rajiv Kaul: Yes, Anush can answer that. But overall, we have already sort of mentioned this in the deck that we look at our Cash Logistics business the way it is today, which is ATM Cash Logistics, retail Cash Logistics and Cash-in-transit to grow in the midterm over the next three to five years at a 10% to 13% rate. This may go up a little bit if new lines of business such as currency check outsourcing come in. Or if we see a higher number of bank owned ATMs getting outsourced or getting faster outsourced to cash management. I don't think there is, is possible to give you a specific of what's the yield and pricing will look like we only talk about the past what we have done. And then we hope the future will be in line in the direction we understand the business. Pranay Jain: So, are we taking any new measures for improving the ATM pricing or yield or we are quite satisfied with where we are at this? Rajiv Kaul: This would be improper for me to comment on a broad call, that is I will try re-summarizing the approach we set. As a company and a team our focus is first on market share, next on revenue growth, third, on margins. We try and balance all of these three objectives every quarter every year. But, if you are a pick and choose, we focus on market share, and we can't predict competitive intensity in the future basis where we are today. We have had a good track record of growing this business at double digits throughout its history. And we hope to do that in the coming years. Pranay Jain: All right. And my second question is, is it possible to share an outlook on the order book and order win momentum because, we haven't seen very good progress in increasing the wallet share. So, just wanted to get a sense, what could be the order win run rate as in, is INR 1,800 odd going to be similar momentum next year as well. And along with this, do we look for more room in margins or again, given the competitive intensity we expect margins to be where they are? Rajiv Kaul: If you have to, let me take a step back and sort of take some pride in what this team does, our margin profile is world-class. They are very solid, much higher than most companies you can track anywhere in the world. I don't want to set expectations of a constant margin improvement. I don't think that's something which is unreasonable to expect. When you think of from an order win perspective. Last year, FY23 we had about INR 900 crores order wins. This year, we have had about INR 1,850, impossible to forecast a number for the year because there are so many factors, type of contracts that come from bidding, how people bid, we can't predict how people in

the market will do. We will try and maintain a healthy order win ratio to make sure we are continuing to build an annuity line of business in line with our growth aspirations.

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Pranay Jain: Alright, and anything on the M&A opportunities we think we can close in the next couple of quarters, or we are still far out. That's my last question. Rajiv Kaul: You are trying to predict when a deal will close is a guessing game. I would really not know. Pranay Jain: I was asking, if we see any inorganic kicker or not really? Rajiv Kaul: No, we are working on opportunities. We have been working on opportunities. I can't forecast the time of closure. But we are working on inorganic opportunities fairly intensely. Moderator: . Next question is from the line of Lakshminarayanan from Tunga Investments. Please go ahead. Lakshminarayanan: Sir couple of questions. So, if I look at the ATM population in India. The last five years it has been growing around 1.5% CAGR, it's onsite growing at 3.5% while the offsite is declining 1%. Now given this how do you ensure growth in this particular market for us be

cause you have talked about refurbishment, etc. In the next couple of years how do you expect growth there given this, or are we growing more in the onsite and less in offsite? Anush Raghavan: Hi, Anush here. We should look at this as different parts of the value chain. Let me first tackle it from the ATM Cash business. One way to try and model for sense of what the future could look like over a mid to long term is to think about what the overall base should be, growth of the overall net worth which based on demand supply, how transactions are growing, what is the need for incremental ATMs in the country should be in the 3% to 4% range overall. That along with what could create incremental demand for us in terms of switch from what the banks are doing themselves to outsourcing, which is 80,000 to 100,000 ATMs which Rajiv referred to earlier, which is not currently outsourced for CIT, creates another 3% to 4% growth potential, that combined with further yield and pricing creates a sort of double digit growth opportunity for us in a 10% to 12% range. That's about the ATM Cash business. Coming to the Managed Service parts of the business that is sort of where the combination of replacement, refresh cycle as well as new purchases are critical. Like I said, on an average an ATM lifecycle is about eight to 10 years. So, one could anticipate that on an annual basis, now it doesn't happen perfectly every year, but there will always be some lumping together of RFPs and contracts, bank CAPEX or CAPEX by private players, but that in a longer-term horizon should create a 20,000 to 25,000 annual ATM replacement cycle. The key thing is here to think about that what are some of the larger external macro drivers which will spur either the growth of ATMs or incremental investment into the sector and the largest one has obviously switch on the interchange. Interchange sort of for us acts as an overall revenue, it helps increase overall revenue share for the industry. It helps, first and foremost white label participants increase investments in the sector followed by private sector banks, and then public sector banks. Lakshminarayanan: Got it. What is the interchange

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Rajiv Kaul: So, interchange is, to put it very simplistically is the fee that one bank pays another bank when their cardholder transacts at other bank. Lakshminarayanan: Got it. In terms of the trade receivable write-off and impairment allowance of bad and doubtful assets, how it has panned out for this year and have you taken any increase in provisions? Rajiv Kaul: I will hand it over to Pankaj for his answer. Pankaj Khandelwal: So, provision for impairment and bad debts has reduced from 5%, last year to 4%. And as we guided earlier also that, because of the mix change from cash to MS & Tech, as well as more compliance, cassette swamp, timely reconciliation by banks and use of the technology has helped us to reducing that impairment and the bad debts reduced from 5% to 4%. Lakshminarayanan: Got it. In terms of absolute amount what is that sir? Pankaj Khandelwal: It was Rs 98 crore last year and these are Rs.90 crore. Lakshminarayanan: Got it. Third question is that, if I just look at retail cash. So, what I understand from talking to some of the top private sector banks is that they are not adding any touch points, they are not providing this as a service to most of their clients. And because it's a cost center, which they want to progressively reduce. However, from our side, we have seen an increase in the touch points. So, just want to understand, how is it taking place because, individually these banks are reducing their service unless they are getting to the large clients, or is it coming from e-commerce for you? Rajiv Kaul: If you take a slightly longer term and dive into the last eight years of what has happened to retail and more importantly organize retail. You see, there has been a fair bit of churn and choppy

waters over there, starting with demonetization, implementation of GST, the onset of COVID. And from a physical or organized retail perspective, they also have to deal with the uncertainties around what happens to e-commerce, e-commerce growth and to what extent does it impact their business. It's only the last two, three years that a fair degree of clarity has certainly emerged. And we have seen organized retail invest for growth significantly and aggressively. That has given us the confidence to create our own organizational bandwidth and capabilities to engage with retail directly. Earlier we prefer to sort of engage with them through a bank. So, when I sort of share with you our detailed approach to how we are thinking of retail. You are absolutely right; the banks have a certain point of view. But, as I reiterated earlier, our goal here is to find a way in which we can be a collaborative partner to retail and to banks, bringing on board a solution set and our technology to just help with easing the whole payment cycle. Lakshminarayanan: Got it. So, you are pushing from the retail, the person who pay you will be the retail and not the bank?

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Rajiv Kaul: There is a broader market, banks are focused on a particular set of customers with basis the reach, basis, the amount of currency passing through and what not for where it makes sense for a bank to engage. There is a much broader market, which a bank may not be wanting to or willing to serve, which is the opportunity which we think, when Anush talked about the 5.5 lakh points out there, it's a much broader market that will need partnerships with banks, FinTech and with payment banks, which is the approach we are taking in being able to address the needs of that segment better. Moderator: Thank you. Next question is from line of Divyanshu Mahawar from Dalal & Broacha Stock Broking. Please go ahead. Divyanshu Mahawar: I have few couple of questions. The first question is, how AIoT remote monitoring solution will help

NBFCs insurance and public sector. And the second question is, for FY27 the TAM is Rs. 22,000 crore approximate market size. So, what kind of market share you are thinking about it? Rajiv Kaul: So, on your second question, we have sort of alluded to an aspiration to FY27. Give us some time when we do the detailed analysts day to talk about our FY27 targets are especially right now very focused on making sure that FY25 gets achieved. In terms of the remote monitoring sector. There is a, so there are very different technology type trends which are going out there, the entire monitoring space, the security space, in banking we sort of understand very well in banking, we are seeing a big move from disparate solutions at ATMs and branches moving to more of a converged solution. In retail, we are seeing a lot of analytics being on offer. In public sector, there is a very large, I wouldn't say opportunity, there's a large public sector deployments of CAPEX into new infrastructure, whether that is smart cities, whether that is railways. And all of that is coming along with the strong component of remote monitoring solution needed to run that infrastructure in a safer and more efficient manner. Including if you think about the entire electric vehicle recharging opportunity, there are solutions that's being created in telecom, we are seeing solution needs around telecom towers. So, our team is, as I said, we will first and foremost focus on BFSI. That's the sector where we have the network and reach and customer trust. And we don't want to lose that opportunity, we are executing well on that area. But we are also like in the retail side in cash, investing in building up a pretty strong sales team, we are right now building a strong sales team for remote monitoring to be able to cater to these types of solutions, the solution sets are deployed, and they run and maintain over a long period of time, but these are

also very complex solutions. Some of this capability we already have built, some of the capability we will partner and some of that will have to build in the coming years. Divyanshu Mahawar: And sir one last question, I just wanted to know that, if we look at the P&L side, on a purchase traded goods have been increased so much. So, can you put some light on it? Rajiv Kaul: Yes, Pankaj will help you with that. Pankaj Khandelwal: So, during this period, our sale for the ATM has increased from Rs. 57 crores in FY23 to Rs.140 crore in FY24. Earlier this year it was around 6% of the revenue and this year around 11% of CMS Info Systems Limited May 17, 2024

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revenue is coming from the ATM sale. So, that is the reason, the cost of the goods or if you have net with the inventory changes has improved. Moderator: Thank you very much. Next question is from line of Neil from Value Quest Investment Advisors. Please go ahead. Neil: So, my first question is around margins. So, if you just look at the margin for both the segments which is cash management and Managed Services, over the past three, four quarters, consistently the margins have been coming down. So, for Managed Services of course this is product mix increasing for us is affecting us. But what will be like reason other than that for the impact on margins and going forward how should we be looking at the margin level in coming quarters? Rajiv Kaul: So, two things we will point to, one is look at margins on a full year basis, not just every quarter. There are different changes which happen, however when you think of specifically the Cash Logistics business and the second half of the year, that's the part of the year where we had to ramp up our investments for some of the new businesses in specialized logistics and collection services. So, the cost of that is currently housed within the cash BU. So, if you in fact, it's a good point you made, I don't know if I mentioned this in my overall remarks when I presented if you would actually, our PAT growth this year of 23% is after taking almost an 8 to 10 crore incremental expense in operating cost for incubating new businesses. And all of that is housed currently in our cash BU. Neil: Okay, got it. So, now going forward in the next year 2025-26, we can expect this margin to be stable at this level? Rajiv Kaul: This is something we had said during the IPO and every time we interact with investors saying: as a team, we retain the rights to invest some of our earnings back into incubating new businesses. We are not a team which is sort of comfortable going and buying into new sectors unless we understand the sector very well. So, some of this operating cost increase is a reinvestment into the business for us to look at expanding, I cannot tell you right now, how much will this number be, this 8, 10 crores will be in the coming year. But of course, we will try to make sure while we are investing in new businesses, we are not doing so at any high loss, the loss number should be manageable in the overall P&L we deliver. Neil: Okay, got it. And my second question is around network compliance so, what level have we reach with respect to that, and do we expect any kind of cost benefit coming in as you go up that percentage? Rajiv Kaul: As we have guided earlier, we were looking to complete our investments in achieving a compliant network in FY24 to a level of about 85%, which we have achieved. However, through the year we have focused our attention on the ATM Cash business to improve yields and pricing, we now feel confident of maybe inching that up even further closer to a 90% level.

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Neil: Okay. So, now going forward no major benefit can we expect because mostly compliance has been fulfilled from all? Rajiv Kaul: We will have the benefit of looking at our numbers and data over the four-year period. But as a team which has been here for about 10 - 15 years, we

take a lot of internal pride in sort of crafting ways in which we continue to deliver productivity and efficiency gains. Fundamentally, we are a very strong operating leverage-oriented business, especially on our logistics and network business. So, there are always various initiatives and efforts to keep taking out that little bit of extra efficiency, whether we get it from incremental business, so we get it from infusing technology to what we do, or it just comes from managing our operating processes more efficiently. The part where we will continue to upgrade is really on the cassette swap. In FY24, we achieved about 20% cassette swap coverage. As, going back to some of our earlier updates, we had said that the cassette swap project is under the RBI regulation is sort of being driven by the Indian Bank Association, to ensure that they drive this on a consistent and homogeneous bases. 30 cities in India were earmarked for the first phase of expansion, that project or that phase of that 30 cities will almost complete by end of June, after which we expect an expansion to further set of 30, 45 cities. So, that effort will continue to play. Moderator: Thank you. The first question is from the line of Akash Oza from CCIL. What is the payment card business under MS and IT, if you can give a brief on that? Rajiv Kaul: The payment card business is one of our oldest business lines where we work with leading private sector banks and some public sector banks. And when they are issuing financial cards, a debit card or credit card to a customer, there is a lot, it's a Managed Service like business in which

everything from the card sourcing, personalization, the data security and encryption is all done in a very high end secured facility which is audited and which is vetted by RuPay, Visa, MasterCard. And NPCI also audits this facility. So, there are three, four players in the sector where CMS is one of the high-quality players there. And we work, as I said, with large banks and issuing these cards to the consumers when they have new consumers or when there is a replacement. Moderator: Thank you very much. The next question is from Avinash Patra, Individual Investor. Sir how are the new business lines shaping up. What is the competitive landscape and potential in these new business lines. Thank you. Rajiv Kaul: So, let's talk about the debt collection business. The debt collection business needs as you would have seen from regulatory intervention there is a need for high quality players who are providing end-to-end services. We have launched the services and piloted them with leading NBFCs, there is a lot of interest in the customer sets to have a company of CMS's repute to be able to provide the solutions to them. Whether we can successfully launch it and scale it and make money is time will tell, but we think this is a humongous, large opportunity out there. It's obviously a challenging opportunity but we will take a strong stab in the coming years to see if we can become like we became the leader in Cash Logistics, if we can become the leader in an integrated CMS Info Systems Limited May 17, 2024

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collections tech, collections call center and collections field integrated company, as a partner of choice to banks and NBFCs. In specialized logistics, our focus is currently fairly narrow on the bullion space. Over time it can move into other high value logistics. It's a very large unorganized sector. But as the sector moves to formalization you look at jewelry stores and all moves from unorganized to formalized, as we see large jewelry chains increase their footprint in the country. And we think there is an opportunity for a good third player in the sector. We already doing this work for the last year, year and a half. And we hope to grow this. This obviously is a very small base right now. But we are again seeing a lot of traction in customers wanting a high-quality player as an alternative there. Rajiv Kaul: Thank you

very much. We will move on to the audio questions. The next question is from the line of Franklin Morales Equentis Wealth Advisory. Please go ahead. Franklin Morales: I just wanted to know what the ESOP trajectory will be going forward. Rajiv Kaul: You mean ESOP cost? Franklin Morales: Yes. Pankaj Khandelwal: So, this quarter the ESOP cost was around Rs 10 crore. And just to remind you that the ESOP, whatever we have issued, either it was issued on the weighted average fair market value, or maximum 10% discount. Around 75% of the ESOPs issued during last year were issued on a weighted average price and 25% on a 10% discount. Rajiv Kaul: That's just our way of telling a shareholder that the ESOP issuance to employees is very closely aligned to our public shareholders. Pankaj Khandelwal: The cost, this quarter cost was around Rs.10 crore. And going forward as we have guided you earlier also, in next two quarters that cost will be around Rs.10 crore and after that it will gradually reduce to Rs.6 crore, Rs.4 crore and Rs.3 crore. Franklin Morales: Okay. This would be the quarterly run rate, what you mentioned? Rajiv Kaul: Yes. Rajiv Kaul: Yes, this is on the current set of ESOPs issued, if the NRC at any point issues any new ESOPs which are already approved by shareholders, there will be some impact to that which is difficult to predict right now. Moderator: Thank you. Next question is from the line of Pradeep Rawat from Yogya Capital. Please go ahead. Pradeep Rawat: So, my first question is regarding our cash logistic business. As you have mentioned in the presentation, our cash logistic business has grown 17% CAGR from FY21 to FY24. And the CMS Info Systems Limited May 17, 2024

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market growth outlook is for 19% CAGR from FY21 and FY27. So, I just want to know why are we underperforming the market? Rajiv Kaul: Just give us a second while we move to the slide to have a look at it. So, I don't know if you can see the slide, we have the TAM slide out there from FY21 to FY27. However, FY21 to FY24 numbers is 17% roughly. The longer-term forecast opportunity here is on that, we will have to see how the ATM growth numbers pan out. This is predicated basis some ATM market growth which has lagged right now. If that picks up and outsourcing increases, then this number is, then it's a fair question. But as of now, we track basis our market share in the sector. Our market share in our both our ATM business has gone up, retail we have gained market share last year. CIT is the only business where we have been sort of flat. Pradeep Rawat: Okay, understood. And the second question is regarding the operating margin. Our operating margin used to be 17%, and 18%, in pre COVID times, and now our margins are north of 25%. So, what led to this margin expansion and what levels of margin should we look forward in the coming years, any ballpark number would be fine or a range? Rajiv Kaul: So, we have not given any margin guidance at all ever. We focus only on revenue growth aspiration, the margins have expanded for multiple reasons, in a network, and a route density business, as the business points you cover impacts margin, it is linked to obviously pricing growth. It's linked to mix change where we talked about yield where we are focusing more sometimes in a particular year on higher yield businesses. And it's been a good strong robust margin increase. And lastly, also just using a lot of technology to automate our back end and back-office functions. mix of margins to predict for the future impossible to know, we don't control the cost. We don't know how much the fuel price, wage prices, competitive pressures, like I said, we will be focused on market share and revenue growth. If they work well, the margin profile remains very strong. Moderator: Thank you. Next question is from line of Yash Raj from Exponential Research. Please go ahead. Yash Raj: My question is around Central Bank Digital Currency. So, earlier this month, t

here was an article in ET in which RBI told that they were working towards CBDC and CBDC is going to be, there would be a component of anonymity it will be non-interest bearing. And they are also working on the offline mode to leverage the UPI infrastructure. So, Rajiv, you had previously alluded that these CBDC is more relevant for corporates, especially for the cross-border transactions. But now that they are working on this offline mode, and you know, and they said that it would be non-interest bearing. Is there a change in that view or is that the same. Just wanted to get a sense for that. Rajiv Kaul: No, it's impossible for anybody to predict what regulatory action can sort of drive in the coming years, I do still believe that CBDC functionality is very similar to what other modes of UPI offer. However, what the Central Bank has talked about in terms of making CBDC, not trackable and all of that, that would present a threat to other digital form of payments more than cash. That is

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my belief, I could be right or wrong, I don't know. There's also something which we haven't really seen pick up anywhere in the world yet therefore, very difficult to sort of gauge how this will pan out. It's easy to sort of look at experiments in other parts of world and say this works and that didn't work. And we will just see how this pans out. Moderator: Thank you very much. Ladies and gentlemen, we will take that as the last question. I will now hand the conference over to Mr. Rajiv Kaul for closing comments. Rajiv Kaul: Alright, thank you so much for attending the call. Thank you for the insightful questions. I hope you liked the format of this call where we were able to sort of give you a deeper dive, as we have promised end of the year is when we will be able to share more data points, operating metrics, financial metrics with you. And thank you for your support as analysts and shareholders of CMS, I hope you are happy with our performance, and we hope for your best wishes for the coming year. Moderator: Thank you very much. On behalf of JM Financial Institutional Securities Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Jul 2024

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CMS Info Systems Limited | CIN: L45200MH2008PLC180479 | www.cms.com | E: contact@cms.com

CMSINFO/2407/014 July 31, 2024

Dear Sir/Madam,

Sub: Earnings Transcript

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed transcript of recording of post Investors/Analyst meeting held on Friday, July 26, 2024 at 12.00 Noon (IST) on Unaudited Financial Results of the Company for the quarter ended June 30, 2024.

The transcript is also available on the website of the Company at www.cms.com

You are requested to kindly take the same on record.

Thanking You,

For CMS Info Systems Limited

Debashis Dey
Company Secretary and Compliance Officer

Encl: a/a To
BSE Limited
Listing Department,
1st Floor, PJ Towers, Dalal Street,
Fort, Mumbai – 400 001

Scrip Code: 543441
National Stock Exchange of India Limited
Exchange Plaza, C-1, Block-G,
Bandra Kurla Complex, Bandra (East),
Mumbai – 400 051

Symbol: CMSINFO
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“CMS Info Systems Limited

Q1 FY'25 Earnings Conference Call”
July 26, 2024

MANAGEMENT : M R. RAJIV KAUL – VICE CHAIRMAN , WHOLE -TIME
DIRECTOR AND CHIEF EXECUTIVE OFFICER – CMS
INFO SYSTEMS LIMITED
M R. PANKAJ KHANDELWAL – CHIEF FINANCIAL
OFFICER – CMS INFO SYSTEMS LIMITED
M R. ANUSH RAGHAVAN – PRESIDENT , CASH
MANAGEMENT – CMS INFO SYSTEMS LIMITED

MODERATOR : M R. NIKHIL CHOUDHARY – NUVAMA WEALTH MANAGEMENT

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Moderator: Ladies and gentlemen, good day, and welcome to the CMS Info Systems Limited Quarter 1 FY'25 Earnings Conference Call hosted by Nuvama Wealth Management. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.

I now hand the conference over to Mr. Nikhil Choudhary from Nuvama Wealth Management.

Thank you, and over to you, sir.

Nikhil Choudhary: Thank you, Siddhanth. Good morning, everyone. On behalf of Nuvama, I welcome you all to CMS Info Systems Q1 '25 Earnings Call. We have with us today the management of CMS Info Systems, Mr. Rajiv Kaul, Vice Chairman, Whole-time Director and CEO of the company; Mr.

Pankaj Khandelwal, Chief Financial Officer ; Mr. Anush Raghavan, President, Cash Management Services.

I now hand over the call to Mr. Rajiv Kaul for his opening remarks. And post which, we can open the floor for Q&A. Over to you, Rajiv.

Rajiv Kaul: Thank you, Nikhil. Good afternoon, everyone. Thank you for attending our Q1 FY'25 Call. I'm happy to report another strong quarter of 17% revenue growth and adjusted PAT growth of 13%.

Q1 usually has a seasonality impact, which this time got further impacted by a fairly long election cycle, which has impacted cash velocity in several large states. Despite this, we have maintained momentum on our touch point additions in our Cash Logistics business, where we added 3,000 points in Q1, and we totally now have 140,000 points.

In our Managed Service and Technology Solutions business, our order book wins for the quarter were fairly robust at INR 200 crores. We are investing fairly aggressively in developing our AIoT RMS tech stack, and I'm very happy to report that we had a large win, which is also first of its kind RMS project at a leading bank.

This is a sort of a unified build and operate mandate for integrated surveillance transformation project across 2,000 locations for this bank. And the solution is going to include a 24/7 centralized on-prem command and control center, which will lead to convergence with the bank's

tech stack and will also involve us developing 10-plus new AI and ML modules.

With this, I will hand over to our CFO, Pankaj, to take you through our Q1 financial highlights.

Pankaj Khandelwal: Thank you, Rajiv. Our consolidated revenue has grown 17% to INR 599 crores, led by strong growth in Managed Services and Technology Solutions businesses. Adjusted PAT has grown by 13% to INR 98.5 crores and adjusted PAT margin stood at 16.4%.

Business-wise, Cash Logistics business has grown by steady 10% year-on-year to INR 387 crores in Q1 with an EBIT growth of 6% to INR 99 crores. Our Managed Services and Technology Solutions business revenue grew strong at 31% year-on-year to INR 239 crores. The EBIT in this segment has grown 20% year-on-year to INR 41 crores, and the EBIT margin stood

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at 17%. The execution of the order book which we won last year is on track, and we estimate majority of this to go live in the next six months.

With this, I would like to hand over to Rajiv for his closing remarks.

Rajiv Kaul: As we've reiterated before, the growth of our company is linked to three macro themes. The first is formalization, where we are seeing positive trends which are leading to a strong growth in our retail business. The second is around consumption. Consumption was slightly subdued in Q1, which seems to be a cross-sector theme, but we expect it to improve in Q2 and Q3 with the festive season.

And third, which is more near term and directly impacts us is around the BFSI and banking outsourcing theme. I think the successful AIoT RMS win demonstrates t

he opportunities which

exist for companies like us in integrated outsourcing of projects.

If you look back at the last year, a majority of the projects for the 40,000 - 50,000 ATMs, which were awarded, should get executed by the eco-system in the industry in the remainder of FY'25.

There also has been a fair amount of discussion on the ATM interchange hike for both bank-owned ATMs as well as white label ATMs, and we await a positive policy decision in the coming months. Some of the large bank RFPs or BLA ATMs which hadn't concluded successfully because the discovered price was higher than interchange., I think, will get an impetus and hopefully, we'll move forward to closure if the interchange increases. And if this interchange increase happens, I think that will give an impetus to ATM growth and also drive higher outsourcing in the channel.

To summarize at the close, we are reasonably confident of achieving our FY'25 revenue guidance of INR 2,600 crores to INR 2,700 crores, which would translate into a growth of 15% to 19% for the year. Q1 at 17% is bang in the middle of this growth. Thank you, and we can move to questions.

Moderator: The first question is from the line of Divyanshu Mahawar from Dalal & Broacha Stock Broking Private Limited.

Divyanshu Mahawar: And I wanted just to know about in last FY'24 annual report, if you look at, I mean, cash flow there is some element called as bad debt and provisions for bad debts also. It is amounting to over INR 90 crores and last year was something called INR 98 crores. So how do you look this and what actually tells us? Because every year, we are looking at this amount is around INR 80 crores to INR 90 crores. We are writing off. So going forward should it reduce or it should be same as it has been?

Rajiv Kaul: So just before we answer the specific question, this is Rajiv. I just want to say we did a fairly exhaustive FY'24 end-of-year call exactly two months ago where we had a detailed presentation, lots of Q&A. For anyone who's new to these calls, I would sincerely request you to please go through the Q&A. It will help solve and answer a lot of questions. Nothing has changed dramatically in our answers or in our life in the last two months. Coming specifically to the risk cost in the provision, I think we have guided, I mean, whatever guidance we have said, I think CMS Info System Limited
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we have said that this number was roughly 5.1% in FY'23. And we said that this should be around the 4.0-4.5% range in FY'24.

This is a number which you can't forecast with any accuracy in the future. Therefore, we hope to work hard to make sure that our provisions remain in that range in the coming years.

Divyanshu Mahawar: So is it right to assume that the implementation of cassette swap will reduce this provisioning?

Rajiv Kaul: Yes. Look at our business, this is fairly complex. Cassette swap related business isn't 100% of our revenue, right? There are many service lines. In the revenue lines where we are linked to ATMs and cash replenishment, cassette swap will lead to reductions. We have seen the reductions. actually if you see the trend line for FY'23-24, we have already seen a reduction. Will this number be zero? No, never.

Divyanshu Mahawar: And sir, last question is that can you give us an update on the Bullion management that we are launching - so what is an update on that? Is it we are going to launch in this year or what -- any sort of update?

Rajiv Kaul: I would recommend you to listen to our FY'24 end of the year call. I think we have talked about the fact that it is in incubation and we look to grow it. It's a very small business right now. We are incubating it internally. If there is anything here which changes from a growth strategy or M&A perspective, we will come and update you.

Moderator: The next question is from the line of Nihal Shah from Prudent Broking.
Nihal Sha

h: My question was about the margins in Managed Services. So it has come down from around 18.6% to 17.1%. For cash management business, I can understand that this year, this quarter, the activities were low because of elections and also there the economies of scale would not have played out. But what was the reason for lower margins in Managed Services?

Pankaj Khandelwal: So even the EBIT growth of the MS business is around 20%. As you might be aware that we are a relatively new entrant in our Managed Services business, which we have mostly incubated internally and scaled to INR 800 crores in FY'24. This is a large TAM, and we'll try to balance growth and margin. The change in the business mix can impact the quarterly margin, but we continue to deliver higher margins with our overall PAT is around 16.4%, which is world class, and we continue to have a healthy ROCE, which is 25% plus.

Nihal Shah: And another question was regarding the mix in revenue of Managed Services, as I guess, reached our target of around 35%-40%. So will it go to 50-50 till FY'27 or we think it will be stable at this 60-40 kind of a juncture?

Rajiv Kaul: It's impossible to forecast this right now. I think we don't know FY'27 year. We haven't given any guidance on FY'27. We have given FY'25 guidance on our revenue range and also the mix. We had expected to reach 40% revenue contribution from MS and Tech by FY'25. FY'24 end, we are at 39%. We think we'll be at the 40% range now, plus or minus 2%-3%, very difficult to forecast right now. But FY'27 it's too early, we won't be able to give an idea on that.

Nihal Shah: And so the AIoT business there, we won order of around INR 200 crores. Is that understanding correct?

Rajiv Kaul: So we said our overall order wins in the MS and Tech business are INR 200 crores.

Moderator: The next question is from the line of Ankit Kanodia from Smart Sync Services.

Ankit Kanodia: Congratulations on a good set of numbers despite the really weak quarter. So my question is basically related to - so we see that the growth is clearly visible in the Managed Services and Tech Solutions, and we have ramped up the sales there significantly over the last few quarters and maybe a couple of years as well.

But when I talk about Cash Logistics and winning cash logistics if I only talk about retail cash management. I would be really happy if you can share more details as to how do we see us going through in this particular domain? And what is the competitive intensity here from a 2, 3-year, 5-year perspective, how do we see our ourselves in this business? That would be very helpful, sir.

Anush Raghavan: Ankit, hi, Anush here. I think as we've shared so much of our details already, I think our overall growth profile in the retail continues to be very strong. We have some good tailwind and momentum there. A lot of that has come on the back of investing significantly in technology and creating a very strong sales team to focus on expanding the overall market. I think as we alluded to in our previous call as well, our business point additions last year, a majority of them were from retail cash management business. And I think we continue on that.

When you see our first quarter, we've added 3,000 business points. So in terms of where that business is growing and how the growth prospects are, they continue to be very strong. I can't speak too much about the competitive intensity because I think what we are trying to do and create here is a very different and a unique and a different approach. Creating an ecosystem and partnerships ranging across fintech and payment banks. And like I said, we are sort of trying to broaden and create a much larger market opportunity than what exists today.

Rajiv Kaul: This is a market where we, CMS have been a pioneer in the retail side of the market long ago. And I think we are driving fairly aggressive growth

with and market share focus in the business. But what is important is that this market growth, we see a lot of momentum in the market led by

formalization, as I talked about. The retail sector seems to be overall buoyant in terms of investment to expand the number of outlets and stores. We are looking to see how we can expand the overall market size instead of competing in the market we've been competing in.

Ankit Kanodia: Just a follow-up on this, sir. If my understanding is correct, all these retail touch points, we are generally covering it through our partnership banks and NBFC, right? But do we also have any plans on taking to this market directly to our end consumers and not going through just banks and NBFC. Do we have anything on those plans?

Anush Raghavan: Yes. I think without getting too technical into the operational aspects, I think what I mean to say, when we are talking about partnerships is that at the end of the day, we are a cash management

company and a technology service provider. We are not a payments company ourselves, and we can't be doing settlement directly.

The way we are looking at growing this market is creating a large sales team and creating a technology with multiple APIs, which can integrate with retail. And the settlement of that will happen through partner banks and partnering NBFCs. But as far as the relationship is concerned, in many cases, we would be sort of fronting and helping expand that.

Ankit Kanodia: Sir, maybe I'll rephrase my question. What I meant was not about settlement, but I was talking about the cash pickups and all those activities. Right now, all these activities are done through our contracts with banks and NBFCs.

Rajiv Kaul: No, all of them are not through banks. Some of them are direct, some of them are through banks, I think the proportion will change over time, depending on, I think what we try to deliver is the solution set through depending on the retailers' needs.

Banks would always be involved as a sort of a payment mechanism or for settlement. But the sales effort has changed over the last 1.5 years, to directly be able to understand customer needs at the individual retail company level and then to customize a solution, which also includes the cash pickup service. There are other things which we believe which we work on. I'm sure you would have looked at our presentation at the end of Q4. I think Anush had explained this in detail. Beyond that, I think, will not be right from a competitive perspective.

Moderator: The next question is from the line of Yashodhan Nerurkar from Edelweiss Mutual Fund.

Yashodhan Nerurkar: So just wanted to understand basically, you started off with providing touchpoints for the banks. And now you're seeing an opportunity on the retail side as well and as we continue the build some other things, as you mentioned earlier. So I just wanted to understand from a profitability perspective, how do you measure it because it's based on a trip, like a round trip. So from a round-trip just have to mention that profitability, etc, retail side and bank side. So how different would they be? And what are the different metrics that you evaluate?

Rajiv Kaul: I think we may not have engaged so much earlier with you, but just our routes are fungible, right. Our routes are fungible for an activity. It could be an ATM loading activity or it could be a retail cash pickup or it could be something else. So I think it's very difficult to figure out profitability by each individual line item. But again, by part, the businesses which have been established over a long period of time will have higher profitability than in newer businesses where we are driving high growth and high market share will be lesser profitable.

Yashodhan Nerurkar: Okay. And my second question was about earlier you had mentioned that you'll be partnering with new banks and you'

Il be adding a few more touch points. So how is that project coming along? And are there any new banks which have partnered with us? And it's okay if you don't

name them, but just wanted to know the incremental logos that you have won.

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Anush Raghavan: Sure. I think, again, we've shared a lot more data and details on this in our annual update, and we'll continue to do that in that cadence. But we've been in this business for 25 years. I think we work with almost every single bank in the country. I think when you're talking about partnerships and expansion this is more about trying to expand the solution set.

What used to be a plain vanilla logistics service of cash pickup, I think we are sort of significantly seeing a transformation. As we work closer with retail and we engage directly with that I think we understand far better the needs, especially through technology and automation where we can bring in greater efficiency, better controls and better risk management.

All of that CMS cannot be doing alone. We have a role to play as acting as an integrator in this space. But there's also value that a fintech or payment banks can do in terms of bringing their capabilities and their skill sets. And I think that's the partition that we lo oking at. I think as we alluded to last time, we have more than 35 to 40 different logos and retailers with whom we are working directly as we speak.

Yashodhan Nerurkar: So this includes bank as well as retail?

Anush Raghavan: Yes.

Moderator: Next question is from the line of Abhishek Singhal from Naredi Investment.

Abhishek Singhal: Sir, my first question was how much cash loss do you expect out of this cash recover from insurance company in Q1 FY'25 and FY'24 and how much time does it take to recover money from the insurance company? This is my first question.

Rajiv Kaul: Do you want to finish all your questions, then we can answer them?

Abhishek Singhal: Yes. Second question, how much bad debt write-off in Q1 FY'25? That's all.

Rajiv Kaul: I mean so I don't think we have any data on Q1 basis. These are numbers that are reconciled end of the year. We have half year and full year numbers. That's the number where we are able to provide you on bad debt provisioning, losses and all that information. From the perspective of insurance, I don't think there's any track record we can tell you how long does it take, it's a case to case specific. We've been in this business for 20 years. I think it's a part and parcel of our business to be able to get a right insurance policy cover for our risk. And in case there are any bad instances which happen, recover the money either from working with the police and investigation authorities or with insurance. And all the exact details are part of our annual report. I think that's if you read the annual report, you will have all the de tailed information for the full year '24.

Abhishek Singhal: And sir, I missed that number, what is your risk cost for FY'24?

Rajiv Kaul: Which cost?

Abhishek Singhal: Risk cost.

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Rajiv Kaul: Roughly about 4%.

Moderator: Next question is from the line of Franklin Moraes from Equentis Wealth Advisory.

Franklin Moraes: So firstly, we have adjusted PAT margins of about 16.5%. So are we likely to maintain the PAT margins at these levels?

Rajiv Kaul: We have never given a PAT margin guidance. I think our only guidance since we have listed has been on revenue and revenue targets. Very difficult to guess what PAT margins and costs

will be in the coming years.

Franklin Moraes: Okay. Sir, in terms of our ESOP cost, I believe you are at INR 10 crores, and you did mention in the last quarter, you did mention that maybe there would be another quarter wherein our ESOP cost would be at these levels, and then it would decline to INR 8 crores, INR 6 crores, INR 4 crores and so

on. So any change in that trajectory?

Rajiv Kaul: Not as of now.

Franklin Moraes: Okay. Okay. And in terms of our FY'27, like the last time we had given FY'25 guidance, it was much in advance. So when can we expect an FY'27 guidance from you?

Rajiv Kaul: As soon as we feel reasonably confident of the guidance we will come back to you. But I would say, in the second half of the year or the end of FY'25, we owe you an FY'27 guidance. But we will look at it at the end of the first half and see if there is any material change. Otherwise, I think end of FY'25, we would be in a better position to do that.

Franklin Moraes: Okay. And lastly, will this current mix of Managed Services, the revenue mix be stable now or going forward?

Rajiv Kaul: I mean, are you saying will it remain 40% or go down or go up? I'm not sure. All right. If you see the trend over the last two-three years of us reporting numbers publicly, the Managed Services business is overall growing at a far higher rate than our Cash Logistics business. So I would expect the mix to keep changing steadily. Earlier it was 70-30, then 65-35, FY'24 it's at 61-39. I think we'll get to 60-40.

And already, we are there and I think this will steadily keep changing. I don't think it will be at 60-40, that's my sense. Of course, this doesn't assume right now anything to do with any new businesses if we either launch them or we end up acquiring any business, that will obviously have an impact on the mix and proportion of these businesses.

Moderator: The next question is from the line of Harshdeep from Kuber Investments.

Harsh D: My question is that as contribution of the new businesses grows, are you considering changing the name of the organization to better reflect this business?

Rajiv Kaul: Well, we take your feedback and advice seriously. We have evaluated this at different parts of our journey as a company. It is something which we are thinking about and working on to reflect better, I mean, in terms of overall brand, but it doesn't mean a name change or a positioning

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change. I can't tell you, it will be premature. But our team is working on how do we communicate better about the type of company we are evolving into. So your question and feedback is appreciated.

Moderator: The next question is from the line of Neel from ValueQuest.

Neel: Yes. So I just have one question. I wanted to understand how the company is thinking in terms of BLA going forward. So for the next one or few years product sales are in terms of absolute number? I mean, how will that directionally change for us for FY'25 and FY'26?

Rajiv Kaul: So I'll try and just -- it's a good question, and let me just use this opportunity to summarize what we have said at all stages. The BLA business is named BLA, but has various sub components.

We currently do roughly 5,000 ATMs in our BLA business, which will be a market share in India around 5%. We do think that over the coming years, a lot of banks, when they outsource and revamp their ATMs, they will move to the BLA model. We will bid for those, wherever we are feeling confident of the return profile. I think we've had a fairly decent return profile, and we'll focus on that. Increasingly, we are also seeing some banks move to a fixed priced model in terms of a transaction linked price. If interchange increases, depending on competitor intensity, I think we are generally very cautious around any capital-intensive businesses. We've also stated that, as a policy, we have given a direction that we will cap our BLA oriented businesses at 15% of our overall revenue. I think today, I don't exactly know, I can't remember off-hand FY'24 but our overall BLA business would be 13%-ish or something of our overall revenue. Out of which a reasonable part, I mean I think 30% or so, 25%-30% is likely to be linked to a fixed price model, which has got a more steady

return profile.

That's the variability, which is assumed with the transaction linked BLA. How many ATMs do we expect to add? Really, it depends on if we are able to win a good quality contract. We would be happy to add. If we don't, like last year, I don't think we incrementally added many ATMs in the BLA estate at all. But I would think that we in our mind think about 1,000-2,000 ATMs addition in BLA on the transaction-linked model. But if there is a fixed price where there's a fixed price where we know the price is sort of fixed and will not change and get linked to usage, I think we count that very differently.

Neel: So now going forward, should we expect this product sales to be product growth to be faster than our company level growth?

Rajiv Kaul: It is impossible to predict product sales linked to RFPs, RFPs keep getting pulled up and down, competitive intensity, sale of products is not a pure play product only. Product is linked to also some services that come with it. I think it is good for us if we are able to maintain a good product win rate because it leads to downstream services revenue for the remainder part of the project. We've had some good wins last year which are getting executed this year.

But I think, again, if I take this opportunity to remind people because some of you are new to us, right from IPO time, we have been telling, we've been trying to, it's not a guidance, set expectations saying that what you call product is something that at 5% or 10% of annual revenue

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is usually what we try to keep it at. We'll not stop at it if we win more. But I think if I look at the longer-term trend, there will be some bad years, some excellent years, but 5% revenue is usually where this is at.

Franklin Moraes: And just one clarification. You mentioned that you are going to cap your BLA that business is 15% of revenue, which is about 13% currently. So 13% of managed services or the overall revenue you are talking about?

Rajiv Kaul: The overall company revenue.

Moderator: The next question is from the line of Aasim from DAM Capital.

Aasim: Just one question on the BLA bit. So like you said, banks are moving to a fixed price model versus variable. I'm just curious to know what exactly is changing that the banks are doing this.

Is it the bargaining power is coming to the BLA operators given capital deployment requirements or maybe the industry is consolidating or do banks anticipate higher footfall at ATM going forward and hence moving to a fixed price model.

Rajiv Kaul: So we are not a BLA market leader. We are not even the top 3 or 4. We are the wrong people to give you guidance on this. I think there are other larger companies whose bread and butter is BLA. Overall, the way we think of it is - I think different types have different outsourcing strategies than they change, right? The ones which we have seen moving to a fixed price model are looking at it.

Why does a bank put an ATM? A bank puts an ATM to automate, to reduce the traffic at a branch and also to cut cost. So it's like a mini branch in some ways. And ideally when banks put up branches, they're not looking always at profit ability per branch, they are looking at customer service. Similarly, some banks are focused on customer service and customer access. And therefore, they don't necessarily want the vagaries of what a BLA model can do where if things turn bad, then quality of service does logically get impacted.

So I think they want to make sure that they have a far more stable customer experience and they want to have a predictability of the cost, and therefore, they move towards that model. That's what we try and advocate to people that putting up an ATM is part and parcel of your operating costs. It's not something where you ought to think about making it a profit generating source or something.

However, every bank has a different way of

looking at it, right? So we can't argue bank strategies. I don't think in any way ever it's going to be possible what we call the balance of power. I mean, sorry, in customer - vendor relationship, balance of power is always with customers, right? It's never with a vendor source. And I don't think anything has changed there at all.

Aasim: And just a second one then. So most, at least from what I understand, most of the ATM deployments rather the ATMs that are coming in with -- when banks are setting up within a new branch itself, is there like a decent business case for the ATMs on site to also shift to the brown label ATM model?

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Rajiv Kaul: So it is already outsourced by a majority of the private sector banks. So your question is multilayer. Does the bank need to own the ATM with a branch? They choose to. I think it makes far more sense for them to own the assets which are sitting on their own branch. Is there any real leverage in outsourcing that to some third party? Not necessarily. I think the ownership, right? There is ownership and then the outsourcing of services, which could include maintaining.

So if everybody can hear us so going back to the question, I think that public sector banks over time should logically outsource the branch ATMs also. There are roughly almost 100,000 such ATMs which are yet to be outsourced for cash management. How long that takes is a factor of time. But I think logically, it's linked to the cost increases and how challenging that becomes to manage the ATMs over a period of time.

Moderator: The next question is from the line of Kunal Sharma from SP Capital.

Kunal Sharma: So just wanted to check that in the previous call, we have guided the capex of nearly INR 200-odd crores. So are we going to maintain the same for the FY'25 as well? Because we had INR 99 crores in FY'24.

Rajiv Kaul: We have guided to a INR 300 crores for this year. We said we do INR 200 crores average over a block of two to three years because last year's capex was INR 100 crores. So therefore, this year is likely to be in the INR 300 crores range as of now.

Kunal Sharma: For the entire business, right, for the cash and the net?

Rajiv Kaul: Yes.

Kunal Sharma: And one more question on the PPT. I have just seen that for the FY'24 to FY'27 that you have highlighted the new business lines. So is that the same which is AIoT? Or do we have anything else to look forward in the business?

Rajiv Kaul: So we currently have seven business lines. Some of them are entirely new. So hopefully, they will expand and grow at a fast pace. We've also, last year, I have talked about the same presentation or the earlier presentation talked about incubating a couple of new businesses around collection services and solutions and also around bullion logistics. So that's, I think, what we referred to in that slide which you're referring to right now.

Kunal Sharma: And last one more thing. As far as the capex, sorry, the order book is concerned, roughly we have nearly including quarter 1 order book, roughly INR 2,000-odd crores order book, right?

Rajiv Kaul: Yes.

Kunal Sharma: And that will be reflect in the second half of FY'25?

Rajiv Kaul: So the order book, which we won in FY'24, these projects are all technology-oriented projects, they have their own cycle of getting tested, approved, piloted and then going live. As Pankaj I think talked about, the fact that the majority of the orders we won in last year should go live in the next two quarters, majority. Won't be 100% next but majority of them should go live in the next two quarters. Therefore, the revenue will start improving after that.

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Moderator: The next question is from the line of Pranay Jain from Deal Wealth.

Pranay Jain: My question is on the retail cash solution that we are looking to launch this year. So just

wanted

to understand the progress on that front and what estimates do we have from this business contribution over the next couple of years?

Anush Raghavan: I think just to clarify, our retail cash management is a business that we've been running since the inception of the company and when we talk about retail cash, it's in the context of that, where I think we're seeing some very strong tailwinds and growth. The business which we've incubated and launched newly is the retail loan collection part of it where we're helping banks with debt management and loan collection services. And I think we have spoken a fair bit about it in our annual call not much to update from there to now. I think we will look at incrementally different acquisitive opportunities in this space. And when we have something to report, we'll come back to you.

Pranay Jain: Okay. And also with the new CIO at the helm, what would be the clear focus areas and mandate at that end in order to add alpha to growth? Because I'm sure this has been brought in timely for the new solutions that we have been incubating and now we want to take them at scale, so wanted to understand this over the next 2-3 years.

For example, if you are going to grow at 15%-17%, and these new solutions start kicking in materially, if not significantly, we could easily achieve 20%, if you think that is a reasonable estimate. So from INR 2,600 - INR 2,700 this year, we could be at INR 4,600 in the next three years. And this is organically. I'm not factoring in any acquisition as yet. So I wanted to understand this bit.

Rajiv Kaul: I want to smoke whatever you're smoking. I don't think you should be thinking businesses can grow 20% in a row for five-six years. I would love to be in those businesses and make profit margins like we are. I think I like your commentary. I think I will use it to set targets internally now. But I think we will stick to what we have said. We have from FY'21 to '25, we have given a growth guidance of growing at roughly 17%-18% growth revenue. As we get to our number of FY'25, we will come back with FY'27 and maybe an FY'30 number of revenue.

We, of course, look to deliver alpha, but you have to decide alpha over what, right? We are in many businesses and many sectors. So I think we overall look at delivering a good double-digit growth. We have done that for the last four-five years. We hope to do it in the coming years.

Pranay Jain: Okay. And what kind of business point addition and network compliance can we expect? I mean, because earlier you indicated that it should be 90% or even plus. So where do we stand? And how do we see this moving ahead this year?

Anush Raghavan: Yes. I think I mean not much change since the last update two months back in May and now not a change. Like we told you last time, I think 85% of the ATMs are compliant. And I think that process is now more incremental and organic. Our network is almost fully compliant. So any

new business point gets added into it sort of comes along with that adjunct.
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Pranay Jain: And lastly, since we have a decent idea of how the funnel of outsourcing is moving. Is there any incremental visibility on what could be the new business wins, I mean do we have a better understanding, a better likelihood? Or does it remain similar to the last commentary that you shared?

Rajiv Kaul: Sorry, we didn't really understand your question. But I think what we remember what we have said about is that there are RFPs on the ATM business are roughly totalling about 20,000 ATMs. Those RFPs are expected in this year to launch and hopefully get concluded. As they close and depending on what sort of the RFP and depending on the terms of the RFP, we will obviously try and bid for what makes sense to us, and we'll update you end of the year of what the results have been.

Pranay Jain: And about the INR 300 crores capex. Could

you give us a sense of how this is going to be spread out, I mean, across our infrastructure such as vans or on the ATM side or on other businesses that we are incubating or R&D or something like that, that would really help.

Rajiv Kaul: I mean we don't have an exact split of this by all of these things, but I think a large part of the capex is going to go into executing our new wins, including the technology wins. We have front-loaded a significant part of capex for our infrastructure revamp in the last three years. I think for the next couple of years, I think majority of the capex spend will be more linked to the new wins, not all. And then obviously, whatever we need to invest from a technology perspective.

Pranay Jain: So predominantly, it's going to be on the business execution of infrastructure as you meant?

Rajiv Kaul: Yes. I think a large part of this capex will be growth capex and a very little -- lesser portion would be on maintenance.

Pranay Jain: And lastly, are we able to come closer to any identified opportunities to bolt-on growth?

Rajiv Kaul: You know the norm, as soon as we are close to anything, we will have to disclose it, and we will disclose those.

Moderator: Ladies and gentlemen, that was the last question for the day. I now hand the conference over to Mr. Rajiv Kaul for closing comments.

Rajiv Kaul: Well, thank you for your questions. I would, again, thank you for joining this call. Good steady quarter. We focus on FY'25 number, wish us luck, and we'll talk to you in more detail at the end of H1 in our October cycle. Thank you so much.

Moderator: On behalf of Nuvama Wealth Management, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Oct 2024

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CMSINFO/2410/009 October 30, 2024

Dear Sir/Madam,

Sub: Transcript of Earnings Call.

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed transcript of post result conference call held on Monday, October 28, 2024 at 12.30 Noon (IST) on Unaudited Financial Results of the Company for the quarter and half year ended September 30, 2024.

The transcript is also available on the website of the Company at www.cms.com

You are requested to kindly take the same on record.

Thanking You,

For CMS Info Systems Limited

Debashis Dey
Company Secretary and Compliance Officer

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Scrip Code: 543441
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"CMS Info Systems Limited
Q2 FY '25 Earnings Conference Call"
October 28, 2024

MANAGEMENT : M R. RAJIV KAUL – EXECUTIVE VICE CHAIRMAN ,
W HOLE TIME DIRECTOR AND CHIEF EXECUTIVE
OFFICER – CMS INFO SYSTEMS LIMITED
M R. PANKAJ KHANDELWAL – CHIEF FINANCIAL
OFFICER – CMS INFO SYSTEMS LIMITED
M R. ANUSH RAGHAVAN – PRESIDENT , CASH
MANAGEMENT - CMS INFO SYSTEMS LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the CMS Info Systems Limited Q2 FY '25 Earnings Conference Call hosted by Elara Securities Private Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Prithvish Uppal from Elara Securities Private Limited. Thank you, and over to you, sir.

Prithvish Uppal: On behalf of Elara Securities, I'm pleased to welcome you to CMS Info Systems Q2 FY '25 Earnings Conference Call. Joining us today from the management team are Mr. Rajiv Kaul, Executive Vice Chairman, Whole-Time Director and CEO; Mr. Anush Raghavan, President, Cash Management Services; and Mr. Pankaj Khandelwal, CFO. I now hand over the conference to Mr. Rajiv Kaul for his opening remarks. Over to you, sir.

Rajiv Kaul: Thank you, Prithvish. Good afternoon, everybody, and thank you for joining our H1 call. In a slower-than-expected H1, we were able to grow our revenue at a strong 16%, which represents a consistent and a strong business momentum. H1, as you know, has seen some prolonged and intense monsoons under a fairly extended election cycle, which has affected consumption trends, which led to lower activities on both our cash logistics network as well as our BLA network, impacting revenue and realizations to some level.

On our Cash Logistics business, we continue to expand the network. We've seen an 11% growth in our touch points to 143,000 points, which also showcases and demonstrate the results of our investments in building capacity and deepening our coverage. In the retail business, where specifically our direct-to-retail segment, we now are working with 60 direct lines, up from 40 in March.

Coming to our Managed Services and Technology business. We have secured new orders worth INR200 crores in H1, bringing the total order wins to INR400 crores for the period. Although we secured INR1,600 crores in orders over the last 4 quarters, only 15% of these have been executed, largely in part due to some delays, which is bank-dependent technical testing, integration issues primarily in the PSU bank space.

Our efforts in incubating new adjacencies are showing good results. Our AIoT RMS business is scaling well, and we are now running multiple pilots with retail clients in addition to BFSI for specific AI use cases, which we have developed. The Bullion as well of the CIT businesses also are showing good growth. I would like to now hand over to Pankaj, our CFO, who will take you through the financial summary.

Pankaj Khandelwal: Thank you, Rajiv. In Q2, our consolidated revenue grew by 15% to INR624 crores, led by 28% growth in the Managed Services and Technology Solutions business and 8% growth in Cash
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Logistic business. PAT grew by 8% to INR90.4 crores, and PAT margin stood at 14.5%. This lower PAT growth, despite strong revenue is attributable to couple of factors.

As already explained by Rajiv, we had to invest and ramp up capacity for order book won, but the execution was delayed. So we incurred the cost, while the revenue approval will happen in H2 and later. This also led to much lower capex spend, only INR30 crores net of CWIP in H1 out of FY '25 projection of INR300 crores was spent.

Segment-wise, the Cash Logistic business grew by 8% year-on-year to INR390 crores, with EBIT of INR97 crores and EBIT margin at 25%. Our Managed Services and Technology Solutions business saw a 28% year-on-year growth in revenue to INR264 crores with an EBIT of INR40 crores and EBIT margin at 15.1%. Now I hand over to

Rajiv for his closing remarks.

Rajiv Kaul: So as a management team, we have earlier highlighted both our strong performance for the last 3 years and the opportunity ahead for us as we expand. While we do so and many questions we asked, how will we balance our different goals? Our key goals remain to drive revenue growth, market share gain and margin growth in that order, while delivering strong ROCs in the mid-20s range.

We are focused on investing our strong cash flows for capacity addition, growth, incubations as

well as M&A. We are continuing to make important investments to our platform, whether it's our route network, technology as well as adding talent in critical areas. We have invested significantly in unifying our operations platform across cash, Managed Services and RMS under our new President, Puneet Bhirani. This is critical for strengthening our customer value proposition and improving customer satisfaction as these businesses scale up and giving us a competitive advantage.

Our market position across key business lines is stronger. The competitive intensity is much better and we are focused on gaining market share in key businesses, along with driving strong revenue growth. On the M&A front, we have a robust pipeline of deals under evaluation. Given our track record of scaling up businesses, our customer access, our brand in BFSI and Retail, a deep countrywide network and balance sheet strength, all of these attract founders and companies who want to partner with us or get required. From a midterm perspective, there are some initial encouraging developments.

The ATM interchange rates seem to have a higher probability to increase. The ATM channel remains one of the most secure and reliable digital financial inclusion tools in India and penetration remains low in rural India. There is some momentum towards the large PSU Bank increasing cash ATM for outsourcing. The RBI currency chest white paper indicates RBI's plans to revamp the currency chest infrastructure and distribution logistics with CIT companies as key stakeholders. This reinforces the critical role for cash and the need to invest in enhancing the supply chain efficiencies.

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All of these can be midterm growth drivers in line with the market opportunity, which we have detailed in our investor deck presentation and shared with you in prior calls and meetings. Coming to October, October did witness some intense rains in parts of India. But with the initial encouraging festive season data, the renewed focus on government capex and bank's liquidity easing out, hopefully, things should get better in H2. On our part, we are intensely focused on getting our order book to go live so that we can have a strong Q4 and a good base for FY '26 growth. With that, I would like to open the floor for questions.

Moderator: Thank you very much. We will now begin the question and answer session, anyone who wishes to ask a question may press * and 1 on your touchscreen telephone. If you wish to remove yourself from question queue you may press * and 2. Participants are requested to use only handset while asking a question. Ladies and Gentlemen's we will wait for a moment while a question queue is assembled. The first question is from the line of Karan from Monarch AIF. Please go ahead sir.

Karan: My first question would be on our Cash Logistics business. If you see that from the last year to this quarter, our growth is kind of slowing down. And even though it's quite heartfelt to see that Managed Services grew this big, very solid, can you just throw some light on other than the seasonal challenges that we got, how do we see the next 2 quarters pan out for Cash Management services?

Rajiv Kaul: Sure, Karan. I think that given the penetration, the percentage of outsourcing, formalization and growth economy, we feel this business can grow at 10% or so over the

next 5 years. In fact, if

you think of H1 last year to this year, the growth in the business is roughly about 9% revenue. We grew in the last 3 years at a higher pace in part due to both market share again during COVID, compliance rollouts. But even growing 9% in this H1, where the overall economic activity is affected, I think, is fairly decent growth. Touchpoints, which is really linked to more formalization, I think, has grown at 10% in this half.

Karan: Got it, sir. And sir, if you just can allude to our EBITDA margins, if I look at our adjusted EBITDA margins adjusted for ESOPs, that has also seen a year-on-year pressure of around 270 bps, right, and a Q-o-Q pressure as well. Is this a factor of this operating leverage because of higher growth and some kind of fixed costs sitting in the P&L? Or are we seeing that some normalization of EBITDA margins should be in this range now going forward?

Rajiv Kaul: I think that's a great question. And let me take the opportunity to give our perspective. As we think of it, when you look at it -- first of all, we are an annuity business. Having said that, we have some seasonality linked to our automation business. The contribution of our automation business -- in this half was close to -- I'm talking H1, right? So don't get confused with Q2, I'm talking about H1, with roughly about 12%.

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Last year, at the same time, our contribution of this business was 82%. So there is an impact on

what you see as a margin profile, which gets little affected with this. Having said that, overall, of course, the PAT numbers could have been better. I think in our mind, the impact of the consumption led impact on both our cash activities and BLA would have been about INR5 -6 crores difference in H1 than we would have expected. And about INR3-3.5 crores would have been investment in just people and for incubations.

If you think in our business, I would think it will be better to look at H2 last year versus H1 this year where from a margin profile because the mix was almost similar, 10-12% revenue from automation businesses. And therefore, if you think H2 last year, the EBITDA was about 25.5%. H1 this year is about 25.3%. I think these are numbers for this type of business.

The second half of the year, I would hope we never give margin guidance. It's impossible to control and know what factors are out there. But with our order book execution going live, services revenue contribution to increase, it should have a positive implication in our margin profile as you see. However, we have guided to this our last call also. For a business like us, you have to finally look at ROCs. And I think maintaining a mid-20s ROC remains our goal.

Karan: Got it. Got it. And sir, if I can just squeeze the last one. Can you just also help us understand what kind of acquisitions or if you're looking at any M&A activities, if we're going to see some M&A this year? Or have you already narrowed down on potential targets because we have some cash lying on the balance sheet, and we alluded to it in the past calls. So if you can just throw some light there as well, that would be great.

Rajiv Kaul: So you and I know that controlling M&A timing is not in anybody's hand. We are working on some specifically -- again, so the situation for M&A discussion and M&A, what is the word, the chemistry in M&A discussion was much better than it was in the last 1, 1.5 years, where I think people were -- many companies were hopeful of -- hopefully different exit paths and different options in life. I also feel that the competitive intensity across our ecosystem is moderating.

They've never -- in a market like India it will never become low, but it is moderating.

And we hope M&A would be more in line with the way we like to run a business, right? I mean you can do M&A aggressively, you can do M&A in

a synergistic manner. We are working -- our pipeline is very robust. In fact, right now, I think we have to be very careful of where we

invest our time in M&A deals. And the goal is to obviously think about how do we expand our suite of offerings, how do we scale in some of the businesses we have already explained to you before.

And if there is any consolidation in our core sectors, we'd be very happy to look at it if it works out. I can't commit on whether it will happen in H2 or not, but our goal remains to do a synergistic deal sooner than later.

Karan: Sir, just any clue on what spaces are we looking at in M&A, what sector, what spaces? You said synergistic, but if you can give a broad overview.

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Rajiv Kaul: I think in the interest of time and to open the floor for other people's questions, I would just please look at the investor deck, which is on our website. We have clearly detailed what are the areas we focus on M&A, where our energy is going into.

Moderator: The next question is from the line of the Divyanshu Mahawar from Dalal & Broacha Stock Broking Private Limited. Please go ahead, sir.

Divyanshu Mahawar: Just a couple of questions. First on the Cash Logistics business. And if you look at our Cash Logistics business is more kind of a matured business. So if you look on a revenue, we get an 8% to 10% revenue growth. But if you look on the bottom line on the EBIT side, we just only get 2% to 4% EBIT growth. So why is it like that the operating leverage doesn't come through the bottom line or where this growth is not matching to the revenue. Anything inside our cost is increasing, just wanted to understand that part.

Rajiv Kaul: So if you think of our cash business, you said it's -- I don't think 10% of the mature business, 10% growth is fairly good growth. The EBIT percentages are very robust at about 25%. What you're seeing in H1, I think if you would just add the fact that I did allude to it in one of my answers, I think, the impact on consumption, both in our cash network and BLA, that would have had a INR5 crores to INR7 crores impact on our PAT. You take some of it on the cash EBIT. I think you would see a much higher growth percentage.

But I think you want to just keep in mind that linked to consumption, there is already capacity in the business. And if the utilization gets affected by any seasonal or any other characteristics, there is a minor dip at that time. But we are still managing to grow the business at a fairly -- I mean, maintain a robust EBIT profile for the business.

Divyanshu Mahawar: And the same in Managed Services, we get a higher growth. Like if you look at in this quarter, we have a 28% Y-o-Y growth. But on the EBIT side, it's just a 3% growth. So what actually happened in between that, I just wanted to know the maths, is it the cost is going up or something is in Managed Services also?

Rajiv Kaul: So I think Managed Services, 2 implications. One is the fact that the mix of the business was

very different. The mix of product revenue contribution is very high. Last year, in first half of the year, the contribution of products was maybe 2% while at this time, it's 12%. So there's a fairly significant shift. Product businesses, our important businesses to get access to new clients, but come at a lower margin profile. So that is one.

The second was the BLA sector. Given overall mobility was affected with the rains, the Q1 had your impact of election cycle, I think the numbers -- the utilization of the ATM network and BLA was lower. So I think that led to lesser revenue, which flows down to the EBIT.

Divyanshu Mahawar: And sir, last one question. What could be the reason of the increase in the trade receivables in the first half of the H1 FY '25?

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Rajiv Kaul: Let me have Pankaj reply to that.

Pankaj Khandelwal

al: So H1 is usually slow in the terms of collection. Given the liquidity crunch, payment from the bank have delayed. Out of total AR increase, INR175 crores is on account of payments slipping from Q2 to Q3 for a key project of a large bank.

Moderator: The next question is from the line of Yashodhan Nerurkar from Edelweiss MF.

Yashodhan Nerurkar: So I just wanted to understand, I mean, if -- our business is more or less dependent on the banking sector, how exactly they are planning their ATM additions. So considering that the banks are under some stress, does it lead to moderation of our growth, that's one? And is there a pressure in terms of reworking on the pricing -- on the BLA side as well as the Cash Logistics? So that's the first question.

The second was about -- you were talking about executions very delayed. So could you come again as to why this execution was delayed because we had upfronted certain cost and the revenue would be followed up in the coming quarters. So could you help me understand that as well?

Rajiv Kaul: Okay. So the first question around the overall -- so we work with banks. We work with retail. I think these are our 2 large sectors. From a competitive intensity in the ecosystem, I think the competitive intensity has reduced. We saw intense competitive pressures across Managed

Services and cash networks in the last 1, 1.5 years. I think that seems to be getting better, but only time will tell if that remains or not. I don't think there's an issue we foresee in terms of pricing pressure or something. But banks were -- a lot of PSU bank deployments got bunched up. The order cycles got elongated. Orders have been placed for about 40,000, 45,000 ATMs to be deployed.

However, having said that, there is -- what the delays we saw is not only relevant to us, but the entire industry. Given these are integrated contracts, a lot of them have seen multiple OEMs, which need integration and testing, both at the bank IT level, the NPCI and MasterCard and Visa, which has led to delays in execution. And that's why some of the services revenue you would have hoped to have seen in H1 is going to slip to H2. The overall value will not go down in the contract cycle, it's just the timing of that is getting impacted.

So we had INR1,600 crores of orders won in the last 4 quarters. As of now, only 15% has got executed. By now, we hope to have at least 30%, 35% executed. In line with this, even our capital investment has reduced significantly, where we thought in H1, we would have spent about INR120 crores, INR150 crores of capex. I think our capex spend is roughly about INR30 crores.

Yashodhan Nerurkar: Okay. So in terms of the pricing, even on the BLA side, where I think you had alluded earlier that around 75% of it is somewhat fixed. So is there any sort of indication from the banks that

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they would try to negotiate the pricing model or you would be going to continue with the similar ones?

Rajiv Kaul: Specifically to BLA now, let me underline this. We may not have interacted much in the earlier.

But our overall BLA as a revenue contribution will be 10% to 12% of our revenue. We are not very aggressive in the BLA business as such. We are focused, of course, on businesses where we can get more longer term and fixed price contracts. It's about 75%, but I think we look for more fixed price contracts in BLA than transaction linked.

The BLA sector did see very aggressive price bidding in the last 6 to 9 months, primarily from MO, Ministry of Finance Project incumbents, which are trying to defend their revenue as the project went end of life. We are limiting our explosion on BLA at this point and not being aggressive with that at all.

So I don't think banks once they agree on a price or something go back and change it. I actually

think that with the whole compliances roll out and all, I think prices will only tend to

go better
going forward.

Interchange is an issue because at the INR7 interchange, banks are not able to deploy new ATMs. Therefore, there has been a lot of industry work going on between the banks and the regulators to relook at interchange to make it viable for them to roll out more ATMs. We are led to believe, again, we are led to believe, I do not think we have full knowledge of this that there is a strong likelihood that the interchange may go up so that deployments can start picking up in the rural areas.

Moderator: The next question is from the line of Balaji from IIFL.

Balaji: So Rajiv, you did mention that product revenue accounted for about 2% of overall revenue in the first half of last year versus 12% this year. So if I take that out, then I can see that the Managed Services has almost stayed flat Y-o-Y. That is the revenue I'm talking about. So I did listen to some of the reasons you alluded to on why there has been a weakness in the first half of this year. But is there something one needs to be worried about because for -- something which was expected to grow at 25%, 30%, we have had a 6-month period where the growth almost was negligible. So that will be one. The other one will be more of on the housekeeping front. This would be on what is the estimated capex for the full year, considering that there has been a delay in terms of execution?

Rajiv Kaul: Great question, Balaji. I think when you think of our Managed Services business and you split it between services and products, the services revenue is an annuity type revenue, right? And therefore, we are dependent on new contracts going live so that the revenue will accrue. And it accrues at a slower pace, right, month-on-month and these are 6, 7-year contracts.

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Given the fact that some of these projects haven't gone live as per our books, we did accelerate some of the product business because that's a little more easier to go execute and get them live and bill. So we shifted our priority in Q2 to making sure that we can get at least the revenue streams going so that we are able to maintain the ongoing services, which have come from the products later. Q3, Q4 would hopefully see the order book execution coming in, and we'll start getting the benefit of that, both in MS services growth as well as the margin profile of that business.

And also more importantly just getting these contracts started on the journeys. From a capex perspective, I think we initially thought this year will be INR300 crores capex. But given where we are, how much we've spent, I think the rest of the year -- for the full year, I think Pankaj's estimates will be roughly at INR250 crores capex.

Moderator: The next question is from the line of Manav from SP Capital.

Manav: My question would be regarding '25, '27 guidance. Is it still intact. Are we still aiming for the INR2,500 crores target as of now?

Rajiv Kaul: Sorry, your line wasn't too clear, but I'm guessing you're talking about FY '25 revenue guidance, which is -- if that is the question? I think our revenue guidance was INR2,500 crores, INR2,700 crores. Yes. So I think at half year, we are at INR1,225 crores. We are trying to still see how much we can do in H2. We will hope to be somewhere in the midpoint of the range. I think that's what we're trying to goal ourselves for to end the year.

I think achieving the higher end of the margin will not be possible given the H1 we have seen, but we are still trying to be focused on trying to get to the midpoint so that our original goal of doubling revenue from FY '21 to '25, we are able to meet. So we have 5.5 months ahead to work on that.

Manav: But don't you think the consumption growth could affect our growth in the coming half?

Rajiv Kaul: Sorry, can you be a little bit louder or closer to the phone?

Manav: Sorry. So my question was, don't you think the muted consumption

could affect our growth and
reaching that double target in the second half?

Rajiv Kaul: So listen, this is a fairly -- we should think of our revenue growth aspiration that what we are trying to do. They are strong growth numbers. We have as the team delivered in the past. We're hoping to deliver. We don't have all factors in our control. but we will try our best to see as much as we can do, will do.

As of now, I don't have a number to tell you. We normally shy away from giving any guidances beyond the range we have pointed out to. And we have 5 months left. If order execution picks up, we should see much better revenue in the second half of the year.

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Coming to specific consumption, I don't know how consumption will trend. Initial data in October, again, I'm saying initial data. This is just cash index data, is looking good when you look at our retail collections and what not. But again, 2 or 3 weeks don't determine the whole half. We'll have to see how overall economy does, we are still linked to the overall consumption of economy, right. So I think I don't want to go away from that linkage as the economy does improves or does better than it has done in the last 6 months, I think we should see some benefit of that.

Manav: Got it. And my other question would be regarding our cash management business. Do you think it has reached its peak or it is consolidated due to the recent UPI transaction growth and people are more relying on that rather than going to using cash as a transaction system.

Rajiv Kaul: Well, I don't think so. I don't think cash usage compared to GDP and all have had significant declines if you look at 5-year, 10-year data. I think as you think our business, you think about touch point growth, we've talked about touch point growth of 10%. We talked about revenue growth of 9%. I don't think that is peaking. And then most importantly, I think amount of outsourcing, which is still not done and formalization.

So I desperately hope what you're saying is not true. I don't see any indicator that we have peaked or the opportunity has peaked anywhere.

Moderator: The next question is from the line of Ankit Kanodia from Smart Sync Services.

Ankit Kanodia: My first question is basically, if you see from March 2024 to September 2024, the increase in our debtors is INR270 crores. And if my calculation is correct, the increase in revenue is lesser than that. So I think it is about INR169 crores. So can you just throw some light on this as to why this is happening and what is our view -- some more colour on to why this is happening.

Pankaj Khandelwal: So I've explained earlier that out of total AR increase in this particular half, INR175 crores increase on account of payment slipping from Q2 to Q3 for a large key project for the large bank. We do see that any of our metrics where the working capital increase is generally higher in H1

than H2. If I will give the context that in FY '23 and FY '24, OCF of H1 was only 25% of the full year OCF. So working capital increase is higher than the H1 than the H2. And the main contribution is by AR.

Ankit Kanodia: Got it. Sir, regarding the bad debt also, so we have a written off around INR55 crores in the first half. Is there any additional bad debt sitting in the debtors column, which we need to recognize in the H2? Any color on that as well?

Pankaj Khandelwal: No, we provide for based on the expected credit losses and we have adequately provided it. In past when the penalties or the deductions or the gaps was higher, we have provided higher. It was around 5.3%, 5.1% earlier and which is gradually reduced to this quarter -- this half which is 4.3% of the revenue.

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Rajiv Kaul: And it's bad debt, right? These are provisions of risk costs. This includes multiple things. This is reconciliation differences

, penalties, any cash losses we have. So our provisions in H1 of this year are about 4.3%. And I think this number was roughly 4.1% from last year, about 5.1% for FY '23. And we have guided to the 4% to 5% range as a range to estimate just as a trend line what we think.

Moderator: The next question is from the line of Bhargav from Elara.

Bhargav: I have 2 questions on remote monitoring and another on Bullion Logistics. So coming to the remote monitoring, you mentioned in your opening remarks that you have done some pilots in the monitoring space especially the beyond ATM, e-commerce, hospitality & retail. Could you highlight a few points on the following aspects, like are you facing any challenges in terms of execution or competition?

And one more thing in the realization, like if you compare it with BFSI, I mean the bank's realization, how it is different from the bank? Is it lower or higher? And like how is the profitability over there like in terms of margin and the return profile? And last on the remote monitoring. So what's the opportunity size that we are seeing in the beyond ATMs remote monitoring? So this is my first question on remote monitoring. I'll have the second one after your answer..

Rajiv Kaul: I would say that if you want to look at the TAM for remote monitoring, please refer to the presentation we have on our website. I think that will give you a size of the TAM as we estimate it.

Coming to your question on the BFSI -- sorry, the retail, let me clarify, which I already said in my comments very clearly. We were developing last year AI use cases for use in retail sector. As you know, we've built our business primarily on the BFSI side. As an area of expansion, we are looking at retail, hospitality, where we have invested money in creating use cases, AI use

cases specific to clients. Those use cases are getting piloted right now. I don't think right now we would be able to give you an estimate of the margin profile or whatever. I don't think that it should be significantly different than what we are doing right now.

The opportunity size may be a little more different just because with bank, there is concentration and retail is more widespread, and therefore, use cases are going to be very expected to each client's needs at that time. I think this is just an important area for us to invest to expand and build a horizontal platform for RMS business for the coming 5 years.

Our RMS business, I think, otherwise, is doing well. I don't -- you mentioned something about competition and execution. I think in retail, given these are just pilots, obviously, pilots we are learning and changing as per what clients want. I think there's nothing about a specific execution risk, which I could point out to right now.

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Bhargav: Sir, one follow-up on that. So you mentioned the space in the retail segment is really higher than in the bank side. So how can we expect the realization to move with goes well? So we can expect a higher realization from these retail...

Rajiv Kaul: Let me not put the cart before the horse. Let just wait to see how we win. Again, when you think of building businesses, we are building them from a long-term perspective. I think initially, as we move into these sectors, we will look forward getting marquee wins and important clients as references to build our base.

I don't think worrying about gross rate, revenue rates and pricing is -- we don't think that's a concern, neither is that a big area of concern or a priority. I think important to establish our footprint there. When we have something which is different than our current type of business profile, then we will come and update you.

Bhargav: Okay, sir. And one last question on the Bullion Logistics. Has the revenue for this has started kicking in the Q2? If yes, what's the revenue for Q2 from the Bullion Logistics?

Rajiv Kaul: We

don't split revenue by any of our sub-segments, I think beyond what you see in the financials.

That's what, yes, but they are scaling up well, we are incubating this in-house right now, and we are building this business. We will definitely come and tell you more at the end of the financial year on -- important metrics on how we're doing this business.

Moderator: The next question is from the line of Divyansh Gupta from Latent Advisors.

Divyansh Gupta: A couple of data keeping questions. So we used to disclose earlier sometime the activities per trip. Is it possible for you to let us know what would be the number this quarter and, let's say, previous quarter or just the trend of it?

Rajiv Kaul: I think what you may be referring to is total number of activities in our network. I think we'll update you on that number at the end of the year as to how those are going. We have told you I think what we do on a quarterly basis will tell you the number of touch points. And I think that's what you shared at 143,000 for the cash network.

Divyansh Gupta: Got it. Got it. And the other question was the collection business that we have been incubating, what would have been the, let's say, the cash burn in this quarter that we charge in the Cash Management business?

Rajiv Kaul: I think specific to collections, we won't know -- again, these are numbers we will be more accurate and comfortable sharing on an annualized basis. But I think our incubations and investments in the incubations across would have been roughly about INR2.5 crores, INR3 crores for the quarter.

Divyansh Gupta: Got it. And just the last question, what would be our network compliance and the cassette swap compliance status -- percentage?

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Rajiv Kaul: Let me get Anush to pipe in and update on that. Anush?

Anush Raghavan: Thanks, Rajiv. So overall cassette swap, I think we are right now about 25% compliant, as we have said earlier. Very recently, there's been an update from the RBI urging the idea to sort of accelerate and expand on cassette swap and achieve a further milestone by end of March.

From a network perspective, I think we've shared earlier, our network is almost fully compliant on the ATM and RCM side. So almost any business that we do for those businesses will be on a full compliance basis.

Divyansh Gupta: Got it. And just one last question. What would be the quantum of cash that we would have handled this quarter?

Rajiv Kaul: Roughly about INR3.4 lakh crores.

Divyansh Gupta: Got it. This number has been similar to, let's say, December 2023 also, we were around the same

number. So is there anything we...

Rajiv Kaul: It's higher than March. I think it's grown about 4% to 5% from last year Q2.

Moderator: The next question is from the line of Nemish Shah from Emkay Investment Managers Limited.

Nemish Shah: Thanks for the opportunity. So I need few data points on the Managed Services business...

Moderator: Sorry to interrupt you, sir. Sir, can you use your handset while asking the question.

Nemish Shah: So I wanted data points. If you could help me with the mix of products versus services in Q2 versus Q1 for our Managed Services business?

Rajiv Kaul: I think we've said it was about 12%. I already said 12% for the half. Q1 and Q2, certainly, I don't have the number handy right now. But I think it was 2% last year H1. This year, it's 12% for the half of the year. For the complete company, I think you can use that to do your calculation. I don't know what you're trying to arrive at, but hopefully, that should give you enough data points to calculate what you need.

Nemish Shah: No. So the reason I was asking is so since the service mix was lower and probably that would have impacted our margins. So then was trying to compare to Q2 and the Q1 numbers.

Rajiv Kaul: Q1, Q2 of this year, specifically?

Nemish Shah: Yes.

Rajiv Kaul: Let's come back towards the end of the

call and calculate and give you the number.

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Moderator: The next question is from the line of Malav Sharedalal from Pravin Ratilal Share and Stock Brokers.

Malav Sharedalal: Any new revenue target for FY '27 and so on? If you can, sir.

Rajiv Kaul: No revenue target for FY '27. I think right now, we're focused on achieving the guidance we have for FY '25. At the end of FY '25, we'll come and update you on what we are doing overall the company, how we think of FY '27 and FY '30 more from a strategy and the direction perspective. And I think for the prior question, just the data point on Q1 and Q2 is 10% and 14%, respectively, of the overall company revenue.

Moderator: The next question is from the line of Aasim from DAM Capital.

Aasim: Sir, one question on the Cash Management growth, the segment group. So we have grown strong in the past, the reasons we mentioned during the call. But for the last 6 quarters, I think growth is at 12%. This quarter, it is 8%. So would you attribute that growth going forward would be more measured at best, low double digits? Or can this still be a mid-teen growth segment, excluding any onetime price hike that may come through from RBI?

Rajiv Kaul: I think we've guided to the fact that the cash business has the potential to grow in the 10% to 13% in the midterm. And I think we are sort of ballpark in that range, subject to plus or minus a little bit of the consumption and activity level. So I think the guidance or -- not the guidance, just a bottom-up for a large market share player like us. With our margin profile, I think we are seeing about 10% to 13% of the growth potential for the midterm of the business without any significant M&A or anything else happening there.

Aasim: But 10% to 13% would be more unit addition driven, right? Or are you also expecting upgrades in pricing?

Rajiv Kaul: I think the revenue growth is a combination of all of these elements, right? It is about...

Aasim: Rather would it be more volume-driven is what I was thinking. Because I think price hikes from RBI and all those take time also. So one should not ideally be building that in the business proposal, right? That's what I wanted to get a sense from you.

Rajiv Kaul: It's a good point. I think it's important for other investors who are listening. If you look at our -- the revenue and the points growth in the last few quarters, I think they've all been around the 9%, 10%, 11%. Somewhere you're expanding capacity, pricing kicks in. I think there is a long-term track record of pricing change in our business, which we have talked about, not just regulatory overall.

But the opportunity for us is to increase penetration, take market share in some of our key businesses. And therefore, we are focused on driving that. I think as a sector consolidates, there may be opportunity for pricing, which is difficult for you or I to predict right now.

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Aasim: Okay. So the second question, I think I missed this in your opening remarks. But on the Managed Services margins in Q2 or in H1, would you attribute a larger portion of the margins coming off on the delayed order execution? Or would the product sales being in the 10% to 12% range is the primary driver of margins coming up?

Rajiv Kaul: No, I think there are 2 factors. One is just the overall consumption being down and therefore, BLA transactions on that part of our revenue stream coming down lower than, the realizations get impacted which affect the bottom line straight away.

The second is the orders, which could have gone live. We are hoping to go live basis having won them, didn't flow through into the revenue accrual in first half or Q2. And that obviously has a straightway impact on our mix and therefore, the margin profile.

Moderator: The next question is from the line of Sunny Roy, an Individual Investor.

stor.

Sunny Roy: Yes. So I just wanted to know, are you sticking to the annual guidance of INR2,700 crores that you earlier alluded to for FY '25?

Rajiv Kaul: I think we've alluded to, we have referred to revenue growth number for this year of INR2,500 crores to INR2,700 crores. That's the range. But given where we are in H1, I think we are looking at more coming towards the midpoint of that range.

Sunny Roy: Okay. And sir, any guidance for FY '26 as of now?

Rajiv Kaul: No, not at all. Right now, I think we just want to end Q4 on a strong base so that we get a good base for FY '26.

Moderator: The next question is from the line of Nihal Shah from Prudent Corporate Advisory.

Nihal Shah: So in the Cash Logistics business, I understand that because of the volumes, the operating leverage didn't play out. But in the Managed Services business as well, we are seeing a margin decline of around 300 to 400 basis points. So why would that be? So is that because of the change in product mix?

Rajiv Kaul: That's right.

Nihal Shah: Okay. And so AIoT's contribution has increased or decreased. So how is AIoT playing out?

Rajiv Kaul: So I think AIoT contribution is growing as per what we have alluded to. I think it will be roughly that our software AIoT businesses are -- I'm not saying Q2, I think we talked about this on an annual basis rather than quarter. I think they largely will be around the 5% contribution to revenue.

And we think in the midterm, that can go up to 8% or so. Right now, I mean, specifically to the exact number, we'll let you know at the end of the year how that business is going on track.

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Nihal Shah: Okay. And that has a higher EBIT margin, right? So what would that be?

Rajiv Kaul: We don't break EBIT by each business line. I think the EBIT numbers are reported at both cash and MS level as a group.

Nihal Shah: Okay. But the assumption is correct, right? So there, the margins would be a bit higher than the overall margin?

Rajiv Kaul: I think we have many businesses that have very high margin profile compared to the rest, right?

If you look at our Cash Logistics business, I think that has a pretty robust margin profile. AIoT has -- given the technology nature has a robust margin profile. Our software business also is like that. Our product revenue business would be obviously a lower margin profile.

Our cards business, which is the smallest business has seen a significant margin improvement in the last one year. So again, there are many drivers for margins across the business. But overall, if you think of it and you look at our performance, I think it's been fairly steady.

Nihal Shah: Sure. And so there are a lot of reports that there is some shortage of ATM machines in the country in some parts of India. So we also had a plan to make the machines. So where has that progressed?

Rajiv Kaul: So I think overall supply chain issues may have been there in different parts. We have a manufacturing plant, which we had invested in to align with Make in India norms in India for large contracts. And as and when we are winning the order book, which will need ATM

machines from our partner, Ferosum, they will be partially manufactured at our plant in Chennai.

I think this is more for -- a large part will be used for our order book execution.

Nihal Shah: Okay. So the progress is there, right? So we are making some parts in Chennai.

Rajiv Kaul: Yeah

Moderator: The next question is from the line of Harsh from Kuber Investments.

Harsh: My financial questions have been answered. Just one question that I ask is that how have you seen cash utilization in the urban areas, especially in the festive season, given all the commentary that we hearing regarding slowing consumption?

Rajiv Kaul: Yes. So festive season data is like just 2 weeks, right? And therefore, I don't want to make a norm out of 2 weeks data

ta. We are seeing the metro, I think, at a little weaker metro, not urban,

metro a little weaker than semi-metro and SURU.

I think semi-metro and semi-urban is growing positively. The metro is sort of flattish to a minor

dip as of now. But again, I think these are very -- 2-week data is not something, which you'll start projecting basis on that. We'll have to see how October, November, December. O&D is normally a good quarter. We'll see how that plays out -- and yes.

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Harsh: Fair enough. And also, in this quarter, we had a large inventory charge that was there. I joined late, so I don't know whether it was covered or not, but could you maybe throw some light on that?

Pankaj Khandelwal: So the inventory reduction is on account of the deployment of the product automation business. So we have purchased those machines and the parts in the Q1 or prior to that and which was deployed in this particular quarter.

Moderator: The next question is from the line of Ganesh Shetty, an Individual Investor.

Ganesh Shetty: I just want to know whether the new businesses are coming up from the same clients scaling up their businesses or we are acquiring new set of customers also?

Rajiv Kaul: Well, I think in some of our -- there are obviously a limited number of banks. Within each bank, we're trying to sell new service lines. But if -- I did mention this in my opening comments where if you think of a segment in retail, our direct to retail, where we're directly working with retail clients compared to a couple of years ago, I think the number of direct clients have gone up from 40 at the end of March to 60 clients we're working with right now.

So it's both depth and breadth. I think for a business to be growing, you need both depth and breadth focus, selling more solutions to the same customer or gaining share as well as increasing your base and -- but given the banking sector, we've been there for a long time and some of our core business lines are being used there, I think we are looking to grow with them with new solutions like AIoT and RMS.

Ganesh Shetty: So my second question is regarding Managed Services business. Managed Services business like a niche business, for which you have incubated and developed for such a large extent. And going forward, are we adding some new facilities or new products into the same business so that we can scale up or we can give more services in the same category with our existing customers. Can you please throw some light on this?

Rajiv Kaul: No, it's a great question. I think the last significant incubation we have done in the Managed Services business is our AIoT RMS business started about 3 years ago. Within that, I think having gotten very good traction in the BFSI, we are now taking that and we are trying to grow on the retail side with that solution set, right?

The second area of interest for us, interest, I would say. I wouldn't say we have started yet is generally trying to do more with software for banks and NBFCs. So I think we have been examining areas of expansion. This will be primarily M&A led as and when we get the right opportunity and the right company to partner with.

Moderator: As there are no further questions, I would now like to hand the conference over to management for closing comments.

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Rajiv Kaul: Thank you. I would like to reiterate a few points here. Our execution has been fairly good. I feel our competitive intensity in the market has reduced, and we're feeling stronger and better about the opportunity ahead. Our performance remains very steady. If you think of H2 last year to H1 this year, I think we are trying to make sure despite a weakish macro, we are performing very well on absolute numbers in terms of revenue, EBIT and PAT.

With the order book execution, hopefully, going live towards Q3

, Q4, we should start seeing

that impact and accrual in both revenue and margin and profile of the business for the second half. The goal is to end with a strong Q4 for a base for FY '26 and to also have an overall H2, which is better than we've had in H1. Thank you so much.

Moderator: On behalf of Elara Securities Private Limited, that concludes the conference call. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2025

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CMSINFO/2502/010 February 11, 2025

Dear Sir/Madam,

Sub: Transcript of Earnings Call.

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed transcript of post result conference call held on Thursday, February 06, 2025 at 12.00 Noon (IST) on Unaudited Financial Results of the Company for the quarter and nine months ended December 31, 2024.

The transcript is also available on the website of the Company at www.cms.com

You are requested to kindly take the same on record.

Thanking You,

For CMS Info Systems Limited

Debashis Dey
Company Secretary and Compliance Officer

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“CMS Info Systems Limited Q3 2025 Earnings Call”

February 06, 2025

MANAGEMENT : MR. RAJIV KAUL – EXECUTIVE VICE CHAIRMAN ,
WHOLE TIME DIRECTOR AND CHIEF EXECUTIVE
OFFICER, CMS INFO SYSTEMS LIMITED
MR. PANKAJ KHANDLWAL – CHIEF FINANCIAL
OFFICER, CMS INFO SYSTEMS LIMITED
MR. ANUSH RAGHAVAN – PRESIDENT , CASH
MANAGEMENT , CMS INFO SYSTEMS LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the CMS Info Systems Q3 FY '25 Earnings Conference Call, hosted by IIFL Capital Services Limited.

As a reminder, all participants' lines will be in the listen-only, mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Balaji Subramanian of IIFL Capital Services. Thank you, and over to you, sir.

Balaji Subramanian: Thank you, Rayo. Ladies and gentlemen, good day, and thank you for joining us on the post Q3 and 9 months FY '25 Results Conference Call for CMS Info Systems Limited.

It's my pleasure to introduce the Senior Management Team of CMS who are here with us today to discuss the results. We have Mr. Rajiv Kaul – Executive Vice Chairman, Whole Time Director and Chief Executive Officer; Mr. Pankaj Khandlwal – Chief Financial Officer; and Mr. Anush Raghavan – President, Cash Management.

We'll begin the call with "Opening Remarks" by the Management Team, and thereafter, we'll open the call for a Q&A session. I would like to now hand over the call to Rajiv to take proceedings forward.

Thank you, and over to you, Rajiv.

Rajiv Kaul: Balaji, thank you. Good afternoon, everyone, and thank you for joining our Q3 FY '25 Earnings Call. For the 9 months of FY '25, we have delivered a steady and consistent performance with 10% revenue growth and 7% PAT growth.

While navigating the surprises in this year with agility and disciplined execution, we are happy to report that our focus on quality of services, integrated offerings, and aggressive focus on the retail sector have helped us notch up strong share gains this year. Our revenue share in the Cash Logistics segment has grown from 40% to 42%.

Given the scale of our route network, the investments we have been making in technology, automation and risk management as well as careful selection of contracts, have helped us in expanding our margin profile.

In our Managed Services and Technology business, we are continuing with a good order wins momentum and have over INR 700 crores of wins this year, majority being recurring services revenue in nature. The broader industry is seeing consolidation trends.

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The ATM base for many large banks was disrupted in Q3, due to instability in operations at a key industry player. These banks have been focused on planning and transitioning this base to stronger market players.

Our investments in becoming an end-to-end platform player have delivered great value for our customers, and enabled solid growth over the last 3 years. We have increased our tech spends from 1% to 1.5% of revenue. This is critical to have a superior quality offering, and also to keep building a strong margin profile.

With that, let me now turn this over to Pankaj to share more financial highlights for the quarter.

Pankaj Khandlwal : Thanks, Rajiv. Our consolidated revenue is INR 581.5 crore. On year-on-year basis, total revenue is flat. However, service revenue has grown by 3%. Our PAT grew by 7% year-on-year to INR 93.2 crores. PAT margin has expanded by 140 basis points to 16%.

Segment-wise, the Cash Logistic business with INR 404 crores recorded an 8% year-on-year revenue growth, while the EBIT grew by 6% to INR 103 crores, delivering a robust 25.6% margin.

Our Managed Services and Technology Solution business revenue at INR 210 crores saw a decline of around 10% primarily due to lower banking automation revenue. Despite this, the

business achieved an EBIT of INR 38 crores and the margin of 17.9%.
Our MS & Tech Solution have grown 2.2 times in 3 years and today contribute 40% of our revenue. Our C

APEX spend has been INR 50 crores in 9 months of the year and we expect this to be INR 150 crores to INR 200 crore for the full year.

I'm happy to announce that our Board has declared an interim dividend of INR 3.25 per share.

With this, I would like to invite Anush to share his key business highlights.

Anush Raghavan : Thank you, Pankaj, and good afternoon, everybody. We have recorded our highest ever cash volume handled in Q3 with a 6% Y-o-Y growth and an overall business point addition of 10% on a year-on-year basis. Further, we also see that the usage of cash on a same-store basis has been very robust across metros, urban and semi-urban locations. You will be able to see more details on this in Slide #7 of our investor presentation.

With the budget announcing tax cuts, if there is an uptick in consumption, that would be a further tailwind to us. Our Retail business has grown 15% year-to-date on the back of aggressive thrust in Retail segment to regain our market leadership.

In our Managed Services and Tech business, we have had two breakthrough wins, a large end-to-end fixed fee outsourcing contract with a leading private bank, and the second is winning an CMS Info Systems Limited

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AIoT remote monitoring deployment at a leading quick commerce customer, marking our entry into non-BFSI remote monitoring solutions.

On the regulatory side, the Reserve Bank of India has revised the cassette swap guidelines, as per which it would now be applicable on all outsourced ATMs and will exclude recyclers. We have till date completed cassette swap implementation on about 25% of our base.

The next phase will expand the coverage from 30 to 80 cities. The modalities of this rollout, timing, pricing, etc., are still being discussed between the Indian Banking Association and the Cash Logistics Association.

The last few weeks have seen a heightened operational intensity as banks have been working with us to manage transition from an affected market player. This engagement is also an opportunity for us to grow our MS and Tech Solutions with large private sector banks. We will be able to share more details on this at the end of FY '25.

And with that, I now hand it back to Rajiv for the closing remarks.

Rajiv Kaul: Thanks, Anush. We started this year being very bullish and having a revenue estimate of roughly about INR 2,600 crores. However, due to multiple external factors in H1 and unexpected delays in the large INR 1,900 crore plus PSU order book execution has resulted in revenues coming in lower this year.

We had completed 15% of this order book at end of H1, have ramped it up with 30% completion at the end of Q3 and our focus remains on getting 60% of this order book live by Q4. The impact from this itself is to the tune of INR 150 crores lower revenue in FY '25. This will, though ensure that FY '26 services revenue growth can ramp back up to 15% plus.

The medium-term opportunity for our business is looking very solid. The competitive intensity, as I've mentioned before, has reduced significantly, and we have detailed out opportunity on Slide 12 of our investor deck.

The Cash Logistics business can grow between 10% to 13% in the midterm. Our MS and Tech business should grow upwards of 15%, and our AIoT RMS business should compound at 15% to 20% growth rates over the medium term. You combine these 3 on organic basis, our revenue growth opportunity is at 13% to 15% CAGR.

Let me reiterate the potential midterm drivers. The banking outsourcing opportunity is poised to grow with a potential increase in ATM interchange rates, which would drive better economics for the entire sector and also lead to an expansion in the ATM TAM. We are likely to see an increase in cash management TAM as large PSU banks are looking to outsource in-house ATMs for cash management services.

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Our thrust on expansion in the ret

ail sector is overall delivering good results and good synergies.

And now with our new AIoT win at a leading quick commerce platform, we can see the synergy of having a combined effort towards a new sector in addition to BFSI.

We are also making good progress in growing our Bullion Logistics business. With a strong balance sheet, a track record of programmatic, disciplined and value-creating M&A deals, we have built an active pipeline in our sectors of interest, B2B Payments; Business Services;

Banking Software and Technology; and Specialized Logistics.

We look forward to discussing FY '25 performance, and the next phase of our growth journey in our Investor Day at the end of the fiscal year in Q1 FY '26.

With that, I would like to open the floor for questions, and thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session.

Anyone who wishes to ask questions may press "*" and "1" on their touch-tone telephone. If you wish to remove yourself from the question queue, you may press "*" and "2". Participants are requested to use handsets while asking questions. Ladies and gentlemen, we will wait for a moment while the question queue assembles. To ask questions may press "*" and "1".

The first question is from Balaji Subramanian of IIFL Capital Services. Please go ahead.

Balaji Subramanian: While you have talked about 13% to 15% revenue CAGR going forward, is there any guidance that you would like to provide for the next 4 years, like how you had guided for doubling of revenue between FY '21 and FY '25?

My second question is on with the issues faced by one of your competitors, how do you see the market dynamics changing in the short term as well as the medium term? And would you be interested in acquiring parts of their business?

Rajiv Kaul: Thank you, Balaji. So, as you know, Balaji, this is Q3. We are very focused on getting this order book live by Q4. I think the right time to discuss the FY '26-'27 sort of trajectory would be the Investor Day, and we did the last one 2 years ago. I think it's high time we come and update our investors and analysts on the developments in the company, how the market is changing. The market has been very dynamic this year, right, both from an industry perspective and a country perspective.

We want to wait a little bit to see how the dust settles down in some of these developments which you are alluding to, and see what benefit and gains we are going to be able to derive from that. Specifically, we will not talk about any particular competitor by name as such, but whenever we have seen any impact to a company, for whatever reasons, it's natural to expect that customers will move business to stronger players and be careful.

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We are seeing good momentum in some of these conversations. And again, I would defer till the end of Q4 to be able to come and give you a better update.

In terms of acquisitions, I think our strategy always has been that in our core businesses, we should be able to grow on our own. However, if there is an acquisition in any of our current business lines which comes at an accretive basis and is logical for us, we'll definitely look at it.

Balaji Subramanian: Thanks. That is helpful.

Moderator: Thank you. Next question is from Prithvish Uppal from Elara Securities. Please go ahead.

Prithvish Uppal : So, couple of things from my side. First, just wanted to understand the progress on the order book, as you alluded to earlier, about 15% was executed in H1 and now is about 30%, and you'd highlighted there were certain testing delays.

So, any shift that has happened in the last quarter in terms of progress towards faster execution of this order book, and what is giving us the confidence to reach probably a 60% kind of order book execution? So, that would be the first part.

And within this order book, what would be the split of the pending order

book in terms of the

MS and maybe the Product Sales segment, and which parts have probably seen some bit of delay and which segments which other components are within the MS book, which would do well?

Second is, we have seen uptick in the other services, which is largely your Cards business in terms of the margin. So, just wanted to get a sense of what has been driving this better EBIT margin. And do you see it as is this a one-time or more of a sustainable kind of basis on the margin? And thirdly is that you said that the retail cash logistics has grown by about 15 % for the 9 months, which would mean that your ATM cash logistics and maybe CIT are sort of flat or have seen a decline in the first 9 months. So, any sense on that, like what has caused that, because we guided to earlier that this segment could probably grow at about 6%, 7% CAGR, at least the ATM and the CIT business. So, just some sense on that, yes?

Anush Raghavan: Hi, Prithvish, Anush here. I will answer the first and third parts of your question, and will come back to the second one. I think as far as the order book is concerned, maybe let me reiterate it in this way. We had solid order wins in FY '24 of about INR 1,800 crores of total wins, which we carried into FY '25. As we updated you in second quarterly call, through the 6 months of the year, we were able to get progress to about 15% of that execution.

Most of the delays was on account of the fact that as various OEMs replaced and changed and upgraded the models of their equipments, could be ATMs, recyclers, kiosks, all of them went into various testing cycles, some with NPCI, Visa, Master, with the banks and the switches and the softwares themselves.

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So, what used to typically take 3 to 4 months for one product to make it through all of the various steps, in certain cases, expanded to as much as long as 3 quarters. That combined with handover delays on part of the banks in working with the incumbents to exit from some of those sites and hand it over to us has effectively led to an extension of the ability to implement the order book. From that 15% in Q2, we have been able to quickly ramp it up to 30% by Q3, and with the good momentum in across most of these contracts, we hope to further double that and get to 60% by Q3.

With respect to the third question, which is on retail growth, I think that's a good point. But you also need to sort of bear in mind that retail is about 25% plus-minus of our overall cash services. So, ex-retail, our ATM and CIT would have still grown by about 7%.

Also bear in mind that, as we have said, right, through the year, we have had various external factors, consumption issues and so on, and we have been able to grow 15% despite that. Coming towards Q3 and now Q4, we are seeing good momentum in both ATM and CIT. We have also been able to notch up revenue share gains and volume gains across all of our Cash businesses, ATM, retail and CIT.

Rajiv Kaul: Pankaj, will you take the cards question?

Pankaj Khandelwal: So, historically, our card margins was over 20%. Over the post COVID because of the cost increase in the cards and the availability of the plastic was very costly, that has resulted in the lowering of margins. However, in last 6 to 9 months, or in 1 year, that rates have settled and because of that, now the margins have improved up to the normal level.

Prithvish Uppal: Okay, understood. Thanks for that. Just follow-up is, with this, the dark store AIoT business that we received an order win for, so are we doing the retail cash logistics with the same partner, and is this a cross-sell or is this just purely going to be only for AIoT?

And further to that, if you could just help us understand how we should be assessing the AIoT business in terms of the profitability standpoint, means what could possibly be the margin profile for this? Or should we look at it more from

an IRR or a ROCE perspective? And what would those numbers be, maybe as typically or a ballpark?

Rajiv Kaul: So, Prithvish, the win in this customer is a cross-sell win. It is a customer who we have been working with from a cash logistics perspective. If you remember about 1.5 year ago, we talked about investing in technology to build solution stacks for across sectors in retail. I think we were doing a POC with the customer for the last 4 to 6 months. After extensive testing, they have liked the solution and now we will be deploying the solution at their dark stores and warehouses. In terms of client-specific profitability, I think it almost gets impossible. I think our overall AIoT and RMS business is very margin accretive. You can see it in the profile of the overall MS CMS Info Systems Limited

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business, and I don't think we share any client-wise profitability metrics, it's a quasi-SaaS business. The margin profile of any of our AIoT businesses where we choose to work in is reasonably good, and IRRs will range in the 18% to 25% range.

Prithvish Uppal: Got it, sir. My question was not client-specific, but generally on the AIoT segment, would the margins be higher than the 16% to 16.5% that we have on the Managed Services book as of now?

Rajiv Kaul: If you look at our slide on the investor deck, right, as a Slide #11, where we have given you a broader breakdown into the Managed Services business, which is overall 40% revenue, but 42% of the business is from Managed Solutions, 25% is linked to the Transaction Linked BLA, 17% as of now is from RMS and Software, and 16% is from Banking Automation.

Now if the overall EBIT number, which we reported at 17%, right, the Product Automation business is obviously a lower EBIT business as you know. And the Solution and Services business is obviously higher, and that's where you get the blend of 17%, which you have seen for this quarter. So, I think the margin profile of business is relatively strong. The IRR of any of these projects you look at is in the range of 18% to 25% and that will apply to the business also.

Prithvish Uppal: Got it. Thank you for that. For further question, I will join back in the queue. And all the best.

Moderator: Thank you. Next question is from Nitish Rege from Chrys Capital. Please go ahead.

Nitish Rege: Hi. Thank you for the opportunity. So, we need around 43% growth in the MS segment in Q4 to meet our segment guidance. So, now that Jan has ended, are you seeing momentum as you highlighted, flowing in from Q3? Are you confident of meeting the guidance we have given before?

Rajiv Kaul: Sorry, if you can repeat, you said our guidance for?

Nitish Rege: The MS segment, around INR 1,000 crores.

Rajiv Kaul: If you look at Slide #8, and also I mentioned in my comments, right, we will have a slip in the

overall revenue from what we are guided to. All of that revenue slip is primarily in the MS business. So, the revenue guidance for MS would be lower than the estimated, I think you've taken 40% of INR 2,500 crores or INR 2,600 crores, that is roughly INR 1,000 crores. So, it will be lower than that.

Nitish Rege: Okay. Okay. And just on the AIoT, the quick commerce...

Rajiv Kaul: Split of revenue between cash and MS will largely be in the 60-40 range. That range will remain.

Nitish Rege: Okay. Okay. And just on the quick commerce order win, which you've got, could you quantify the order size, how large it has grown.

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Rajiv Kaul: No. I think we can talk about the number of sites at some point, but right now our focus is on execution, and this is competitive in nature. And again, we don't talk about a client-wise win size ever. We'll always give you an overall order win book. But let's get the project executed in live and we will share more and maybe show you the technology at our Investor Day.

Nitish Rege: Okay. That's all f

rom my side. I will fall back in the queue.

Moderator: Thank you. Next question is from Baidik Sarkar from Unifi Capital. Please go ahead.

Baidik Sarkar : Rajiv, hi. Good morning. Thanks. Couple of questions. In terms of the disruption that you called out, right, is this translating to an active conversation as yet of a vendor churn at the client's end?

In other words, is this translating to commercial opportunity, or is this an operational disruption that does really benefit us? That's the first question. And if you could please quantify the opportunity loss that we have suffered here on account of this disruption in Q3?

And secondly, in terms of the new initiatives that we have been working on for a couple of quarters across the gold bullion or the Loan Collection business, right, I understand the base might be small as things stand today, but could you perhaps call out the run rate we are looking at today and how you're perceiving the momentum in these businesses to shape up?

Rajiv Kaul: Baidik, hi. Let Anush answer some of it and I will jump it for the rest.

Anush Raghavan: Thanks. Hi, Baidik. I think as far as the disruption was concerned, so clearly, right, we have made clear that there are parts of the business in the MS and Tech that we like, and there are parts that we'll be very careful about, more specifically Transaction-Led BLA. So, clearly, that is something that we want to be a little careful and picky.

The 1 thing that we are trying to do is in navigating the opportunity around this is to try and see how do we build and scale up our engagement with private sector banks. If you go back to some of our earlier calls, we did say that the private sector banks had pretty much done their end-to-end integrated outsourcing around 2012 to 2014. And when we started building scale in our MS business around 2017 to 2018, the only way for us to go about that was to work with large public sector banks on the RFP-led business. So, this actually presents itself as interesting way for us to get into many of these accounts.

What we are trying to do is to sort of actively engage with them, and try and see how do we switch contracts from lumpiness into long-term fixed fee nature, and from transaction fee to a fixed fee nature. So, yes, there are commercial opportunities. And I think we would, as Rajiv said, be able to share more once we execute and once we meet in our Investor Day.

Rajiv Kaul: So, Baidik, I think you know...

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Baidik Sarkar: Very quickly, Anush, is that disruption still extending in the industry? Or is it behind us? I'm just trying to understand how things will shape up going forward?

Anush Raghavan: We are in the middle of it still. I think this has started a couple of months ago and is still ongoing process. I think this will take time, given the base of business involved and banks needing time. It does affect us, I would say, in some ways negatively, because the clients are expecting a lot more for the current remaining players to help.

There is time taken to take over businesses, handing over from current vendors, it's a little tricky process without getting into operational complexities. The short term, this is positive. But in the immediate term, obviously, this does cause distraction on our client side, which also means that current projects which could have gone live will take maybe a little bit longer, because the first priority is to fix things which may not be working well right now.

But from an investor perspective, I would say that this is a decent opportunity for us as a company. This is a live situation. We will have a far better sense to explain this really in May, June. Right now, I think we should not talk more about this.

So, I think debt collection, we told you we have ramped down internally and our priority on debt collection will be focused to look at the sector only through an acquisitio

n or a partnership. We

have done extensive market work, commercial diligence of players there.

We have put it on pause for right now, just given the NBFC loans, the NPA at the personal loans situation. We just want to wait and see how does the sector behave in a sign of some consumer stress, because we want to be careful from a reputational perspective as to how the sector behaves in bad times. But our work is done. I think at the end of this quarter, we will take a call on whether we will pursue an acquisition and play in the sector or not.

On the gold loan and bullion business, organically, we are doing well. We are actively in discussions with a couple of players from a partnership and acquisition perspective. Please allow us some time so that we don't have to share internal numbers. This can impact our discussions in the market.

Baidik Sarkar: Okay. And lastly, on the quick commerce foray, is this a pilot commercialization? Or do you reckon once the scale up, this will be a material impact on a base? I'm just trying to gauge how large the TAM for this specific foray is as far as quick commerce is concerned?

Anush Raghavan: So, again, we are new to the sector, right? Third year running, we primarily focused on ATMs. In Q1, we talked about a significantly large order contract, which we are working to execute from a bank perspective.

Now each client is different, technology needs are different. We have been building a stack for broader hospitality, restaurants and retail. Many pilots are going on, including in, let's say, EV CMS Info Systems Limited
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charging, in restaurant spaces. Quick commerce, we have been able to get this customer on board.

Let's get some momentum more and we can talk about the broader retail opportunity, I'm not saying mom-and-pop stores, but broader large chains. I think there's an opportunity for us to be able to synergize across Cash Logistics, our Managed Solution offerings, and AIoT, RMS businesses. This will be a decent size win. Our overall Software and RMS business is 7 percentage of our overall revenue. So, our goal is to get to the 10% mark by FY '27 on organic basis.

Moderator: Thank you. Next question is from Harsh D from Kuber Investments. Please go ahead.

Harsh D: Thank you for the opportunity. I have a couple of questions related to the quick commerce win. Firstly, is this for all of their dark stores or is it in a specific geography? Could you maybe quantify number of sites? And the follow-up question to that is that do we have like a special task force or a team within the company to service these quick commerce players, given how fast they are growing?

Rajiv Kaul: So, I think we said we won't be able to share the number of stores because there are very few players. So, I think the name of the player will get automatically obvious. But the solution is meant to be deployed across all of their dark stores and warehouses. So, we have just started the execution of the project. And over the next 3 to 6 months, we will try and complete it. But of course, as they're growing, this project will go on for some more time.

The second question is there is an internal war room for this particular sector. Like for any key project, there's a war room where we are working on to work with these clients. I don't think the issue is about their growth. I think the issue is about just new sector for us, getting the technology proven and working, making changes quickly, so that we are able to address customer quality and needs, and then be able to replicate this across the remainder stores where you have to go live.

Harsh D: Got it. Thank you.

Moderator: Thank you. Next question is from Jatin Parashar from Parashar Estates. Please go ahead.

Jatin Parashar: Thank you very much for giving me an opportunity to talk to you. I am very young to attend this meeting, but I'm very fortunate for this meeting. Thank you, Rajiv sir.

Sir, my question is that,

sir, basically, banks are lowering their ATMs to cut their operation cost. So, how will it impact our businesses?

And basically, sir, a new business initiative has been discovered by the CMS is that we are providing virtual bodyguards to the bank. We are providing that surveillance to the bank. So, CMS Info Systems Limited
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how much it will increase the revenue from the virtual security that we are providing, how much will add up to the revenue, sir?

And basically, on the bullion side, sir, we like precious metals. So, how much the bullion will add up to the revenue, sir? And at what margins we will enjoy, sir?

Anush Raghavan: Okay. Hi, Anush here, let me try and address some of them. I'm not sure I heard the second part of your question well, but I will respond to what I understood. As far as the ATMs are concerned,

so I think this goes back to the question saying, where is the real opportunity in our ATM cash management.

And I think there are 3 or 4 layers of opportunity 1 needs to think about. First and foremost is the organic need for banks to invest and expand the ATM network. The historical average and even now we are seeing is this should grow at roughly about 3% to 4% on a year-on-year basis. So, if there are about 250,000 ATMs, the annual need is for about 10,000 ATMs in terms of incremental growth to this network. Now this may not typically happen in a smooth fashion month-on-month, quarter-on-quarter. It is a little lumpy based on how banks are bundling in and expanding it. Sometimes it happens in terms of banks investing their CAPEX to do it. More often than not, banks prefer to do this through an integrated route. And when they do the integrated route, 1 of the challenges was always on the unit economics or the model of outsourcing, which is where I think a revision in the interchange fee plays an important role as a catalyst, because it helps improve the revenue pool for the overall industry and serves as a strong upward trigger to help drive this expansion.

What you may be seeing as a short-term blip in the numbers and shutdowns is mostly because in the course of execution, both of what we have as an order book and as the overall industry replacement cycle, there's always a timing effect of some sites being shut down while new ones get installed. And I think we should be able to see a return to expansion of that.

The second is within the cash management here, overall ATMs is one aspect. What we also do care about is what is the outsourced market. That opportunity is anywhere between 80,000 to 100,000 today.

We have seen a significant shift over the last decade and last 5 years especially as banks seek to outsource more of their captive ATMs to third-party companies such as CMS. In fact, as we speak, there is one large RFP, by one of the largest public sector banks to outsource as many as 10,000 ATMs to cash management directly, which I think will provide a very interesting case for how other public sector banks could follow in the coming short to mid-term.

And the third, of course, is to think about how a large market leader like CMS could drive incremental revenue gains on the back of price increases. So, all of this put together is what gives CMS Info Systems Limited

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us a guiding path to tell you how the overall Cash business could grow at a 10% to 13% CAGR in the mid-term.

Rajiv Kaul: And to your question on bullion and logistics, I think what I'd like to highlight is we are operating at fairly good quality, world-class margins. So, any business line and any new business contract we look at, we look at making sure that we can maintain our strong margin profile and return ratios.

So, also given the route network which we have across ATM and retail, a large part of the route network can be used for our Bullion business. Therefore, we should be able to maintain a

strong margin profile in that business also.

Jatin Parashar: Okay. Thank you, sir. And sir, I want to say 1 thing to you, sir, if you allow me, sir.

Rajiv Kaul: Please go ahead.

Jatin Parashar: Yes. Yes. Sir, basically, sir, whenever I see the van of CMS, sir, we must add that, sir, apart from the CMS logo, we must add we are Managing businesses. So, it will attract the customer, sir. Because basically, sir, our van is very attractive, sir. So, if we add that we are helping businesses connect businesses, sir. We help in connecting the business. So, the perception will develop, and sir, the CMS will gain the market share as well, it will help increase the revenue, sir.

Rajiv Kaul: Thank you so much. I think we are looking at enhancing our branding and communication. We'll take this feedback and look at it seriously.

Jatin Parashar: And thank you very much, sir, Rajiv, sir, for basically giving me an opportunity to talk, I'm very young basically to talk to you, it's a very big honour for me, sir, because every institution is talking to you. And I am given opportunity, I'm a single shareholder, less than 25-year old. So, it's honour to talk to you, sir. Thank you, sir.

Rajiv Kaul: All the best for your investing journey, and thank you for your passion and interest in CMS.

Jatin Parashar: Thank you, sir. Thank you very much.

Moderator: Thank you. Next question is from Aasim from DAM Capital. Please go ahead.

Aasim Bharde : Yes. Hi. Two questions. First, on your order book execution delay comments. So, is the 9-month odd period where all the testing and talking between stakeholders takes place, is this the new normal? And so, every order win will still take time before it materializes into your revenue?

Rajiv Kaul: What's the second question, Aasim?

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Aasim Bharde: The other 1 was on CAPEX, but I will have a follow-up question on this depending on how you answer, sir.

Rajiv Kaul: Okay. So, the order wins are across a multitude of banks. Most of this is public sector banks. I would like to hope that this doesn't become a usual norm, because like when the year started, I didn't think we anticipated the number of issues which could crop up, that it could be supply of technology, it could be testing at the technology team side.

It would be about incumbent vendors delaying the handover sometimes. So, therefore, if the older ATM doesn't go out, the next ATM or recycler or software doesn't get implemented. I also think that this year, the first 6 months, we all seem to forget were fairly as a country did get consumed a lot in an extended election cycle.

There was obviously the broader CAPEX slowdown. I'm hoping with the Q4 and March end pressures, we should see much faster ramp-up. We are seeing momentum build up in the last 4 to 6 weeks. So, that's why we are feeling aggressive that the 30% can get to 60%. But also, I wish there was a general theme.

I think at each client, it's been a different factor. So, I really can't tell you if it's a 6- to 9-month process. But banks seem to be in a hurry to conclude RFPs and award contracts. I think execution-wise, overall, there have been hiccups across the value chain.

Aasim Bharde: And the 60% order book live that you're talking about targeting for Q4, that is still for FY '24 orders, right?

Rajiv Kaul: No, it's for current order books, it includes, right? We look at basically last 12 months, whatever the order book is still alive, and therefore, how much of that has been done.

Aasim Bharde: Okay. So, it includes the order wins of this fiscal as well, basically?

Rajiv Kaul: Yes. Yes.

Aasim Bharde: Okay. And 1 more thing, the industry disruption currently, is that also possibly a reason why the timelines might still get extended? Because that's relatively new.

Rajiv Kaul: Sorry, it's a good question. That has led to extra focus on something the banks weren't planning to spend time and

effort on. So, that does create a reprioritization in banks as to which area and which thing they need to work more on. There are limited resources always. So, I think that has led to some of the impact we have seen in September, October, November, December.

Hopefully, that will start evening out and getting past behind us in the coming months.

Aasim Bharde: Okay. So, is there a chance that FY '26 would be far better in terms of growth for the MS segment, simply because the timelines might come off and the order execution, basically, you'll

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be executing a lot more orders than you did in FY '25. So, optically, the growth should look better, right, in FY '26?

Rajiv Kaul: Yes. I think we have mentioned that on the Slide #12 also, right, the MS business in the mid-term should grow at 15% plus. Given the slip from this year, it should be better. But we hope that the remainder new orders which come in, they also get progressed faster. So, we'll see how that develops. We want to be a little bit cautious right now instead of being extra bullish.

Aasim Bharde: Fair enough, sir. Okay. And just last question on the CAPEX bit, INR 50 crores done in 9 months, another INR 100 crores to INR 150 crores to be done in Q4 to reach that FY '25 figure.

So, basically, is much of it towards the MS segment? Or is it also for the Cash business as well?

Pankaj Khandelwal: It's mostly for the MS segment, and for the order execution as we are going from 30% to 60%. So, most of these are in work-in-progress, which I think we will be able to conclude by the end of March.

Rajiv Kaul: Yes, it will be MS, it will be RMS. There are obviously a little bit of maintenance CAPEX every year. There is some CAPEX, obviously, for the Cash business for growth. So, it's a mix, but majority of this would be linked to the MS order book.

Aasim Bharde: But not BLA, right? It will be more the IoT remote monitoring side on the MS front?

Rajiv Kaul: Why would we say not BLA, what's wrong with BLA?

Aasim Bharde: No, I thought BLA is where you guys are being much more picky on that front. My sense was we have already executed most of that book.

Rajiv Kaul: No. So, we are cautious on BLA. We are increasingly more cautious on BLA. If you remember at IPO, we said we will position size BLA to less than 15% of revenue. In fact, now we are saying that BLA will be less than 10% of our revenue. So, we'll be very cautious and pick BLA contracts, which meet our IRR hurdle.

And we have increasingly moved the BLA business, we started segmenting that to fixed price and transaction price. We hardly do much on transaction pricing. We prioritize picking up contracts where there's a fixed price with some inflation-linked pricing built into it.

But there will be some element to that. There will be some element to RMS. So, it will be a mix of contracts across the business. Also, keep in mind, the contracts come integrated, right? It

would be a recycler along with AIoT RMS on top, and maybe an MS solution stack on top.
Aasim Bharde: Okay, great. Thanks a lot for answering my questions.
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Moderator: Thank You. Before we take the next question, a reminder to participants that you may press “*” and 1 to join the question queue. Next question is from Divyanshu Mahawar from Dalal & Broacha Stock Broking. Please go ahead.

Divyanshu Mahawar: Thank you, sir, for the opportunity. So, my question is on the side of AIoT remote monitoring. So, I'm clear that we had a center in Belapur and Navi Mumbai. So, is it the new order that has come in? So, that Belapur site is enough to capture that order? Also, going forward, we need to set up more new sites for maintaining that remote monitoring?

Rajiv Kaul: So, our central command room for the AIoT business is based in New Bombay, not in Belapur, in New Bombay. I think we have built it to a

good capacity. Our business is quasi-SaaS.

So, while we have increased, we have gone from almost 2,000 sites to 25,000 sites in the last 3 years in the same center as operating for which we are managing it. Using technology, using machine learning, I think our model has been very different. I think we are not focused on a business which needs too many people at the command center. It's more linked to machine learning being able to control any mishaps.

The new growth, I think the center is good enough for our growth plans for the next couple of years. And also, in my opening remarks, talked about the fact that we have bumped up our tech spends from almost 1% of revenue, which was average for the last 3 years to 1.5% this year. A significant part of that is going into investing in the RMS software stack and our machine learning algorithms.

Divyanshu Mahawar: And secondly, sir, if you look at a command center, so on a broad range, so what size of order in a command center can capture it on a broad range that for a small command center can have an order book that can execute a site, say, 5,000 sites. So, what's in broad range for any command center that you operate or your competitor operate, a broad range?

Rajiv Kaul: So, I don't know how to give answer to that question, but this will first depend on the business model you have. Our business model is a lot more linked to machine learning, and therefore, computing either at the site or computing in the cloud, rather than people in the command center controlling this.

So, that's the first difference. I'm not saying others may or may not have it. I necessarily don't know how everybody else is operating in the sector. Our current site and command center is handling 25,000-plus sites.

I do feel that this can go up. We haven't done the sizing. But again, this is a very small investment for us to create. We have meanwhile, in a new operational back office, which we are creating in Belapur, we have created a backup site for any eventuality or even for expansion if required for the coming 3 to 4 years.

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Divyanshu Mahawar: Okay, sir. And sir, 1 last question. So, we got an order from any of the quick commerce platform. So, how could be this opportunity for us? And secondly, what was the thought process for entering into a non-BFSI space, because we are already present in the BFSI space? So, what was our thought process for entering into non-BFSI space?

Rajiv Kaul: So, it's a great question. I think for us, we have identified 3 or 4 sectors which are of interest for us, which we think will do well in India, and they will present us an opportunity to grow and compound at a sensible rate with a good quality margin.

Banks, NBFCs, retail and retail includes e-commerce and quick commerce are the areas of our interest. We have built sales teams over the last 3 years and our focus on cross-selling. In fact, if you go to our slide deck in the appendix on Slide #16, you will see our approach, which we are saying how we are looking at launching more service lines and deepening our presence in the client by selling them different parts of services from CMS.

So, I don't think I can quantify the opportunity in broad retail. It can be a very large opportunity, but the opportunity of interest for us at a reasonable margin, and where our solutions will do well, I think that we'll see over time how that grows. For us, the idea is that a client of CMS should be able to get the benefit of our quality from multiple service lines.

They will start from a retail cash management solution possibly and go on to AIoT RMS stack, where there is large volume and scale. I don't think we are a company which can do a very good job with clients of 5, 10, 15, 20 stores. Given the nature of banks where you can get hundreds of sites to work on, we like to focus on clients with a large presence in India.

Therefore, the

y are able to get the best of CMS, both from a software stack and also from our engineers and field presence, because many times you need local access for any unforeseen circumstances.

Divyanshu Mahawar: Okay, sir. It was nice to hear you. Thank you so much, sir, for the opportunity.

Moderator: Thank you. Next question is from Dhanesh from DS Capital. Please go ahead.

Dhanesh: What kind of capital allocation strategy are you guys looking at? One of your biggest competitor is facing some financial difficulties. Are you guys open to any M&A opportunities in this space? Or any particular segments are you looking for to deploy your cash?

Rajiv Kaul: Good question. I think we have explained our capital allocation track record. I think, we are a fundamentally conservative team. We like to have no debt. We like to make sure we have adequate cash for any opportunity, which may come up. We have been carefully preserving our cash generation, which is all internal. Historically, we have said that in a business where we are market leader, we are not really looking to do M&A.

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We don't want to go and buy growth, which a client may not be willing to give to you, unless it comes at a very accretive price and synergy for us. We would like to use the cash ideally to expand our offering lines. We did that with RMS. We made a small investment and then backed it up with significant CAPEX in the last 3 years to grow this into a meaningful and exciting opportunity for us.

That will be our playbook. But as we grow in size, I think we are also now looking at M&A to partner with people, and not necessarily acquire the whole company. Specifically, to a particular deal in the sector, I think it will be wrong for me to comment anything. I think this is a live situation.

We don't know how this will pan out for whom. We are not in any active discussion with a particular company at this stage in our sector right now. I think our focus currently is on companies in our areas of interest. And I think the areas of interest doesn't have Managed Services and Cash Management in them.

Dhanesh: Okay. Thank you.

Moderator: Next question is from Shivam Parakh from ValueWise Wealth Management. Please go ahead.

Shivam Parakh: Hi, sir. Thanks for the opportunity. Like seeing the financials from the last 3 or 4 years, like our bad debt profile write-off, which we have done in our books is similar as far as the absolute amount is concerned. As a percentage of revenue, it has decreased. Like I wanted to know what specific risk assessment profiling with regards to our potential customers, which we are doing, because like there's a significant amount of write-offs and the same has been seen for the last 3, 4 years. So, what are we doing to reduce on that front?

Anush Raghavan: Hi. So, Anush here, I will handle 1 part of it, which is to give you the business context to what these are and pass them to Pankaj to explain the accounting of it. So, you have to see that in the nature of business we are in, whether it's a Cash Management business or Managed Services.

Risk is very intrinsic to what we do.

And it has just been the agreed practice in this industry that any risk which arises out could be cash losses, could be reconciliation differences, could be SLA penalties for instance. All of them are typically tallied up with our customers on a daily basis, but only finally accounted and adjusted against service invoices.

It could happen in the subsequent month and sometimes it could take longer. 1 of the issues in the Cash business in the past used to be that banks would take an undue amount of time to recognize chargebacks or reconciliation differences, because the RBI effectively allows customers and when I say customers, cardholding customers, anytime up to 7 years to raise a particular dispute with the bank.

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Over the last 3 to 5 years, the industry has been able to standardize and improve on these risk management protocols. So, for example, we will have almost a real-time basis wherein if a bank receives a claim from a customer, it comes to us almost real time. We have to agree and settle it from the time we receive a claim typically within 3 days.

But there is no bar to when a customer can raise a claim on the bank. And hence, the best way that overall industry, not just CMS, has found it best to adjust for these risk costs has been by way of debit credit adjustments to our revenues. And hence, you will see all of our risk costs typically recognized as a bad debt.

It doesn't really mean that there are credit issues with the customers, but it is risk. We have in the past alluded that as our businesses have scaled and matured, as we implement more technology into identifying and managing risk better. And as some of these public sector contracts ramp up and then settle into a more streamlined way of delivering services, we expect

the risk cost to reduce. So, what used to be about 5% to 5.1% of revenues FY'24 has reduced to about 4% in H1 of this year.

Shivam Parakh: Okay. Yes, sir, another follow-up question. Like the bad debts which we are seeing, is this in a specific segment like PSU banks or the private banks? Or if you could provide some light on that?

Anush Raghavan: No, not really. I think you should think of it as across the business, right? So, if I take Cash management, for example, a lot of our risk would be in the ATM Cash Management business, because that is where we have a far higher exposure to cash.

One way of improving on that has been through implementation of cassette swap, but that's just 1 aspect of the type of risk. We have risk in terms of cash in transit. We have fidelity risk, we have cash in vault, for example. Many of these would also be insured. It's the deductible portions that get adjusted against some of these costs.

But net-net, if I were tell you, in terms of our overall risk exposure, there is the risk of pilferages. There is a risk of large cash losses, and the deductible coming out of it. There's also the cost of the insurance premium. There are penalties, SLA penalties which get adjusted here. So, other than the fact that the ATM Cash business has slightly higher intrinsic risk, which is, of course, price adjusted to what we do, I don't think it has a customer-specific angle to it.

Shivam Parakh: Okay. Sure, that was very helpful. Thank you.

Moderator: Thank you. Next question is from Akshat Bairathi from RSPN Ventures. Please go ahead.

Akshat Bairathi: Hi. Thank you for the opportunity. Sir, I'm fairly new to this company. So, just as per my understanding, the Cash Management Services is an annuity kind of a business, and the Managed Service is based on the order execution. So, as you said in the opening remarks that in the H1,

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15% of the order book was executed, while in Q3, it is 30%. So, we have grown that order book execution significantly. So, just trying to understand why is there a dip in the revenue of the MS quarter-on-quarter?

Rajiv Kaul: I think just let me sort of give you an overall context, and then specifically explain this particular quarter. Yes, I think cash was annuity, and we explained this in the past that we like to keep it annuity for the simple reason that it allows us to handle inflation cost pressures a lot more if we have access to adjusting for pricing on an annual basis.

In our MS business, when we started this business, 2014-2015, it started off as being revenues which had a greater component of banking automation or product-led revenues, simply because that was the only way to get into this business and penetrate accounts and over a period, upsell into various solution-based offerings.

As on date, our effort is to try and consistently in

crease the percentage of recurring revenues as part of our overall MS and Tech offering. FY '26, we hope that recurring revenue should be almost 85% of this business segment. When I say recurring, depending on whether it is AIoT-based remote monitoring or longer-term medium contracts, these should all be in nature of about 5 to 7 years. So, that's 1 way to think about in terms of the implication of order book to revenues. On a sequential basis, our revenues in MS have dipped only because of the certain lumpiness of product. On the services base would have grown on a quarter-on-quarter basis.

Akshat Bairathi: Got it, sir. Sir, just 1 follow-up. So, what are you excluding from these? Like as you said, services portions have grown. So, what are the businesses that we exclude from the services portion of them?

Rajiv Kaul: So, if you look at Slide 11 of our investor presentation, on the right-hand side, we have given you a revenue split of our overall Managed Services and Technology. The Banking Automation, that 16% at the very top, that is the only portion that we exclude from our services. The rest of them are all services. Yes.

Akshat Bairathi: Got it. Thank you so much.

Rajiv Kaul: Thank you.

Moderator: Thank you very much. That was the last question in queue. I would now like to hand the conference back to the Management team for closing comments.

Rajiv Kaul: Thank you so much. Thank you for attending our call, and thank you for your questions. We started the year with very high bullishness I think in the middle of the year, we were dealing with some headwinds, which we alluded to and we talked about openly at that time.

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I think moving to Q3, we are smelling a lot more stronger momentum, and building a base of business and both for market share and volume and pricing, which should help us in our mid-term growth aspirations. We will talk about FY '26 and FY '27 at the end of Q4 results and look

forward to seeing and engaging with you then. Thank you so much.

Moderator: Thank you very much. On behalf of IIFL Capital Services Limited, that concludes the conference. Thank you for joining us, ladies and gentlemen. You may now disconnect your lines.

Call: May 2025

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CMSINFO/2 505/013 May 27, 2025

Dear Sir/Madam,

Sub: Transcript of Earnings Call.

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed transcript of post result conference call held on Tuesday , May 20 , 2025 at 04.00 P.M. (IST) on Audited Financial Results of the Company for the quarter and financial year ended March 31, 2025.

The transcript is also available on the website of the Company at www.cms.com

You are requested to kindly take the same on record.

Thanking You,

For CMS Info Systems Limited

Debashis Dey
Company Secretary

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1st Floor, PJ Towers, Dalal Street,
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"CMS Info Systems Limited Q4 FY '25 Earnings
Conference Call"

May 20, 2025

MANAGEMENT : MR. RAJIV KAUL – EXECUTIVE VICE CHAIRMAN ,
WHOLE TIME DIRECTOR AND CHIEF EXECUTIVE
OFFICER , CMS INFO SYSTEMS LIMITED
MR. PANKAJ KHANDLWAL – PRESIDENT AND CHIEF
FINANCIAL OFFICER , CMS INFO SYSTEMS LIMITED
MR. ANUSH RAGHAVAN – PRESIDENT , CASH
MANAGEMENT , CMS INFO SYSTEMS LIMITED
MR. PUNEET BHIRANI – PRESIDENT (OPERATIONS) ,
CMS INFO SYSTEMS LIMITED
MODERATOR : MR. PRITHVISH UPPAL – ELARA CAPITAL

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Moderator : Ladies and gentlemen , good day and welcome to the Q 4 FY '25 Earnings Conference Call of CMS Info Systems hosted by Elara Capital.

As a reminder, all participants' lines will be in the listen -only mode , and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Prithvish Uppal from Elara Capital . Thank you, and over to you, sir.

Prithvish Uppal: Hi, thank you. Good evening , ladies and gentlemen. Thank you to the CMS team for the opportunity to host you for the Q4 and FY '2 5 Earnings Con Call .

From the Management team , today , we have Mr. Rajiv Kaul – Executive Vice Chairman, CEO and Whole Time Director ; Mr. Pankaj Khandelwal – President and CFO; Mr. Anush Raghavan – President, Cash Management ; and Mr. Puneet Bhirani – President (Operations).

We also have a webcast linked to today's call where the management will be taking us through the Results highlights. So , request everyone to please join the web link.

I now hand over the con call to Rajiv sir. Sir, over to you.

Rajiv Kaul: Thank you. Good evening , everyone. I hope you have our Earnings Presentation visible to you , details of which Pr ithvish has shared . It is also on our Investor page on our website.

I want to talk first about FY '25 . We entered FY '25 fairly bullish on the back of 20% revenue growth in the prior three years and also record order wins of almost Rs. 1,950 crores , which we were expecting to execute in FY '25 .

Unfortunately, we encountered a sequence of unanticipated events which built into a perfect storm. We guided early in the year towards this and hoping that things would pick up in H2 and worked really hard on project executio

n which was at 15% end of H1 . This did ramp up to 30% in Q3 , and we were hoping to close at 60% order execution by Q4 .

However , we fell short at 52%. February and March , which are key months to close on projects for large PSU banks , but the large banks had to deal with severe disruption in their ATM operations due to issues at a key competitor , which we are all familiar with by now .

Therefore , new projects and execution took a backseat and in fact , our team at CMS also had to jump in and help these banks navigate the situation in getting their ATM networks up and running . This has led to revenue coming in lower at Rs. 2,425 crores against our guidance of 2,450-2,500 which we had shared in the Q3 call.

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Given this situation, w e, had to recalibrate our focus several times in the year. And we decided to focus first on market consolidation and focus on gaining market share in an overall tepid market. We have gaine d market sh are across all businesses and market position has improved across all of our business in the last year.

We also decided to drive a complex reorganization, which we had deferred in FY '24, as it could have distracted us in a year of high growth. We have more than 27,000 employees and associates, and we have brought all of them into one single operating unit across a unified structure and organization. This is already yielding good result s with both improved customer satisfaction and employee satisfaction trends.

We ramped up our tech and automation investments last year, keeping a focus on long-term investments and also in line with changing business mix and higher scale of operations. Both the reorganization and the tech and automation investments have helped us drive operating efficiency and enabled us to maintain a high margin profile despite an overall modest growth. I am happy to report that the order win momentum improved significantly in H2 with Rs. 800 crores of wins, 2x of that in H1. In fact, Q4 had Rs. 500 crores of order wins.

Moving to Slide #4, our integrated platform approach is delivering very good results in improving the quality and visibility of our revenue streams. From less than half, or almost half, today two-thirds of our revenue is directly from a bank or a retail customer. Our ability to cross-sell solutions has helped us in driving both depth and breadth across key banks. In fact, end of FY '25, we now had top 13 banks in India with more than Rs. 50 crores of annual revenue.

A more subtle shift, which we want to point out here for you, is in the nature of this revenue. We used to mostly be an annuity revenue business, wherein the contracts are of 1 to 3 years duration, with fairly high retention rates. We have been driving a change to our recurring revenue model, which are longer-term contracts in the nature of 7 to 10 years. In fact, our recurring revenue business is growing at more than 20% CAGR, and today accounts for more than one-third of our overall services pie. This will help us building far more predictable revenue streams quarter-on-quarter.

If you look at the chart on the right-hand side, which shows you the change in business mix, we want to highlight the fact that our newer businesses are ramping up well and they now contribute meaningfully to our revenue.

In fact, we have been successful in ensuring that we aren't overly dependent on any one line of business. For example, if you look at the ATM cash segment, which used to be more than 50% of revenue 7 years ago, is now one-third of our revenue, despite growing at a 10% CAGR over those 7 years.

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At a segment level, when we report our numbers, the split of cash business to MS and tech business, the split used to be 70-30 about

four years ago. This is now at a 60-40 and could in fact hit a 55-45 in the next four to five quarters.

Slide #5, we are quite focused on expansion and looking to identify next future engines of growth. We have shared with you earlier the sectors of our interest across payments, software, valuable logistics, and banking services. And last year, we augmented and beefed up our M&A team. We, in fact, screened hundreds of companies and came up with a shortlist of 65 companies with which we had meetings in these identified areas. From these companies, we are identifying and working with a set of founders to look at who can align with CMS when they present us a good growth opportunity and a good ROCE profile for our future business growth.

We have earlier, as you know, incubated bullion and debt collection business. After extensive work in debt collections, we are dropping that sector from our focus for the current short to mid-term.

Slide #6, to summarize FY '25, while the growth rates and growth percentages are modest and under our expectations, we have managed to retain the margin profile and the cash flow generation nature of our business to build up a very robust balance sheet. I think in the current environment, this is a great asset for any company. And while the growth numbers don't do justice to the intensity of our effort, we are very certain that this will bear fruit in the coming quarters.

With that, I like to hand over to Anush to take you through our more detailed business update.

Anush Raghavan: Thank you, Rajiv. Good day to everyone.

I will switch to Slide 8. As Rajiv shared, despite a challenging macro environment, which was marked by several headwinds, CMS has emerged stronger across all our core businesses. This year, we won over Rs. 1,200 crores in new order wins, with a robust 60% coming from private banks, reinforcing our leadership in the financial sector.

Execution has picked up in H2, with over half of our order wins from the prior five quarters going live. Our pending order book and the Rs. 500 crore of wins that we have in Q4 gives us a very healthy Rs. 1,400 crore of orders to be executed this year.

Operationally, we grew our ATM and retail touchpoints by 9%, with our current business split of 73,000 ATMs and 77,000 retail equivalent touchpoints. Growth has been biased towards retail as during the year we also saw a significant churn in the ATM network. Our CIT volumes have grown by 20%.

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Notably in our cards business, we had solid growth in FY '24 and focus in FY '25 was to drive a contract level wise profitability which we have achieved with over a 1,400 basis point % margin improvement.

Overall, we have gained 200 basis points market share in cash logistics, further expanding on the 150-bps growth that we had the last quarter. Also, with growth in our integrated contracts, we are now among the top three managed services providers in India which is a clear validation of our strategy and execution.

On to Slide 9. Our integrated contracts approach is helping drive a much deeper enterprise engagement with a growing share of recurring revenues and an increasing number of customers contributing over Rs. 50 crores in each annual revenue. With this change in our business mix and having a broader portfolio of revenues, we are no longer just cash management or an ATM company.

We have repositioned ourselves as one of the leading integrated business services platform. And in FY '26, we will invest in recasting our identity and positioning, which speaks to our platform strengths. The focus is on building trusted end-to-end relationships, which spans cash logistics, managed services, automation, and digital transformation for our clients.

FY '25 saw significant disruption in the ATM ecosystem, especially with operational c

hallenges

at a large industry player. At CMS, we were quick to respond, supporting major banks with timely cash evacuation and continuity of ATM services, effectively reinforcing our reliability in mission-critical situations.

Q4 in particular saw significant operational intensity, comparable with the likes of demonetization or COVID periods. Our agility and scale ensured in winning end-to-end managed solutions for leading private banks.

The recent increase in the ATM interchange fees from Rs. 17 to Rs. 19 per transaction has renewed focus among banks on expanding their ATM networks. In fact, if you read yesterday's interview with the Chairman of State Bank of India, he says that as the country's largest ATM deployer, they have seen a significant churn in their estate in FY '25 as they focus on redeploying their network and are now looking at augmenting the channel.

In terms of our overall cash usage, amidst the digital payment growth, cash continues to remain deeply relevant. ATM dispensation on CMS managed machines has been steady year-on-year. Our total currency handled has grown by 5% and crossed Rs. 14 lakh crore, reflecting both our operational scale and the trust our clients place in us. Retail cash is growing on a same store basis. And the throughput continues to mirror the broader growth in organized retail, e-commerce and quick commerce, all sectors that are increasingly dependent on secure and efficient cash management.

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The broader story here is that behind robust cash demand, even as digital grows, CMS is at an interesting intersection, serving both traditional banking needs and the evolving requirement of newer retailers.

With that, I would now invite Pankaj to share updates on our financials.

Pankaj Khandwal: Thank you, Anush. Good afternoon, everyone.

Moving to Slide #13, financial summary of the year. After three years of strong growth of 20% between FY '21 to '24, FY '25 was a consolidation year with a moderate revenue growth of 7%. However, we continue to maintain our strong margin profile with a PAT margin of 15.4%.

On Slide #14, which is Q4 Financial Summary :

In Q4, we picked up momentum on our order book execution with execution inching up to 52%. However, it is lower than the target of 60% given that most of the large banks' bandwidth was occupied dealing with the disruptions of one of the industry players. The execution in ch-up will help us to deliver sequential revenue and PAT growth of 6% and 5% respectively. In Q4 and FY '25 results were impacted on account of full provisioning for the services provided to one of the industry competitors.

Moving to Slide #15. Talking about our yearly segment financials, both cash and managed services business reported revenue growth of 8%. EBIT of Cash business grew at 4% to Rs. 401 crore, whereas the EBIT of the Managed Services business remained flat at Rs. 157 crore.

Slide #16. Talking about our quarterly segmental financial, Cash business revenue grew at 2% on quarter-on-quarter basis and 7% on year-on-year basis. Managed Services reported strong quarter-on-quarter growth of 16%. However, on a year-on-year basis, there is a decline of 8% given that in Q4 FY '24 was an exceptional quarter with 56% year-on-year in growth. The segmental margin has impact of the provisioning which I spoke about earlier, as well as the cost

incurred for helping banks streamlining their operation disturbed due to issue at one of the industry competitor .

Slide #17. Coming to balance sheet and cash flow , we continue to maintain strong financial discipline focusing on the cash flow and strong ROC E. Despite the overall liquidity crunch , our OCF to EBITDA improved to 76% , resulting in OCF generation of Rs. 482 crore. We continue to operate at a high ROC E at (+25%). High OC

F and ROC E help us to expand our cash and cash equivalent to Rs. 1,000 crore plus from Rs. 784 crore last year.

This year in addition to interim dividend, which we have declared in Q3, we also declared a special interim dividend of Rs. 3 and proposed to final dividend of Rs 3. 25, taking the total payout ratio to 42% of the PAT.

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With this, now I would like to hand over to Anush to talk about the future outlooks.

Anush Raghavan: Thank you , Pankaj. Switching to Slide #19, there are two areas which we see as very interesting areas of opportunity for us. The first being retail opportunity. I had covered this briefly in our last call, but I would like to take this opportunity to reiterate some of the key points.

India's organized retail sector is at a very key inflection point. Of the roughly 3 million retail touchpoints, only about 550,000 are organized . And roughly one -third of these have outsourced their cash logistics. This signals some massive untapped potential for CMS.

We see strong demand for payment automation, secure cash logistics and real-time store -level reconciliation as retailers look to drive efficiency and transparency. Our 360-degree retail solution is designed for this environment which integrates cash logistics with AIoT -based remote monitoring and unified settlement processes serving not just retail but also adjacent sectors like fuel, automotive , government , e-com logistics and healthcare .

This segment will be a key growth driver for us over the next few years, both in terms of the cash business as well as remote monitoring as we become the platform of choice for modern retail in India.

Moving to Slide #20. Coming to remote monitoring , our remote monitoring business, which we now refer to as Vision AI Platform, has rapidly scaled to becoming the number one platform in India's ATM space.

This year, one of the key milestones was that we completed our in -house proprietary tech stack.

This enables us to roll out multiple new AI modules, which are key to winning mandates with leading banks for the ir branch network and large new economic lines. Less than 20% of India's 140,000 branch network is outsourced for monitoring. And our marquee solution win, with one of the leading banks, to build and operate a large and very complex monitoring solution which will go live soon, will be a key tech differentiator to win similar such mandates.

Last call, we shared our breakthrough win on the retail side with a quick commerce client. Our implementation is underway, and the dark store count has increased from the initial estimate to now. We are also running further pilots with them on using our solution for the delivery vans, ambulances and also in -store AIoT integration. We have an aggressive goal of growing our business from the current 30,000 sites to 50,000 in the near future .

With that , I would request Rajiv for his closing comments .

Rajiv Kaul: Thank you , Anush. I think for summary and to close out our presentation today, I will focus on the mid -term FY '25 to FY '27 opportunity. If I look out for these two years, we are as a team aiming for robust growth in line with our historical growth rate. The drivers for this will be, first ,....

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and foremost, we aim to and we hope to finish our order book execution in H1. This will be a key pillar for our growth in the near term. The market for us is consolidating.

If you look at cash management, there are really two scale companies and a couple of smaller ones. From an end -to-end integrated players, instead of three, there are only two companies now.

It will be very difficult for any third player to build this set of services now. This will lead to naturally market share gains for leading companies

in the coming years.

The retail section, Anush , has already mentioned the opportunity and took you through it. We have been executing very strongly in this sector for the last two years. We have regained our market leadership, and we have momentum in the sector.

In our Vision AI business, we crossed 30,000 sites and it's poised for rapid growth. In fact, our

overall software business, which is 7% of our revenue, should cross 10% of revenue by FY '27 as we have guided to earlier .

The ATM interchange increase is going to lead to an increase in the ATM network. In fact, the Chairman of SBI has already alluded to the fact that SBI is looking to expand its ATM base in the coming year. The ATM base does see a lot of churn basis usage, but I think the sites are set to grow.

On an overall segment basis, we feel that the cash -related businesses should grow at the 10 % to 13% CAGR and the MS and Tech BU should get back to a strong 25 % to 30% growth rate.

Blended, this should lead to a services revenue CAGR of 14 % to 17% in the coming two years.

We also, last call had alluded to or mentioned to the fact that we would like to do an analyst event and investor meeting at the end of the full -year results. However, when we are planning for this, given the whole geopolitical scenario a couple of weeks ago, we decided it's best to wait and do this when things are calmer. In fact, also that will, the dust would have also settled by then in terms of the ATM operations, which banks are trying to take over from a competitor.

And we will see how that business pans out and hopefully by then we have other interesting updates to report you on . So, we will keep you posted . We aim to do this meeting in the next 3 to 4 months .

Thank you for your patience , and thank you for your support .

Moderator: Thank you very much, sir. We will now begin with a question -and-answer session. The first question is from the line of Praveen Kumar from Equitas Capital Advisors. Please go ahead.

Praveen Kumar: Thanks for the opportunity. I had a couple of questions. First one was on your cards part of the business. If I look at FY '24 numbers, right, the size of the cards business is fairly modest, maybe looks like sub Rs. 100 crore kind of a top line, right? When I referred to one of the recent large ,,,,,

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competitors in this space who filed for prospectus a few months back, their numbers seem to be much higher in this space.

So, just wanted to get an understanding how do you approach this space and especially given the strong relationships that you have with banks across the public and private side , one would expect that you would be able to make larger forays into this space. So , I wanted to understand how do we approach this space? How do we see ourselves in this space?

Rajiv Kaul: Is that the only question? You said you have two.

Praveen Kumar: The second question was on the Vision AI part of your business. Just wanted to get an understanding of what is the differentiation that we offer in this space to the clients.

Rajiv Kaul: So, great questions, especially on the card side, it's not a business which people normally ask too much about. And so I think, you know, if you go back to what we have said earlier, our goal as a company is to operate in sectors where we can be a clear market leader, unless we, I mean, there are some sectors we can't be a market leader, but then we make it a very profitable niche. In the card business, we focus on a niche. In fact, if you think of the business last year or this year, it may be de -grown in revenue by 20%, but the EBIT margins have gained significantly. We clearly focus on working with fewer clients, high quality, good pricing and good margins.

The company you are referring to has more of an integrated play, where they do everything from c

ard manufacture to stationery to card supply to personalization, which has a very different level of capital intensity and ROCE metrics , which we clearly didn't take that approach to compete in the business on that basis. We continue to focus on this being a higher ROCE business , working with clients for decades in areas where they feel very competent to work with us . So, very different strategy out here , and therefore the scale of the business is more modest compared to the companies you may be referring to .

On the Vision AI business, I think it's a few things. We have sort of come in almost in the end of the sector last. We launched this in '21-'22 and we sort of scaled this to 25 -30,000 sites. I think what we bring to the table is, first and foremost, for any large enterprise. Let's take any bank, that's where we are working with, Has a very distributed network in remote parts of the country. So, there are different types of Vision AI solutions which could be from bare minimum to more high-end using AI and ML. I think our approach has been to use more machine learning -based approach to manage this and also our field force and our engineering teams on the ground is able to address any local issues when they do always come up in the remote parts of the country.

So, being able to manage scale along with the technology platform which is iterating and learning and being invested into to learn by itself, rather than having lots of thousands of eyeballs looking at each site, I think has been an approach we have taken. Though it's not an approach ,,,,,

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which cannot be copied easily, but I think what we are trying to do is with our resources keep investing in customizing and creating new use cases so that we are ahead of the competitors by just able to offer customers more bang for the money they spend on this.

And finally, I think you can measure in terms of uptime and how many incidents you prevent. And I think that's the Holy Grail and the gold standard for this. So, I think really making sure that the estate of places we are managing with the remote AI solution with the machine learning solution has almost zero incidents per month remains the goal for our operating teams.

Praveen Kumar: Thanks, that's very useful to know. I just wanted to expand that second question a little bit and understand. You have addressed Vision AI as applied to bank ATMs and branches etc. But I just wanted to get a flavor of what is your offering, for example, you won a recent big deal with a quick commerce player, right, which you had alluded to in the last quarter. I just wanted to understand what do we offer there in terms of what's the differentiation we offer because this and what kind of relationship are we building there?

Rajiv Kaul: So, I think Anush is going to tell you more on the quick commerce, but I just wanted to clarify. The Vision AI platform in the business world is mostly in the ATM business today. In fact, the bank branches, the solution is far more complex, right? Securing an entire branch and branch operations has a lot more nitty-gritty than just a small ATM site could have. And therefore, that is still, if you look at it in our slide, less than 20% of ATM bank branches today have an AIoT-like solution.

So, that's the solution in progress. I think we have made tremendous progress in building a good platform there. I think there is a significant opportunity as that business comes up hopefully for us to bid and coverage in the coming years. But let me now pass the mantle on to Anush to give you the quick commerce details.

Anush Raghavan: I think if you look at the curve of how what started as remote monitoring and why we are calling it Vision AI, it's really sort of about eight years back when banks decided to eliminate manned guarding at ATMs and

move in the direction of cameras using the footage on the cloud. The idea was to sort of create a replica of man's surveillance to e-surveillance.

But as technology has progressed and as Rajiv said, we have been investing in creating further use cases and becoming a lot more tightly integrated with our customers using machine learning and AI. It's sort of taking the form of being able to craft more and more AI-based use cases to detect alerts and almost act as a way, as sort of a business insights and partner the key business and operations team. And as we moved from ATMs to bank branches, and now last year, during several calls we would have shared with you, a lot of the type of use cases and pilots that we are doing with different, broader set of retail customers.

In quick commerce, you know, it really started off as saying, how does a brand, for example, have access to even knowing what is typically happening in a dark store, other than having two,

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three or four people working in the store? How do you really know what is truly happening? How do you create a single command and control monitoring platform which gives them an insight into the SOPs being followed, the hygiene? And in order to do all that, the first thing is to just have them onboarded onto our monitoring network.

The incremental pilots that we have been doing, all sort of have indicated that once we achieve the rollout to the entire dark store network, at that point to start work, at that point to roll out additional AI use cases. Now these could be around achieving greater operational efficiency wherein we do an AIoT integration with several other operational processes of this and other sensors which are already there in the dark store. It could be towards helping them with loss prevention, for instance, or, for example, creating a tightly integrated solution between the fleet as well as the dark store network. I think the possibilities are quite tremendous. And it's only after creating some of these use cases, they decided to work with us.

Praveen Kumar: That was very useful.

Moderator: We will take the next question from the line of Krushi Parekh from BugleRock PMS. Please go ahead.

Krushi Parekh: So, my first question is related to some of the new businesses that you have incubated. So, I recollect that in a Q1 FY '24 call, you are looking to spend more time, the more management bandwidth to incubate some of these businesses so that we can generate some new revenue streams between FY '25 and FY '30. So, I understand that the collection business is shelved as of now, but can you just touch upon where we are when it comes to these businesses that can help us expand our TAM or expand our revenue stream?

Anush Raghavan: I think, you know, at some point, in one of our earlier calls we would have shared that one of

our goals or one of our constant goals is always to keep expanding our portfolio of solution - based offerings. And last year or two years back, we shared with you that we are planning to incubate two new businesses, Collections and Bullion.

I think Rajiv covered the detail on Collections, which is we did extensive efforts to incubate the business and also did a fairly detailed diligence of one of the companies that we had shortlisted. Currently, and post that, we decided to drop it. Several concerns with respect to the fact, I mean, which basically indicate that relative to the effort that goes into running the business, the returns aren't really proportionate yet.

It's still a relatively unorganized market. We will keep a wait -and-watch approach. There is a change in the broader economy's credit cycles. We will sort of wait in the short to mid -term to see how things change before we exercise a point of view on that. But the collections are something that

we are dropping for now.

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On the Bullion side, our in -house business is doing fairly well. We are scaling up quite rapidly. But related to the overall contribution to some of the other businesses, it's still very small, at about 1% of our overall revenues. But we will keep coming back and constantly updating you on how that is faring out.

The other exercise that we had, or the other initiative that we had was also to sort of broaden our retail efforts and retail outreach. So, two years back we had almost 100% of our retail cash business coming to us from banks. Today we have onboarded more than 100 customers with whom we are working directly, with whom we have achieved a very high degree of Tech integration, wherein it is our cash ERP solution and mobile app, which is fully integrated into their sales cycle and their settlement cycles. And today, that represents anywhere between 20% to 25% of our overall retail cash business. So, I think doing that was extremely important for us to be able to tap into the broader addressable market of retail in India.

Krus hi Parekh: So, my second question is that we have generally refrained from giving emerging guidance in history in the past.

So, another question is that we have generally refrained from assigning any margin related corporations. But given the annuity type businesses that we enjoy, the long -term nature of the contract that we have, is there a kind of a range that the management is comfortable with having internally or is it something that how do we approach when it comes to margins across businesses? I understand there is a complexity involved, but it's coming more from the annuity type business, the long -term nature of the contract that we have that we are in a position to plan out our expenditure as well. So, can I have some thoughts on this?

Rajiv Kaul: So, you know, if we had a choice, we would not even give our revenue guidance. But given that IPO nobody thought this sector in this company could grow, I think we are forced to come up with the revenue guidance to give people some belief in what we can do and what the opportunity is.

I think margins we will refrain from simply because, one, I think we are operating at fairly good healthy margins. You have the results of our margins in the last three years post -listing in both high-growth and modest -growth environments. Our aim will always be to focus on ROCE. I think we said that our goal will be to focus on ROCE. We are maintaining consistently a 25% plus ROCE profile.

So, going back to some of the earlier calls, our first priority as a team is to focus on market share, revenue growth, and margin profile in that sort of order. We ideally like to get all of them right, but maybe not possible every quarter. And that's the reason we don't give margin profile guidance. It's very difficult to estimate the impact of anything from oil price to people cost and whatever may happen out there. But we keep constantly driving a lot of automation and efficiency to make sure that we can keep growing our productivity in line with our expansion and our market growth.

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Krusha Parekh: All right, appreciate this. And yes, definitely we can see the productivity gains over the years.

Moderator: We will take the next text question from Sonal Gandhi from Asian Market Securities. And the questions are, what led to margin decline in managed services business? And the second one is, CAPEX guidance for FY '26.

Rajiv Kaul: So, I think from a CAPEX, I think first we will talk about the margin guidance. You know, we have been reporting segmental EBITs, but as our business is changing, I think it's important to

share this nuance. I think you should look at the overall EB

IT for the company as a trend line.

Almost 20% of our managed services revenue is captured as revenue in cash by BU. And that may eliminate through inter-BU recognition out there.

It is difficult to capture the cost of the contract by BU. It is actually a merged and fungible cost. So, therefore, if you look at our EBIT margin overall at 19 % to 20%, I think that's the range of business you should think about.

Having said that, I think the last one to two years, there was a mixed change with more sales of product automation, which comes in at a lower EBIT percentage, which may have an impact on the EBIT margin perspective.

From a CAPEX perspective, I will have Pankaj answer your question.

Pankaj Khandelwal: So, CAPEX for FY '25 was approximately Rs. 130 crore. It was significantly lower than the guidance we have given of Rs. 300 crore considering the large order book we have got in FY '24 and '25. Our CAPEX will remain as we have guided earlier that Rs. 200 crore per year, and we are expecting that FY '26, the CAPEX will be Rs. 300 crore to Rs. 325 crore s. That includes around Rs. 163 crore which is lying in the CWIP in FY '25.

Moderator: We will take the next question from the line of Amish Kanani from Knowise Investment Managers. Please go ahead.

Amish Kanani: Sir, if you can give us some sense on the ground about the disruption that has happened because of one of our peer going on default. I understand you said that a few months after the situation will be much better. But just to understand whether you mentioned banks are taking over those operations and maybe it will come up for bidding in future and something like that. Is there a possibility that the competitor's business will be up for sale and something like that? If you can give us some flavor, that will be helpful to understand whether there is an increase in market share at play or how are banks dealing with this problem? Because you also mentioned that we have had some costs related to managing banks to see through this transaction.

Anush Raghavan: Sure. Let me give you some broader points in terms of what's happening and how we end up piecing it all together. I think, as Rajiv said, we will wait for a quarter or so once the dark settles.

But as I sort of alluded in the backdrop of our last call, you know, we had sort of been seeing an

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increased I disruption to the ATM networks on the back of liquidity issues, but eventually resulting in employees not being paid.

I think by the time we are working with the banks to help them out, the mandate is really for two things, right? Which is, how do you ensure that there is an evacuation of all the currency in ATM? Because the first and foremost thing for everyone is, how do you handle the risk associated with all this? So, cash is lying in the ATM, and cash is lying in the vault. All of this needs to be evacuated. Extremely operationally complex simply because there are way too many stakeholders and too many moving pieces.

Given that a large majority of this network was actually transaction oriented and had assets which did not belong to the bank, were in fact mortgaged to various other lease holders, it made the ownership and identification of the assets. Landlords hadn't been paid for rental for many months now. Electricity bills weren't paid, so ATM wasn't even up and running. We had to figure out a way to get them live to be able to access them and open them in the first place.

So, it has been a crazy task so far in just being able to help banks with reconciling what are their effective use. So, I think that we have sort of had the lion's share of responsibility just by being the largest partner to them.

The second and the more onerous task which falls onto them is to figure out how do you ensure a resumption of activities on t

hese networks and ensure that customer service gets back to, limbs

back to normal. That is where I think banks are taking a little bit of time. A significant set chunk of ATMs in this network was, well, not just transaction oriented, but also were quite old. So, for banks to think about transitioning this to someone else and for someone to pay the respective values, it doesn't really make sense.

So, most of them are looking at options around what is the best way to refresh this estate. As we shared with you in the slide, at least with two of the largest private sector banks, we have been able to win the contract to do that. And I think that's primarily that. Thank you.

Amish Kanani: And in that context as the order book, we have mentioned that the rate of winning of order book is increasing in the 2nd Half as well as in the 4th Quarter. Again, the execution of the old order book was not up to the desired extent is what was mentioned.

The question is, one, you know, between the two, sorry for my ignorance of the business, but which business is this order book? How is it kind of getting executed? And whether this

disruption, is there any way to kind of can correlate to the disruption that is happening at the comp etitos? Is the market share win already reflected in the order book is the question then .
Rajiv Kaul: I think just to sort of summarize for everyone's benefit, what exactly happened with order book in FY '2 5, if you go back and look at our earlier conversations, we had won about Rs. 1,900 -,,,,.
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1,950 crores of order wins in FY '2 4. The bulk of these wins were RFP -led around public sector banks.

Given the long t election cycle and just the sort of execution delays and being able to get testing approvals and go ahead from the bank to implement order book , it led to a significant time delay in just being able to roll out these contracts and recognize the revenue for it . So, what was about 15% of execution in H1 has increased to 52% right now .

Why do we feel FY '2 6 should be different ? For two reasons . One, as Pankaj alluded , first of all , we have got 52% execution done .

Second , there is a large increase in our CWIP in our end of FY '25 financial s or the balance sheet if you look at it , which basically reflects orders which are in stage of being rolled out and delivered to the banks .

Third , the order wins that we had in FY '25 have been more biased towards private sector banks wherein we hope we should be able to work with them to get a faster execution done .

And the other part of the question with respect to our order book , order book historically , we always refer to the growth potential around our managed services and technology business.

That's a business where we are building out longer term recurring revenues. It's not in the context of the cash business. But given the fact that most of our wins are integrated cont racts, it will have a bearing on the cash business as well as far as the ATM growth is concerned.

Amish Kanani: Sir, one last question on this extended part. Is there an execution timeline of this order book which we can understand? How long it will take you said ?

Rajiv Kaul: No, I think for the order book which we are talking about where we have done 52% end of March, we expect to finish it all by September this year.

Moderator: We will take the next text question from Sheel Shah from Sameeksha Capital . And the questions are the first one, EBITDA dragged FY '2 5 because of our debt collection pilot. And the second one is balance sheet. What is the capital WIP of Rs. 152 crore? And within current liabilities , other financial liabilities increased from Rs. 60 crores in FY '2 4 to Rs. 193 crores in FY '25.

What is driving that ?

Pankaj Khandelwal: So, I will take the second question first about

the CWIP . CWIP is related to the project that we are executing. We have executed around 52% of our new contract we have won, and we expect that everything will go live by the end of September. So C WIP is related to the execution of those contracts. ,,,,,.

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The current liabilities, which has gone up from Rs. 60 crore to Rs. 193 crore, is related to capital creditors, which are mostly related to this CWIP. So, if you write it off , the amount is not that significant .

Rajiv Kaul: If you could repeat the first question, I think that was on the debt collection business.

Moderator: Sir, EBITDA drag on FY '25 because of our debt collection pilot.

Rajiv Kaul: Yes, I think this was more relevant in FY '2 4 whe rein we were investing to incubate the business. Not so much in FY '2 5.

Anush Raghavan: FY '25 is really a function of just investing in, for the recurring contracts, you have to ramp up for project execution. You don't necessarily control when the projects will go live, because that 's still dependent on the banks, but you have to ramp up your internal resources and also therefore there is always a catch up on revenue to cost, given the nature of these large complex integrated contracts. When they make up in the, after the first year of fully operational, it starts making up and paying for itself.

Moderator: We will take the next text question from Sumangal Pugalia from Snap Securities LLP. And the question is, what is the amount of provisioning done for competitor receivables in current quarter?

Rajiv Kaul: Single digits.

Pankaj Khandelwal: So, we have made an adequate provision in FY '2 5 and this quarter. However, we have made whatever the legal recourse available with us to recover that money. And we are fully provided for whatever is receivable from that competitor.

Moderator: The next text question is from Govindarajan Chellappa from CSIM. And the question is, do the challenges faced by your competitor change the nature of the ATM business transaction versus fixed price BLA or the pricing is renegotiation possible? How are you changing your business model, own business model, if at all? And the third one is how much provision was made due to the problems with your competitor?

Rajiv Kaul: So, you know, I want to be both respectful and careful in answering this question in terms of just making sure that we are just sharing just the right amount of information as to our playbook here. But our overall approach in BLA, irrespective of what happens when you compare it to our remains, as of now, to focus on fixed price contracts. We are bearish on transaction-based contracts historically. We had guided earlier, much earlier that we will keep this as less than 15% of revenue.

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Now we drop that to less than 10% of revenue saying we will position size BLA based on transactions to a smaller percentage of our overall business. And therefore, our focus will remain on clients and banks which are focused on uptime and are willing to work on a fixed price model. On the transaction side, we will generally stay away unless there is enough buffer to take care of any drop in transaction in the coming years. From a perspective of any orders or projects which may get re-RFPed or bid out, I think the same strategy will flow. We will prioritize working with clients who are willing to work on a fixed price model and be very competitive given we have the best cost structure in the industry. And some clients and banks will prefer to continue working on a per-transaction basis. We will mostly give it a pass unless there is a very good margin of safety. And the third question I think we have already answered about the impact on our financials.

Moderator: We will take the

next question from the line of Pratham Kankariya from Quantum AMC Private Limited. Please go ahead. The next question is from the line of Savi Kumar Jain from 2Point2 Capital. Please go ahead.

Savi Kumar Jain: Sir, any update on the Bullion business? Where are we at? What is the scale? How is that going?

Rajiv Kaul: So, Savi, Bullion, Anu sh had referred to it, right? Currently, it's an internal incubation. We have built a team. We are up and running. It's contributing to about 1% of overall revenue. Our strategy to scale this will finally be through M&A ideally. But we have to wait for the right opportunity and the right company to look at it. But meanwhile, I mean, it's a small base. It's going to grow rapidly. But right now, contribution to overall total company revenues is less than 1%. I think 1% roughly, yes, 1%.

Moderator: Thank you. Ladies and gentlemen, as there are no further questions from the participants, I would now like to hand the conference over to Mr. Rajiv Kaul for closing comments. Thank you, and over to you, sir.

Rajiv Kaul: Thank you so much for your time today. I look forward to connecting in the next three months at the end of Q1 to update you on our progress on our FY '26, FY '27 goals. Good evening.

Moderator: Thank you very much, sir. Thank you, members of the management. On behalf of Elara Capital, that concludes this conference. We thank you for joining us and you may now disconnect your lines. Thank you.

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Call: Jul 2025

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CMSINFO/2 507/011 July 29 , 202 5

Dear Sir/Madam,

Sub: Transcript of Earnings Call.

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed transcript of post result conference call held on Thursday , July 24, 2025 at 04.00 P.M. (IST) on Un-Audited Financial Results (Standalone and Consolidated) of the Company for the quarter ended June 30 , 202 5.

The transcript is also available on the website of the Company at www.cms.com

You are requested to kindly take the same on record.

Thanking You,

For CMS Info Systems Limited

Debashis Dey
Company Secretary

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Q1 FY '26 Earnings Conference Call ”
July 24, 2025

M
ANAGEMENT : MR. RAJIV KAUL – EXECUTIVE VICE CHAIRMAN ,
WHOLE TIME DIRECTOR AND CHIEF EXECUTIVE
OFFICER – CMS INFO SYSTEMS LIMITED
MR. PANKAJ KHANDELWAL – PRESIDENT AND CHIEF
FINANCIAL OFFICER – CMS INFO SYSTEMS LIMITED
MR. ANUSH RAGHAVAN – PRESIDENT AND CHIEF

BUSINESS OFFICER – CMS INFO SYSTEMS LIMITED
MR. PUNEET BHIRANI – PRESIDENT OPERATIONS –
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Moderator: Ladies and Gentlemen, Good day and welcome to the CMS Info Systems Limited Q1 FY '26 Earnings Conference Call hosted by Emkay Global Finance Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on their touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Avinash Singh from Emkay Global Finance Limited.

Thank you and over to you, sir.

Avinash Singh: Thank you Shruti, Good evening, everyone. On behalf of Emkay Global, I welcome the management and thank them for this opportunity. We have with us today Rajiv Kaul, Executive Vice Chairman, CEO, and Whole-Time Director, Pankaj Khandelwal, President and Chief Financial Officer, Anush Raghavan, President and Chief Business Officer, and Puneet Bhirani, President Operations, I shall now hand over the call to the management for their opening remarks over to you.

Rajiv Kaul: Good afternoon, everyone, Thank you for joining our Q1 FY26 analyst call. In a seasonally weak quarter marked by geopolitical issues and muted consumption. We delivered a consolidated revenue of INR627 crore s, up 5% year-on-year, and a PAT of INR93.6 crore s, which is a 3% growth. The above mentioned issues resulted in a 10% dip in India ATM transactions at an aggregate level and also impacted the variable billing in our retail cash management business. Our best estimate is that the revenue impact of these would have been to the tune of INR8 crore s to INR10 crore s in Q1. Additionally, wage increases and long-term union agreements increase our Q1 costs, and as you can see from earlier year trends, this gets evened out over the year through productivity gains and through pricing. In the last five months, our field operating teams have had to work exceptionally hard to help large banks with handling their ATM channel availability issues at an industry level, which we mentioned too in the last call.

While we have seen some other services firms delay ed their wage hikes, we haven't done so. To be fair to our team members for their effort and hard work. Keeping our teams motivated and engaged in a business which relies on trust each day is very important. On a positive note, we expanded our cash logistics footprint to 153,000 business touch points, which is a 9% year-on-year increase.

We also secured new order wins worth INR500 crores in the quarter, which also includes a landmark multi-year multi-vendor software contract with the leading bank. We are pleased to announce a binding agreement to acquire Secur ens Systems Private Limited, a pioneer in the AIOT remote monitoring space with a strong reputation built over years of investment in tech capabilities.

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We have known the company for several years and have high regard for what the team has built. We won this deal against other strategic bidders and an enterprise value of approximately INR80 crores, and this type of deal is a win-win and align perfectly with our M&A philosophy valued at approximately 10X FY 2025 adjusted EBITDA and estimated 4X on a post synergy basis, this will help us scale our vision AI business, expand our client base, and enhance our tech stack for intelligence surveillance and productive analytics across BFSI and retail.

I hope some of you have had the chance to look at our revamped brand positioning launched earlier this week. Basis extensive research, we decided to retain the CMS name but change our brand positioning from connecting commerce to a brand promise of unified platform limitless possibilities.

We feel this is bold, forward -l

ooking, and reinforces our platform approach to building a unified business. This shift also underscores a vital role we play for our customers today, as well as a significant platform. Potential of our platform going forward . Examples of which are enumerated very well on our new website www.cms.com .

I really urge you to go and have a look at our new website before I hand over to Pankaj for the financial details, our metrics, while our metrics may not reflect all the underlying effort going into running and strengthening our robust platform. However, I 'm very proud of the incredible hard work which our teams are bringing to bear to work every day. Pankaj.

Pankaj Khandelwal: Thank you, Rajiv. Let me walk you through the financial details for Q1. Our consultant revenue grew to INR627 crores, a 5% increase year -on-year , while our PAT reached to INR93.6 crores, up 3% on year -on-year basis . In addition to wage hikes which typically results in softer Q1, this quarter was further impacted by specific sectors , which Rajiv talked about earlier.

Both cash logistics and managed services reported 8% year -on-year growth, scaling to INR417 crores and INR258 crores, respectively. The total EBITDA grew by 3% year -on-year to INR159 crores while EBIT remained flat at INR113 crores, because of timing difference between the investment and corresponding revenue accruals.

Our balance sheet remains robust and we will continue to disciplined approach of capital allocation to support both our organic growth and strategic acquisitions like Securens . Our current capex guidance for the year stands as INR250 crores to INR300 crores versus the initial guidance of INR300 crores to INR325 crores.

Let me now hand over to Anush to share key business highlights.

Anush Raghavan: Thanks , Pankaj . Good afternoon, everyone. Let me share with you a more detailed view of the underlying market trends to the best of our knowledge. As expected, the ATM install base has been quite impacted due to AGS -related ATM shutdowns across banks. We did mention it to you last quarter that it would take a while for the dust to settle, and the situation right now still remains quite fluid.

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These contracts are complex, with multiple asset ownership issues, unpaid vendor dues, which are all unresolved. Most of the banks are taking time to clean up this old legacy network, preferring to shut down the ATMs and later roll out new RFPs for replacement or expansion. Out of the almost 20,000 brown label ATMs of AGS , almost 50% of them have been shut down as we speak. The AGS issue has affected liquidity and credit availability in the sector. This has caused an adverse impact on certain small and mid -sized MSPs who are taking time to raise capital for fresh ATM deployments, even for those orders that they had won last year.

Further, the slowdown in consumption is weighing on ATM transactions. BLA deployers are preferring to wait for economic growth to pick up. Case in point, across key public sector banks, out of 24,000 ATMs awarded over the last year, only 6,000 have been deployed so far. This causes a downstream and consequential delay and impact on our ATM cash revenues.

The Chairman and Managing Director of SBI has been quoted in the media recently affirming that the dip in the SBI ATM base is transitory in nature and expected to recover by H2. In a large public sector bank cash outsourcing RFP for 10,000 ATMs in March, CMS ended up being the only qualified bidder, and we were hopeful for this to go live in Q1 itself. The bank has unfortunately decided, however, to cancel the RFP, refloat it to get more bidders. We hope for this to close in Q2 and go live in H2.

While these industry trends are challenging in the immediate term, we do believe that it will lead to an accelerating consolidation MSP segment which over the medium term should prove

positive for pricing and fixed priced BLA opportunities. Our ATM cash market share has increased to 58% to 60%, reflecting our stability amidst the volatility and churn that we witnessed.

As you are aware, our approach changed last year itself in pivoting away from transaction price BLA contracts, and since then I've focused on mostly fixed price contracts. In good news, our INR500 crores of order win spans fixed price BLA, Algo software, and card payments and has no transaction linked BLA revenues.

We have significantly scaled up our relationship with ICICI Bank over the last 12 months, and they are now our second largest customer. In Algo MVS software, we have secured a landmark deal, meaning that now two of the top four Indian banks will be using our software across 85,000 plus ATMs. This is a strong endorsement of our platform capabilities.

With that, let me now hand over to Rajiv for the closing remarks.

Rajiv Kaul: To summarize Anush 's commentary, I think I want to reiterate that we will focus as a team on doing the right things from a long-term perspective. We aren't chasing growth at any cost. We are very careful and we are walking away from low margin RFPs. We retain our pricing discipline and we prioritize contracts which will give us predictability and scale.

At the same time, we continue to compete vigorously against lower margin players to gain market share across most of our businesses. This quarter itself was about disciplined execution

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amid a software environment. We delivered stable financials, signed a strategic acquisition, and continued to make the long-term investments in our brand, people, and automation.

In our last call, we had highlighted our strong FCF and our balance sheet strength of over INR1,000 crores. This is a phenomenal strength. Over the past few years, many of you have regularly asked about our M&A plans and have been patiently waiting to hear more on this front. Our growth and M&A strategy has been consistently focused on building and scaling cash flow generative businesses.

We have a culture of investing in technology to drive operating leverage at a higher scale and thereby creating a virtuous flywheel. Over the last decade, for those of you who are new to CMS, I want to remind you that CMS has a track record of having done 8 programmatic M&A deals at all types of sizes and all of them successful.

The last acquisition we did was in 2021 before our IPO. In the last couple of years, it has been challenging to transact given a fairly frothy IPO market. In the last year itself, we have come close to signing some mid-size deals but had to walk away either due to cultural misalignment or to deal valuation issues.

A case in point, we almost entered the bullion logistics sector through an M&A opportunity but chose to walk away as the promoters wanted a JV for perpetuity while we would be running the business. This did not make sense for us. There are other companies we are looking at closely, and we will update you as and when there is anything to report.

The sectors of interest are mentioned in our investor deck. I do want to reiterate that a tough macro presents a very good opportunity for deal making. And while we have been patiently waiting for these times, even though IPO markets can continue to surprise us.

In closing, we are making solid all-round progress in executing what we can control, gaining market share, driving alignment and accountability across our various operating teams. We have done an extensive reorg, which we mentioned last time. Our leadership team is fairly simplified. We have Anush Raghavan, who has helped build our cash logistics business to its market share - dominant position today, who is now the Chief Business Officer for the entire business across all our businesses. Puneet Bhirani, who joined CMS 16 months ago

from Byju's, OLA and earlier

Mphasis has taken on the entire operational gamut of responsibilities as Chief Operations Officer. This will help us phenomenally in customer centricity, alignment, and accountability, along with agility to compete in a fairly aggressive marketplace.

With that, I'd like to end our commentary and move forward to Q&A. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Hitesh Arora from Abakus Asset Manager.

Hitesh Arora: I just had a query on the margins for both the businesses, the cash and the managed services businesses -- the EBIT margins. So, the margins have fallen quite sharply from -- I'm just reading

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the numbers for the cash business from 25.5% to 23.9%. So that's roughly 160 bps down. And even in the managed services, it's down from 17% last quarter to 14.1%. So, it's almost -- it's 290 bps down, a significant reduction. And despite the share of the trading revenue actually would have fallen over the last 1 year. So just a bit surprised with the steep reduction in the margin. Could you kindly comment?

Rajiv Kaul: Sure. So, Hitesh, I mean, I'll have Pankaj give you a little more detail. But I think we, in the last call, said we would like you to start thinking about the company on an overall composite level because CMS managed services business has become now the second largest customer for CMS ATM cash management.

So, a lot of the revenue and cost attributing it clearly, I mean, to each business unit gets very difficult. We continue to report the numbers, but I think look at it overall. Q1 has been softer in the cash business, specifically if you think of the wage hike impact in Q1 will have a dip in margins.

We also continue even today to support a large public sector bank in delivering ATM cash services at a marginal cost because they needed help in transition from our earlier vendor while they will decide on an RFP and who will win this contract later. In terms of the managed service business at a high level, there is straightaway an operating margin impact from the dip in

transactions.

I think at the aggregate level in India, the ATM transactions for ATM in this Q1 have dipped from 12 to 14 transactions. That goes straight unfortunately do not -- all the revenue goes straight away from the bottom line. So I think your question is all fair and valid. I think we'll have to wait for the year to progress to start seeing changes and improvement in the margin profile as the contracts will move up.

In fact, in MS from my memory, we also had a large contract where the investments have gone in right and the revenue accrual will start in the later part of the capex investments have been made. Therefore that impacts a bit, but the revenue accrual will start later in the year.

Pankaj Khandelwal: You see that EBITDA for MS INR60 crores which has gone to INR64 crores in this quarter whereas the EBITDA has dipped from INR36 crores to INR33 crores. So there is a delta of around 17% and that is largely because of the project execution. The ramp up will take time. However the depreciation and other cost is already hitting us.

Moderator: Thank you. The next question is from the line of Balaji from IIFL. Please go ahead, sir.

Balaji: Thanks for taking my question. My first question is on the status of the 7,000 odd ATMs owned by banks for which AGS was doing pure managed services. So have the banks actually bid those out and if so, have you seen any wins from entire portion of the price? That is my first question.

The second question is on, this acquisition that you have done of Securens. So in your opening remarks, you did mention that this deal happened at 10 times EV EBITDA FY '25 and on a post - CMS Info Systems Limited

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syner

gy basis, it will be about 4x. So, can you just elaborate a bit on the synergies, from where the synergies will come and a bit more color on how you come to these numbers?

Anush Raghavan: Balaji. Hi, Anush here. I will just take the first part of the question. As far as the non-BLA ATMs were concerned, I think as we had updated in our earlier calls as well, we've been extending help along with the broader industry in helping banks with the transition. So, we've been able to get our market share, if not slightly more than that in terms of success in some of these contracts. In fact, when we speak about ICICI Bank and a few other private sector banks where we were not present, this has allowed us an opportunity and entry strategy into those, balancing against what was earlier a slightly more PSU bank-based portfolio.

Rajiv Kaul: So Balaji, I think I'll give you a high-level answer at this stage, I think it will not be right for me to share intricate details of how the synergy will come out. But at a high level, the productivity and scale. When you take the two entities together, we will have a business operating at roughly about 45,000 sites live on whenever the transaction concludes.

As that productivity will change and improve, we will save significantly on any common overhead infrastructure cost. And even in terms of just kind of management, IT infrastructure, there are many costs which we can. So we have a standalone company running roughly an INR80 crores business, which will merge into INR2,500 crores company running a larger business overall.

I think there are lots of costs which can -- which are not essential when we move forward. So, I think that's the high level when we think about it. And also, what I wanted to mention is this was a fairly competitive bid process. For us, it was about creating a deal which sort of respects the brand, helps the team move forward and creates a win-win for customers also. And importantly, I think from a book value perspective, I think this will be a transaction which will be close to book value.

Balaji: Got it. Thanks a lot and all the best.

Moderator: Thank you, sir. The next question is from the line of Krushi Parekh from BugleRock PMS.

Please go ahead.

Krushii Parekh: Yes, so the first question is on the margins front that, so understand that salary is something that we have jacked up now, but moving forward in over a period of time, what are the levers that we have to ensure that the margins regaining what it was?

Anush Raghavan: Krushi. Hi, Anush, here. So I think if you look at our historical performance over the years, you will notice that there is a certain cyclicity to our quarterly earnings. There is always Q1 is always a little bit of a step change on account of creating provisions and also paying out what is a fairly large base of people whom we work with, some of them unionized, many of them not.

Those agreements are done through the year, but the provisions get created at the beginning of the year. And then we have the rest of the year to as growth comes in, it helps to drive operating

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leverage and productivity. It also sort of creating these provisions at the beginning of the year also gives us a healthy way of trying to figure out what are the right ways to approach pricing with our customers.

So generally we will tend to see that Q1 starts off a little weak and through the year we sort of normalize closer to our margin overall margin profiles.

Krushik Parekh: Okay and my second question is, so we are witnessing this dip in the ATM transaction, so in your view and how you read the industry, is it purely because of slowdown in the overall consumption and the economy or there are some other factors also at play?

Anush Raghavan: No, I think the way we see it and we've been studying this macro for a long time, publishing our reports

about it. I think this is, again, a little bit transitory in nature. Generally, what we are seeing right now is not unusual in the context of longer-term annual cycles. For various reasons, Q4 is usually a period of high spends in the economy, followed by Q1 which is usually a dip. As for certain economies we've spoken to offline in the past, many of them allude this to also semi-urban rural India going through its own particular agricultural seasons of harvest and everything. I think right now, I would just allude this to a combination of two things, which is the cyclical nature of the Indian economy, a little bit more so now, especially with broader consumption being more muted and tepid.

Krushik Parekh: Okay. Thank you. I will join back in the queue.

Moderator: Thank you. The next question is from the line of Prithvish Uppal from Elara Capital. Please go ahead.

Prithvish Uppal: Thanks for taking my question. So I'm sorry if I, if this is repetitive and you may have covered in your opening remarks, so just wanted to understand the order life cycle. So right from when you win the order to when that flows through to the revenue. So if you could just possibly help us understand the timeline for that and how much is the execution ramp up that has happened here.

My second question is that, you highlighted that Q1 is usually a seasonally weak quarter, but if I look back last couple of years. Though, at least, the revenue growth has been about 12% to 13% plus, so how do we read that in context to the Q1 of this year and this lastly is on the acquisition. So, what is that -- what is the strategy going forward in terms of how we plan to work over here, is it more from a client diversification, perspective or just to understand the rationale behind, why you went with these guys in particular, thanks?

Anush Raghavan: Let me take the first two questions, Prithvish. So, I think as soon as the order book and its translation revenue is concerned, we may have spoken about this in the past as well, but just to rephrase it to everybody who's new to us and on this call today. Our order book by definition we only limited to the non-cash business portions of the revenue, simply because these are contracts which are either multi-year, recurring or annuity in nature.

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This could be brown label ATM contracts, remote monitoring, for instance, or fixed price BLA as well. Generally when it comes to executing a BLA type contract, the timelines would be anywhere from 6 to 12 months. The one of the key dependencies is really being able to get the hardware and the overall solution tested and approved by various agencies. These could be NPCI, Visa, Master, mostly from a payment systems angle. And subsequently there is the whole aspect of getting the site readiness and rollout happening. So roughly about 6 to 12 months on brown label ATM.

Remote monitoring is extremely dependent on the nature of the solution and the scale of the implementation. Last year we won this, what we told you a fairly complex deal with a large public sector bank to set up an on-prem command center and roll out branch monitoring for thousands of their branches.

So things like that end up having a much longer gestation period simply because developing the use case of these AI models and getting those approved to a certain satisfaction level of the customer has a certain, just incubation time. But broadly I think for the purpose of averaging it out, I think 6 to 12 months is what we would think of internally.

Rajiv Kaul: But think of the software contract we have with ICICI, this could take 6 to 12 months, but some of these are not under control because when you're building software solutions, integration with bank systems approval process could have sometimes delay which are very difficult to fathom when you start the project and therefore forecasting

accurately is not very easy. Given the nature of our contracts it become far more complex and into an integrating multiple things in the contract, not just one piece. So there are the first 2. You on the second one?

Anush Raghavan: I think with respect to your question on the first quarter, looking at the previous trend lines, I

think look at you look at it both Y-o-Y as well as sequential from a sequential perspective, when I look at FY '24 FY '25, and FY '26. They're all sort of fairly in a narrow range of '24 was 2%. FY '25 was in fact a slight decline of 4%, and '26 was 1%.

What you're alluding to as a Y-o-Y metric for last year, I think would have been more because FY '25 would have had a larger product component share, but I think this gives you a broader sense of how to think of it from a service revenue perspective. And I think last question...

Rajiv Kaul: So I think for any acquisition, right, you're trying to do this for a few things from our angle and maybe you're newer to our calls. I think our approach is always to think about looking at majority control or full control of company in a sector which we already understand very well with.

Securens particularly was relevant to us simply because it's one of the key players, it's among the top five players in the space. It's one of the first ones to have set up operations. They've built a very good technical capabilities while we have our own, but it sort of helps having a client entry.

It also is from, bluntly from a block and tackle perspective. If the sector which we want to dominate as we go forward, right? We were roughly at 25,000 to 30,000 sites we have a midterm CMS Info Systems Limited

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goal to 100,000 sites. We don't want a good quality player to be bought by somebody else who starts competing with you and you know des troying the market and whatnot.

So as and when you get an opportunity to consolidate add the value which makes sense, and the payback period is in our norms, the ROCE on the deal makes sense, we will go ahead and execute.

Moderator: Thank you. The next question is from the line of Divyansh Gupta from Latent PMS.

Divyansh Gupta : So first question was on the camera. So in the last quarter or sometime that whole Chinese camera not being allowed or government expressing concern, does it affect us any which way, us plus Securens?

Rajiv Kaul : I'll let Puneet, who runs the entire operation, handle that.

Puneet Bhirani : So of course, this change has caused some stress in the system, but all of us are working with our customers. There are certain camera s that have been STQC approved. So, we are working with all the customers to either get the realignment done and continue the deployment or get some interim relief to manage the situation and then change the cameras as the STQC approval comes.

Divyansh Gupta : So, does it also affect any fresh new orders even, which might get delayed because of all of this or how should we read going forward?

Puneet Bhirani : The industry understands this. Customers are aware of the challenge. And now more and more cameras are getting certified, and it's a transitory phase, which will get over very soon.

Divyansh Gupta : Got it. Understood. And the second question, a 2-part questi on on the Securens transaction. First was from a cust omer sector perspective, right? My understanding is our Hawkeye was mostly BFSI with, let's say, that Q order that w e won with some other segments. But Securens, is there a sectoral overlap or it's a v ery complementary sector to us? And the second part of the question is that any reason why they were selling at book value or let's say, what was their incentive to exit from the bus iness?

Rajiv Kaul : So I think we should maybe ignore my comments on book value for right now, just look at the logic for CMS. If you're a CMS investor, we should focus on CMS and not Securens s

o much. I

think there is an overlap, of course, on BFSI. The BFSI is a large space where there are 4 to 5 players competing fairly aggressively and working there.

They also, given their history in the industry and a long track record, have been able to penetrate a broader set of clients, including retail, which are of interest to us. They have solution sets, they have teams. And we are hoping with the CMS wherewithal, we should be able to invest and grow that faster.

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On the CMS side, we already did mention to you or other investors in the last call that we were able to expand with our capabilities into newer sectors that includes quick commerce and EV infrastructure charging sectors.

So, I think overall, we are looking at -- there is a reason able amount of complementarity. Y es, there is also some overlap. I think that's where some of the synergies come in. But each client deal is very specific, right? Each client is looking for always whenever there is software, there is always a little bit more tailoring and tailored s olution to a particular client.

And doing pilots, proof of concepts and winning clients and replacing earlier installed base of a

competitor can be quite an onerous task over time. In terms of, I think a deal -- I just think that overall, one has to take a call on what's the best way for a company to continue growing and competing. And I think for some of the medium-sized players, we think they will, over time, have to merge or sell into some of the larger ones. Our job is to make sure that we can keep growing much faster than the rest of them.

Divyansh Gupta : Got it. I have a couple of more questions, should I continue or join back the queue?

Rajiv Kaul : Divyansh, we will finish it now.

Divyansh Gupta : Sure. So, the SBI tender, while it's great to know that we were the only guys which were qualified and for maybe public sector reasons, they rejected and they are redoing the process. The question that is there is that AGS went away, but there are other players, other bigger players that are also there, right?

So how will the process now work? I'm assuming they will relax some conditions, more qualification comes in. Is that the -- how we should think and therefore, commercials might also get affected because they are reducing the, let's say, specifications?

Rajiv Kaul : I don't think we of all people can comment on a process run by a large bank in the country. I think we'll wait for the process to pan out and see how it goes.

Divyansh Gupta : Got it. And the last question is that in our previous calls, we always said that our first priority is growth, margins come second. But at least in the last year, at least, we have been struggling because of things which might be under our control or might not be under our control. Are there any green shoots that you are seeing that which gives you confidence that, let's say, a quarter or 2 down the line, things should happen or anything that you can share from your closer view on the business?

Rajiv Kaul : So, the comments I remember, which I have made historically, and I hope that's what you've heard is that between growth, margin profile and market share, we would, as a management team, love to get 2 out of 3 right every quarter. We would prioritize -- if there is growth, we will focus on first on growth while we maintain market share, and then margins, we don't mind if they go up or down a little bit.

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I think the last quarter, we did a fairly good job on both market share and margin profile. I would say this quarter, I think only market share is where we would tick the box and not on growth on margin profile. But I mean, I know we are all in the QS/QT zone in life, but I think from an annual perspective, we hope to be able to bridge and balance this out by the

end of the year.

Green shoots, I have now just become wary of, thinking hopefully about green shoots. Last year we thought about festive season. I think what is in our control is the order. And trying to execute them sooner as soon as we can. I think that's what we are just focusing on. The rest, of course, we'll compete.

We block and tackle opportunities. We look at M&A, but we have a fairly significant order book and if you ask us, are we feeling positive and optimistic, yes, in the next couple of quarters, yes, we are simply because we have the orders, we just have to get them up and running.

And while there will be new orders or new bids come up for winning or losing whatever we'll see. But I think we have a healthy pipeline to go focus on executing to regenerate the growth aspiration which is set in our services business of 13% to 14% for the next couple of years. That's what we are focusing on targeting right now.

Divyansh Gupta: Got it. I'll join back the queue. Thank you.

Moderator: Thank you. The next question is from the line of Praveen Kumar from Acuitas Capital Advisor. Please go ahead.

Praveen Kumar: Yes. Hi, thank you for the opportunity. I had a couple of questions. The first one was on, the consumption slowdown which I've been referring to quite a few quarters now. So just wanted to understand how do you see in terms of your medium term growth target of, let's say 14% or thereabouts that you want to grow. At what point do you think this consumption slow down persisting starts affecting your aim to grow at net growth rate?

And what kind of, tactical or strategic action do you see yourself taking to overcome that, right?

That's the first question. Second question was on the card services part of the business, which is the smaller part, but I noticed that Q1 on a Y-o-Y basis it declined by 23%, the top line. So I just wanted to understand any specific reasons for that. Yes, thanks.

Rajiv Kaul: I mean, great questions. Let me take the first one. I will refer to again consistently we talked about that as a company our future and growth is linked to three broader terms in India, consumption growth, formalization for GST and whatnot, especially in the retail sector and outsourcing trends in banks.

Now I think we've had a macro situation FY '22, '23, '24 where almost all three played out very well, maybe it was post-COVID, post whatever, but it played out very well, including a positive

regulatory environment which I think help us drive very solid growth of almost 20% revenue each year and 30% PAT each year.
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The slowdown impact also linked to some outsourcing changes in the last year, I think has clearly affected our growth in FY '25 itself and right now in FY '26 Q1 as you see. So I think we are right now at the receiving end of these factors not playing out. In fact, even in formalization, now this is maybe too early, but when we look at our retail sector, we have gained a good share. We are a market leader there. We continue to gain a lot of new stores for our retail cash business, but we are at the same time seeing a massive churn in store shutdowns.

Now I suspect, and I'm not a retail sector expert, I suspect this would be that post-COVID there was a lot of growth amongst organized retail and physical store locations across, organized retail and NBFCs and whatnot. And then there is churn. When there is some slowdown, people start churning the bottom 5%, bottom 10% of stores. So while we continue to have new store editions, we also continue to see a fairly aggressive churn in the number of stores which are maybe sort of shutting down.

Now each time this happens, there is a ramp up ramp down cost, right, when you have to change your routes, you have to involve new routes, you have to move resources. So I think we are, I would say the last 5 quarters there have

been maybe 3 or 4 months where we think positive macro environment, maybe around festive season, a little bit in February and March, April, May, June has been quite tepid. I would point you to our India consumption report which we print annually. I think the last one was done in May. It'll give you some sectoral trends.

So I don't want to take 3 months and be able to tell you. I can't tell you what the next 3 months will be like and when this will pick up. We hear, like you would on different commentary that rural is starting to pick up and urban is about to pick up, so we'll keep our fingers crossed and wait for it. And I'm sorry on your second question, I missed the question, but if somebody else heard my team, they will answer.

Pankaj Khandelwal: For the card business, there is a slight dip in this quarter. There were the 2 banks who had delayed the re-carding by one quarter and that has resulted in a slight dip in the revenue.

Praveen Kumar: So this is a delay, not a loss of?

Pankaj Khandelwal: No, no. There's no loss of contract. The contract remains same. There is a deferment by the two banks for the re-carding.

Rajiv Kaul: Yes. The projects have got postponed or whatever, but I think in the INR500 crores of order wins, we've got a good card order win as part of that itself.

Praveen Kumar: Understood. Rajiv, just to follow up on your response to the earlier question. So from an outside perspective, how should we look at, I mean, how should we correlate consumption growth as seen by, let's say results of other, consumer focusing companies, etc etc. How should we index that to the growth rate you can grow it? I mean, can you give us some color on that?

Rajiv Kaul: I'm unfortunately not a public market investor, so I don't know how others are doing. But, what I would say is, the -- so let's drill down, right? Let's take our retail sector. Our retail sector is a sort of a misnomer. It doesn't only do retail. It does organized retail, it does e-commerce, it does

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NBFCs, it does hospitals, and the schools. So I think some of those are also a public sector, right? It could do railways, cash pickups and whatnot and processing. So some of it is steady, but some of it is variable, right, especially discretionary income or discretionary spend is variable.

So I think we see an impact there because 80% to 85% of the revenue is on a fixed basis, like we need to turn up and whether we collect INR50,000 or INR5 lakh we still get paid a fixed amount. But there is an amount linked to variable -- sorry, there's an amount of variable linked to the amount of currency being picked up and processed. So that does get affected and therefore has both an operating leverage or a de-leverage in moments when there is variability.

So I think we've seen very steady businesses and we've seen market share growth. I feel that our market share and competitiveness, we are at the forefront. We would think that with formalization and GDP growth, we would like to target growing at double digits in these businesses. I think we've alluded to 10% to 12%. And then whether sometimes you get market share gain or you get operating leverage leading to an EPS growth, which is better, that's where we come up to, trying to grow the 12% to 14% or 13% to 14% range.

Now that's only retail. I picked that one example. If you take RMS, that's growing obviously

faster . It's a smaller business . We are having good traction in the last 2 or 3 years with our capabilities and our scale and also our competitive positioning out there. So we aim to grow that business at a much larger pace. But is dependent on outsourcing again, right? There are 100,000 ATMs and let's say branches which are not yet outsourced for AI-based surveillance. We are dependent on the bank coming up with a tender, and bidding and winning and executing those.

Mea

nwhile, we try to push the growth by looking at other sectors. Now hypothetically we could also look at growth outside the country, but I just think that would be too much of a distraction for us, and we currently focus only in India. The largest business which is ATM cash, I think Anush has alluded to fairly in detail about some of the impact. Now I know a lot of people sort of, in last call itself and post last call felt that given one industry player going out of action, it should automatically result in a big bump up, and we have always said this will take time to play out. We have never seen this situation at that scale before. We've seen smaller players go out and we said we'll be careful in waiting to see how this pans out . Having said that, a couple of large banks, one large bank has already moved locks of barrel that intend to move to CMS. One midsize public sector bank has already done the same. Another public sector has floated an RFP, which we have one. A large PSU bank contract we already talked to you about has gone in for a refresh or a rebate or whatever it is. So these things will take some time to pan out. We can only share with you as the situation gets more clearer, but I just think that if you look at the ATM cash business or market share , which used to be 50% historically moved to 53% 54%. Currently , I'm scared to even admit the number, but temporarily it looks to be the 58% to CMS Info Systems Limited
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60% number. Now will that be 58% or become 55% ? I don't know. But it just tells you about the strength of the platform in the current market situation.
Praveen Kumar: Understood, Thank you for the very detailed response.
Moderator: Thank you. The next follow up question is from the line of Krushi Parekh from BugleRock PMS. Please go ahead.
Krushi Parekh: So it currently appears that at least on the, BFSI side, we may have some kind of a slowdown at least for the next six to nine months or maybe even a year. But how is the traction for us on the retail side, that we have, especially now, I mean for some time we've had an independent sales team as well to tap into those markets?
Anush Raghavan: Krushi. Hi, Anush here. I just on the first part of what you mentioned, I don't think I wouldn't take the interpretation as six to nine months. I think we're seeing this, but having said that as Rajiv said consumption is one part of it, but more importantly so is the bank outsourcing and the order book execution and I think what we see in terms of the pipeline and our ability to both in terms of what the pipelines are upcoming are plus what we already want which needs to be executed. I think we feel we don't think it should be as long drawn out as that. On the retail side, I know we didn't cover it in as much detail the same as we do. Maybe we'll take the H1 to give you a lot more color, we continue to keep expanding on new customer wins and brands. Currently we are more than 100 plus brands with whom we are working directly. I think it's a very solid value proposition and platform that we have going. When we today actually look at a lot of opportunities from the inorganic space on the payment side. It's very heartening to me at least to see what we've developed as a direct to retail offering. A actually very closely parallels what that sort of business looks like. You work directly with brands, you help them in creating an integrated auto, tech-based approach. You create a lot of automation to help resolve issues around treasury reconciliation. The kind of stickiness and the kind of long term contracts and revenues you get there are phenomenal. I think our ability to what we've been doing in terms of widening the set of customers that we work with, which used to be just organized retail earlier. Today we work with schools, broader educational institutions. We work with large hospital chains, a lot of NBFCs and microfinance.

So I think the quality and the complexity of what we have is going as an industry specific solution that is quite amazing. We will talk more about it. We are witnessing an increased churn at the moment. So gross growth rates continue to hold fairly steady to what we were doing earlier. I think once the churn settles down, you will see that slow down to our performance.
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Rajiv Kaul: Also, I want to sort of -- we have seven business lines. Roughly it's not INR100 crores, the smallest is close to INR100 crores revenue and the largest is close to maybe INR1,000 crores revenue or INR900-950 crores. So we have a diversification which means that even though some of those are interlinked, but it also gives us when one of the businesses is suffering either a macro or industry level issue.

We are able to have delivered on pivoting very quickly to other businesses to focus on and I think that gives us a little bit more resilience. We're not too it's not a one trick pony if that gets affected, then you're affected. But when there are problems in a particular subsector, we have to understand it's a combination of things could be a client specific issue, could be industry specific issue.

I do think that the MSP industry, which is widely fragmented is already consolidating and will consolidate more given what happened three or four months ago. Now, will that cause more pain? Possibly. Is that good for the sector and therefore for a large player like us? Absolutely.

Krushik Parekh: All right. Appreciate that. So one thing on this security system what I see, at least, from the information that is available in the public domain about the company, the company had made losses in the last two years. I mean '23, '24. I don't know, we don't have the information of '25, but what is your -- if you can give some sense, is it more related to the cost or it's more related to the pricing of the services that they were offering and how do we intend to correct the same over whatever one to two years period?

Rajiv Kaul: Well, I think we obviously studied the company very well over the years. We also have done fairly detailed diligence. I think they have deployed a fair amount of capex to capital for both the technical capabilities, which gets apportioned over time and for specific client projects at an EBITDA level they have a positive P&L.

We think that with our business and merging whenever we are able to conclude this successfully, I think merging this will result in overall metrics which are substantially better for the combined unit and even, let's say, if we were continuing to run them on a standalone basis.

So I don't know. I mean, I understand there will be depreciation, there will be capital earlier and there'll be a cost of capital which will impact at a PAT level, but EBITDA level they've always been positive.

Krushik Parekh: All right. Thank you.

Rajiv Kaul: Also, I just want to mention that standalone companies in any sector would generally, I'm not referring to secure, so don't take these comments out of context. Many small companies, sub

INR100 crores companies, suffered a lot during COVID because revenue just dried up because sites shut down, could be a retail company, could be RMS company, it could be anything.

And therefore many of those companies have therefore taken a year or two after that to just get back onto a level playing field in life. And, therefore, once you go through those, you do lose capital, you do lose some customers you lose. It does impact the quality of the platform to many

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levels and therefore may be variability and what losses you may see in a particular year which could be accruing for some of the investments made earlier and the revenue not flowing through.

Krushik Parekh: A

ll right. Thank you so much.

Moderator: Thank you. The next question is from the line of Saurabh Dhole from True Beacon Investment Advisor. Please go ahead.

Saurabh Dhole: Yes, hi thanks for taking my question. So my questions are with respect to the changing industry structure basically. Firstly, do you think there is an opportunity to get certain specific assets from this beleaguered company?

It could be in terms of client contracts, client wins, this could be hard assets like collection ramps.

And the second is how quickly do you see this particular event impacting your pricing power and how quickly will it start impacting your margins, the EBIT margin specifics to?

Anush Raghavan: So I think on the first part, of course, with respect to what assets are available, several people other people in the industry have evaluated it. The challenge being as you could guess for companies which have had capital issues and liquidity issues and drawn down all sorts of available debt.

So removing the tangled web of who which debtor has what rights over what assets, what's a truly freehold versus what is leased out has been incredibly complex. So for that reason, I think banks decided that the easiest way for them to deal with the issues right now is not to bring in another partner to continue running things because they themselves ensure just to give you an example, there is somebody who owns the ATM in that particular site which could be leased out to someone.

There would be somebody else who owns the ACs and the VSATs and so on. So for banks it

was much easier to just work with companies like us, help in sort of getting the risk management sorted out in terms of cash in those ATMs and then shut down those sites while they figure out all of these issues and separately come out with new RFPs for replacing these ATMs and consequential expansion.

Rajiv Kaul: To be fair we did analyze this a lot in the February, March and even preceding time periods. This is way too complex. It's not about going and settling with 2000 employees. This is about settling with 10,000, 12,000, 15,000 landlords. That's not really up our alley. That's not something we want to distract ourselves with.

Also, with many MSPs there is predominantly a transaction linked BLA business model. We have gone bearish on that segment for the last 15 months. Unless we see green shoots in that either through competitive pricing moving up or way banks are willing to share the interchange with you or overall ATM transaction levels.

We do not think it's worthwhile for us to invest capital and take the risk. And therefore, a large part of the business was in those segments. We are generally bearish on those. Some customers

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will move to CMS and have moved to CMS on a fixed price model, which is fine by us because then I think the risk return makes totally sense for us.

Saurabh Dhole: Got it. And your response on the second one which is on the pricing power?

Rajiv Kaul: I think for us any such situation, you want to again I'll go back to one of our maxim deals. We'll focus on share and revenue growth and maintain our margin profiles. Our margin profiles, if you compare it to anyone listed, unlisted are substantially higher and better. I think maintaining those margin is very important and these situations help us in continuing to maintain a healthy margin profile.

I don't think these are situations where you should be looking at even pricing change for sure, maybe it will, but it will change from what the other company is charging, right? I think we are only willing to do work in which the risk-return makes sense for us. And therefore, we would like to continue operating in our margin profile where we are right now. I think that's a very healthy and a balanced margin profile.

Saurabh Dhole: So if I got you correctly, this particular

event doesn't change the margin profile of this vertical drastically, right?

Rajiv Kaul: We will see. I really, will this -- will we get operating leverage with more business coming? And let the business come. I think let's not jump the gun and try to see it. I mean, obviously, if we are able to drive extra margin through automation or other things, we'll be very happy. But right now, let's focus on getting the business and improving our market share and businesses we like to work in.

Saurabh Dhole: Sure. Sure, Rajiv.

Moderator: The next question is from the line of Raj Gopal Ramanathan from -- an individual investor.

Raj Gopal Ramanathan: Thank you for the opportunity. Actually, I think you partly answered my question which related to fixed price contract -- contracts versus transaction based pricing, because I believe during my days as a banker, one of the reasons why the banks wanted to outsource was that they were not very sure with respect to the amount of transactions that would happen on the ATM.

And that's the reason they were quite happy entering into those contracts. So what has made them go back against it? Is it because they've been sort of negatively surprised in terms of the amount of usage of ATMs that they wanted to sort of fall back on fixed price contracts? That's the first question.

The second question is, it's not necessarily philosophical, but given that you have already built up the competence, and again, you partly articulated this, why not look at other countries as well? Maybe not the cash management business, but the other businesses definitely can make a lot of sense in other countries as well. So why not look at that, maybe seed that particular business, build it out over the next five years, 10 years or so? So why refrain from doing that?

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And the last question that I have is, actually, it's related to the AGS shutdown, what has been your learning out of the AGS shutdown? Because partly, if I were to look at that particular example, I believe they got into trouble because the banks were not necessarily paying on time.

And that essentially meant that the working capital squeeze was becoming very difficult for them to manage because they had already sort of taken a significant amount of financial leverage. You obviously don't have that. But are you seeing a situation where getting your money from the banking system, etcetera, is becoming a little more challenging than what it may have been?

Anush Raghavan: Okay. So, as you're a former banker yourself, I think, the views on what, we always really had a simple view, which is right in a room, I think the smartest people are always the bankers, right? So when you're sort of working with them, a counterparty, you can never second guess on trying to outsmart on pricing and thinking that there is any sort of contractual arbitrage available. We've always tried to keep things simple, right?

Focus, put our head down, execute, do the right thing and not try to sort of create an upside or an arbitrage led pricing model. On the transaction side, I think the main thing has changed in the industry is, the entry of Brown Label ATM was sort of driven on the fact that, listen, there is an opportunity between what the interchanges versus what the cost of doing the services.

And hence, if they were private parties willing to come in and deploy capital. So -- and it did that in a sensible place with the right location and cost structures, you could sort of profiteer out of that delta. Over a period of time as with anything else, the interchange increase has been far slower than the cost increases associated with long-term businesses such as this, as a result of which most people who sort of punted purely on that model have gotten squeezed on both sides. In the last two years to three years, as sort of the capital to the industry has sort of

dried up, you can't have private people coming in with capital, which is more competitive than what the banks themselves can do. Banks have realized that ATM is still an extremely important channel of customer service, both for their cardholders, as well as for outreach branding.

And hence, I've realized that it's always better to then invest in a fixed price outcome, which helps them hold the parties accountable for a certain quality of service and hygiene, and ensure that their customers don't get shortchanged.

And hence the sort of switch over to fixed price model and acceptance of that. AGS, I think, wasn't just an issue of customers not paying. I think it was a classic issue of liquidity impacting, creating a sort of a downward spiral. It's a public call. I would want to try and remain diplomatic in alluding to some of the more serious issues there.

But fundamentally when you have a very leveraged business at a fairly high cost of capital and depending on a variable transaction link model and liquidity issues are impacting your ability to pay salaries, vendors, partners which affect the downtime and the quality of service that you're able to give to the banks and that quality of service then further impacts the transaction.

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It's sort of extremely difficult to come out of that spiral. I don't think it is necessarily related to purely banking behavior alone.

Rajiv Kaul: And also very respectful. I think it's a good company that tried to do many things. I got into unfortunate situation. I would go to your question. I mean, great question. Let me think about the geo one. We have articulated the geographic expansion before. If I look at the history of large MS players in India who are pioneers in the field much before our time, I think some of them have tried to expand into Southeast Asia and different markets and failed.

I think from our side we think of it differently. We are not a cash management company. We are not a managed services company. We are a business services company. We don't want to get into geopolitical risk. We don't want to get into understanding regulators in each market. We don't want to be -- we don't have the client relationships. We'd rather focus on what we know well, which is how to work in India.

We have the scale. We have the reach. We have a brand recognition recall with large banks where we are doing multiple types of services and able to win in scale. We will do the harder job of trying to figure out which are the next set of services for us to do well with the Indian banking system or retail rather than take the risk of going out.

I mean, we have analyzed it. We have done some work, but I just think that going and doing JVs and dealing with some of the risk return isn't the right approach for the knowledge this management team has. Can we go hire people to do it? Sure, but it's not in the order of priority.

I just don't think us being able to execute very well on this, and I don't want to do something which will distract us.

We have, in fact, on the opposite side, have had a lot of interest in people wanting us to do cash management and even the U.S. and Australia and again for us we are like, this is such a people intensive business while we have a lot of technology automation software which we can take from here to those markets, but I just think we want to be humble and saying let's just get this one market right and focus here rather than right now do this.

At some point I'm sure there'll be opportunities. Our M&A team keeps getting in bounds and if there is something interesting we'll look at it. But till now whenever we analyze it, we have shied away from the rest did not make any sense. I think we have a large market in front of us. We have a large opportunity in front of us. We hope to be able to stay focused on that and grow in a steady manner in doing

what we know how to do well.

Raj Gopal Ramanathan : Thanks. All the best.

Moderator: Thank you. Our next question is from the line of Divyansh Gupta from Latent PMS. Please go ahead.

Divyansh Gupta: Hi, Rajiv and team. Just a couple of more questions. So what is the order book in hand right now and how much is expected to go live this year, assuming things go as planned?

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Rajiv Kaul: Okay, do you have some other questions while we calculate and come back with that?

Divyansh Gupta: Sure, The other one was that in respect to the BLA business, earlier calls we used to mention that we are very selective in choosing our BLA that we would operate where it gives us decent IRR and preference I think was always to get fixed contracts. In our presentation we have mentioned only the transaction link BLA revenue contribution.

What would be the revenue contribution of fixed BLA and is there a transition happening right now of current transaction link BLA is moving to fixed price BLA?

Rajiv Kaul: So, in fact, thank you for these questions. I think the earlier question also which Ram had asked, I just want to -- there was a question on why are banks looking at going to fixed price contracts, and I think Anush alluded to it also, but frankly, I mean, bluntly the answer is that there are certain banks who understand that the transaction volume at their ATM channels, given the profile of customers is more upwardly mobile and therefore using a lot more digital UPI and other means.

They will not be able to find good quality partners who would either set up or run or maintain the ATM channel. The economics will just not make sense on a transaction model and for them the access to a branch, the access to an ATM in lieu of a branch to a customer for their own customer satisfaction is very important and the quality of the service and the quality of the site is very critical.

And therefore they will move to -- they moved to a fixed price model with the higher quality players which could be somebody else to make sure they are able to deliver a very important vital service to the consumers. I mean, fundamentally, I think many times people and banks

forget the fact that access to cash is a fundamental right of an Indian consumer of a bank.

But then when banks start thinking of an ATM channel, a profit making enterprise, I think something goes wrong in my head. I don't know why that mentality has come in the country in the last 8 years, 9 years in certain banks, but some banks are very clear saying the quality. And the brand of the of the bank is very important.

And therefore they are and they know the only way to work with a high quality player or players would be to go on a fixed price model. So I think just that it's not a big trend, but it's a trend in some good banks and hopefully this will perpetuate over time. Coming to your question, in terms of order book, I think there's roughly about INR1,400 crores of order book which is pending to be executed.

In the last five quarters order book, we have roughly gone live with two-third of the business.

And your last question was on total BLA. So I think the fixed price BLA is covered in a managed solutions part because that's where it comes. I don't know the specifics of it right now, but the transaction link BLA is now less than 10%.

It must be 8% to 9% or 8% roughly, yes. And now again, I will, if we see transactions improving, if we see a contract coming at a price which makes sense, where we think we can take the risk

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return, we'll be happy to go deploy at that time. But right now this lever of growth, we will have slowed down. Many three years ago when we were going public, We talked about position sizing this business at 15%. We have then revised it downwards to 10%. So as things change we will p

ivot and we will be more conservative where we think is better to hold on to the cash rather than deploy it.

Divyansh Gupta: Got it. And how much of the book that is on hand expected to go live within this year?

Rajiv Kaul: Well, let's just come and tell you as we go live right now I think I really can't tell you right now.

Divyansh Gupta: No worries. And just if you can give an update on the bullion logistics, any client wins big clients wins?

Rajiv Kaul: Wait for H1 we will come and give you a little, I think we're taking feedback. We haven't really covered retail and bullion today. I don't want my team to be caught off guard. We'll come and tell you at the end of H1.

Divyansh Gupta: Sure. Thank you and all the best.

Moderator: Thank you, ladies and gentlemen. This was the last question for today and I now hand the conference over to the management for closing comments. Over to you, sir.

Rajiv Kaul: Well, thank you so much for the detailed questions. Thank you for your patience. Thank you for being invested in CMS. I do want to call out my team for having worked insanely hard over the last 5 to 6 months in helping the broader industry navigate the issues they've faced. I think we have had a very solid Q1 in terms of the effort which is going into the business. I think on most key metrics we are doing well.

I know the financial numbers may not fully reflected, but I do hope in Q2, Q3 we start seeing improvement which will reflect the quality of effort and quality of the institution in which you're all shareholders. Thank you and talk to you in October.

Moderator: On behalf of Emkay Global Financial Services Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2025

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CMSINFO/ SDDD/ 2511/009 November 11, 202 5

Dear Sir/Madam,

Sub: Transcript of Earnings Call.

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed transcript of post result conference call held on Thursday , November 6 , 2025 at 01.00 P.M. (IST) on Un-Audited Financial Results (Standalone and Consolidated) of the Company for the quarter and half year ended September 30, 202 5.

The transcript is also available on the website of the Company at www.cms.com

You are requested to kindly take the same on record.

Thanking You,

For CMS Info Systems Limited

Debashis Dey
Company Secretary

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“CMS Info Systems Limited
Q2 FY '26 Earnings Conference Call ”
November 06, 202 5

MANAGEMENT : MR. RAJIV KAUL – EXECUTIVE VICE CHAIRMAN
AND CHIEF EXECUTIVE OFFICER – CMS INFO
SYSTEMS LIMITED
MR. PANKAJ KHANDELWAL – CHIEF FINANCIAL
OFFICER – CMS INFO SYSTEMS LIMITED
MR. ANUSH RAGHAVAN – CHIEF BUSINESS OFFICER –
CMS INFO SYSTEMS LIMITED
MR. PUNEET BHIRANI – CHIEF OPERATING OFFICER –
CMS INFO SYSTEMS LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the CMS Info Systems Limited Q2 FY '26 Earnings Conference Call hosted by Asian Market Securities. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to M s. Sonal Gandhi. Thank you, and over to you, ma'am.

Sonali Gandhi: Thank you Trisha . Good afternoon, everyone. On behalf of Asian Market Securities, I welcome the management and thank them for this opportunity. We have with us today Mr. Rajiv Kaul, Executive Vice Chairman and CEO; Mr. Pankaj Khandelwal, CFO; Mr. Anush Raghavan, Chief Business Officer; and Mr. Puneet Bhairani, Chief Operating Officer. I shall now hand over the call to the management for their opening remarks. Over to you, sir.

Rajiv Kaul: Thank you, Sonali. This is Rajiv. Good afternoon, everyone, and thank you for joining our Q2 FY '26 analyst call. Many of you would have attended our second Analyst Day in Mumbai on September 30, wherein we shared that in detail the industry landscape, H1 trends, some surprises and challenges and also the opportunities for FY '27 with potential for FY '30. Our youngest and fastest -growing tech solutions business is growing rapidly, generating significant momentum. The Securens acquisition has been closed and the teams are now working together on both the go -to-market and the synergy implications.

Our Retail Solutions & Currency Logistics business has had an impact in H1 from subdued consumption levels and extended rains, which affected rural income significantly. Our ATM Management Solutions business is going through a period of transition and churn, which has a bearing on growth and profitability in H1, but our competitive position, strong business fundamentals with consolidation will deliver growth in H2 in FY '27.

Order wins for the quarter are at INR500 crores, most of which are fixed price contracts in nature and from leading private sector banks. October is off to a good start with positive news. And with this, I would like to now hand over this to Anush, our Chief Business Officer, to give you a more detailed business update.

Anush Raghavan: Thank you, Rajiv. Good afternoon, everyone. Second quarter was a transitional quarter for us.

The industry is still recalibrating after last year's consolidation, and that has temporarily affected deployment cycles and network utilization. Several large private sector banks have rationalized their offsite ATMs due to lower transaction levels, while the rollout of new BLA ATMs under PSU contracts slowed as some MSPs have faced funding constraints.

Taken together, about 4,000 ATMs were temporarily inactive within our portfolio, which, along with weaker ATM transaction volumes due to extended rates have led to a revenue impact of about INR15 crores. Post the AGS issue, banks have reduced credit limits and exposure to certain MSPs. This has impacted the working capital cycles and increased our DSOs. We have taken a prudent provision of INR10 crores in this quarter, a proactive step to

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maintain balance sheet hygiene, while continuing to ensure we significantly improved collections and cash flows in H2.

On the cost side, 2 factors come into play. First, people costs increased due to long -term rate settlements in key regions. We have to be extra watchful that these negotiations do not cause any adverse ops impact. These multiyear agreements are now complete and will be offset through productivity norms over time.

Second, operating costs were higher

as we had maintained our full network during the quarter,

since the large PSU bank cash outsourcing contract closure was still pending. The RFP since then concluded. As a result of both of these, our EBIT was impacted by lower network capacity utilization and the temporary cost overhang. Productivity drives and pipeline growth should bring our margins back to prior levels over the next 2 quarters.

Coming to H2, there are positive developments. The large PSU bank as outsourcing RFP has closed after extensive negotiations and represents a INR500 crores incremental revenue over 10 years for CMS. Further banks have reallocated volumes across MSPs to ensure better traction on RFP rollout.

This gives us visibility of getting to 74,000 to 75,000 ATMs in our cash business by March of this fiscal year. Another major BLA tender for 4,500 ATMs, which are mostly an expansion and not replacement was bid at prices which are very close to interchange levels. This is a clear sign of improving pricing discipline in the ecosystem. At CMS, we are also targeting a 6% improvement in pricing and realizations in our ATM cash business by March. In our retail business, volumes were softer during Q2, but recovered strongly in October with a 20% increase on a month-on-month basis. This is the highest since the pandemic. Our investments in gig operating model continues to scale very well and should expand to cover 20% of all retail points by March, strengthening both cost agility as well as rural reach. With clarity on deployments, new PSU contracts and ongoing cost initiatives, we expect sequential improvement in both revenue and margins through Q3 and Q4.

With that, I'll hand over to Puneet, our Chief Operating Officer, for an update on our HAWKAI business and operations.

Puneet Bhirani: Thanks, Anush. So in our tech and payments business, we already demonstrated our tech progress and solutions at the Analyst Day. We welcome all of you to come and visit our tech center at Mahape, Navi Mumbai. On our HAWKAI remote monitoring platform, it continues to grow rapidly and is on track to reach 50,000 plus sites by the end of the year. This started at around 30,000 sites at the beginning of FY '26.

On the enterprise side, our non-BFSI portfolio continued to expand. We have successfully implemented 1,300-plus dark stores for a leading quick cost player and received an additional order for 500 sites. The pipeline for this business is growing strongly across NBFCs, insurance gold loan, logistics, diagnostic change and others.

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In October, we achieved a significant milestone for a critical unified build and operate project at the PSU bank covering approximately 2,000 branches with extensive AI use cases. This represents one of the first large-scale integrated surveillance transformation in India and positions CMS strongly for large PSU branch monitoring RFPs in FY '27.

As we speak, multiple banks are expected to roll out these solutions at the branches in the next 2 years. The RFPs for over 35,000 branches are being formulated by the bank. This itself represents a huge INR 3000 crores plus revenue opportunity for the industry. This makes us confident of achieving our HAWKAI target of 80,000 sites by FY '30.

Shifting gears to the operation side. We are doubling down on 4 key areas to drive transformation and bring about significant automation and cost synergies. First, rewiring our core operating systems to leverage machine learning to design routes and tips across the network. Second, coming out of delivery model for customers who value premium services. Third, given the large opportunity in retail, we are scaling up our gig operations with automation and control to provide cost flexibility and growth.

And last but not the least, extensively leveraging AI agents and bots to automate workflows and customer service to deliver

significant cost savings. I'm excited about the impact these initiatives will have in supporting our growth and margin aspirations. With this, I would like to call upon Pankaj, our CFO, to talk about financial performance of Q2.

Pankaj Khandelwal: Thanks, Puneet, and good afternoon, everyone. Our consolidated revenue this quarter declined by approximately 3% from INR627 crores to INR609 crores on a sequential basis, primarily due to temporary dip in our ATM cash logistics volume. From segmental revenue basis, Managed Services & Tech revenue increased by 5% sequentially from INR258 crores to INR271 crores.

And cash logistics volume dropped by 5% from INR417 crores to INR395 crores, linked to drop in ATM count and retail cash volume per point. Our PAT for the quarter was INR73 crores, reflecting a 20% decline compared to INR94 crores in the previous quarter, with PAT margin at 12.1%, a contraction of 280 basis from the last quarter.

This was driven by the flow-through impact of the revenue dip, temporarily lower realization from the largest PSU bank customer and higher provisioning due to increased AR on account of reduced credit availability to MSP ecosystem post AGS. We are actively engaging with these customers to streamline the reman cycle within H2.

In addition, there is an impact of higher wages due to signing of long-term base settlements, which are renewed average 3 to 4 years. While we could have focused on reducing our network cost in H1 linked to delay of the contract and the business volume, we have to be careful that employee engagement remain positive and harmonious.

In terms of our performance, overall revenue saw a growth of 1%, while service revenue grew by 5% year-on-year basis. Driven by performance of the service component of our Managed

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Services & Tech business, which had an annual growth of 18%. The PAT for first half of the year stood at INR167 crores compared to INR182 crores in the same period last year. As part of our broader cost rationalization efforts and considering H1 performance, the performance-linked ESOP will not vest and incentive payment will not accrue to the leadership team in this financial year, as these are directly tied to that performance.

This vision is consistent with our culture of accountability and ensure the leadership rewards are aligned with the business outcomes and shareholders' interest. As projects go live this year for our tech investment, capex spend in H1 is INR175 crores. Full year estimate of around INR300 crores. You will remember, we had deferred and curtailed capex in last year FY '25. On cash flow, H1 is seasonally weak in the terms of collection and DSO, resulting in the lower OCF in the first half of the year. The AR net of provision was INR959 crores as on 30th September '25, which is lower than September '24 of INR990 crores. However, temporary decrease in account payables by INR70 crores resulted in a negative OCF.

Our historical -- our historical 5 -year OCF EBITDA has been average 70% with majority of it accruing in the second half of the year. Our cash balance remained strong at INR687 crores in line with last H1 despite higher capex, increased dividend payout and payout for the secured acquisition. We expect to return closer to our FY '25 price margin level by end of this fiscal year, supported by incremental revenue from new contracts and network cost optimization initiatives. With that, I would like to invite Rajiv for his closing remarks.

Rajiv Kaul: Thank you, Pankaj. Let me summarize the key points for all of you. The SBI cash RFP has concluded and contracting and final approvals are under progress. As this project goes to live status, revenue from this outsourcing contract is an incremental INR500 crores opportunity for us over the next 10 years.

More importantly, this also creates a very good r

eference point for other PSU banks to

outsource more bank-owned ATMs directly for cash management with strong companies.

ICICI Bank is on track to become our second largest customer. Post AGS, the bank shut down almost 3,000 off-site ATMs in H1, but they are working with us to rapidly deploy currency recyclers to bring back the network to earlier levels.

With just these 2 contracts going live in H1, the ATM management solutions business should get back to growth in H2 and deliver double-digit growth in FY '27. Three other large bank RFPs across both private sector and public sector are expected to conclude in the next 6 to 9 months, which gives us further opportunity for growth for FY '27 to FY '30. The short-term pain in the last year, the collapse of an industry player, the credit taps being tightened for some MSPs are eventually going to help the ATM industry consolidate faster. This is also creating a better pricing environment for our upcoming RFPs.

In the retail business, October has seen a strong jump in cash volumes, and we hope these positive collection trends will sustain and continue in H2 with GST-driven reforms and demand. Our HAWKAI platform scale up is massive. I want you to reflect on this business, CMS Info Systems Limited

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such as created post IPO in 2022, and this business has gone from a size of INR0 crores to INR100 crores in its first 3 years and is now likely to go to INR250 crores revenue in the next 2 years. We do see smaller players unable to compete leading to consolidation.

We will, on our part, continue very aggressive investments in the HAWKAI tech platform to drive this high 50% growth CAGR opportunity and for this to become a large part of our revenues. Tech investments are also higher and needed to transform our core operations to reduce physical operating costs and to create a strong tech moat to help in sustaining margin profile and give us more agility.

Looking back at the beginning of the year, while we knew FY '26 will be a softer year between FY '26 and FY '27, but H1 threw up surprises at the macro and industry level, which we have explained in enough detail. While these are unpredictable, our team has solid experience in handling worst situations. FY '16/'17, we dealt with de monetization.

And FY '21, '22, we dealt with COVID. Each time, we have prevailed, come out stronger, leaner with higher market share to deliver strong growth. As a team, we are aligned with our stakeholders and shareholders. Pankaj has already detailed the nonvesting of performance ESOPs for FY '26 as well as nonaccrual of performance-linked compensation for the year. From a key near-term metric, the H1 services revenue of INR1,125 crores should grow by 9% to INR1,225 crores in H2. This will mean an overall FY '26 services revenue growth of 8%.

That run rate in H2 of annuity revenue will provide us with a very good base to hit our FY '27 services revenue target of INR2,700 crores to INR2,800 crores, which is a 15% to 19% growth.

With that, thank you so much, and we'll move to Q&A.

Moderator: Thank you very much. The first question is from the line of Baidik Sarkar from Unifi Capital. Please go ahead.

Baidik Sarkar: Thanks for the detailed background and context setting a couple of questions. Just so that I got your previous -- your last comment, right? Did you call out that the combination of cash management services and managed services revenue will be about INR1,225 crores in H2 ?

This is excluding the hardware component. I'm sorry if that's a repetition.

Rajiv Kaul: Yes. So I think, Baidik, if you reflect back on both the Analyst Day and the way we've said businesses are merging in each other, we sort of are focusing on the annuity and services revenue. Services revenue will cut across all our business lines and will not include the product revenue.

Baidik Sarkar: Right, right. No, that's

interesting. So the SBI RSP that we've closed this quarter, right? So as the base case that tantamount to about a INR70 crores to INR150 crores revenue potential per annum. But I also understand that there's already billing a part of that for services that we're doing by measure of goodwill before the RFP was finalized. So my question, Rajiv here is that

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what's the incremental revenue at stake here? Or is the entire INR50 crores to INR70 crores likely to be incremental?

Anush Raghavan: Baidik, Anush here. So I think if you look at the commentary that we have shared in the presentation as well as on the call now, the INR500 crores that we're talking about is only purely reflective of the incremental revenue opportunity.

Baidik Sarkar: Okay, incremental. Got it. That's interesting. And some very interesting comments on the GIG model, Rajiv, could you please flesh that out more and what that does from a fixed cost savings perspective, point number one? And secondly, on the employee cost reduction that we've seen in Q2, how should we read this going forward?

If you can just call out the cash, noncash component, is this a onetime reduction? I understand the part of the ESOP notvest and probably you've added back some part of the incentives that would have accrued. How are you thinking about this line item going forward?

Anush Raghavan: So Baidik, Anush here. I'll take the first part of the question on the GIG and revert to Pankaj for the comments on the second part. The GIG is really -- if you go back and think about what we are trying to do on the retail opportunity is to really sort of try and expand the market. which is to go beyond just the urban, semi-urban and expanded from the current 200,000 outsourced market closer to 500,000 market.

All of this, of course, needs investments on the business side and being able to create new use cases using technology and solutions to integrated retailers. From the operations and service delivery, it also needs us to create a certain agility in creating service delivery models in places where our network perhaps doesn't exist or the density of business points do not justify a large fixed cost network operations.

The GIG serves as a very useful way to drive growth into some of these underpenetrated markets. What Punit spoke about in terms of using a lot of machine learning algorithms is to also constantly keep evaluating our network operations, looking at the density and deciding on a very frequent basis, almost on a weekly, fortnightly basis, what are the best sort of resources to deploy for the different types of business points. So GIG becomes a very useful almost edge case scenario for opening up these markets as they mature over a period, we evaluate what is the right way to do it in 4-wheeler routes and what type of routes, for example.

Rajiv Kaul: I just want to add to what...

Baidik Sarkar: GIG will probably be applicable just for the new business cases and not existing centers of cash, cash pickup. Is that right?

Rajiv Kaul: So I think overall, what we will have to examine is basis the risk profile and what amount of money we have to handle and the network density and reach we will start having more of our operations, remote areas on a GIG-based model, where we don't need to deploy the entire crew and all. But I think we'll just step back a little bit again.

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I just want to add to what Anush said. If I go back 2 to 3 years, many times when you talk to a

large, we are working with banks only, right? When you walk to -- directly to a retailer or an NBFC or a gold loan company, you can't go and pitch a solution and say, "You know what, only -- I can only do 600 branches where I have presence the remaining you go figure it out." So I think for us, the idea is to say, except

whatever is the entire network and then file out how

will we deliver it for that way of investment, creating GIG capacity that this capacity will not always be profitable or will not function fully in the first 3, 6, 9 months, but at least gives comfort to our direct -to-retail clients that we will support them end -to-end.

And over time, we need to get faster in how we see, how to make this network operationally profitable. And that's why the investments in ML and are going in to be able to tailored our ramp -up ramp down, in line with how we take business points.

Baidik Sarkar: Okay. And on the employee cost reduction, but is this a one -off I mean how are you thinking about this going forward? I understand your comments on the ESOP and the incentive pitch, but how should we model this perhaps the next year and onwards?

Rajiv Kaul: I think the employee cost reduction which you're seeing in Q2, especially linked to the 2 things we talked about are one -off. And therefore, they won't obviously be -- you won't see that in Q3 or Q4. However, as Puneet and Anush both talked about, I think we are driving very significant productivity.

Also, sorry, there will also employee cost increases, which are in terms of more longer term through our LTS agreements. But I think we have already started off a fairly intensive productivity and cost optimization efforts, which in H2 won't happen only in Q3 should help us make up for this.

Baidik Sarkar: So quantitatively, what does that mean? I mean do we revert to a run rate of INR90 crores a quarter? Or will it be between INR80 crores and INR90 crores for the quarter qualitatively?

Rajiv Kaul: Baidik, I don't know the answer to that question right now. I think we don't have -- we also will not be able to forecast Q3, Q4 line -by-line costs right now. We'll tell you end of Q3, but I think our goal is to make sure that our EBIT and PAT margins are trending back to normal by the end of the year.

Baidik Sarkar: Okay. And just last 2 questions, Rajiv, thanks for bearing with me. The provisions that we've taken, is there incremental stress in H2 as well? Are we scaling down that business? How should we read that?

Rajiv Kaul: On provisions bucket.

Pankaj Khandelwal: So in addition to the usual risk provisioning, we had taken incremental ECL provisioning due to elongated payments from certain MSPs. We are working closely with them to streamline the payment. And we expect that a normal risk provisioning plus ECL provisioning to be in the range of 4% revenue in line with our historical trend.

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Rajiv Kaul: I think overall from some of these MSPs are revenue stream is about 8% to 10% overall revenue, I don't think we are looking to right now tailor it, but we will control exposures. H1 generally, I think there's just always seasonally very weak for payment cycles from banks to vendors to MSPs to us directly. H2 things always pick up. This year has been a little bit more tighter, I think, as I said, some of the credit uptakes have been lower. But we are working closely to get this under control.

Baidik Sarkar: Yes. And just for that, I know how bad this is. I mean, what's the aging here? Have we crossed 6 months on this INR10 crores worth? What's the rough aging count there?

Pankaj Khandelwal: No, we provide on the basis of accepted credit loss and risk provisioning what we do for our cash business. And this is based on the -- it is not only the MSP. Overall -- overall because...

Baidik Sarkar: I appreciate that policy, but just so that was a bit more quantitative. I just would like to understand how bad is this? I mean this is beyond 4 months, is it beyond 6 months. Just a rough cut will do. I don't need the exact day count.

Pankaj Khandelwal: No, no. I'm saying the DSO level, Baidik, in H1 this year is the same as it was last year at this point. In September last

year...

Baidik Sarkar: I meant gentlemen, for the specific pool of INR10 crores, like I mean, obviously, this is stressful. Is this beyond 6 months? Is this beyond the quarter? So what's the quantitative breakup of that?

Pankaj Khandelwal: This INR10 crores is basically between Q2 and Q3. Q1 and Q2, what is the incremental provision we have made for cash business that this INR10 crores represents that. And largely, it -- largely is because of the MSP, the additional...

Rajiv Kaul: Baidik, 6 to 9 months would be the pool of time if you're talking about...

Baidik Sarkar: And just lastly, if I just got one of your comments right, INR3,000 crores of RFPs in pipeline,

did I get that right? And how should we imagine this going down to CMS?

Rajiv Kaul: No, no. Let me -- I think Anush, Punit explained this. So the -- if you specifically look at HAWKAI, HAWKAI has a sub-vertical opportunity where bank branches are going to move to this level of technology for surveillance and security, whatever they need to do. We had a very intensive project, which is going live right now.

We know there are many banks which are coming up and working on their RFPs. These are technologically fairly high end. All of them have consulting firms, helping them come up this RFPs. The pipeline of these RFPs will be roughly 30,000 to odd or 35,000 branches.

That will present an opportunity of INR3,000 crores revenue size for those banks, just for those 30,000, 35,000 branches to whichever companies are able to win in that. So I think it is specific to branch level, remote monitoring solutions, where HAWKAI is a leading contender.

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Baidik Sarkar: And just a last question before I get back in the queue. What's the scale of payments business today? And what's the playbook here specific payment business?

Rajiv Kaul: Well, I think from the payments business, right now, our payments business is limited to specifically what we do in our card management card personalization solutions, which -- and however, if you go back to what we talked about in the Analyst Day, I think we are making very aggressive and active efforts in -- through M&A to look at B2B, fintech and payment type firms to see how do we expand our range of services to both banks and NBFCs.

So right now, it is limited to what we do through card personalization services, which is roughly -- the revenues are reported separately anyway in P&L, you can have a look. But in future, we hope this will grow through more technology and payment companies, which will be part of our overall network.

Baidik Sarkar: Is it possible to quantify what the hardware part of our business plan in H2? I mean because you've already called out the services part?

Rajiv Kaul: I think hardware business is roughly, I think, as a trend line are in the 10% report each year. The timing of this is not usually under control, but 10% of revenue roughly. But maybe we are overall, Baidik, we are looking to have this as a lower percentage of maybe 7%, 8% of overall revenue in this year.

Moderator: The next question is from the line of Vikrant Bandekar from Ashok Core Investments Family Office.

Vikrant Bandekar: So my question was regarding the 3 segments that you have, right, for ATM cash management solution, retail cash, retail solutions and technology solutions, how are the profile margins profitability profile margins are defined in this each sector, right, because the businesses are completely different, like the cash logistics business, you have like operational efficiency needs to be on top and cost leadership is important to grow that business?

However, if you look at the technology side of business, the innovation part, the product differentiation comes into place. So how is the profile margin defined between these segments if anyone can take on that?

Rajiv Kaul: So I think,

first of all, the 3 segments we talked about, we will start reporting revenues by these segments by end of the year. We've just finished our large ERP refresh. And we ended the year, we'll give you revenue by the 3 businesses we explain to you at the analysts summit. Coming to profitability, I think it's not just profitability also return metrics, ROCE.

I think for us, every business, if you look at our overall 25% ROCE, I think there will be some business a little higher, some a little lower. But our overall aim is to create these 3 platforms, which can self-fund the growth and therefore, need to have and sustain good good margin profile and good return metrics.

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As a principle, we don't normally invest in any project or business unless we are able to see a minimum IRR of 18% or 20% of the business. and ROCE in the 18%, 20% range or ROCE in the 20% plus range. We today cannot give you detailed profitability metrics by business simply because the entire network runs together. But by then, hopefully, we should have almost 80% of the network running independently linked to that business. There will still be 20% which we shared. But at that point, we'll have a better sense of each business's operating metrics at that level.

Vikrant Bandekar: Yes. Just on that, just expanding this question. Like how the capex has defined across these 3 segments like the management focusing more capex on the technology side of business going

forward as it is a growing business and needs to scale up accordingly to the management estimate around 80 k sites. So is the capex going towards more of it? And are the return profile matching back for the technology business, particularly?

Rajiv Kaul: Yes. I think the return profile on our technology business are very good. They're already very good and strong from what we can gauge from the numbers we look at. And that's what drives the investment case for us to approve it and for the Board to approve it for us to keep investing in that. I mean you look at the growth, right? I said INR0 crores to INR100 crores, INR100 crores to INR250 crores is the target.

That will need investments. However, I think those investments are starting to pay off for itself. On the second point, I think for us when you think about any capital allocation, whether it is in capex or any other area, I think we are looking at it. I don't think there is a priority on a particular area. There is not a -- one business gets a little better approach. I think simply, we compete. We look at what our capital allocation policy is.

We also look at the project should fend for itself. And if you think of it in the last 1 year, we had opportunities for, let's say, having higher growth because in some of the ATMS, which companies won, they could not deploy certain banks came to companies like us to come and take up the project to deployment, and we evaluated it. We had the opportunity to get that business and growth, but we didn't think it will be sustainable in a 3 - to 5-year period.

And therefore, we didn't take that up. So we sacrifice and we let go of growth, but we weren't confident of the return on the project, let's say, specifically for the BLA segment. So I think, for us, each project has to meet a threshold has to have a margin of safety. And I think all of our business lines are delivering good return metrics. So we're not concerned of discount.

Vikrant Bandekar: Just to know that, are you considering like going forward, like 5 to over the next few years period? Do you see the technology business covering most of the significant portion of your revenue mix?

Rajiv Kaul: No, no, no, it cannot. No. I mean if you look at our overall numbers, we've talked about in the analyst deck. I think the overall technology sector, we're saying should contribute by this year to roughly 10% of revenue. So can't

this -- I mean you are keen that we do 70,000, 35,000

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ATMs in cash management, right? That's a huge revenue stream out there. There's almost INR1,000 crores. So technology can't become INR1,000 crores overnight, right? So...

Vikrant Bandekar: Just it is 7%. So can it go to 15%, 20% over the next period. I just wanted to know that how -- like it is just -- it is a recent business around 2022 and it has scaled up to around 7% in around 3 years. So how are you looking over like it close to 15%, 20%?

Rajiv Kaul: We are looking at to cross 10% by FY '26, '27. If we get that going, I think the opportunity for it to hit 15% in the next 3 years is quite high. But you have to keep in mind -- and I've said this from the last 3 years, our core businesses around ATM and cash also have been growing at a very good CAGR. So the contribution of these high -growth businesses just starting from 0 cannot be -- they can't become 30% because our other core business also are growing well. And...

Vikrant Bandekar: Yes, because they are double digit growth in that also?

Rajiv Kaul: Right. We do forecast them to also grow reasonably well.

Vikrant Bandekar: Right. And just on the part of this Vision AI business that because it has a large TAM around like around INR8,000 crores, as mentioned by you, like the BFSI segment, you guys have the experience over like between 15-20 years in the BFSI segment. So the customer acquisition becomes easy in that.

So the management is now targeting non -BFSI sectors and already in wins contract in quick commerce and EV industries. So how are the customer acquisition costs are different? And what are the major problems that management is facing in acquiring those non -BFSI targets? And is the cost and benefit cost benefit is aligned with that? I just wanted to understand that.

Rajiv Kaul: First of all, I think for us, in a technology -led business, there is platform building cost, which is commoditized over all customers, not specific to any sector. Then there is solutioning cost, which is client -specific, right? You customize solutions for a particular client. We will only customize under investment in that.

Some investors work out, some don't work out. But I think from an overall tech business, these are investments you keep making because you're building the tool kit, you're building AI use cases, they'll come in handy in other industries also. So I think for us, we are only right now able to tackle or cater to clients where there is a large footprint.

Smaller clients, we can't even go after. So unless somebody has got 500-1,000 locations, 2,000 locations, we don't even have the technical people available to build a solution case for them. And neither do we want to focus on it, right?

We want to focus on large clients. I think a large client needs CMS. Smaller clients don't need CMS. I think they will have other companies they can work with many more effectively. So I think the cost for us, because it's a horizontal approach are -- we think of it, there may be some use cases different, but a lot of the platform cost is fungible across sectors.

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Vikrant Bandekar: Right. And is a differentiation that makes this business like go across like meters switching was high for the customer? Or what is the case for that in the new CS you're talking about for the region?

Rajiv Kaul: I think the -- it's a good question because our technology-led business, you can get disrupted significantly surprising people. I think the way we do this is because there is capital involved.

We lock -- we only work with clients where there is significant lock-in periods, right? We're at least a 5 to 7 years.

Now having said that, I think have come ourselves and disrupted people here, right? Because we are the last year of the

sector in 2021. So I can't say that there won't be somebody else who can't do this. Tech businesses across any platform have that risk and you are to live with that risk. What you can do is keep investing and innovating so that your solution sets are leading are strong and are delivering value to the clients.

I think what is a note for us here isn't only just a tech is that -- I think of supposing you and I want to set up this business tomorrow, right? We have -- we see to give those INR150 crores, we go and start building this platform, we compete. What we both won't have is a company present in 250 locations, is 1,000 engineers in the field to fix things when things go wrong, which happens all the time.

Many people deploy stuff, but nobody knows where that will happen to their deployment. And how do they go fix it when the last mile issues come up. I think our moat remains our network reach, client management and also, frankly, the brand for large NBFCs and large banks who trust.

Vikrant Bandekar: Right. And just regarding that, the H1 consolidated balance sheet, we can see that there is a significant increase in intangible assets and in cash flow, so we see increasing purchase of PPE and intangible assets, so is it regarding majorly towards technology business? Or is it spread across the 3 segments that you guys do?

Pankaj Khandelwal: We have acquired 1 company Securens in this period is related to that.

Moderator: The next question is from the line of K rushi Parekh from Bugle Rock PMS.

Krushish Parekh: Yes. So I just want to first understand that this decline in the business touch point, is it purely related to the ATMs because of -- so what is the reason for the shutdown of these ATMs, first of all?

Anush Raghavan: Krushish, I think we detailed somewhat in our Investor Day, but just to briefly summarize. Post the AGS situation, many private sector banks, both used it as an opportunity, also looking at overall ATMs, which weren't contributing meaningfully in terms of transactions, they prune those estates down.

So some of the large private sector banks at the industry level shut down large parts of their offsite ATM network, instead wanting to refocus on setting up new recyclers, either on --

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mostly on -site locations. The second reason for that churn that we witnessed has been public sector banks, which had awarded RFPs under mostly the brown label ATM contracts in last year to MSPs those MSPs because of, again, the AGS situation, banks which had curtailed their limits and borrowing exposure to some of the midsized ones, found it difficult to have the capital adequacy to roll out these contracts.

So through most of H1, we've sort of dealt with these headwinds. As we come into Q3, 2 things have happened, which is rollout of those private sector contracts have started gaining momentum. As Rajiv said, with ICICI Bank, who is soon emerging as our second largest customer for CMS, we are well on track to deploying these solutions for them.

So other set of banks who have given our orders to some of these MSPs have reallocated that from some of the weaker ones to the other more willing ones and those are the balance sheet strength to roll out these orders. So that's sort of led to that temporary decline of 4,000 ATMs in the last 3 months. But as we have come into October, we started seeing a pickup in momentum on ATMs coming back into activations. And by end of this year, around March, we think we should be able to make good delta and create some growth for ourselves.

Krushik Parekh: Okay. So Anush, just to understand, so a good portion of this pruning is behind us now, and we are now looking at a normalized rate of growth in the ATMs by then?

Anush Raghavan: Yes. Yes. So H2 versus H1 being a 9% growth. All of this is a contributing factor in that.

Krushik Parekh: Okay. Okay. So just to

continue on this particular point. Now the thing is that again just some certain great winds and some other conversations in the industry, a good portion of these ATM sites are permanently out of the system is what the sense that I'm getting -- we are getting out here.

Okay. Now if say, for next 1 year, 2 year, I mean you do have some orders in hand, but if say, for next 1 year, 2 year or odd with the banks are not willing to increase their ATM side. Is it there something that we have some kind of a plan we to ensure that we may own some kind of drag in there?

Anush Raghavan: Yes. I think good point, right? So you got to sort of look at -- there is one strategy or tactic being adopted by banks. I think it really depends on private versus public sector approach. For the private sector banks, the -- what most of them are seeming to do is to shut down or reduce their exposure to off-site networks. Off-site ATMs, so what private banks used to capture transactions on an acquiring basis.

That is from debit cards, which did not belong to their banks, but from other banks. Over a period of time, with the growth of both our public sector bank networks and white-label networks and the general decline in transactions, they have found this to be not a very attractive proposition. Instead of saying we use the capital and the bandwidth to refocus and invest into creating much higher quality networks in their on-site networks, which is the branch.

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So if you look at what -- just to give you an example, again, ICICI, what they're trying to do is to remove all of the older ATMs that were there in their branch network and set them up with new recyclers. Our engagement with them on setting up on our software solution of algo multi-vendor solutions is also to try and use this branch as some of our technology demonstrator for multiple activities that can be done beyond cash transactions alone is the coming period.

And that's the theme that I think we will start seeing happening across other private sector banks. Public sector banks are still balancing between on-site and off-site. There is no goal there to either reduce ATMs or shut down anything.

And when we look at the last year, 1.5 years, out of the top 5 or 6 banks in India, both private and public, most of the RFPs or these replacements has only happened on 2 of these largest banks. The next 3 or 4 all are going to come out with RFPs either for replacement or growth of their networks in the next 12 to 18 months. So I think to us to create enough of a tailwind and opportunity.

Also bear in mind that I think we've undressed this earlier as well that the CMS portfolio over a period of last few years has had a strong bias towards public sector banks because we were very late entrant to this market and consequently grew that business on the back of RFPs.

Today, with private sector banks wanting to redo and refresh their network, that becomes a very interesting opportunity for us to start engaging with customers who we haven't done so far.

Krushik Parekh: Okay. Okay. So broadly, from what I understand, we are still largely dependent upon the trends that you have seen, it's a temporary miss, but hopefully H2, or maybe next year onwards, the lethargy in the system corrects and we start seeing the growth again?

Anush Raghavan: Yes. I'll just go back to what we said. I think there is a very strong growth opportunity within our core businesses. And I think Rajiv addressed this, and we also spoke about this in the Investor Day, which is when we just look at the ATM market, the fact that most of the public sector bank ATMs are still not outsourced.

The refresh pipeline of these ATMs presents itself as a very interesting opportunity. So yes, we had this blip off 2. We see those ATMs coming back into circulation by Q4 and also delivering some growth to us. that

Q4 performance will give us a very solid base for FY '27.

Krushik Parekh: Okay. Okay. And one more question, so this...

Anush Raghavan: It's also a very consolidating market, right? And that sort of presence itself has a very interesting structural tailwind to us.

Krushik Parekh: Just one thing also on the numbers, this capital WIP of INR141 crores. So what would be the breakup of this?

Anush Raghavan: I think, we have -- Pankaj, go through that and come back to you if we can sort of take another question in the meanwhile?

Krusha Parekh: Sure, sure. So as of now, I'm done, but I'll be on the call for that particular thing.

Pankaj Khandelwal: These are the projects under execution, like we have around INR1,400 crores of the project under execution. So these are the WIPs CWIP related to those projects which are under development.

Krusha Parekh: So any particular projects that you are referring to on this?

Pankaj Khandelwal: Yes. Couple of projects we have already given like UPI, etcetera, like branch UPI or some of the other fixed price BLA, etcetera. These projects are part of that.

Anush Raghavan: Yes. I think if you remember last quarter, we had about INR1,500 crores of orders, which were pending execution. This quarter, we won INR500 crores of new orders and the pending order book for us to execute is about INR1,400 crores. So with such large order books, which are both being executed and won, they're always an element of work which has been done and pending approvals will translate into revenues.

Krusha Parekh: Okay. And any particular word on the -- any acquisition size or on the emission side?

Pankaj Khandelwal: Work being done. We will obviously update only when we have something, but right now, nothing.

Moderator: The next question is from the line of S.K. Devnath, who is an individual investor.

S.K. Devnath: Really by the effort for maintaining the result business as it has been seen for last 12 quarters. I have some personal query, which is related to the ATM's only, as I find that with the increase of the digital transactions. How the ATM's expansion by the banks will take place, say, 5 years from now, and it will impact our currency logistics business and ATM management business? How you plan to address the same?

Rajiv Kaul: So I think for the currency ATM business, first of all, if you look at both driven by public sector banks needing to access their reach of customers, their availability. Banks need to have a number of ATM's available to consumers at all times. We think there will be some steady growth in the installed base.

Intelligence has increased by RBI in May, and the white label becomes an interesting opportunity where deployers are looking to increase ATM network in semi-urban room. We are seeing higher usage of ATM's in semi-urban room, and that's where we think the PSU banks and WNA operators can service this more. The private banks as cost of technology remains lower and as people costs go higher, we see private sector banks deploying more machines within their branches as they refresh those branches.

Now from an industry today, I think the overall industry at a managed services level will have 6 or 7 players. We do see this reducing to maybe 3 or 4 companies over the next 3 or 4 years. Therefore, the revenue side and the pool size for companies will go up as smaller or medium

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players exit. As you have fewer players, the need for the service will remain the transactions that the ATM may reduce.

So if you used to go to an ATM twice a month today, you may go once a month or something. But you have to maintain and run this network like you need to maintain and run a branch. I don't think that is going to change in the next 5 to 10 years. And therefore, pricing, which you are doing

when there are lesser competitors competing, I think, will go up.

So I think the volume growth may reduce in 5 years' time, but outsourcing from PSU banks and pricing should make up for it to keep continuing this at an 8% to 10% growth opportunity. Having said that, this is a business which was, let's say, 60% of our revenue some years ago is now at about 50% of our revenue. And over time, as the retail business and that technology business grow faster, the share of this business will steadily maybe reduce, which is also the goal, which is to have more business lines which are able to help us drive growth.

So I think for us, we look at the fact that we have multiple lines of businesses. We look to expand into other services, which we can cater to for our banking, NBFC and retail clients. And as we drive free cash flow, out of our current businesses to invest for growth into new sectors, we should be able to maintain a reasonable growth profile.

S.K. Devnath: I just would like to ask a layman's question, that is that how we are utilizing AI in the days to come?

Rajiv Kaul: Sure. So I think it's a great question. I think for us, AI, we started with extensive machine learning and AI use for our HAWKAI platform, which is our remote modeling solution. So we've been doing that for the last 3, 4 years and investing more and more because a lot of the

security surveillance and all we are doing through a HAWKAI solution is by agents and by AI and not with physical eyeball monitoring.

I think that learning is now powering into our core operations. Punit explained that in a note saying a lot of our route network, where we go, what we pick up, how much we pick up, what's going on, how do we keep changing our routes dynamically basis either seasonality or demand is all being -- we are investing in machine learning with algorithms to help us drive the next level of operational framework.

I think for our company of our size, this is a big investment, but for a company of sites, given the amount of we touch 130,000, 140,000 touch points, I think it helps us apportion the cost more easily to drive better, say, better margins over time. So machine learning and AI is being used extensively in our core operational business. It's also in our BU, our business line on HAWKAI.

Moderator: The next question is from the line of Praveen Kumar from Acuitas Capital.

Praveen Kumar: A couple of questions. The first 1 was on the EBIT margin on the cash logistics business.

You've attributed the drop to lower -- I mean, lower network utilization and the provisioning.

So -- but particularly looking at the network utilization part of it, how much of it do you

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attribute to the consumption slowdown versus these temporary factors, which you attributed to in terms of southern network being down currently.

So could you throw some light on that in terms of where do you see this heading in the next -- in H2 and also during FY '27? This was the first question. The second question was on what you referred to earlier about private sector banks and others, but clearly looking more at on-site ATMs in the offsite ones. So how do you see that impacting your revenues in your various segments. This movement from off-site to on site, both in terms of revenues and some broad margin kind of profile.

Anush Raghavan: To your second question first, is the easier one. I think broadly, the switch from upside to on-site we generally view it favorably for the simple reason that it's not so much about where the ATM is but what is the nature of the outsourcing model. When banks are outsourced and offsite, they generally had a preference to move to sort of move to a transaction model simply because the selection of the site was being done by the MSP and not the bank. Whereas when it switches to an onsite, this is more a bank seeking a higher quality

of engagement with

respect to how a branch ATM should be serviced. They want partners who are able to bring in that resilience and robustness and that quality of service of a very different order than what necessarily was being done at onsite ATM. And that can only happen if there is predictability and certainty of revenues through a fixed price model, so we generally sort of tend to have a bias for one -- the fixed price.

Coming to your earlier question on what has caused that dip in the revenue, as you rightly attributed from an EBIT perspective, it's a combination of 3 things. The first week, the impact on our network utilization. Generally, as we've spoken in the past, managing our network capacity utilization through just running a very high quality of productivity management is something that we've been doing for many years now.

Q2 cited to unusual situations. The delays in the closure of this large PSU bank RFP, which meant that until the time it didn't get closed out, we had to carry that capacity and consequently the cost. And the second being the temporary different ATMs, which has basically meant that ATMs, which were installed, taken out and either were being replaced at the same site or being relocated to a different location from one offsite to on-site.

We knew it was going to happen. Now the uncertainty is really in a matter of time. It could be a quarter, it could be 2 quarters. So for that short-term period, just trying to reach in the network and ramp up and run down work in capacity and incurring restructuring cost is not really worth it. So at the end of Q3 and Q2 and Q3, when we speak about this now, we believe we have a far better visibility to be able to make the necessary changes to our network capacity.

Both through cost reduction, business which comes back into our network, leading to overall margin improvements and getting it back on to track the way it was last expired. You're right.

This is on the physical side of business points impacting our network. The dip in the cash

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collections on the, which are more consumption-oriented in Q2 in retail, have also impacted

revenue.

So if you look at our total revenue impact of about INR18 crores, INR20 crores, about INR5 crores a month, INR15 crores is what is attributed to the ATM side and the rest would be on the retail. And as I shared with you earlier, in October, with spending coming back on the retail side strongly in a 20% lease month -on-month, we think that should lead to a recovery of this business as well.

Praveen Kumar: So where do you see the cash logistics, the margin on that heading in the H2 and next year? I mean we have some rough sense?

Anush Raghavan: So as we said, no, by end of the year, we hope to recover that back to where it used to be before this.

Praveen Kumar: And your earlier response on the offsite to on -site transition. So one question I had -- I mean on a follow -up question on that was that -- for offsite ATM, is it possible that a bank might require fewer services and might want to do some of the stuff themselves. And does that lower the pool of revenue that you can attack versus an off -site?

Anush Raghavan: Not really. In fact, if anything, it was the other way around, conventional experiences data has shown that on -site ATMs tend to attract more number of footfalls simply because these are branches more people go to trade there for various reasons. Banks are very keen to switch transaction from branch to branch associated on site locations.

It's extremely expensive for a bank to have people walk in to a cash teller and do any sort of a transactional banking activity. It could be cash related, it could be account related. A lot of that is what they want to transition to their own site, ATMs and recyclers. The only delta between on-site and offside is really around rental electricit

y, where in an on -site because it's part of our branch, those are borne by the bank.

Praveen Kumar: And when you referred that private sector banks are moving more to recycle versus aeration. How does -- how are you positioned in that in terms of the hardware? I mean do you have -- because you traditionally had more experience on the traditional ATM side versus the recycler. So how do you see that impact?

Anush Raghavan: Not really. I think within the industry, the lens CDs, cash dispensers for what is traditionally ATMs and recycles. But outside in the gene continue ATMs as a catch -all phrase to talk about both. We were one of the first initiatives and pioneers of bringing the cyclers also into the country.

I think it was way back in 2015 or '14 when we won what was then the largest order for currency recyclers to be deployed across State Bank of India network. So we have a fairly deep and entering it going back. And we really are a full stack solution in this space, right, from having the right product from our partners, young to an engineering team which understands this extremely well and servicing and solutioning.

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And more importantly, when we combine that with the software platform the algo , the benefit of that in was in which bank is able to use a recycler and provide a whole host of additional services to their customers, including things like account opening, KYC and various other noncash related transactions. That can be a very powerful combination.

Rajiv Kaul : In fact, I want to add one quick point. If you think of specifically price to the banks, when they think about upgrading their branch networks and adding more recyclers, they are very hardware agnostic really. They are very service -focused, like service and quality.

And in fact, we have 1 or 2 clients who would like us to not only work with our current hardware partner, but with more to become hardware agnostic but they would like to prefer CMS to do the work irrespective which hard ware working on. Now I'm not saying that's a trend for the whole sector and the industry, but at least 1 or 2 clients have been focused on that with us.

Moderator: Ladies and gentlemen, in the interest of time, this was the last question. I would now like to hand over the conference over to the management for the closing comments.

Rajiv Kaul: Well, thank you so much for so many detailed questions. We thought we would have a more descriptive monologues from our side and hopefully reduce the question, but I'm happy to hear them out and give you better clarity. As we had October is off to a good start. We hope that trend goes out well for us the rest of the year, and we hope to have a much better H2 to bring us back online for our FY '27 goals. Thank you for your time, interest and patience.

Moderator: On behalf of Asian Market Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Feb 2026

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CMSINFO/ PKDD/ 2602 /008 February 18, 2026

Dear Sir/Madam,

Sub: Transcript of Earnings Call.

Pursuant to Regulation 30 read with Part A of Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of Conference Call held on Friday, February 13, 2026 at 12:00 Noon (IST) on the Un-Audited Financial Results (Standalone and Consolidated) of the Company for the quarter and nine months ended December 31, 2025 .
The transcript is also available on the website of the Company at www.cms.com
You are requested to kindly take the same on record.
Thanking You,
For CMS Info Systems Limited

Debashis Dey
Company Secretary & Compliance Officer
Encl: a/a
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BSE Limited
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“CMS Info Systems Limited
Q3 FY '26 Earnings Conference Call ”
February 13, 2026

MANAGEMENT : MR. RAJIV KAUL – EXECUTIVE VICE CHAIRMAN
AND CHIEF EXECUTIVE OFFICER – CMS INFO
SYSTEMS LIMITED
MR. PANKAJ KHANDLWAL – CHIEF FINANCIAL
OFFICER – CMS INFO SYSTEMS LIMITED
MR. ANUSH RAGHAVAN – CHIEF BUSINESS OFFICER –
CMS INFO SYSTEMS LIMITED

MODERATOR : MR. AVINASH SINGH – EMKAY GLOBAL FINANCIAL
SERVICES LIMITED

CMS Info Systems Limited
February 13, 2026

Moderator: Ladies and Gentlemen, Good Day, and welcome to CMS Info Systems Limited Conference Call hosted by Emkay Global Financial Services Limited. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand over the conference to Mr. Avinash Singh from Emkay Global Financial Services Limited. Thank you, and over to you, Sir.

Avinash Singh : Good afternoon, Everyone. I would like to welcome the Management and thank them for this opportunity. We have with us today Mr. Rajiv Kaul, Executive Vice Chairman and CEO; Mr. Pankaj Khandelwal, CFO; and Mr. Anush Raghavan, CBO. I shall now hand over the call to the management for their opening remarks. Over to you, Gentlemen.

Rajiv Kaul : Good afternoon, and welcome. This is Rajiv. Let me start with an opening. This has been a very hectic quarter. Before we dive in, I want to rewind back and to set some quick context for those of you who may be recent participants on our calls.

In FY 2022 to 2024, we have successfully achieved our 3 key operating goals and metrics on revenue growth, margin expansion and market share gains. FY '24 and '25 saw an increase in competitive intensity, and we sat out on most transaction BLA RFPs where the pricing was pretty low. We, in line, reduced our capex spend from an average of INR 200 crores a year to INR100 crores levels to preserve capital and to avoid low-quality growth. At the beginning of this year and FY 2026, we were quite optimistic and positive. ATM interchange increase had been approved and announced.

Our key competitor was winding down operations, and we were almost certain to be awarded a large cash RFP, which was fairly unique from the country's largest bank for almost 10,000 ATMs as the sole eligible bidder. This itself would have been INR 100 crores to INR125 crores of incremental revenue for FY '26, which would have been a 4% growth from one contract. And for this, we invested in network expansion ahead of the contract. The tides really turned in May with severe impact from both external and internal factors. We updated you on these in detail in our September 30 Analyst Meeting.

In hindsight, we invested ahead of this contract and our anticipation on things becoming normal was very aggressive given the subsequent delays to that RFP. This has been a big learning for us. And since then, we have tightened our deployment norms to align strictly with contracted milestone with key customers. But in this volatility, we have retained our long-term focus and doing the things which we think are right and investing in them. We restructured the company into 3 platforms: ATM management solutions, retail and currency logistics and tech and payment solutions.

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All of these are now at good scale, have market leadership and a strong margin profile with the ability to generate free cash flows to drive their growth. We also invested in broadening and diversifying our customer base. We invested for growth in retail and tech segments. In the ATM business, our focus has been on higher value and yield and more fixed price contracts. FY 2026 year-to-date, we have very strong INR 1,600 crores plus of high-quality order wins.

As we enter calendar year 2026, things are beginning to turn. GST 2 has had a strong positive impact on consumption in the retail segment, and we see the segment starting to grow again. Order wins and execution of the order book is strong and cost optimization efforts are also bearing results. I would now like Anush, our CBO, to share more

details on the business and these initiatives.

Anush Raghavan: Thank you, Rajiv. Good Afternoon, Everyone. I'll spend a few minutes on the business and operational performance for the quarter. The macroenvironment has been mixed, but we are seeing signs of stabilization. On the retail side, cash usage is holding steady, which is a strong positive.

In fact, if you look at our investor deck, we have shared some information on how on a same-store basis post GST 2.0, we have seen volumes rebound meaningfully. In our ATM segment, transaction volumes have stabilized, and this provides a floor for deployment planning. In terms of our key business updates, our SBI cash RFP after intense negotiation was finally awarded and contracted in December. It is now getting rolled out in Q4. Our total revenue from this is INR1,000 crores over 10 years, of which INR 500 crores would be incremental revenue to CMS.

In terms of other order book, our execution is on track. We have over INR 750 crores of order book just with 2 customers, ICICI Bank and India Post Payment Bank. Both of these are about 75% live. Our tech and payments business is growing from INR 235 crores revenue to INR 330 crores revenue in 1 year and is on track to hit INR 400 crores in FY 2027. This is a 30% CAGR. I would also like to provide you an update on the higher DSOs from a few mid-sized MSPs due to credit tightening by vendors post the AGS issue. We had alluded to this in our previous call. Since then, we have mitigated these risks to a large extent. We had made provisions in Q2. And in Q3, we took strong tactical actions, which included limiting services to ensure payment discipline.

This has had a negative revenue impact, but was necessary to drive cash flow improvements. DSOs are getting streamlined and should be back to normal levels by end of March. On improving margins, we have taken the following actions. We are optimizing our network and have exited a long tail of unprofitable retail points. This again has had a small impact on revenue, but it ensures a healthier revenue base and good profitability going forward.

The gig operating model for the direct-to-retail business, which was being piloted for most of last year, has now scaled to a team of 2,000 plus partners who are covering 20% of our retail points and have achieved a certain critical mass. We will also get a more agile and flexible network through this model to handle peak periods and convert part of our fixed cost base to a

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variable structure. We have strong business momentum building up again. Large customer RFPs are being decided as we speak, and this should help deliver a good Q4 and FY 2027. With that, I would like to invite our CFO, Pankaj, for a financial update.

Pankaj Khandelwal : Thanks, Anush, and Good Afternoon, Everyone. Let me take you through the Q3 financials. I will focus on the underlying operating performance as our reported numbers this quarter includes regulatory and one-off items. Our consolidated revenue stood at INR 618 crores, a sequential growth of 1.6%. While headline growth appears modest, the quality of revenue has improved sharply. Service revenue is up 4% on a quarter-on-quarter basis. Managed Services & Technology is up 18% quarter-on-quarter from INR 216 crores to INR 254 crores. EBITDA and margin operational efficiency is on track. Business EBITDA grew 9% quarter-on-quarter to INR 158 crores. EBITDA margins expanded by 160 basis points, moving from 23.9% in Q2 to 25.5% in Q3.

This margin expansion was driven by the 2 segments, Cash Logistics, EBITDA up by 6% and margins expanded by 170 basis points; Managed Services & Tech EBITDA up by 12% to INR 78.5 crores. I want to clarify the momentum in PBT and PAT to ensure the underlying trend is understood. Reported PBT dropped from INR 95.6 crores to INR 88.1 crores in Q3. T

his is

due to specific one-off item. In Q2, there is a base effect of onetime gain of around INR 12 crores from the provision reversal of ESOP and performance incentives.

If you normalize these exceptional items, our core operating PBT has actually grown sequentially, reflecting the business and margin improvements. In Q3, we have also made onetime provision for new labor code of INR 11.1 crores, resulting in PAT after exceptional

items for INR 54.4 crores. I'll talk about the capex and liquidity. YTD capex is around INR 275 crores. While we have been conservative in capex for 2024 and 2025, this current spend is linked to the execution of around INR 1,600 crores order book that Rajiv mentioned.

This is growth capex, not maintenance capex, and it is primary driver for the revenue visibility in FY 2027. In terms of outlook, business momentum has picked up a pace. In FY 2025, our EBITDA margin was 26.1% which has dropped to 22.8% in this quarter. However, in Q3, we should see that the overall EBITDA margin expanded by 100 basis points to 24.5%. This should further improve to 25% to 26% range for the FY 2027. With that, I hand it back to Rajiv.

Rajiv Kaul : Thanks, Pankaj. In our closing, I just want to cover 3 topics. First, the revenue mix; secondly, M&A and capital allocation; and thirdly, the FY 2027 outlook. I do want to point out, and you can refer this to the slides we have on the investor deck, our mix of revenue is substantially changing. It's getting much better and broader.

Over 2 years from FY 2024 to year-to-date FY 2026, the contribution from our largest customer has reduced from 22% of revenue to 18%. The whole category of private sector banks and the direct-to-retail revenue, that contribution is increasing from 24% to 30%. The PSU bank revenue contribution is up from 19% to 22% and the revenue we earn from our MSP partners is down

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from 35% to 29% of revenue. This mix change is going to have a positive impact on margins as we broaden and diversify the nature of our business and the nature of our customers. Second, on M&A and capital allocation, I will reiterate what we have said always, our capital allocation priority is, first, fund organic growth and order book execution; second, pursue accretive M&A where we see either consolidation opportunities or a synergistic expansion opportunity; third, return surplus capital to shareholders through dividends. We see as of now a very good or, I would say, a better M&A environment than we have seen in the past. Earlier this year, on the back of having scaled our Vision AI platform into a market leader, we are able to make an accretive acquisition of a leading player, Securens. This was our first deal in the last 4 years. The investment here finally is INR 70 crores. On February 11, a couple of days ago, we signed a term sheet for a business transfer agreement with a leading MSP to acquire their ATM management solutions business.

The deal value here, we estimate to be in the range of INR 100 crores to INR 125 crores, and we aim to close this deal by March end. This is going to drive consolidation in the market and will also be value accretive to CMS. More details on this once the transaction closes. At the same time, we are closely evaluating deeply other opportunities in both the retail and the payment tech infrastructure sectors.

On buybacks, given the feedback we had both at the analyst call and after from shareholders, given the recent change in taxation, which makes it more equitable to all shareholders and also keeping in mind the growth opportunity ahead of us, this has been discussed at the Board. We will be evaluating this in line with better clarity on our balance sheet and the needs of capital by the end of the year, and we'll update you accordingly. Let me move to the third item, which is relevant and most important right now is the FY 2027 outlook. As we have already alluded to, calendar year 2026 is off to a pretty good start, and we hope to retain and build on that momentum going forward. FY 2025 and 2026 saw us defend our revenue position well, even though we didn't grow much, but we defend our revenue well. And we also maintained our market share amidst a lot of volatility in the overall ecosystem.

Our Hawkai business specifically is growing rapidly. We have taken this business from 0 to INR 100 crores revenue run rate ARR in FY 2021 to 2024 in 3 years. And from FY 2024 to 2026, we are seeing this double from INR 100 crores to INR 200 crores level range. More importantly, we have now built a strong enterprise-grade product, which will be very useful as we bid for some large RFPs coming up in the coming year in new sectors for Hawkai. While Q2 and Q3 were adversely impacted, and this has affected margins for the year, we have detailed these out in our past calls and the analyst meeting.

With Q3, we have bottomed out. With momentum strong from execution of order wins we have, we do forecast a strong positive trend going forward. Overall revenue for FY 2027 should be in the INR 2,800 crores to INR 2,900 crores range. The services revenue component of this should be in the range of INR 2,700 crores to INR 2,800 crores, which was the target we set out when CMS Info Systems Limited
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we met you in September 30. The bridge from where we are right now to getting to this is that we are hoping to end Q4 strong.

There are some key deals under discussion and negotiation, which we hope to finish strongly by March, which will allow us to end Q4 strong, enter FY 2027 with a services run rate revenue closer to INR 650 crores. If you gross it up by 4x, that will give you roughly a INR 2,600 crore services revenue for FY 2027.

And then growth in the year should get us closer to the INR 2,700 crores to INR 2,800 crores services revenue growth. At product revenue of roughly about INR 100 crores, we should be in the ballpark of that INR 2,800 crores to INR 2,900 crores overall revenue. EBITDA margins, Pankaj has detailed out the reasons of us going down and our bridge from there.

I mean, if you want to summarize, our overall dip in EBITDA margins, I would just put them into 3 factors, about roughly about 1.5% impact in both wage inflation and the investments we made in building infrastructure for a contract, which took time to pan out. And then about 1% - 1.5% dip in margins, which is linked to both increase in fleet cost as well as higher overall ECL provisions and risk provisions.

These are improving. I think we'll see improvement of that in Q4. And with the bridge from there to next year, we should be able to see EBITDA margins in the 25% to 26% range for FY 2027. Thank you. And now we can move on to Q&A.

Moderator: The first question is from the line of Praveen Kumar from Acuitas Capital Advisors.

Praveen Kumar: I had a couple of questions. The first one was to get more clarity on the revenue bridge to FY 2027, which you spoke about. So if I look at it from a different perspective of how much of this bridge to FY 2027 revenue are things which you have already contracted and have in hand versus where you are counting on, let's say, consumption improving or some other improvements in the

broader macro. So if you could break it up into those 2 kind of components?

Anush Raghavan: Anush here. Yes. Q3, if you look at it, was about INR 577 crores. As we all shared, I think there's a lot of work that has happened on the order execution through this year. We also have the large SBI order, which is going live in Q4.

So that plus a few other deals that we are in discussion with, the goal for us is right now to just be relentlessly focused on execution and to enter Q1 with a services base of that INR 577 c

rores

growing to about INR 650 crores. So INR 650 crores x4 gets you to INR 2,600 crores. INR 2,600 crores, you add about INR 100 crores of incremental growth through FY 2027 and INR 100 crores to INR 125 crores of product, that gets you to that range of about INR 2,800 crores to INR 2,900 crores that we alluded to.

Praveen Kumar: So would you say that this INR 650 crores which you're talking about is largely what you have in hand and you have to just execute on that? Or is there any assumption built into that saying that consumption needs to go through what, you know ?

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Rajiv Kaul : So let me try and give this answer in a different manner because I have to be cognizant of the fact that there's a team which forecasted very well for 3 years. And then I think in the last 1 - 1.5 years, the forecasts have not really played out. So we will be a little careful right now, Praveen, and therefore, bear with us as we build confidence and forecast in reality. The INR 650 crores sort of a number, I think we have almost 95% certainty on this number. But we would want to wait to see where we end with March.

And so I think the INR 650 crores, the INR 2,600 crores is fairly certain. The bridge from INR 2600 crores to INR 2,700 crores, INR 2,800 crores, that's something we go to earn and work for in the remainder of the year.

Praveen Kumar: Understood. Understood. A couple of other questions. One was on the retail cash management part. I think you have in your presentation you have referred to rationalizing low -yield customers.

So I just wanted to understand that earlier you were somewhat -- I mean, is this kind of an indication that this is kind of a course correction from your earlier kind of aggression in this part of the market? Or I mean, just wanted to get some color on that.

Rajiv Kaul : So it's a great question. I think the way I would phrase is, in the last 2 to 3 years, we've been fairly aggressive in this market from a market share perspective, right? As other businesses are scaling very well, we are happy to invest with aggressive pricing, network expansion. And also, we have built up a sales engine in the last 2, 3 years to attack and address the need to our customers. In a year which was reasonably tough, I think it was very important for us to look back and optimize our network and look at what makes sense.

We did go and engage. And when you're growing the network, there will always be x percentage of network, which is not going to be profitable, right? As you're entering newer markets, smaller locations. When -- I think in Q2, Q3, given the overall trend of the business, we wanted to step back and look at how many of the customers will be profitable longer period. And we took an attempt to see where we can increase prices and where we think the prices just don't make any sense.

So I think what Anush and his team have done, what Puneet have done is sort of, I would say, just do a sort of -- I don't know what the right word is, but just prune this up in line with making sure that we are building our business and margins in the right line. Now I think this will be a journey we'll go through up and down, right? When you are in more aggressive and high-growth periods, you will invest. Some of the investments will -- make bear fruit, some will not. And then you have to course.

Praveen Kumar: Understood. Understood. And one other question on the provision that you had taken on -- in terms of the receivables in Q2. I think Anush had referred that you expect that to stabilize by the year-end. So a couple of -- I mean, just wanted some clarity on that.

One is that what kind of a revenue hit have you taken in terms of having to tighten your receivable norms with this kind of customers? And secondly, given -- I mean, if you are

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continuing to see stress in the ecosystem, how much more revenue hit you can expect from this kind of stress persisting in the system?

Anush Raghavan: We'll answer that question in 2 parts, Praveen. One is -- I'll take the revenue part and I'll hand over to Pankaj for the ECL -- for the provisioning part. The Q2 was a specific provision that we had to take on account of seeing the significant change in the external market conditions and what some of our customers, especially the mid-sized MSPs, were going through post the shock in the ecosystem, the tightening of the liquidity and the credit taps to them. Q3, we took a slightly different approach, as I shared, which is we were really focused on improving our overall DSO situation.

That meant that we had to take certain calls in terms of our revenue exposure, but more importantly how we invested quality and cost in running networks or sometimes shutting them down, not easy calls to take. But the effect of that is visible in the Q3 revenues. With respect to the provisions, Pankaj will just answer that.

Pankaj Khandelwal : Yes. For risk and ECL provisioning, we look into the -- on an annual basis, not on a quarterly basis. The risk provision for FY 2023 was around 5% of the revenue, which we have reduced to 4% in FY 2024 and 3.7% in FY 2025. However, this year, we are expecting the same to be range of around 4.25% to 4.5% of the revenue because the ECL specifically have a lag effect. So as the DSO increases, ECL increases. But as Anush has explained to you, the DSO reduces over a period will impact the reduction in the ECL provisioning going forward.

Moderator: Next question is from the line of Abhishek Chauhan from Eklavya Capital.

Abhishek Chauhan: I have 2 quick questions. So the first one is, last quarter, the management had forecasted 9% growth in the services revenue in H2 compared to H1. So what is the services revenue growth for Q3 as compared to Q2? That is the first question I wanted to ask right.

Rajiv Kaul : 4%.

Abhishek Chauhan: 4%. All right. And the second is there is a dramatic increase in the employee benefit expense this quarter of about INR 18 crores. And that looks pretty big for a quarter where appraisals are generally not due. So what was the specific reason of this increase?

Pankaj Khandelwal : So as I explained to you, there was a last quarter - in last quarter, there is a one-off item of around INR 12 crores, wherein we have reversed the provisioning for the ESOP as well as the performance-linked incentive provisioning. So that is an impact of around INR 12 crores reduction in the last quarter.

Otherwise, the total cost - employee cost and service and security cost, there is a reduction in the overall service and security cost and employee cost. And whenever you look at both the items, service and security cost and employee cost, add both the things and calculate the number. There is a reduction in - considering adjusting of INR 12 crores and adding both, there is a reduction in the cost of the thing.

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Abhishek Chauhan: Right. But service and security is different from employee benefit. I wanted to ask specifically about INR 12 crores is different?

Pankaj Khandelwal : INR 12 crores is purely in the employee cost. And when we add about the total employee and workforce cost. Workforce is either our own employee or the third-party employees, you have to add both.

Rajiv Kaul : So service security includes the outsourced staff, which will be working with us. So therefore, that's overall part of our wage cost.

Moderator: Next question is from the line of Krushi Parekh from BugleRock PMS.

Krushi Parekh : So I think my question is in continuation to the earlier question on the aggression that we had shown in the retail side, but now we are pruning a little. So that -- I think that part is clear. Can you just help

me understand also additionally is that how we are looking to take this up going forward? And any particular areas that we are targeting, first of all? Surrounding this, how is the gig strategy deployment working out for us the challenges that we have overcome?

And within the growth part, any new areas for Hawkai or RMS that we are looking to deploy, especially when you mentioned that some new sectors we are looking to build the solutions for?

So that is my first question.

Anush Raghavan: Let me answer both your questions. As far as the retail is concerned, I think our - in terms of our sales focus, our aggression continues to be what it was simply because we think this is an important part of our future growth. Retail is a very large opportunity, and we think of it more in terms of decadal opportunity because the formalized and outsourced as part of what is broader retail in India is still so small.

I think the way to think of it is it is our responsibility to do what we can to create this addressable market. Now as part of that, it will always take a little bit of time for us to figure out the parts of the business which have been onboarded, you need to give them some time, 6 months, 1 year, 1.5 years for them to sort of achieve full revenue status in terms of translation into what is the estimated realizations and throughput.

In Q3, post GST 2.0 and as we have shared, for us to start looking at the sector by sector, along with the consumption report that we have, it gave us a lot more clarity on the parts of the sector, which are seeing more vibrancy versus some deals that we had, which probably didn't. Given that we were getting into the whole network optimization stage, it made a lot of sense to sort of start taking some calls, right, which is every business, every operations will have some churn that we would like to impose.

It may be 2% of the long tail, it may be 5% of the long tail. That is what we have alluded to. Coming into Hawkai, I think we've spoken about how within Hawkai itself, we -- the goal for us is in the longer term to think about productizing this.

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The experience that we've had and the amount of investments that we made in the technology and the R&D in building a lot of advanced AI use cases will serve very well when we think about translating this into the broader retail. So in a way, when I think about retail, I think the combination of both what we have as a Hawkai product and the retail cash, along with a lot more of technological integration working into helping stores with reconciliation and selling automation solutions will be very powerful.

Rajiv Kaul : I think for us, I would also like to add to what Anush said. You have to keep in mind the industry and how overall retail sector in India suffered in H1 of last year. We saw consumption, all of you will be invested in other companies, consumption really got impacted until September end. So there was a churn in the sector itself. It is a relatively lower margin sector.

There were clear sector trend shift from -- I mean, from physical retail to online retail to quick commerce, which is impacting those customers. From our side, I think today, we have almost Anush, what 150-plus direct -to-retail logos.

Anush Raghavan: 165.

Rajiv Kaul : 165 customers, right? This number was maybe 0, 2.5 years ago. With these customers, we are cross-selling, right? We are not only in the business of retail cash management. We are upselling them in retail cash vaults .

We are upselling them with Hawkai -based solutions. And where we end up seeing the return makes sense from both revenue and margin perspective, we will continue to deepen our presence there. There will be some customers as you work with them 6 months, you realize the amount of volume of cash and the revenue you can earn is not going to be material. At that point,

you

need to have a sort of a clinical viewpoint and examine and sort of let go of that and use that network capacity for better quality customers. That's what we I think have done.

I don't think we should read too much into this in terms of change in strategy. I think it's sort of an aggressive launch and growth. We've assessed things in the last 3 to 6 months to sort of take stock and say what makes sense, what doesn't make sense. But overall, I think we are seeing a lot more opportunity of cross-selling into our retail customers than just pure cash management.

Krushik Parekh : Sure. No, no. My query was also in relation to one of the competitors talking about increased competition in this area on the retail side and I mean, we being the aggressive in this area. So that is what I was kind of trying alluding to.

Rajiv Kaul : You're right. And we have ourselves in prior calls said that we are going to be very aggressive in this area because, again, we feel that will if you want to grow a market, you will have to make investments, whether it's low cost, low price, deeper market expansion. I think we have done that. We have sort of consolidated back right now in this year. And we'll again launch further expansion as we see opportunities in the coming year.

Krushik Parekh : Appreciate. My second question is that for the SBI order, there were talks of 10,000 ATMs that were in freight for the outsourcing. But the announcement that we made is it pertaining to 5,000

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ATMs. So rest of the ATMs, will it be coming in over next year? Or it's that particular piece is still away right now?

Anush Raghavan: No, I think the total order is 10,000 in terms of what SBI wants to award. If you go back, I think, to some of our earlier commentary, in the first version of the outsourcing process, we were the only eligible participant. And that would have meant we get the entire 10,000. But unfortunately, with that getting scrapped and then coming out with a new RFP, of that, we were the L1 participant. So we got about 5,000 of those volumes with rest going to other industry participants.

Krushik Parekh : Okay. So the rest of it has gone to someone else?

Anush Raghavan: Yes.

Moderator: Next question is from the line of Nihar Mehta from Bay Capital.

Nihar Mehta : I just had a couple of questions. One, if Anush can comment on the overall RFP rollout, how is the outlook looking like in terms of new rollout from banks and cash logistics?

Anush Raghavan: So I think for most of FY 2026, the RFP pipeline has been fairly subdued just on account of the -- both industry being volatile, banks struggling with dealing with the fallout of AGS, shutting down the ATMs, industry consolidating and understanding where things are. All of that has led to banks sort of making a shift in their outsourcing strategy.

And the 2 key shifts here are, they are moving away from -- or depending less on ATMs and pivoting more towards recyclers. They see recyclers as being a very strong complement to helping branch transaction. And the second pivot is moving away from transaction-based pricing to fixed-based pricing.

That is something that at CMS, we've been advocating for a long time. We've stayed out of the transaction market for almost last 12 to 18 months now. When I think about the RFP pipeline in FY '27, we see meaningful activity coming back into the market. As we speak, we are aware of almost about 6,000 to 8,000 ATM units, which are in various stages of the pipeline. This means that there's a total contracted value opportunity of about INR 2,000 crores. I think the timing of when these come out and what we win and how we position ourselves, that's going to be key.

Nihar Mehta : Okay. Understood. And just one more question, What's the cash ?

Moderator: Sorry to interrupt, Mr. Mehta, you are not audible. Your voice is breaking.

Nihar M

Mehta : Yes. Just one more question. What's the amount of cash on the books as on December end?

Anush Raghavan: I'm just asking for this. It's about INR 600 crores.

Moderator: Mr. Mehta, does that answer your question?

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Nihar Mehta : I could not get the last part. INR 600 crores?

Anush Raghavan: Yes, INR 600 crores.

Moderator: Next question is from the line of Prakhar Agrawal from Dexter Capital Advisors.

Prakhar Agrawal: So my question was around the lines of our outstanding order book. I see like we have won INR 1,600 crores worth of order books in FY 2026. So I wanted to understand like which side of our Managed Services business is this order book tilted to? I mean, is this related to mostly software or our banking automation business? If you could provide some color on that?

Anush Raghavan: Prakhar, it's mostly a mix of both its integrated contracts on the Managed Service side and Hawkai, especially when you look at the large complex branch RFP rollout.

Prakhar Agrawal: Okay. So this also includes like Hawkai contracts with our customers?

Anush Raghavan: Yes.

Moderator: Next question is from the line of Akshat Hariya from Multi -Act PMS.

Akshat Hariya: So my question was more related to the cash management services. So sequentially, if you look at the numbers, we've still had a degrowth in the cash management part. And if you look at it, the revenue for that segment has peaked out at around INR 417 crores, and now we are down to around INR 384 crores. So with the services guidance that you've given for next quarter and for the next year, what is the outlook on this specific segment? And how much will the SBI order help for the recovery in this segment?

Anush Raghavan: I think specific to SBI, as you have called out, it's about INR 500 crores of incremental opportunity over 9-10 year period. So you should think of that as about being about INR 50 crores per year. The delta between INR 415 crores, INR 417 crores to INR 385 crores, I think we've sort of explained in different ways. But fundamentally, it's a link of 2, 3 things. It is a dip in our overall business points or ATMs that we used to handle.

The 4,000 odd dip that we had going in from Q1 to Q2 and Q3, that has had an impact. The cleaning up of retail that we have done has had an impact. And also the calls that we had to take to fix our DSO situation has had an impact. With most of these either being fixed or normalizing right now, we anticipate this to get improved in the coming quarters.

Rajiv Kaul : So just I do want to - we have mentioned this before, I would like our analysts and investors both to start looking at our business in total because the managed services business and it itself being a customer of cash management is now ramping up, and we have a lot of integrated contracts. So the revenue is actually - and that's why you see an interview sort of a knockoff.

As we merge our P&Ls into the 3 business lines we talked about, ATM solutions will be one complete business line where you'll see ATM cash, managed services, ground level ATMs, fixed price machines, all of that will be in one revenue bucket. We think that business overall should

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grow 15% to 18% next year. The retail and currency logistics business should grow about 12-ish percent.

And our technology and payments business, which includes Hawkai and cards would, I think, grow about 20% for the next year. So that will give the blend of revenue growth, which we are thinking about. We are working to build up P&Ls on these business lines and so that you will be able to see the growth in each category by themselves instead of cash and MS and tech.

Akshat Hariya: Okay. Fair. Understood. So this question was specifically from your margin guidance also. So for next year, we are guided

ing the margins to go back to our FY 2025 EBITDA of around 25% - 26%.

And if you look at your old segment, fair, we've moved to new segmental reporting. But since we continue to report old segments also, the margins have broadly been impacted due to the operating deleverage that we've seen in the cash management service. So the recovery for cash management services is also important for your margins. And based on the next year margin guidance, it is fair assessment that the cash management also has bottomed out within services and it should grow from these levels?

Rajiv Kaul : No, no, absolutely. You're absolutely right. I mean I think from a cash management perspective, both from a macro perspective and even from our own -- what decisions we had to take in Q2, Q3, the revenue has bottomed out. I think currently, the trend line is to grow -- is already growing higher. And Anush mentioned to it on our investor deck, if you look at specifically the retail cash volumes, they are very robust even in December and Jan for segments.

Our ATM cash management contracts we have from, let's say, SBI. And then we think of the ICICI order, which is the managed services and cash management order win, I think that will all lead to both the cash management revenue growing as well as the margin profile increasing. To

set you a quick context, we were roughly about 70,000 ATMs under cash management about a few quarters ago, which dipped to 68,000. We are back to 70,000 now. We are targeting an aggressive ramp -up to 74,000, 75,000 ATMs by the end of March or April. As that ATMs under

cash management come in, you will also see the margin profile improving back on the overall business.

Akshat Hariya: Understood. Understood. Very helpful. Sir, last question is on the cost side. So sequentially, I understand that last quarter had some reversals on account of ESOP and bonus forgo. But even if I ignore the last quarter and if I look at your Y-o-Y employee cost, so that run rate has gone from around INR 81 crores to around INR 100 crores. So we've grown that by around 20 -plus percent?

And your vehicle - sorry, your service charges have remained flat. So we are seeing an in-sourcing trend. So just wanted to understand the background behind this and whether the insourcing trend has - it's complete? And what should be your employee cost and services run rate that we should understand going forward?

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Rajiv Kaul : So let me give you the philosophy on how -- what has happened. And then specifically, Pankaj can maybe answer. I'm not privy to the INR 80-INR 100 crores number right now which you're referring to. The overall employee cost, you should think in conjunction of both employee costs and service security. It's not -- in-source, outsource depending on where in the regions are you working and also what nature of business, right?

Some of the higher value, more risk business will always be in-sourced. We have had an increase in overall employee cost, if you combine the P&Ls, both, 2 reasons. One was wage inflation linked to us signing long-term wage settlements. Earlier in the year, we talked about this in Q1. We have a 3 - to 4-year cycle of signing wage settlements.

We normally recoup it back through productivity. But this year, given volume growth was low, recouping it back within the year was difficult, but I think we'll start seeing that in Q4, Q1 going forward. The second was linked to the fact that we invested and made the wrong decision of investing for capacity, assuming we were getting the whole SBI contract in April and May. That was with hindsight a terrible call to make, and we are paying for that, and we're trying to fix that right now. Now -- so if you think of the overall number, Pankaj, do you want to talk about the overall number which she is referring to?

Pankaj Khandelwal : Yes. So if you see that

if you add both the service and security and employee cost, it has increased around 6% to 7% over Q3 of FY 2025 to Q3 of FY 2026. And this is because of the -- as we explained to you, there is an LTS impact and the new business, whatever we got is impact related to that.

Rajiv Kaul : And so there's no change in-sourcing, outsourcing. I think for that, we are fairly agile in what we need to do for the business.

Moderator: Next question is from the line of Suraj Singhania from Ratnatraya Capital.

Suraj Singhania : Most of my questions have been answered. One question was around your capex estimates for FY 20 26, you have earlier guided for INR 300 crores of capex . Now we have done INR 275 crores this year. So what is the capex that we estimate for this year and next year? That's one. And one is the data keeping question, which is since Securens business has now been consolidated in our P&L, what is the revenues and EBITDA from the Securens business in Q3 FY 20 26.

Pankaj Khandelwal : So as we have given the guidance that our capex will be around INR 300 crores to INR 325 crores, and we have already spent INR 275 crores. We expect that we will in the range of INR 300 crores to INR 325 crores only. Securens around INR 18 crores, Total revenue of INR 18 crores, so incremental revenue of around INR 12 crores in Q3.

Rajiv Kaul : And Securens will have actually this year a negative PBT because we will be front -loading the depreciation on the assets.

Suraj Singhania : Got it. So INR 6 crores was accounted in the last quarter, if I understand.

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Rajiv Kaul : Yes.

Moderator: Next question is from the line of Divyansh Gupta from Latent PM S.

Divyansh Gupta : One question, you had mentioned that the contracts are now moving from, let's say, cash machines to recyclers. So the question is that as recyclers, do the number of trips that we have to do reduce and therefore, lead to a revenue pressure for us going forward? Or we price it in and increase the realization?

Anush Raghavan: No, Divyansh. I mean, if I look at our current base also, recyclers are a lot more -- have a lot more complexity than ATM, especially in terms of how they need to be managed and, more importantly, serviced. The expectations from customers is also that the quality of service and uptime on these machines have to be of a much higher order.

Generally, recyclers are deployed at on -frame branch sites, which means that they generally have a higher footfall. And so banks are very keen to sort of -- for example, if at ATM, they need a 95% uptime and recyclers is almost 97%, 98%. So to us, we actually see recyclers as being sort of an upsell and a higher value solution than ATMs.

Divyansh Gupta : But when you say uptime, it means more cash availability or I'm assuming it means more cash availability, but given...

Anush Raghavan: End user availability, right, which could be cash availability, which could be -- how do you fix the faults. It could be things to do with the software, things to do with the hardware, but end user availability.

Divyansh Gupta : But sorry, just to double -click on it. See, assuming that machine of an ATM and a cash recycler, both are of sufficiently good quality, then, let's say, noncash metric will largely be same. And given that the customer can deposit cash, the cash out situations will reduce. So therefore, does it reduce the number of trips? That was my?

Anush Raghavan: I think you should look at what a recycler means to different stakeholders. So a bank, it definitely brings about a greater degree of efficiency in terms of how the currency is utilized. It is effectively less cash at float. To us, we also like a recycler model simply because both unit economics wise and in terms of the complexity, it is a higher value, which means that in terms of the monthly fixed fee, it is usually pegged

above an ATM.

Now the number of visits might be lesser in certain cases, but that doesn't really change the nature of the revenues simply because the amount of work that still needs to be done, especially in an ATM, you only need to withdraw cash and load it. In a recycler, you might have to load it, you might have to evacuate it. There's a lot of reconciliation work that also needs to be done. So it's not as plain speaking as that.

But net -net, it ensures to us a higher realization than what a normal ATM would do. To a bank, it's not necessarily higher cost because they need to look at it in terms of what a cost of a branch

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transaction is vis -a-vis what that of a recycler would be. So it is generally a more efficient way of managing things.

Divyansh Gupta : Got it. Understood. And the second question was in the Analyst Day deck, right? We have mentioned that we have 38% market share in the retail cash management. But at least that -- my

understanding was that currently, we do not have pricing power or we were looking to increase pricing after some time. So is there a target market share which will allow us? Or how should we understand that when should pricing - ability to price it higher for retail cash management can be expected?

Anush Raghavan: Let me take an analogy on the ATM business, right? Or rather when I look at what we gain in terms of our ability to both influence the market as well as influence our own outcomes. I think with each step change in our overall market share, it creates a very different kind of an outcome. And we have seen this. We have seen what CMS was 15 years back, then and now, especially in terms of the way we've been able to unlock incremental EBITDA margins as we've scaled up. In the ATM business, as we went from a 35% to 40% to 45%, 50% and closer to 57%, 58% market share, all of that step change has had a differential outcome in terms of pricing, route optimization, right? Now, in the retail, I think we're in a zone where we are focusing more on yield management and yield improvement, which means that we are sort of evaluating things on a contract-by-contract basis. Our focus there is really to continue to increase market share, to continue to expand the addressable market opportunity and to invest in both building the sales capability as well as using that to cross-sell into technology solutions.

Rajiv Kaul : I think I would - the way I would ask you to think about is, and this is a question we ask ourselves, right? First of all, you want to defend your revenue and market position in the market, right? That's the most important thing right now. You don't want to suffer on revenue and market position. Margins can go up and down.

We are fortunate in many ways to have a margin profile, which is substantially better than anybody else we know of in internationally or locally. So maintain that margin profile and growing revenue rapidly, both of those are not easily possible, right? So something has to give at some point of time. I would argue now with hindsight, like the last year has seen the opposite happen where we defended market and revenue and therefore, has had some impact on margins possibly. We will hope to undo that in the coming 2, 3 quarters.

Specifically to retail level, I think Anush said, we will look at our network and look at our capacity to see how we can keep growing revenue at a sensible margin profile. And is there a particular market share number where it makes sense? I don't know, right? I mean I think if you have one competitor who is willing to -- anyone, right now, there are 4 competitors in the sector. If you have only 2, the second one can keep aggressively being aggressive on pricing maybe, right?

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So really, you can't determine when and how much pricing power you

can get. I think if you can

keep focusing on quality, cross-selling to the customer and other lines of businesses, I think you're fine.

Moderator: Next question is from the line of Shivam Parekh from ValueWise Wealth Management.

Shivam Parekh: So we are having a good cash position of around INR 600 crores in our books and having a great balance sheet as well. So also with us being market leaders in the business that we do and further consolidating our market share further in tough times last financial year and this financial year, so are we thinking of enhancing shareholder value through buybacks to gain advantage of the low valuations currently?

Anush Raghavan: I think perhaps you have joined late in the initial part of our opening remarks. As Rajiv mentioned, given the changes to the buyback regulation that have been announced, we feel that right now it is a lot more equitable for all stakeholders as opposed to the earlier regime. This is something that has been discussed at the Board level. We will evaluate this closer to the end of this year as we look at our overall capital needs in terms of growth capital, M&A.

Rajiv Kaul : Yes. I think we do have a very active M&A pipeline. We've been working on it for a long time. We are looking at investing for growth. As I said, our priority is simple, organic, then inorganic and then returning capital to shareholders, whether that's through dividends or buybacks, I think

we will take the -- we will have the Board discuss that at the appropriate time. Right now, we are seeing active opportunities in the M&A pipeline. We don't know -- that doesn't mean deals will happen. We will continue working on them and what makes accretive sense for us to build and scale our business in -- with good returns, I think that's the first priority for us as a team to us and to our shareholders.

Shivam Parekh: Okay. So sir, with you seeing buybacks favorably for us, so you are seeing --

Rajiv Kaul : Let me clarify. It's not about seeing buybacks favorably or unfavorably. I think buybacks because there has been a constant ask and question on buybacks, we want to address it proactively in line with our capital allocation philosophy, which we have entailed out. We're not saying a buyback is going to happen or not. If we do see excess capital and we don't have a need for it, we then will evaluate returning it via dividend or buybacks as the Board deems fit.

Shivam Parekh: Okay. So sir, if any buyback was to be possible, so can we expect in financial year '27 or this financial year?

Rajiv Kaul : I don't think I could forecast this at all. This is not a decision which the management team makes. I think we've been fairly clear on the way we think about it. We will let you know end of the year if there's any change to the thinking.

Shivam Parekh: Sir, also, with buybacks being taxed unfavorably, so does that have a bearing on our decision?

That was my last question.

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Rajiv Kaul : Certainly, yes, absolutely. You're right because we have to think of capital allocation in light of all of that. That's why we have proactively talked about it. Not to say that there's something happening, just to share with you how we think and we are clear to our shareholders equally to give you an answer on our thinking. We do see capital needs for the growth of the business, both organically and inorganically. If after that, we see a sufficient cushion for us to return capital, we will definitely look at it.

Moderator: Ladies and gentlemen, we will take this as the last question for the day. I now hand the conference over to the management for the closing comments.

Rajiv Kaul : Thank you so much. Thank you for your Q&A and for all the questions you asked us. I think I'll summarize by saying that, yes, we've had 2 quarters of disappointing numbers. We are hoping to turn the tide

with Q4 and going into FY 2027 strong.

I know there's a revenue forecast, which may seem a little aggressive given the Q3 specific numbers and the last 2, 3 quarters of sort of underperformance, but we are hoping to turn it and deliver stronger numbers for you and for us to meet our own internal target, which we had set for FY 2027 of INR 2,700 crores to INR 2,800 crores of services revenue and overall revenue of INR 2,800 crores to INR 2,900 crores and with an EBITDA margin of 25% to 26% for the year. Thank you.

Moderator: Thank you, sir. On behalf of Emkay Global Financial Services Limited, that concludes this conference. Thank you all for joining us, and you may now disconnect your lines.

Call: May 2026

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CMS Info Systems Limited | CIN: L 45200MH2008PLC180479 | www.cms.com | E: contact@cms.com
CMSINFO/VSSD/2605/010 May 19, 2026

Dear Sir/Madam,

Sub: Transcript of Earnings Call.

Pursuant to Regulation 30 read with Part A of Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of Conference Call held on Friday, May 15, 2026 at 12:00 Noon (IST) on Company's business strategy and outlook post the declaration of its 4QFY26 and FY26 results.

The transcript is being uploaded on the website of the Company at www.cms.com

You are requested to kindly take the same on record.

Thanking You,

For CMS Info Systems Limited

Debashis Dey

Company Secretary & Compliance Officer

Encl: a/a

To

BSE Limited

Listing Department,

1st Floor, PJ Towers, Dalal Street,

Fort, Mumbai – 400 001

Scrip Code: 543441

National Stock Exchange of India Limited Exchange Plaza, C -1, Block -G,

Bandra Kurla Complex, Bandra (East),

Mumbai – 400 051

Symbol: CMSINFO

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"CMS Info Systems Limited

Q4 FY2026 Earnings Conference Call"

May 15, 2026

Management: Mr. Rajiv Kaul – Executive Vice Chairman & Chief Executive Officer

Mr. Pankaj Khandelwal – Chief Financial Officer

Mr. Anush Raghavan – Chief Business Officer

Mr. Puneet Bhirani – Chief Operating Officer

Analyst : Mr. Siddharth Zabak – IIFL Capital Services Limited

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Moderator : Ladies and gentlemen, good day and welcome to CMS Info Systems Q4 FY2026 earnings call hosted by IIFL Capital Services Limited. All participants are currently in listen only mode. There will be an opportunity to ask questions following the conclusion of the management's opening remarks. Please note that this conference is being recorded. I now hand the conference over to Mr. Siddharth Zabak from IIFL Capital. Thank you and over to you Sir.

Siddharth Zabak : Thank you. Ladies and gentlemen, good morning and thank you for joining us on the post

Q4 FY2026 results conference call for CMS Info Systems Limited. It is my pleasure to introduce the senior management team of CMS who are here with us today to discuss the results. We have Mr. Rajiv Kaul, Executive Vice Chairman and CEO, Mr. Pankaj Khandelwal, CFO, Mr. Anush Raghavan, Chief Business Officer and Mr. Puneet Bhirani, Chief Operating officer. We will begin the call with opening remarks by the management team and thereafter we will open the call for a Q&A session. I will like to now hand over the call to Mr. Rajiv Kaul to take the proceedings forward. Thank you and over to you Sir!

Rajiv Kaul : Siddharth thank you so much. Good afternoon everyone. I hope you all have the link and you can see our presentation and I hope some of you at least have had a chance to read our shareholder letter, which we published last night. If not, I would recommend you have a look at the letter also in parallel to get a better flavor of what we are going to talk to you about. So we are going to cover the last year. We will talk about some of the wins in this year and the shift in our business and we will talk in detail about capital allocation. And then we will quickly move forward towards FY2027 and FY2030.

Slide number three, to summarize, FY2026 was a hard year. Even though Q1 was in line with our plans, Q2 saw a sharp impact from four factors which converged around the same time. To detail them out, there was a significant impact in H1 on consumption linked to a very prolonged adverse climate cycle and geopolitical issues. We think this had an impact of almost Rs. 25 Crores on our revenue. The SBI cash outsourcing delay caught us off guard with a significant investment in routes and infrastructure. This RFP closure delayed from February to April to December had a huge Rs. 100 Crores revenue impact for us in the year. We learned and we have made fixes in our operating processes post that. The offsite ATM market contracted after AGS exited the sector and many private and public sector banks were not able to find MSPs who were willing to deploy new ATMs on the transaction fee models. This has affected our ATM cash management business with the revenue impact of almost Rs.30 Crores. So for just these three items, the impact to our FY2026 revenue was Rs.150 Crores on our services revenue base. Had this revenue come in, our rev growth for the year would have been 13% for services and 9% overall.

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We also, if you remember, had mentioned this in Q2, we had to give out larger than usual wage hikes, which were linked to a long-term employee settlement cycles, which are done every three to four years. So, overall for FY2026, our revenue grew to Rs.2487 Crores, which is about a 3% growth, and our services revenue, which is our annuity revenue, that grew to Rs.2312 Crores, almost a 6% growth rate. On our part, we called for an analyst meeting as soon as things were looking good in September to avoid any surprises and to share with you as we saw the lay of the land changing. And we took quick actions to fix and control what we could. In September, we told you about what we are going to focus on to try and arrest this decline. We have always maintained that a good management team has to focus on balancing

revenue growth, market share, and margin profile. I think we focused the remainder of the year on protecting our revenue and trying to gain market share. End result is that our cash logistics business grew in market share by 200 bps and at the managed services business, we moved from number five to number three position. We have been always a big deployer of technology and leveraging it. We were able to accelerate that using AI, and we are able to drive significant cost efficiencies. Our immediate focus was on our route network and using ML, we are able to reduce our route network by a sharp 10% in the September 2025 to March 2026 part.

Given the overall weakness in the MSP segment, we were able to drive a more sensible commercial model of fixed price contracts. Historically, the industry has not been to get off the transaction fee model and I feel, at this stage, for all practical purposes, the transaction

fee model is dead in the ATM business. We in fact ourselves won a contract for Rs. 700 Crores at a reasonably high transaction fee of Rs. 19 per transaction, but we still chose to stick to our principle of not doing any transaction fee model deals. And we did not want to take the risk, even though this could have meant Rs. 75 Crores annual revenue to start with at reasonable margins the first few years. We chose to preserve that Rs. 100 Crores of capital for expansion and diversification into businesses which would have a more sustainable return metric. After years of strong growth in the prior years, we also examined our longer

tail of lower yielding customers and try to drive price increases where possible. And in cases where we could not, we migrated some contracts where the prices did not make sense.

We also significantly tightened DSOs around our managed services business segment.

Our OCF to EBITDA ratio in H2 was 173% compared to a negative 40% in H1. We had told you that we will be making a big investment in technology, and even in a tough year, we continue to do that. In fact, we ramped up our tech investments to almost Rs. 40 Crores

of investment, which is 1.6% of our revenue, up from our usual 1% of revenue in the prior years. We also made a significant investment in a gig delivery model of about Rs. 15 Crores . We feel this is very critical to convert some part of our fixed cost network into a variable cost structure and for expanding our retail business into tier 3 and tier 4 markets in India.
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The Q2 deterioration was arrested by Q3, and we sharply recovered in Q4. Q4 saw a 6% Q - o-Q services revenue growth. In fact, if you notice, we have given you a 12 quarter trajectory. We have been sort of stuck in the Rs. 535 Crores to Rs.575 Crores services revenue for eight quarters and have meaningfully broken out. In February we had mentioned that Q3 will be the bottom for us on margins and we aimed to expand margins by 150 to 170 bps in Q4 and another similar expansion in FY 2027. I am glad to report that we are able to sharply improve margins by 280 bps in Q4, so overall Q4 services revenue is at Rs.609 Crores, 6% growth. The total revenue for Q4 is Rs. 633 Crores at 2.4 % growth. EBITDA for Q4 is at Rs.162 Crores, which is 15% Q -o-Q growth, but flat year -on-year. PAT for Q4 of Rs. 79 Crores, 38% growth Q -o-Q, but a 19% dip Y -o-Y. The full year numbers on services revenue at Rs. 2312 Crores at 6% year -on-year growth, and overall total revenue at Rs. 2487 Crores, 3% growth year -on-year. EBITDA for the year at Rs. 600 Crores, negative 5%, and PAT of Rs.303 Crores, negative 20%. The EBITDA and PAT numbers mentioned here include the wage code impact.

Now, for historical purposes, we will show you the segment breakup. However, we have guided you to the fact that segments no longer make sense anymore for us because this was an IPO when our business was mostly 70% cash management and 30% managed ser

vices.

That split since then has moved to 60- 40, and last year went to 55-45 split. Given we are able to drive a lot of our business and growth towards integrated contracts, where splitting a margin is not possible and feasible. So on an overall EBIT margins in Q4 have gone from last year Q4 was 22.6%, they dipped to 15% in Q3 and have come back up to 19% in Q4 of this year. For the full year EBIT margins for FY2026, they have contracted by 360 bps from 19.2 % to 15.6%.

Let me shift gears now. After patiently waiting for the right opportunity and the right price and valuations for the last four years, we finally did two acquisitions in FY2026. We have kept you as periodically abreast of our M&A thinking, plans, and the sectors of focus. We

have intensely worked on 15 opportunities, letting some go after a lot of time analysis and investment of time. Either the sectors finally did not make sense to us to take a risk on, or the valuations were way out of our comfort zone. All of this experience has sharpened our approach, how we quickly screen deals, and the terms we operate on. The two deals in the year specifically, Secur ens is a key deal for us to scale in the vision AI segment and to grow this business. The deal has closed and integrated and will be accretive to us in FY 2027. In Q4, we signed our contract deal with FSS for the managed services business. This not only helps us consolidate the managed services segment, but more importantly for CMS, it allows us an entry into midsize private banks for cross -selling. It also helps us influence and shift those contracts from a transaction fee model historically to fixed fee models when those contracts expire. We hope to close this and integrate this deal at the end of Q1.

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We have been able to drive this shift of transaction to fixed fee by showing the value of such contracts to the largest banks in India and the rest of the market will follow in a matter of time.

I am now on slide number nine. As we talked about M&A, I wanted to talk about capital allocation. This is covered in significant detail in the shareholder letter we have published last night, and I would request you to go through that letter. But to summarize, our IPO was an offer of a sale, no capital raised. Over these five years, the company has averaged a high 70% OCF to EBITDA and generated almost Rs. 2,275 Crores of cash, out of which Rs. 1,000 Crores have gone in for organic growth into capital investment. In fact, even if you look at the trends of capex investment, we have invested capital when we have been clear and convicted of the investment opportunity and the returns on it. So we went from an average of Rs.200 Crores of capex investment in FY 2022 and FY2023, and it dropped to Rs. 100 Crores in FY 2024 and FY2025, as most of the contracts which were being bid were transaction price oriented, and the prices were very low, and we stayed out of those businesses, which affects our FY2025 to FY2026 growth, but we preserved capital for better times. In FY2026, in the middle of the storm, we upped our capex spend significantly

to drive higher growth in the coming years, and we have invested Rs.350 Crores of capex in FY20 26. Dividends, or broadly in terms of shareholder returns, I think have been linked to PAT and have grown each year till FY 2025. We have returned Rs. 438 Crores through dividends to shareholders, including the special dividend we did in FY 2025. To those of you who know us well, CMS is a self-funded compounder and not a grow at any cost operator.

Let me pause before I move to slide 10. We are seeing a significant change in the business mix, which is critical to our transformation journey and to continue growing at our historical growth rates. This slide shows you a massive shift in the customer mix. In our prior years, our growth was led by the managed services segment and

the SBI. Due to the

transaction fee model being impacted in the country and that affecting the growth opportunity, we have been steadily and consciously diversifying our base to other large banks, especially in the private sector and retail segments. So you can see the sharp shift in the mix, which was 58.42 in FY 2025. At the end of FY2026, this mix has shifted to 48.52. That is a very big shift in just one year and will hopefully accelerate in the coming years.

Slide number 11. At the analyst day, we introduced to you a new way of thinking about CMS, and we identified the three platforms we think will lead our growth to FY 2030. The ATM management solutions, the retail and currency logistics business, and the technology and payment solutions. These businesses were a 63-37 split in FY 2022. And in the four-year period, you can see this mix change again in these segments. It is 58-26-16. The technology and payment solutions business has had a significant mix change from 7% to 16% of revenue. In fact, it was 12% revenue last year itself. This is now a Rs. 370 Crores

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business now for us and what is driving the shift is Hawkai, which is now Rs.200 Crores revenue and has doubled for us in the last two years. Through the Secur ens acquisitions, we have scaled this business significantly. We today have 50,000 sites live, which are being actively monitored by a software. Think about this. This is a phenomenal scale when you compare this to the fact that it took us 20 years to get to 70,000 ATMs, 20 years to get to 65,000 retail points, but four years to get to 50,000 to RMS sites. This is targeting a large Rs.8,000 Crores TAM for us.

Within BFSI, which has been historically our strength, we have quickly moved to gain a market leading pole market share of 36%. That is the power of this technology oriented

business. We end FY2026 with a solid order book, not only from size, which is Rs. 2,000

Crores, but even if we say so, it is high quality wins. None of these deals is linked to any transaction fee linked contract. All of them are fixed fee models. We are especially proud to have had a unique year. We had three huge deals and wins from SBI, ICICI Bank, and HDFC Bank. These are marquee banks, and to have big contracts, long term contracts

signed for CMS in these years is huge for us and gives us a good tailwind as we move forward into the coming year. In fact, these contracts help us secure 85% of the FY2027 target and goal we have and we have these contracts in hand and going live.

End of 2025 itself, we have set out our FY2027 revenue goal. Despite the hit we took in FY2026, we are still maintaining that revenue as our goal. Our services revenue goal remains at Rs. 2700 Crores to Rs. 2800 Crores, which will mean a 17% to 21% growth on

FY2026 numbers. At an overall revenue goal, total revenue, we are targeting Rs. 2800 Crores to Rs. 2900 Crores, which would mean a 13% to 17% growth. On margins, we have historically never guided to margins and there are emerging pressures on possible impact of

consumption linked to inflation or geopolitical impact, but we are still aiming to be in the 25% EBITDA margin range. Q4 has helped us significantly ramp up margin profile, and we will look to maintain and defend that in the rest of the year. We have had a lot of feedback on this topic in the last nine months. It seems to be a favourite topic for many of our

investors. Our position on shareholder return has been very clear. We will do what is equitable and fair to all classes of shareholders and with prior years, it did not make any sense, given we were not fully clear on our capital needs for growth. Also, the taxation structure was unfavourable to many classes of shareholders. The taxation rules since then have changed. We have done two deals. We have invested a significant Rs. 350 Crores of capex last year, and we have

weathered the FY2026 storm, and we are well positioned for

the coming years. With clarity on our capital needs and our cash balance of Rs. 650 Crores, the board has approved Rs. 168 Crores buyback, roughly 3% of our outstanding equity shares, at Rs. 340 price point. After this buyback, we will still retain sufficient liquidity for our foreseeable growth needs.

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As a team, we have meticulously focused on a higher TAM as a goal for us and to help us continue driving high growth rates. Our three platforms today target a TAM of Rs.20,000 Crores. We are seeing a strong market consolidation and linked to that, pricing upside opportunity in the coming years. Over the last four years, we have grown our services revenue at a 12% CAGR. This includes the slower years in FY2025 and FY2026. Over the next four years, we see our opportunity to accelerate this growth to a 13 % to 14% CAGR, which is more in line with our historical growth of 15% CAGR. Thank you for your patience and your belief in our tough year and with this, we end now and move on to Q&A. Moderator: Thank you so much, Sir . Ladies and gentlemen, we will now begin with the question and answer session. Anyone who wishes to ask a question may click on the raise hand icon from the participants tab on your screen. We will wait for the question queue to assemble. We request all participants to restrict to two questions and then return to the queue for more questions. To re-join the queue, you may click on the raise hand icon again. We will take our first question from Baidik Sarkar of Unifi Capital. Baidik , please unmute your microphone and go ahead with your question.

Baidik Sarkar: Rajiv, good morning. It has been a tough year overall. I hope 2027 and beyond is better for you and the team and thank you very much for your leadership. A couple of questions. Like you alluded to in your opening comments, there was softness in private bank ATMs in H1 of last year. How is that sentiment overall behaving today especially in the context of what has happened in the last two months, they are all macro at a global level, but decision making has come into things at a country level as well. How are you reading decision makings there? And this question is from the perspective that our guidance of Rs.2,900

Crores is a very strong task. The exit that we have in Q4 pegs our revenues at roughly Rs.2,500 Crores and of course, the HDFC wins probably adds to what takes that number to roughly Rs.2,600 Crores, so which means we still need a line of sight to balance the incremental 300. How would you rate the quality of decision making in this environment and the probability of us getting there?

Anush Ra ghavan : Let me answer some of your questions. First of all, let me take the one on what is happening to the overall ATM industry, how are banks thinking about growth? As Rajesh spoke and as we have also shared earlier, we are sort of starting to see two or three trends. The first has been the shift in the mix of banks preferring to move from what we traditionally call ATMs, which are cash dispensers, into recyclers, which enable them to transfer a lot more of the transaction banking activities from a bank branch to an ATM site. So this can do cash acceptance, it can do video KYC, and it can do card issuance. So it is sort of similar to what a digital banking unit would have delivered. So we sort of start to see banks change that. And the second is a change which is being pushed by primarily CMS of urging the banks to switch from a transaction price model to a fixed fee model. I think in some of our earlier calls, we had told you how effective market clearing price for transaction fee has been CMS Info Systems Limited
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constantly inching up higher. The last RFP that a one bank did, this came at close to Rs. 25, which is in any case

not an economical price for the bank given interchange is at Rs. 19. So in FY2027, we know the 6,000 to 7,000 units that we see in different stages of bank RFP pipeline planning are mostly all either product purchase and with subsequent services outsourcing or will be a fixed price outsourcing deals. The second point on how are we thinking about our revenue shift, similar to our last call, our goal at that point in the end of Q3 call when we spoke to you in February was to exit FY2026 on a strong revenue momentum so that we enter Q1 with about Rs. 650 Crores of revenue , so between Rs.577 Crores of Q3 to Rs. 650 Crores for Q1 , Rs.609 is sort of a step in between there in Q4. So a lot of order execution as well as revenue ramp up of some of the new wins that we have had are underway. So the 650 should get us to Rs.2600 Crores run rate. It also means that through the year we have to win and deploy about Rs. 100 Crores of products and the balance is things that need to be, additional orders which need to be executed. If I look at FY2026, we won about Rs.2000 Crores of overall orders of which we have close to about Rs.400 Crores to Rs.500 Crores of work , which is still to be executed.

Baidik Sarkar: On the margin front, I understand, the fuel inflation is something that has just happened. In a typical pricing, how does pass-through work on our ATM milk runs? Is this something that we can pass on overnight or do we have to absorb this before this gets escalated?

Anush Ra ghavan : I think there is a little bit of routine to how we have done this over the last decade to

decade and a half. We have sort of been, as a company and the team, been through various inflation cycles, benign ones and more difficult ones, different playbooks and different tools. Simply put, there are some of our contracts which offer a CPI, WPI linked inflation increase. Our effort is to constantly have more contracts move into a regime like that. For the ones which do not, we do have periodic price resets. So effectively, I think the way I would look at it is as we move from 20 26 to 20 27, we also shared in our analyst meet in September when we met that we are trying to get price increases across a lot of our contracts. So the normal inflation linked increases get set off with price increases which are part of these efforts on an annual basis. In case there are some things which are more extraordinary or there are things that we cannot plan for, it may be certain states which have undergone a much steeper minimum wage increase or fuel price increases, which are beyond normal. Those are times where we try to push or pass on a price increase which is outside these annual cycles. Rajiv Kaul : I think the industry gets together at these moments to discuss with the key clients. Again, it is really client relationships and the value drive. So, I do not think it is linked to, directly linked to headline inflation. I think either it is linked to a contractual terms or negotiations which are logically based in what the ground reality is. The private sector engagements, it is far different than it will be the public sector.

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Baidik Sarkar: No, no, I understand. Mine was a very topical question, given what happened yesterday on the price hikes. So the simple point being that, does it represent a risk to our 25% margin aspiration? That is the only thing I am trying to drive at.

Rajiv Kaul : I think it is a fair question, Baidik . You have known us for some time, we are very reticent on margin forecasts because it is not always easy to control what the competitors will do and the market will be. I think we have had a good Q4. We do not want to get carried away with extrapolating that straight away into next year. I think we will want to wait and see what happens in Q1. Right now, there is just unknown volatility given we all feel in India that a

lot of the price impact on fuel may have been deferred for whatever consideration. So let us see this play out. We have seen one price hike yesterday. I do not know what more will come in. We do not know what will happen to work from home as a concept right now. So I think we will wait for Q1 to see how things pan out. But our effort, given the investments we have made and the nature of our contract, some of the M&A we have done, is to get to a 25% zip code. Setting in May, impossible to tell you today if we will hit it, achieve it or miss it. I do not think there is significant risk as of today, but we would prefer to be conservative on this. If we are able to drive the revenue growth, I think it gives us a better margin to, I mean, like last year, we talked about and I think in the Q2 or Q3 call, we did wean away some of our lower yield retail customers. That is revenue gone, but also lower margin business gone. So if we have to sort of wean away some business at the end of the year, if you drop Rs. 25 Crores , Rs.30 Crores , Rs.40 Crores of revenue to maintain a higher margin profile, we will look at that in H2.

Baidik Sarkar: Just a quick question before I get back. There seems to be a ramp up in depreciation costs. I understand the acquisitions have not yet been closed, the FSS one. I am just curious, what is driving this sequential ramp up from Rs. 56 Crores to Rs. 59 Crores versus depreciation?

Rajiv Kaul: Depreciation ramp up, you said? I do not know . Pankaj can answer, sorry.

Pankaj Khandelwal: So during the year, we have done around Rs.350 Crores of the capex and as well as the Secur ens we have already added. So, related to that the depreciation has increased from Rs.54 Crores to Rs.59 Crores.

Baidik Sarkar: Got it, got it and just the last question on the FSS acquisition, is it expected to be earnings accreted from the first year itself or we wait before it turns accreted?

Rajiv Kaul: Let us finish the deal in Q1, Baidik , and after that we can tell you better.

Baidik Sarkar: Sure, Rajiv. Best wishes.

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Moderator: Thank you so much, Baidik . We request all participants to restrict to two questions only and if you wish to have any follow -up questions, please raise your hand and you can re -join the queue. We will move to our next participant, Praveen Kumar from Equitas Capital Advisors. Praveen, please unmute your microphone.

Praveen Kumar: Hi, Rajiv and team. Thanks for the opportunity. The investor letter was very, it read in a very heartfelt and frank manner. Thanks for writing that. I had a couple of questions. One was, if I look at your FY 2027 revenue guidance, if I were to do something like a pre - mortem on that, assuming let us say one year down the line for some reason that is not

achieved, what are the top two or three reasons we know that happening. That was the first question.

Rajiv Kaul: It is a great question. Can you tell us a second while we think of the answer to that?

Praveen Kumar: Sure. Second question was on the kind of transaction linked kind of project that you walked away from, which happened in the later part of 2025, right? I just wanted to understand, did any of your competitors take up that and because, you have been hinting that industry is moving more and more towards the fixed price kind of model. I was just wondering, given that size of contract, was it taken up by someone and if so how do you look at that?

Rajiv Kaul: Where we are right now on revenue, and I think Baidik also referred to that, the Rs.633 Crores, you extrapolate that right now, just out of simplicity, into four. That gets you to Rs.2,500 Crores. We are executing and going live on the HDFC contract, which should get us another Rs. 50 Crores to Rs. 75 Crores of revenue in the year. That gets you closer to the Rs.2,600 Crores number. Now we are talking about another Rs.200 Cro

res to hit. I am talking about the bottom end of the range. Let us forget the higher end of the range right now. Rs.200 Crores, I think there are orders and order wins which could help us contribute to that delta. What could go wrong? What could go wrong on the revenue side right now would be if there is a sharp dip in consumption in, let us say, Q1, right because Q1 is then into a four issue. There could be risk to consumption both at the retail side or at the transaction per ATM level. We have seen in March and April a dip in currency supply in the country, which impacts ATM transactions. So I think if that trend continues, let us assume for the next 10 to 12 months, there could be Rs.50 Crores to Rs.70 Crores impact on the revenue. Unlike last year, we do not have I mean, last year forecast was based also on Rs.100 Crores of revenue we were presuming would accrue to us from the SBI contract, which did not happen. We do not have that risk right now. We do not have any such large risk, which is sort of assumed to happen and therefore could sort of dip. Whatever is in the math is either contract either going live or already signed.

So there is a delta from Rs. 2,600 Crores to Rs.2,800 Crores, absolutely. I think in the rest of the year, we need to go work hard to earn it. So that is the answer to your first question.

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Your second question was, did somebody else take the contract? Yes. Should we name it?

No. And will those ATMs go live? Hopefully and will we get some part of the business from there? We should. But again, at Rs. 19, I think it is a great price, because that is the max you can really get at interchange today. For us, it was really about, could we foresee us making money over a seven year cycle of the contract and we could, but not in the levels at the threshold, and the return metrics we have. I have said this historically also to some of you, is that growing our business is not a challenge. There is business. But growing this business at a 25% zip code and EBITDA margins, the ROCE levels, is a challenge and therefore, for us to keep aspiring to grow double digits, maintaining the return profile, is something we have created as a ring fence around ourselves and we have to keep maintaining the high threshold. So, I do think there will be some players who can make reasonable returns on that project. There is a little more risk. We prefer to take that Rs. 100 Crores and deploy it when we find a segment or a company where we like the return ratios more in favour to what we prefer.

Praveen Kumar: Thank you. Thanks for the response.

Moderator: Thank you so much, Praveen. We will take our next question from the line of Uma ng Shah of Banyan Tree Advisors. Please unmute your microphone.

Uma ng Shah: Good afternoon. Thank you for the letter and the way you communicate every time. I had two questions. First question was, in the analyst meet last year, you had broken down the cash logistics business into ATM cash, retail cash and CIT. Can you give that number for FY2026?

Moderator: Would you like to ask the second question as well?

Uma ng Shah: Yes, yes, I will do that. Sure and Sir, we see that off-site ATMs are reducing by private sector banks and we also see a number of transactions as per RBI data coming down. In this context, why would banks want to increase off-site ATMs? That was first part and second is that between off-site and on-site ATMs, do our services change? And if yes, which is more profitable?

Anush Ravhavan: Let me answer the second one first. It is a very good question. It is a trend that, we had called out early that we are seeing a shift between the behaviour of onsite and offsite ATMs.

Like I said, I think banks at the point have changed reasons for why they need a certain network and scale. If you had asked me this question five years back or even 10 year

s back,

both private and public sector banks expanded ATM growth rapidly mostly on the back of independent ATM deployers, or

what we call the BLA model, executing this on a transaction basis, simply because there was a significant arbitrage to be earned between interchange fee, which is what one bank settled with the other, versus the cost of running an ATM network. So it made sense for banks to invest and create net ATM capacity, which was probably running ahead of what they truly needed in terms of their debit card issuance and spread in terms of savings account. Five years back, we started seeing some banks, specifically the private sector banks, changing and taking a pause, saying, this is not about having the biggest or the largest network. It is also about using the network for the right reasons, which is driving penetration and growth in newer areas that we are entering into. So if you set up a branch, they typically wanted the branch to be surrounded by one or two ATMs. It helped in building CASA. It also helped in branding and distribution. Right now, if you sort of see what banks are doing, they are treating the ATM channel as a way to effectively act as an alternate servicing mechanism to their bank branch. So it is not just about cash distribution or cash withdrawals anymore. It is also about trying to cater to the customer lifecycle and the needs.

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So some of the work that we are doing, and let me take ICICI Bank as an example. Two years back, they had, I think, about 20% cash recyclers and 80% cash dispensers. Two years since now, since we have been working with them, it has gone the other way. We are 80% cash recyclers and 20% dispensers. And now, to most of us, we still call an ATM an ATM but fundamentally, from the views of a banker, a cash recycler provides service to a whole set of customers who are otherwise walking into a bank branch to deposit that cash. These could be SME customers. These could be traders. These could be retail accounts. But all of this then moves into a cash recycler. Second, as we are going live with the ALGO MVS software this year, that allows a bank to up sell a lot of the value added services or a lot of the nonfinancial banking services and package that into a cash recycler. So this could be account opening, it could be video KYC, it could be asking for a cross selling a loan which is specific to you as an individual, not just a traditional loan product. It could be Instacard issuance, it could be passport computation in the context of public banks. So I think we are seeing the cycle shift. Banks are willing to commit their own capex as opposed to getting private parties to put up capex here and on the back of this capex, they are looking at transferring a lot of the expensive transaction banking activities from a branch to an alternate channel model. I will just go back to your earlier question on the split. I think we, if you look at it, we also said we will re-segment our revenues into the three platforms, so all of ATM Cash goes into ATM Solutions. We have retail and CIT combined, and we have technology and payment services. The specific mix of those splits is captured in our presentation.

Rajiv Kaul: Yeah, I think on the Cash MS split, we said if the 60-40 historically has gone to 55-45. Beyond that, I do not think we even have the live numbers. We are starting to internally just focus on the three platforms and measure them. That split is already mentioned. And I think you talked about the transactions and the stability. Okay, cool.

Uma ng Shah: Sure. Thanks, Sir .

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Moderator: Thank you, Uma g. We will take our next question from the line of Divyansh Gupta of Latent PMS. Divyansh, please go ahead.

Divyansh Gupta: Yes. I have three questions for FSS business. The first one being that whatever revenue that FSS was doing, some would be through CMS and some will be through other players. So how are we thinking of moving all of that business to CMS or will the contracts expire and then only CMS will take up those business revenue opportunities. The second one is more a basic question and then a build-up on that the fixed fee versus let us say transaction. Does it get fixed at FSS level? And if yes, then is there a certain percentage of revenue that FSS is currently doing on transaction basis, which that way leads us to some bit of exposure to that kind of revenue stream. And the third one is that while we have mentioned that there is a cross sale opportunity of Hawk ai and ALGO MVS, do the current client base do not have that offering and therefore it is more of a, let us say be doing an inception sale to them that these are the advantages or it is a replacement of existing vendors and therefore, again, how do we see that timeline moving to CMS?

Anush Rag havan: So, let me go one by one. As far as the first question is concerned, so the contracts that, we are transferring from FSS would be all the managed services contracts. Now, for FSS, we are already one amongst the largest cash management partners. So I think when we talk

about incremental revenues, it is mostly the parts that were not attributed to us in terms of the overall managed services for these ATMs and possibly for some ATMs that we are outsourcing to others. Right now, in terms of when we have sort of done our internal math in terms of the focus is really more on getting the customer innovations done, bringing back the quality and stabilizing those networks for the banks. We are not really right now thinking too much in terms of arbitrage of what we do versus what other people do. I think fixing the quality and stabilizing the network is our focus right now for Q1 and Q2. To your second part, yes, there would be some contracts of this which would have a transaction exposure. However, I know, again, the reason that we differentiating this from what we typically bid for is in contracts like this, which have already had two, three, four years of transaction history and aging, it is a lot easier to understand how those ATMs are performing and to take certain calls of what needs to be continually running, what investments you need to make to either fix and improve the sites, or what ATMs need to be shut down. It is an entirely different call from a capital allocation perspective of bidding for a new contract, going hunting and chasing and setting up those sites, and then waiting for the transactions to come.

Rajiv Kaul: So I do want to add here a couple of points here, Divyansh. One is, FSS, and if you are aware of the company, has run a very good quality managed services business for the last decade. It is a respected name, both in the technology side and what they have done for banks, and historically done very well. For their own portfolio needs, this is a business they were looking to maybe exit for some time. We, as a company, have analysed maybe five CMS Info Systems Limited

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managed service providers from acquisitions at different points of stage of time. In our mind, the FSS business is the highest quality business out there in the sector. The client relationships and the profile of the work they do. The transaction linked business, which is there, I think the very good question, has thankfully been contracted mostly to what I would say a high quality base at reasonable price points. There may have been some impact in the last one year to that base of business basis given how overall transactions have occurred. And that reflects in the deal value, the pricing which we have negotiated. And we also have a trend line on when these contracts can end and what we can up sell and how we can convert them. To your question on cross selling with Hawkai, primarily let

us say Hawk ai

and ALGO. ALGO would be a new opportunity, right? It would be a new opportunity for us if we are able to crack one or two deals. I think they will be totally accretive. The Hawk ai business, I again think that some of the mid-sized banks have not really deployed aggressively, or they are doing it, I would say that with a smaller quality or a lower quality vendor and not across the whole base. Consolidating this also, as we said, CMS was a number five MSP before FSS acquisition we became a number three post that I do not know what happens to the stack rank there but also helps us consolidate and deliver some synergy and cost savings automatically right because the team which is going to be handling a larger base of ATMs both at manage social level itself helps us drive some synergy out there.

Divyansh Gupta: Got it and second question was the revenue ramp up that you mentioned it let us say 625 into 4, 2500, HDFC around 50 to 60 and just looking from a lower guidance perspective, what would be the ramp up of the SBI and ICICI contract? And rather on a general basis, if we have been a seven year or five year deal, how should we think the revenue ramp up happening across years?

Rajiv Kaul: Well, I think, um, the excel modelling, I will leave it to you. I think we have given what information we should share about some of these customers and contracts. I think the SBI contract is over a period of 7 to 10 years. The ICICI HDFC one, Anush can correct me, is about four to five years, roughly. ICICI is longer and HDFC is how many years.

Anush Ravhavan: Five years.

Rajiv Kaul: So all of that revenue is not going to be exactly divided by five in the first year. Obviously, some of it is linked to either a pricing change or to a base increase. But for sake of simplicity, divide it by the number of years and just assume that will flow through from the first year itself.

Divyansh Gupta: Got it.

Rajiv Kaul: Also, the bases do not remain static, right? Bases change, right? There is churn always. Something gets shut down and something gets added. I would love to say this is a very

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conservative, but we will not know how the base of the machines changes with some of these banks over a period of time. This is the basis of what we have right now.

Divyansh Gupta: Got it and if I may ask another question.

Moderator: Sorry, Divyansh. Rejoin the queue, please. Thank you so much. We will take our next question from Govindarajan Chellappa of CSIM. Govindarajan, please unmute your microphone. Yes, please. Go ahead.

Govindarajan Chellappa: Yes, thanks for taking my questions. I have a couple of them. One, there seems to be heightened activity, M&A activity across the globe in this space again. So, first question is especially on NCR and Brinks merger. Would you see any opportunity or threat? Do we run a Hitachi kind of risk here? I know Brinks is very small, but just your thoughts on that. My second question is, you still have a reasonable exposure to 28%, I think is what you mentioned to MS Ps and that space, at least the smaller ones have struggled to find funding. So of that 28%, are there still any of the MS P customers of yours who you would classify as at risk in terms of their own balance sheet, their own ability to get funding, their ability to pay you up? And a related question is, in your balance sheet, I see about Rs.58 Crores of loans and advances, I am guessing that is to a client if you could just talk about the thought process around that.

Rajiv Kaul: So on NCR and Brinks acquisition, so we will see how this pans out. I am sure they will get regulatory approval to do this around the world. I do not think we are sort of looking at this and saying, they are too small or too big. I fundamentally feel the base we have in the network and density we have in India is impossible to replicate. It is

something I mentioned

towards the end of my letter also, saying you cannot replicate what CMS has in terms of network reach and density. Can that mean that at some point of time, NCR and MSP customer can shift some base to Brinks and Brinks invest to grow? Absolutely, but I think we have time to ramp up and therefore, I mean, I do not think necessarily our diversification is linked to that, but I think our expansion business will make sure that we have enough growth to compensate for some of these trends, which it happens. Is there any opportunity? I do not think so. There is no opportunity, right? But is there a risk? We presume there will be risk. Will that finally pan out or not? God only knows but I do think this is a more complex global merger. If I was sitting at Brinks in the U.S., my priority would be to focus on the top five markets, which for them is U.S., Canada, and large geographies in Latin America. These are complex deals where global teams have to align and merge, and therefore, far away in other countries, let us see what the impact is and when it comes in. Brinks for those of you who are aware or not aware, in India is predominantly a player focused on the bullion space and global bullion, they are the largest company and huge, and do a great job on that. They have some network presence in India, but links to basically, I think, the larger tier cities. In the cash management space, they are a CMS Info Systems Limited

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very small player and I think if they had to scale in India, this would need significant investments across the country to invest in infrastructure, vans, routes, and all to and let us see what happens. We will know when we know on this.

Your second question was on the MS P base? Yes, so I think that 28% of, so as we finish FY2027, you will, or as we get out of FY2027, let us see what the base of revenue from the managed service customers comes into. But you are right, that sector is going to be, as I said, the prior growth was led by some of these customer segments. The next four to five years growth will not be led by these segments. And so for us to model, we are modeling as a lesser growth from these segments. But the slack will be picked up by our expansion into the new platforms we talked about, and some of the newer customers, especially the larger private sector banks we talked about. And your third question was linked to advances of loans. Anush, if you know, you can just.

Anush Rag havan: Yes, I will just quickly cover this, Govind. So, if you recollect about four or six months back, and I think in our third quarterly call, we spoke about some of the midsize MS Ps being under liquidity stress and us going about solving for this in different ways. So, as we speak, and we also said that by end of FY2026, we hope to sort of have these addressed. So, as we speak, with one of them, we have entirely solved for it. The DSOs have come down. We have much lesser exposure. With the second one, we have made this announcement in the fall in FSS, wherein, post the acquisition will be a combination of our receivables from them plus a cash consideration and in the case of a third MSP customer, we have converted what was our exposure into a secure outstanding, which was backed both by physical assets with a significantly higher cover, but also more importantly, getting access to receivables directly from the bank in current escrow facility, which covers both the loan amount as well as the normal work that we render for them.

Govindarajan Chellappa: Yes so basically, you have converted unsecured receivables to secured loans, that is the right way of thinking about it.

Rajiv Kaul: Yes. So unsecured to secured plus getting the collections from their banking customer directly into an escrow account.

Govindarajan Chellappa: Okay. Just, just one small clarification. My question on the exposure to MSPs was not in

terms of growth opportunity, but in terms of risk of further receivables issue of the 28%, do you see any, any of your customers having any issues on balance sheet?

Rajiv Kaul: No, Govind. I think we took a provision last year already in Q2. I think the activities we have done both, which Anush detailed about, should cover us from any potential risk in this area.

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Govindarajan Chellappa: Cool. Thank you. Thank you so much.

Moderator: Thank you. We have Darshan Shah from Multi -Act Equity Consultancy. Darshan, please go ahead. Darshan, please unmute your microphone so that we can hear your question.

Akshat: I am Akshat from Multi -Act. I had two questions. The first one is on the margins, right? So while we have guided on EBITDA margins, reverting back to 25% plus for FY2027 and also for the longer term. But if you really look at the cost structure below EBITDA, right, our depreciation over the last three years has jumped from almost Rs.132 Crores to Rs.210

Crores approximately for FY2026. So as a percentage of revenue also it is inched by about 1.5% to 2% points. So in terms of EBIT margins what is the thought process and because these investments when do they yield results in terms of better EBITDA margins, etc., that is one and second is on the buyback so what would be the participation from Mr. Kaul on this buyback and what is his view on whether they will be participating in tendering their shareholding. Those were my two questions.

Anush Ravhavan: Akshat, I think let me tackle the first one, which is, so I think when you look at FY2026 in context, you should also look at it in terms of how our overall construct or the structure of our business is changing. We are switching from being a 70% cash business to investing into longer term growth potential, especially around technology businesses those will necessitate more upfront investment, but will yield results and more recurring revenue streams on a five to seven to eight year time period. So, the context of capex investment and depreciation would mostly be linked to some of our longer term investments and you should also see in the light that in FY2026, we did get headwinds in the form of consumption weakness, slowdown, and transaction impact especially for some of our, both the ATM as well as the retail business. So in a way, sort of the margin and the structures are weathering both of these ups and downs. As we think about FY2027, there will always be a sort of a

lead and lag effect to, from an EBITDA and a PBT or a PAT perspective, as when you look at Securens or we look at FSS, I think we would normally want to assume that it would take a few quarters for the synergy benefits to kick in, whereas the depreciation, gets recognized from day one. So we do hope that over a period, things should get better.

Rajiv Kaul: You know, also, Akshat, we have, I think in the last couple of years, Pankaj has alluded to in his comments that the right way to think about this is ROCE, ROCE apart from this year, have been fairly strong in the 25% range. I think we focus on that. To your second question on participating in buyback, specifically your name called me out, but, I do not intend to participate in the buyback at all.

Akshat: Great, great. Thank you. Thank you for your clarification on both these questions. Really helpful and all the best for the year ahead.

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Moderator: Thank you. Thank you so much, Akshat. We will take our next question from Amish Kanani of Knowise Investment Managers. Amish, please go ahead.

Amish Kanani: Congrats on a good Q4 margin recovery and top three banks in our bag. First question Sir, how do you see the pipeline this year since these three large contracts are already done? How do you see the other contracts you did mention in the presentation that we are looking

at from 6000 to 8000 ATM looking for moving to a fixed fee pricing model. But just in general, how is the pipeline vis-a-vis, say, last year? Is it looking similar, better, or maybe a little lower because of the three large contracts that we have already had? And in that context, maybe you can cover the FSS acquisition. You did mention we have a lot of mid cap banks, for want of a better word, in our kitty. How are we planning to cross sell overall things? So maybe pipeline in the context of those new bank clients that we have had.

Anush Ravhavan: Amish, so, very valid points. I will just start off by saying, despite all the headwinds and the challenges that we had in FY2026, I think Rs.2,000 Crores order wins has been amongst the

best years that we have had. We have executed, I think, as I said earlier, close to about 75% of this. So there is still 25% of work to be done in terms of this execution. So that is, the entire FY2027 with just, I suspect Q1, Q2, and H1 really sort of being fairly intense here from an execution perspective. Some of these orders to be rolled out, the integration of FSS, and, just generally looking at how the macro setup is. We do see in FY2027 banks coming back into the refresh cycle. They have taken a pause in FY2026. We see them coming back into this. However, I think it is a little early for us to comment on how exactly this will work out, simply because given how the overall situation is, we do have some RFPs which are in different stages of the pipeline, but I think we will wait to, maybe at the end of our Q1 or Q2 call to comment about how exactly this is panning out.

Amish Kanani: Sir the margins, we had a fairly good margin bump up in Q4 over Q3, though Y-o-Y looks a bit flat. The question is, Sir, how did we, if you can explain the nuances of the margin, maybe within cash versus the other business, at an EBIT level, there is a huge swing in the cash business. The question is where does this come from and if you can give us some flavour of, the improvement that has come versus volume versus increase that we have had because of the low pricing that we had in the past? The question is, from 25%, we do understand that our aspiration is to maintain. But how much is due to, say, a better pricing versus operating leverage? And we understand the fuel price hike is a big overhang. So how do we think? How have we improved it and what are the levers that we are using to kind of make it stable and maybe improving.

Rajiv Kaul: So, Amish if you go through our past calls, we really do not get into these levels of details on margins. I think for us, given FY2026 was a significant depth we sort of went out on a limb to say we will push back our margin profile, but you are right. I mean, a significant part of the, as revenues start climbing back up, you get the operating leverage and the work

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which Puneet and his team have done on rationalizing our routes. Anush and his team have done and trying to get pricing hikes and the new fixed price contracts, I think that all starts contributing back to the margin profile. Your question would be I also think it would be linked to how much of this is sustainable in the future. Do not know, I think we have a good base. Q1, historically, not historically, seasonality wise, is a lower margin profile, bases, wage hikes, and increments, and whatever happens. We will wait to see how Q1 goes through. We will also finish all our contracts, but then we are almost done all our contract execution. The new one, HDFC, will go live this quarter and we will have a better sense of the year on the margin side. I think cash and managed services I told you they are fungible, really. It is very difficult for us to even call out how much is where and overall fuel cost and vehicle cost is a percentage of our business is roughly about 6% of our overall revenue. So if that goes

up by X percentage, you can start doing some calculations on that. We have built a pretty tight operating network. I also do want to caution here saying as we roll out new contracts and new businesses, there will be expansion and investment back into our network and all. You cannot exactly time it to quarter by quarter, but hopefully we should be able to maintain those sort of margin profiles.

Amish Kanani: Sure, sure. Thanks and all the best. A great letter to the shareholders. Thanks.

Moderator: Thank you so much, Amish. We will take that as the last question. I will hand it over back to the CMS management team for the closing remarks. Over to you team.

Rajiv Kaul: I really do not have anything more to say. I think we have given out this time a very detailed letter, which normally would have come in the annual report. We thought it is a good trend to get it more circulated widely at the end of the year for every investor to read. That specifies and details out exactly the way we are thinking so that you are able to both get a better sense of the business, what we are doing, which cannot be covered in the presentation accurately, and also hold us accountable for it. We are still maintaining our North Star goal of FY2027 and FY2030, despite having a reset in FY2026. Not easy, but we feel quite confident that we have done superb hard work in the last six to eight months to fix things which were breaking down and the things, which were under control and wish us all the best and thank you for your belief and patience in a tough year and yes, talk to you at the end of Q1.

Moderator: Thank you so much. On behalf of IIFL Capital Services Limited, that concludes today's conference. Thank you all for joining us and you may now click on the leave icon to exit the meeting. Thank you for your participation.